

A double-edged code: How AI is reshaping the global wealth landscape

Allianz Global Wealth Report 2026

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Executive Summary



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Global wealth: a record on paper, less so in real terms

Global financial assets expanded to a record EUR268.4trn in 2025, expanding +8.6% from the previous year, despite a challenging geopolitical and economic backdrop. Global wealth creation ran on autopilot, driven by markets, which accounted for 4 out of 5 euros of additional wealth, while fresh savings fell by -5.4% to EUR4.1trn. Yet the record looks less impressive after inflation: nominal financial assets have increased by almost 50% since 2019, but real growth amounts to just 23%, leaving purchasing power only 5% above its 2021 level.

Portfolios set the tone

Portfolio composition increasingly determines who captures the gains from wealth creation. In 2025, securities grew by +12.4%, more than twice as fast as deposits (+5.7%) or insurance and pensions (+5.0%), pushing their share of global financial assets to a record 46.9%. North America's securities-heavy portfolios, with an allocation of 60.7%, helped the region generate 51.4% of the global increase. Its real financial assets are now 21% above 2019 levels. Western Europe, by contrast, has barely recovered its purchasing power, with a real increase of just 0.5%. Over the past decade, valuation gains accounted for 71% of North American financial-asset growth, against 36% in Western Europe. As a result US financial assets grew 3.1pp faster than Europe's, despite Europeans' greater savings effort relative to existing assets, indicating that saving more does not necessarily mean accumulating more wealth.

Asset growth surpasses debt

Assets raced ahead of debt, strengthening household balance sheets. Global household liabilities increased by +3.4% to EUR56.9trn, considerably slower than financial assets. The household-debt ratio fell to 60.9% of GDP, almost 13pps below its 2009 peak, reflecting both restrained borrowing and growth in nominal economic activity. Net financial assets consequently rose by +10.1% to EUR211.5trn. Debt can also impact the wealth rankings: while Swiss households remain the wealthiest in the world in terms of gross financial assets per capita, the US is ahead of Switzerland in net financial assets per capita, as Swiss household debt per person is more than twice the American level.

Catch-up pace slowing

Globalization has changed the geography of wealth, but poorer economies are losing catch-up speed. The ratio of average net financial assets per capita in advanced economies to emerging markets fell from 62 in 2005 to 21 in 2015, but only to 17 by 2025. Emerging markets nevertheless now account for 61.9% of the global middle-wealth class and 32.1% of the high-wealth class, compared with less than 2% of the latter in 2005. So, while wealth has become far more geographically diverse, the momentum of catch-up itself has faded. Trade fragmentation, weaker cross-border investment and reorganized supply chains are making convergence harder. Digital services and the green transition could open new opportunities, but seizing them will depend on access to capital, technology and skills; assets that are themselves unequally distributed.

Stubborn inequality

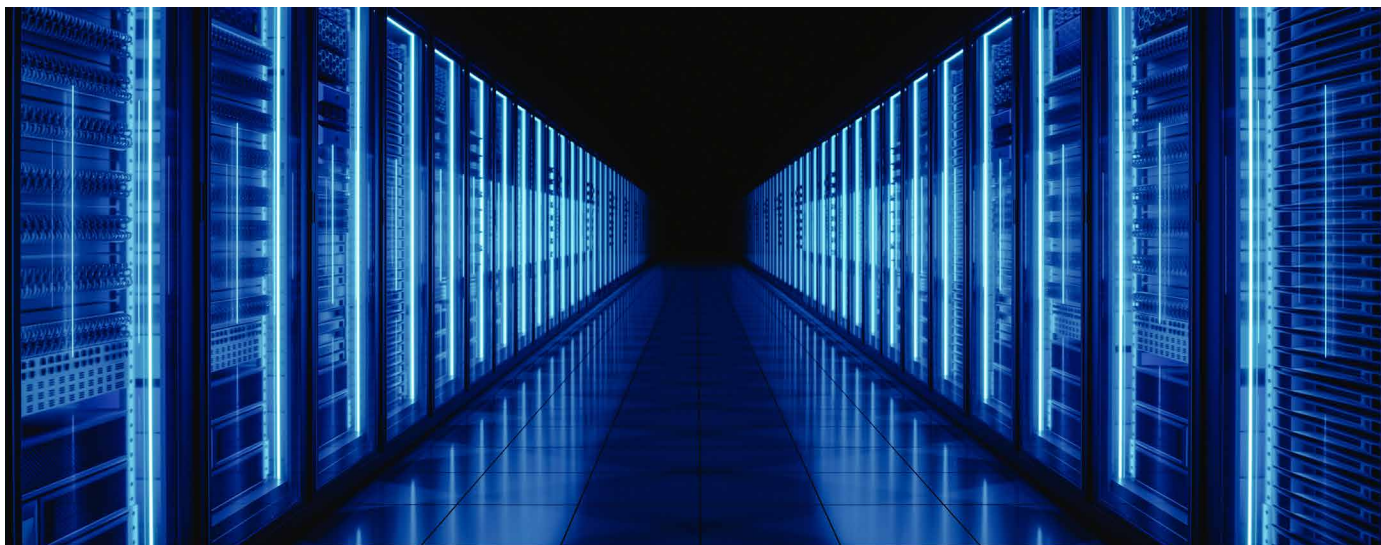
Global wealth concentration has eased, but national wealth inequality has barely moved in two decades. The richest 10% still own 85.4% of global net financial assets. This is down from 91.5% in 2005, but at the current pace of improvement it would take almost another eight decades for global concentration to approach the levels observed within individual countries. Meanwhile, the bottom half of the world's population covered by this report, almost 3bn people, collectively holds virtually no net financial assets. Within borders, distribution has proved almost immovable: the share held by the top-decile averaged 60.9% in 2025, against 60.4% in 2005, and the average-to-median ratio barely moved from 3.11 to 3.12. Still, ownership patterns are not fate. Some countries demonstrate that improvement is possible: the Netherlands reduced its top-decile share by 2.4pps to 56.1%, while Ireland's average-to-median ratio fell from 4.87 to 3.42. These exceptions have not, however, translated into a broader reduction in national wealth inequality.

AI growing the gap

AI could put an end to the calm on the distributional front by shifting more value creation from labor towards capital, in turn widening the divide between earners and owners. Allianz Research estimates that AI could affect almost 1 in 4 jobs across major economies over the next three years, mainly through reorganization. Displacement could temporarily outpace job creation as firms deploy technology faster than workers can retrain. If productivity gains flow mainly into profits rather than wages, asset owners could capture disproportionate benefits. Policy must therefore support worker adjustment, avoid tax incentives that favor replacing labor and broaden participation in capital returns. Otherwise, AI could create substantial wealth while concentrating its rewards and spreading disruption, putting social cohesion under pressure.

AI promise and risk

The outlook for global wealth remains solid, but AI now carries both the upside and the risk that will shape it. Global financial assets are expected to grow by around +9% in 2026, once again well above the long-term rate of +6.0%. Further gains increasingly depend on corporate earnings delivering on elevated expectations, particularly around AI. Stronger productivity and profits could sustain the rally. If expectations have run ahead of economic reality, however, the resulting correction could reach far beyond technology stocks. In a downside scenario in which earnings disappoint and expectations prove too optimistic, a 25% correction in the S&P 500 could wipe around USD27trn from US household wealth, equivalent to almost 14% of total net worth, with weaker confidence and spending pushing the US economy into recession. In the medium term, AI should remain an important driver of global wealth but the path will be more volatile. Fragmentation, persistent inflation and elevated public debt will constrain returns, while the scale and timing of AI-related productivity gains remain uncertain. Annual financial-asset growth is therefore expected to settle at around +5–6% over the medium term. AI offers substantial upside, but translating its technological promise into durable and broadly shared wealth will take time.



Financial assets: 2025 sets a fresh record

Despite a sharp rise in trade-policy uncertainty and persistent geopolitical tensions, 2025 saw another year of resilient global growth. Sweeping US tariff announcements in April triggered market turbulence and disrupted trade, yet the US economy remained comparatively robust, supported by household consumption and a powerful AI-related investment boom. Europe continued to wrestle with structural weakness, even as Germany returned to marginal growth after two years of recession. In China, weak domestic demand and the prolonged property-sector adjustment remained the main constraints.

Inflation continued to ease, although at markedly different speeds across regions, and with US inflation still above target. This gave central banks room to loosen policy: the European Central Bank (ECB) reduced its deposit rate by 100bps to 2.0%, while the US Federal Reserve (Fed) waited until September before cutting by a cumulative 75bps to 3.50–3.75%. Long-term interest rates remained elevated, however, as investors demanded compensation for persistent inflation risks, large fiscal deficits and rising public debt.

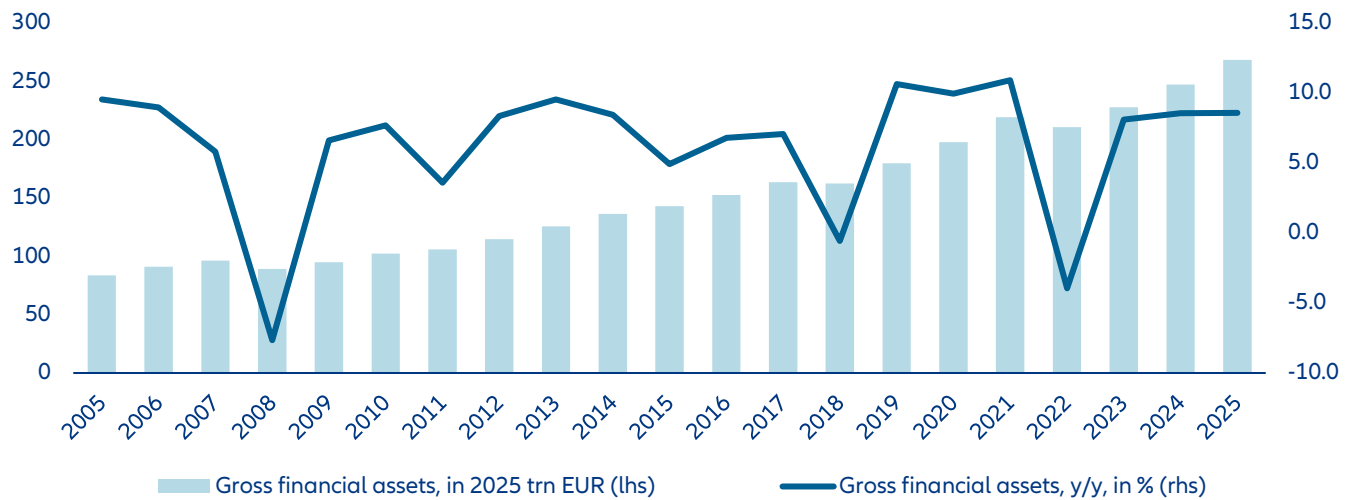
Financial markets ultimately looked through the turbulence and recorded another strong year. After the

sharp sell-off around the April tariff announcements, easing trade tensions, lower policy rates and continued enthusiasm for artificial intelligence (AI) drove a strong recovery. US equities remained powered by AI-related investment and earnings expectations, while European markets benefited from a rotation into previously underperforming countries and sectors. Overall, global equity markets therefore ended 2025 with substantial gains extending the strong performance of the previous two years.

Against this backdrop, private households' global financial assets continued to grow at a remarkably dynamic pace, with an increase of +8.6% in 2025, in line with the previous year, reaching a record EUR268.4trn (Figure 1). Relative to global economic activity, financial assets stood at 288% of GDP at the end of 2025 but remained below their 2021 peak of 306%.

Adjusted for inflation, the picture is considerably less impressive: while in nominal terms global financial assets grew by almost 50% since 2019, real financial assets grew just 23%, and as of end-2025 register only 5% above their 2021 level. Part of this year's headline record therefore reflects rising prices rather than genuine new wealth.

Figure 1: A fresh record high
Gross financial assets, in 2025 EUR trn and annual change in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

A comparison with pre-Covid real-terms also exposes a stark regional divide: as of end-2025 Western Europe's real financial assets were only 0.5% above their 2019 level, effectively experiencing six years without a meaningful net gain in real terms. Over the same period, real financial assets in China rose by 70%, in Asia excluding Japan and China by 40%, in North America by 21% and in Japan by 13%. Western Europe was therefore not merely the slowest-growing region, it was the only one to experience virtual stagnation.

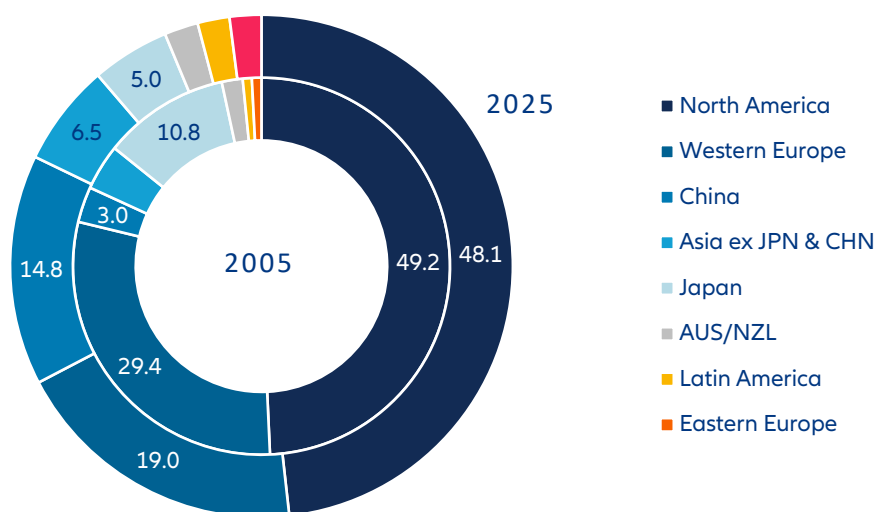
The US remains on top

The enormous stock of global financial assets held by private households is not distributed evenly across the world. In fact, it is heavily concentrated in North America (Figure 2),¹ which alone accounts for roughly half of all private financial assets worldwide. Remarkably, its share has changed little over the past two decades, despite China's spectacular rise from 3% in 2005 to almost 15% in 2025. China's gains came largely at the expense of the other advanced wealth centers: Western Europe's share fell by more than 10pps to 19%, while Japan's more than halved to 5%.

¹ North America is largely synonymous with the US in terms of financial assets: Canada accounted for less than 6% of the region's total in 2025. The US alone held 45.3% of global financial assets, compared with 46.7% in 2005.

Figure 2: Rich, richer, North America

Gross financial assets, regional split 2005 and 2025, in 2025 EUR, in %



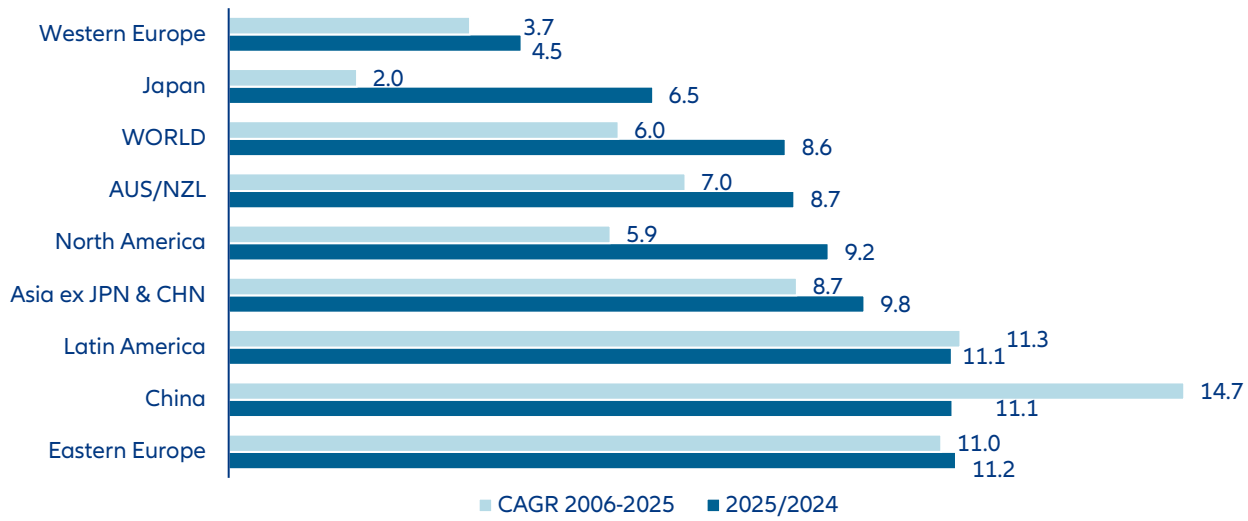
Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

North America's resilience reflects a powerful combination of scale and performance. Its financial assets grew by an average of 5.9% annually between 2006 and 2025, broadly in line with the global rate of 6.0%. Western Europe and Japan achieved only 3.7% and 2.0%, respectively, falling short of global growth by 2.3pps and 4.0pps per year.

In 2025, North American financial assets accelerated by 9.2%, outperforming the global rate of 8.6% (Figure 3). Emerging markets grew even faster, led by Eastern Europe, China and Latin America, all at around 11%. Western Europe lagged markedly at 4.5%, while Japan recorded growth of 6.5%.

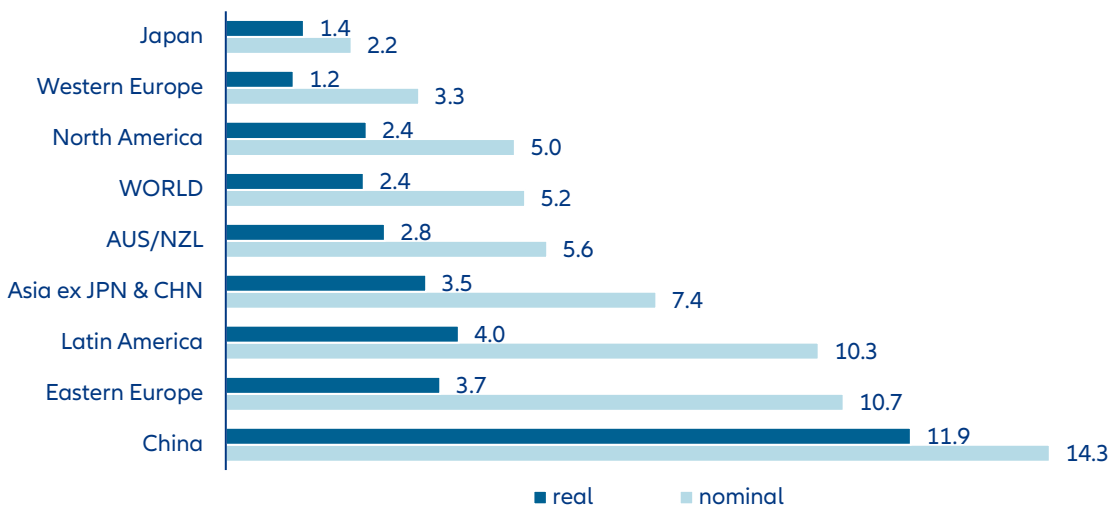
Adjusting for inflation and population growth does not fundamentally change the long-term picture: North American financial wealth has kept pace with global growth. Population growth alone accounts for only part of the story – per-capita wealth creation runs 0.8pps below the aggregate global rate in most regions, North America included. The exception is Japan, where a shrinking population actually lifts per-capita growth above the headline figure (Figure 4).

Figure 3: American wealth engine keeps running
Gross financial assets, CAGR* 2006-2025 and growth 2025/2024, in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research
*CAGR: Compound annual growth rate

Figure 4: Inflation cuts wealth in half
Gross financial assets per capita, nominal and real CAGR 2006-2025, in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Inflation, by contrast, has a much larger effect than population growth: it erases more than half of nominal growth globally in real terms. North America is no exception, with real per-capita wealth growing at 2.4% a year against a nominal 5.0%. That 2.4% real rate, however, is exactly in line with the global average and comfortably ahead of Western Europe's 1.2% – only Japan and China erode less to inflation than North America does, and even Japan's real per-capita growth (1.4%) is just narrowly quicker than Western Europe's, not America's. Compounded over two decades, this leaves the purchasing power of North American financial assets up by a factor of 1.6 – matching the global multiple, and ahead of the 1.3x recorded in both Western Europe and Japan. China remains the one region genuinely out of reach on this measure, with real per-capita wealth compounding at an astounding 11.9% a year and purchasing power up almost tenfold over the same 20 years.

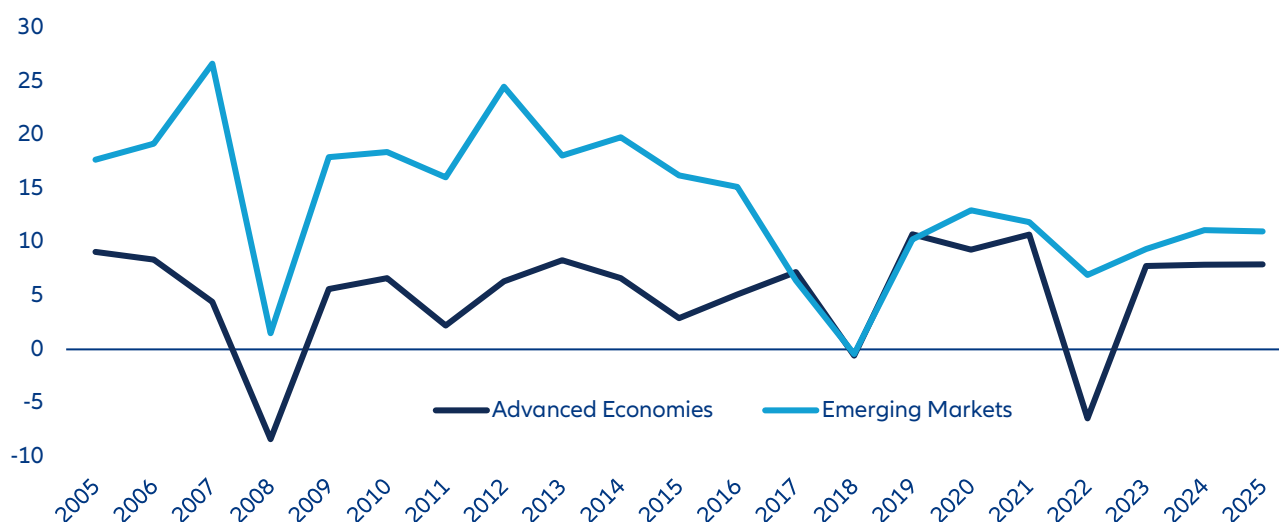
Thanks to its enormous asset base, North America remains the main driver of global financial wealth growth in nominal terms, real and per-capita adjustments notwithstanding. It generated 51.4% of the worldwide increase in financial assets in 2025. Over the past two decades, it accounted for 47.5% of the total

increase, compared with 20.1% for China and 14.3% for Western Europe. In global wealth creation, the US remains clearly in the driver's seat.

North America's recent outperformance in household financial-asset growth is a relatively new phenomenon. In the years following the global financial crisis, US financial assets frequently grew more slowly than the global average. The shift began around 2017, when escalating US–China trade tensions heralded the end of ever-deeper globalization and the increasingly seamless integration of emerging economies into the global division of labor.

This changing environment is also visible in the narrowing growth gap between emerging and advanced economies (Figure 5). In the decade leading up to 2017, emerging-market financial assets on average grew more than 13pps faster per year. In 2024–2025, their advantage was only around 3pps. Emerging markets are still growing faster, but no longer fast enough to sustain the rapid convergence of the early 2000s. In an increasingly fragmented global economy, the closing of the global wealth gap has clearly lost momentum.

Figure 5: A narrowing growth gap
Gross financial assets in 2025 EUR, annual change in %

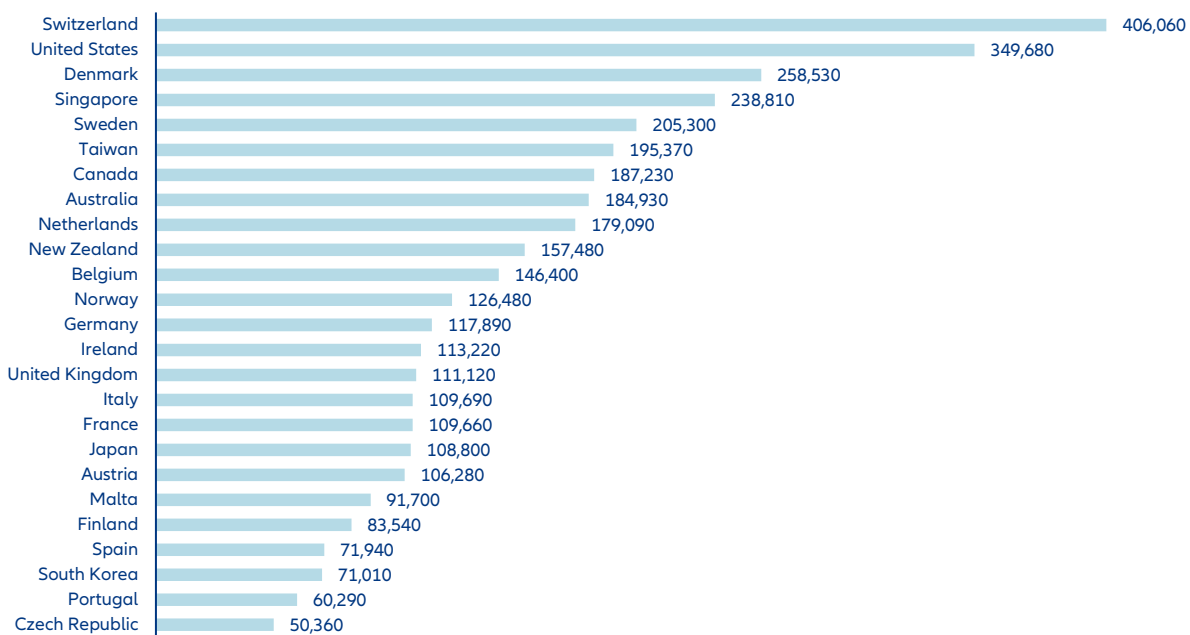


Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

American supremacy is also reflected in per capita gross financial assets, at least when looking at averages: in fact, only Switzerland ranks ahead of the US. All other countries follow at a considerable distance (Figure 6). While the two top spots have remained unchanged for years, there has been some movement among the top ten. Two decades ago, Sweden, Taiwan, Australia and New Zealand were not yet part of this illustrious circle, which at that time included Belgium, the UK, Italy and Japan.

The Netherlands remains the highest-ranked Eurozone country, but is only ninth, down from fourth place in 2005. Germany's ranking remained unchanged from last year at 13th, but it has improved by six places since 2015 – partly reflecting a significant data revision. Among the other Eurozone countries, only Ireland, Malta, Croatia and the Baltic states also improved their rankings over this period. And China? It now ranks 32nd, up eight places from 2005.

Figure 6: The top 25
Gross financial assets per capita, in 2025 EUR



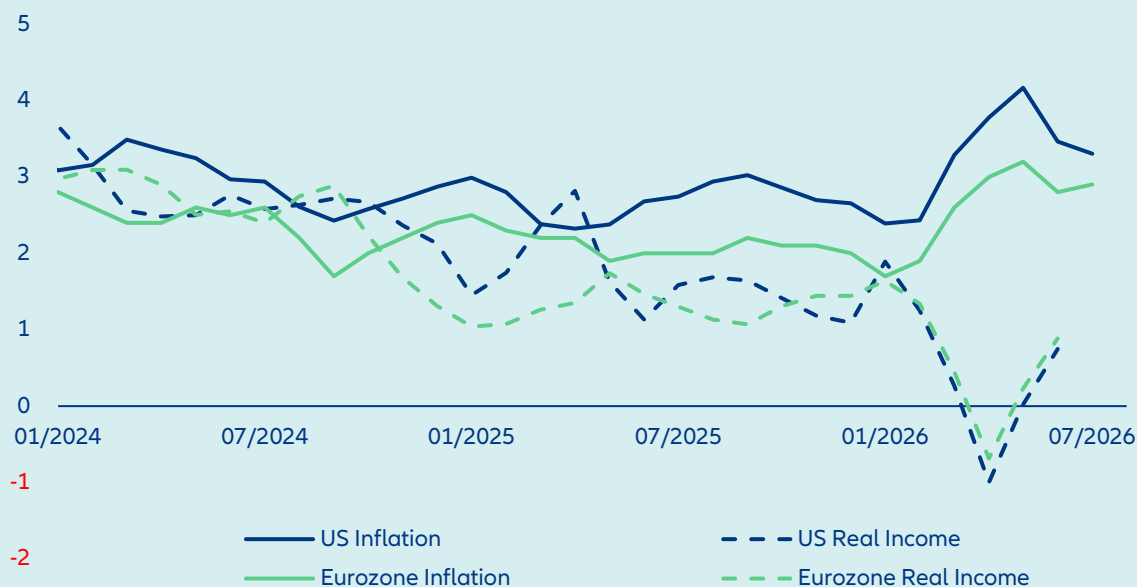
Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research



Box 1: The affordability hangover – The lasting and renewed scars of the inflation shock

Inflation may be well below its post-pandemic peak, but the affordability crisis has not gone away. In the US, 47%² of registered voters cite the cost of living as the single most important factor in deciding their 2026 midterm vote – a sign that lower headline inflation has yet to translate into a sustained recovery in household purchasing power. In fact, the recovery in purchasing power has gone into reverse. After the post-Covid inflation shock, wage growth had again overtaken inflation, allowing real incomes to recover in both the US and Europe. But in 2026, renewed energy-price pressures and sticky services inflation have reversed part of that improvement: inflation has risen to around 3.4% in the US and 3.3% in Europe and could be pushed higher by the energy-price shock triggered by the war in the Middle East. With nominal labor-income growth failing to keep pace, real labor-income growth has turned negative again for the first time since the post-pandemic inflation shock.

Figure 7: Inflation and real labor-income growth, US and Eurozone, 2021-2026, in %



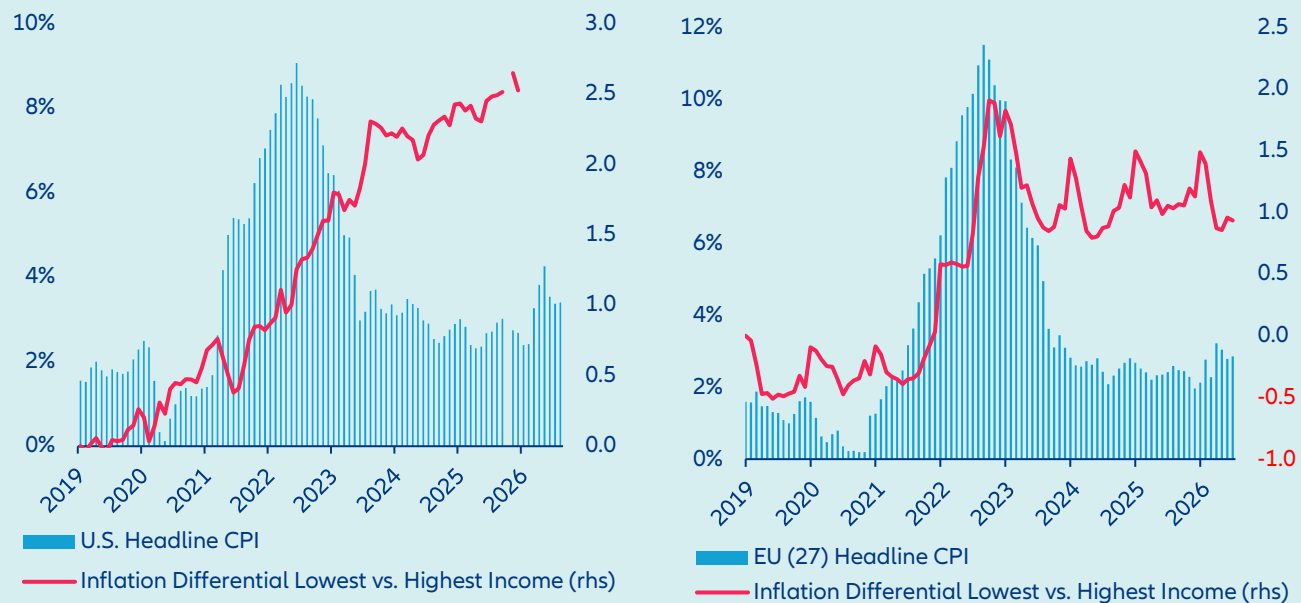
Sources: LSEG Datastream, Allianz Research

² See: Ipsos (2026), [“Cost of living remains top of mind for voters heading into 2026 midterms”](#)

The squeeze is also highly unequal. Lower-income households spend a higher share of their budgets on necessities and therefore have less room to adjust. In Europe, food, housing and energy absorb around 61% of disposable income for those in the bottom income quintile, compared with 45% for the top. In the US, lower-income households devote around 6pps more of their spending to essential goods. As a result, differences in consumption baskets can translate into an effective inflation rate around 1-2pps higher for poorer households.

The cumulative price shock continues to bite as lower inflation rates do not undo earlier price increases: US food prices, for example, remain around 36% above 2019 levels. For households already spending most of their income on essentials, this makes it harder to recover the purchasing power lost during the inflation shock.

Figure 8: Headline inflation and cumulative distributional inflation gap between highest- and lowest-income quintiles, US and Europe, in % and pp



Sources: BLS, Eurostat, Allianz Research

The affordability hangover can extend from household budgets to the ballot box. Historical evidence across 365 elections in 18 advanced economies since 1948 finds that a 10pp positive inflation surprise is associated with a 15% increase in the vote share of extremist, anti-system and populist parties, with the effect particularly pronounced when real wages fall.³ Inflation does not determine voting behavior, but sharp and unexpected losses of purchasing power can amplify political discontent.

Bringing inflation down is therefore not the same as restoring affordability. Broad price subsidies can provide quick relief but are costly, often poorly targeted and can weaken incentives to adjust consumption. Support should instead focus on households most exposed to essential-price shocks, for example through targeted transfers or tax relief, while structural policies tackle the underlying drivers of living costs – particularly housing supply, energy costs and competition in essential services. Wage and benefit systems should meanwhile avoid turning temporary price shocks into persistent inflation.

The longer-term challenge is to protect households' capacity to save. When essentials absorb more income, saving is often the adjustment margin, turning today's affordability squeeze into tomorrow's wealth gap. Strengthening access to long-term saving, funded pensions and financial participation can help prevent an inflation shock from leaving a lasting scar on household wealth.

³ See: Federle, J., Mohr, C. and Schularick, M. (2024), "Inflation Surprises and Election Outcomes," CEPR Discussion Paper No. 19741.

Markets do the heavy lifting

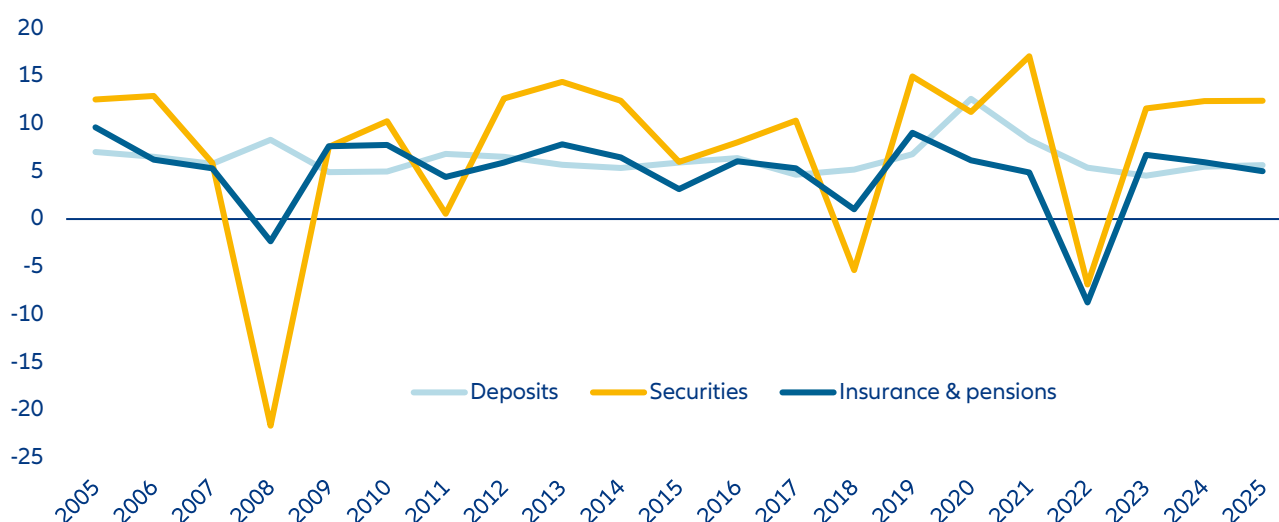
Financial wealth grows through two channels: households add new savings, and market movements change the value of existing portfolios. The second channel works primarily through securities, especially equities. Portfolio composition therefore determines how strongly households benefit from rising markets.

In 2025, securities, including shares, bonds and investment funds, rose by +12.4%, compared with +5.7% for bank deposits and +5.0% for insurance and pension assets (Figure 9). Securities thus led the three major asset classes for the third consecutive year.

With the sustained stock-market boom delivering substantial gains, the past three years have been exceptionally rewarding for invested savers. Between 2023 and 2025, securities grew by an average of +12.1% annually, more than twice as fast as deposits (+5.2%) and insurance and pension assets (+5.9%). Their growth advantage persists over the long term, although it is less pronounced because capital markets also experience periodic reversals.

Over the past 20 years, securities grew by an average of +6.9% annually, compared with +6.0% for total financial assets. The message is clear: capital-market participation is increasingly decisive for long-term wealth accumulation.

Figure 9: Securities set the pace for a third consecutive year
Gross financial assets in 2025 EUR, annual change in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Securities are by far the dominant asset class. At the end of 2025, they accounted for a record 46.9% of global financial assets. Despite periodic stock-market setbacks, the long-term trend has been clear: overall holdings of shares, investment funds and other securities increased by 7.4pps compared with 2005. Conversely, the share of insurance and pension assets declined by a similar amount to a record low of 24.8%. Bank deposits meanwhile increased their share slightly to 26.0% (Figure 10).

These global figures mask large differences between countries and regions, and thus the extent to which savers benefit from rising securities prices. North American savers have the greatest capital-market exposure, with securities accounting for 60.7% of their portfolios. In the US, the share is even higher, at 61.4%. This was not always the case: following the global financial crisis, North America's securities share fell below 46%.

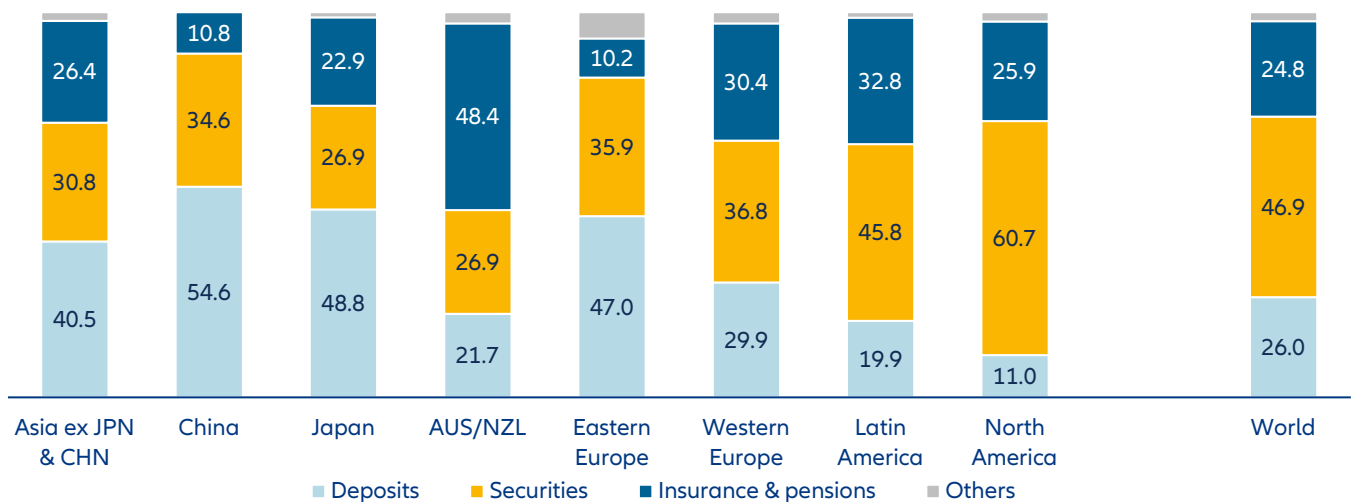
Securities also play a disproportionately large role in Latin America, accounting for 45.8% of financial assets. These holdings, however, are more likely to include unlisted equity than in North America. Brazil stands out, with a securities share of 62.1%. In Asia, by contrast, bank deposits generally play a much larger role: they account for 54.6% of financial assets in China and 48.8% in Japan. However, there are important exceptions. In Australia, many savers participate indirectly in capital markets through superannuation funds, with insurance and pension assets accounting for 54.6% of household portfolios.

Western Europe, meanwhile, is characterized by a more balanced portfolio structure, with securities significantly less important than in North America. Here, too, national

differences are substantial: securities account for 54.0% of financial assets in Italy, while insurance and pension assets dominate in the Netherlands, with a share of 50.4%.

These different portfolio structures demonstrate the wide variation in savings behavior around the world. They also help explain why North American savers have increased their financial assets broadly in line with global developments in recent years, unlike their Japanese and European counterparts. Despite North America’s already very high level of wealth, its greater exposure to capital markets has supported continued growth. Portfolio structure is therefore not merely a reflection of savings preferences, rather it is an increasingly important determinant of wealth creation.

Figure 10: Different portfolios, different fortunes.
Gross financial assets, by asset class in 2025 EUR, in % of total gross financial assets



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Savings losing steam

Savers added less new money in 2025, but markets more than compensated: 4 out of every 5 euros of additional financial wealth came from valuation gains rather than fresh savings.

In 2025, new savings declined by -5.4% to EUR4.1trn (Figure 11). While this was well below the peaks of the exceptional years 2020 and 2021, it was still 56% higher than in 2015. Developments diverged markedly across

regions. New savings in North America fell by -17.5%, largely because US purchases of securities, insurance and pension products declined. Nevertheless, the region still mobilized EUR1.8trn and accounted for around 45% of total new savings. By contrast, new savings increased by +34.6% in Japan, +22.2% in Australia and +13.3% in the eurozone. Overall these flows explain only around one-fifth of the increase in global assets, with valuation gains generating the remaining four-fifths.

Another striking feature was the continued recovery in bank deposits. The savings pool shrank, but the appetite for liquidity grew: almost one-third of fresh savings flowed into bank deposits. Inflows had virtually dried up in 2023, primarily because American savers withdrew more than EUR500bn and shifted funds into higher-yielding assets. After recovering in 2024, global deposit inflows increased by a further +18.1% to EUR1.3trn in 2025. As a result, deposits attracted 31.7% of new savings, up from 25.4% in the previous year.

While this is significantly higher than in the previous two years, it is still significantly lower than in the pre-pandemic years, when this figure averaged over 40%. The “rediscovery” of bank deposits is therefore likely due more to falling interest rates making the opportunity cost of leaving money in a current account lower, rather than due to their attractiveness. This is also evident in Japan, where the delayed interest rate turnaround caused the proportion of savings in bank deposits to fall to a historic low of 25%. The recovery was particularly pronounced in the US, where deposit inflows more than tripled to EUR321bn. Japan moved in the opposite direction: although deposit inflows increased slightly in absolute terms, their share of new savings fell from 28.4% to 23.4%.

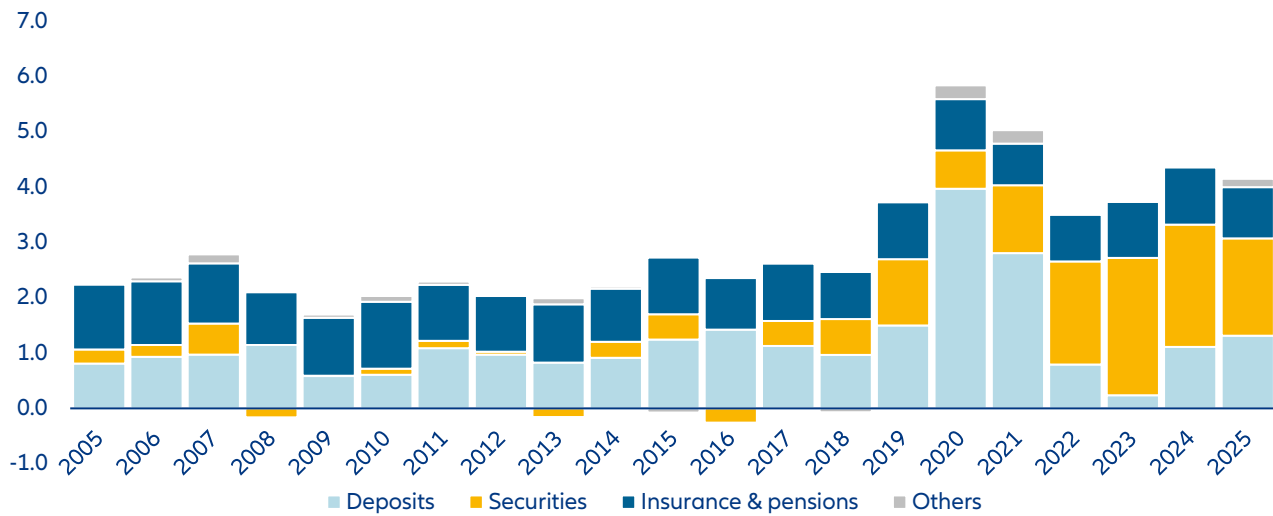
Securities suffered another setback after the exceptional inflows of previous years. Net purchases fell by -20.5% to EUR1.8trn in 2025, following a decline of -10.9% in 2024. Even so, securities remained the preferred destination for new savings, accounting for 42.4% of total flows – a historically high level – more than any other asset class.

North American savers continued to dominate securities purchases, but their share fell from almost three-quarters in 2024 to around two-thirds in 2025. The US alone accounted for 59% of global purchases. The cooling of securities flows was therefore largely an American phenomenon: North American purchases declined by -29.4% to EUR1.2trn, while inflows remained broadly stable in Western Europe at EUR333bn and increased in Japan to EUR79bn. Eastern Europe also recorded a strong increase, albeit from a much lower base. Global appetite for securities therefore did not disappear; it became less concentrated in the US.

Preferences within the securities category shifted again: households were net sellers of bonds and other debt securities, with global outflows of EUR63bn compared with purchases of EUR183bn in 2024. This reversal was driven by American savers, who sold EUR145bn after the bond-buying boom of 2022 and 2023. Italian and Japanese households remained the largest net buyers among the countries covered, purchasing EUR24bn and EUR31bn, respectively. However, their paths diverged: Japanese purchases edged up from EUR29bn in 2024, while Italian purchases more than halved from EUR55bn. Shares meanwhile remained in strong demand. Global purchases reached EUR830bn in 2025, down by -11.3% from the previous year but still the fourth-highest amount on record. Once again, the US was the decisive force, accounting for EUR814bn and therefore virtually all global net purchases. Elsewhere, activity was broadly balanced: Western European purchases were close to zero, while Japanese savers remained net sellers. Investment funds attracted EUR954bn, a decline of -11.1% but still the third-highest amount on record. Unlike direct share purchases, fund inflows were more broadly distributed: Western European purchases rose by +10.7% to a record EUR298bn, while North American inflows fell by -25.0% to EUR500bn. The continued popularity of Exchange Traded Funds (ETFs) is likely to have supported these flows.

Inflows into insurance and pension assets declined by -10.1% to EUR928bn, accounting for only 22.4% of new savings. However, the global decline was entirely driven by North America, where inflows fell by -40.8% to EUR269bn. Western European inflows meanwhile increased by +25.4% to EUR417bn, while Japan recorded an even stronger recovery, with inflows rising by +151.9% to EUR49bn, albeit from a low base. Nevertheless, the long-term trend remains clear: during the decade before the pandemic, insurance and pensions attracted an average of 44% of new savings – almost twice their share in 2025.

Figure 11: Securities still lead, deposits gain ground
Flow of funds by asset class, in 2025 EUR trn



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

North American savers continue to show a clear preference for securities. In 2025, they directed 63% of fresh savings into securities, compared with just 26% in Western Europe (Figure 12). This greater capital-market exposure has amplified the effect of their savings, which becomes visible over the course of ten years.

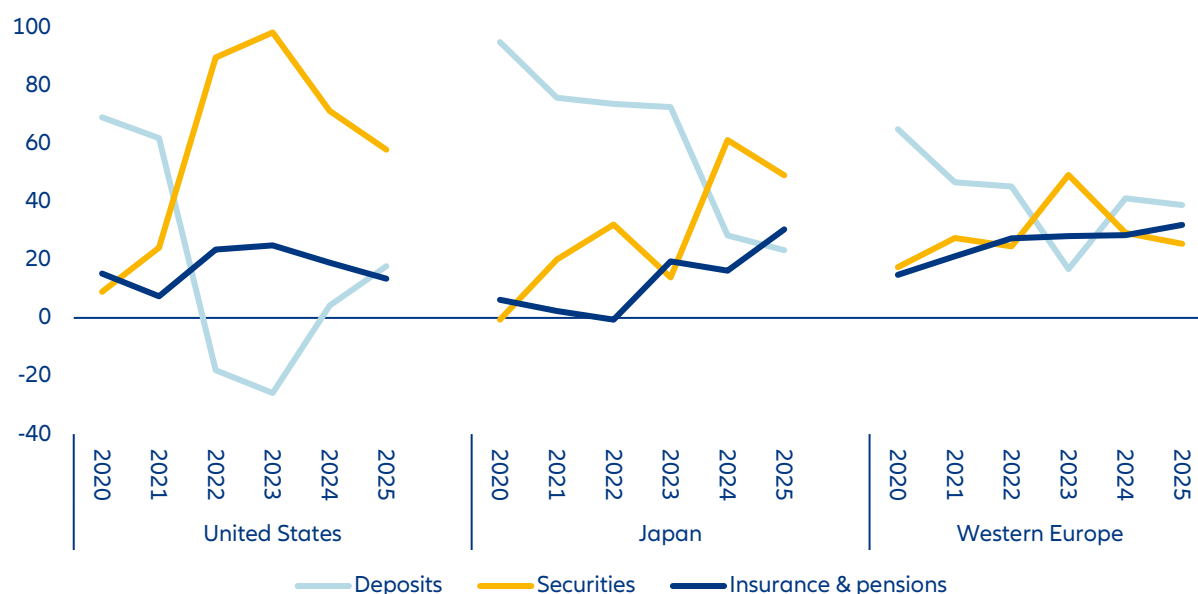
Within this time period, North American financial assets grew by an average of +6.9% annually, compared with +3.9% in Western Europe. This happened although Western European households added fresh savings equivalent to an average of 2.4% of their existing financial assets each year, while North Americans added just 2.1%.

The decisive difference, however, stems from contributions generated by valuation gains: they generated 71% of the increase in North American financial assets, but only 36% in Western Europe. In other words, North American portfolios made each euro of fresh savings work harder.

Germany provides an instructive example. Its financial assets grew by a relatively strong +6.0% annually over the past decade, but this required fresh savings equivalent to 3.9% of existing assets each year – almost twice the North American rate. Valuation gains accounted for only 33% of German asset growth, less than half the North American share. Germany achieved similar growth through much greater savings efforts; North America benefited from a substantially stronger market multiplier.

For Europe, the conclusion is straightforward: its households do not suffer from a lack of savings, but from a weaker transmission of savings into wealth creation. Greater capital-market participation could raise long-term returns without requiring households to save more. The question is therefore not only how much Europeans save, but how effectively their savings are put to work.

Figure 12: Making savings work harder
Flows by asset class and countries/regions, in 2025 EUR, as % of total flows



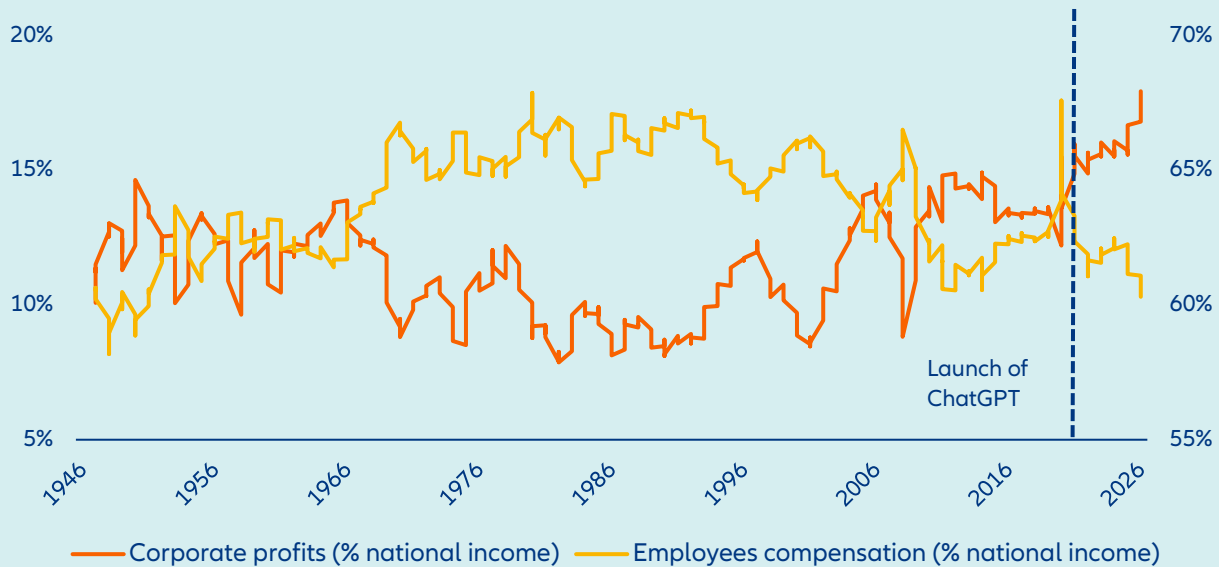
Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Box 2: Who will capture the AI wealth dividend?

Artificial intelligence could transform both the pace and distribution of wealth creation, potentially weakening the traditional link between working, earning and accumulation. Developing AI models and building out computing, data and energy infrastructure require large upfront investments, while successful applications can be replicated at low marginal cost. This favors scale and allows output to grow without a corresponding increase in employment. AI could also make workers more productive and efficient, raise wages and lower prices. How widely these gains are shared will depend on policy choices that shape competition, workers' bargaining power and access to capital ownership.

The shift in value creation from labor towards capital is not new, but AI could accelerate it sharply. Recent US data show the distributional landscape into which AI is arriving. Pre-tax corporate profits reached an annualized USD4.8trn in the second quarter of 2026, equivalent to 18% of national income and the highest share since the aftermath of WWII (figure 13). Meanwhile employee compensation fell to 60%, its lowest share since the 1950s. Inflation, outsourcing and cyclical factors also matter, so these developments cannot be attributed primarily to AI, but they reveal an existing shift towards capital that AI could amplify if productivity gains accrue mainly through margins, rather than wages.

Figure 13: Profits gain, labor loses ground
US corporate profits and employee compensation, as % of national income



Source: U.S. Bureau of Economic Analysis via FRED

For most households, labor income remains the first rung on the wealth ladder. Wages provide the means to save, while ownership of productive assets adds access to investment income and compounding returns. If AI strengthens capital returns while weakening earnings prospects for some workers, that ladder could become harder to climb. In the US, the top 10% own around 87% of corporate equities and mutual-fund shares. AI could therefore generate strong aggregate wealth growth without a similarly broad improvement in household prosperity. AI's labor-market impact is likely to be substantial but uneven and remains subject to high uncertainty. According to our own [Allianz Research forecasts](#) AI will affect 1 in 4 jobs across major economies over the next three years, reorganization is expected to dominate, affecting 10% of jobs, compared with augmentation of 5% and displacement of 8%. This corresponds to 52.5mn jobs in the US and 21.8mn across major European economies including Germany, France, Italy, Spain and the UK. New occupations should offset some losses, but probably not immediately: firms can deploy technology faster than workers can retrain or move between occupations. This transition gap could temporarily leave displacement running ahead of job creation.

AI could also reshape wealth differences between countries. It can make expertise cheaper and more widely available, potentially delivering large productivity gains where skilled labor is scarce. Countries need not produce frontier AI to benefit from adopting it. However, ownership of models, platforms, semiconductors and infrastructure is concentrated, so part of the income generated by successful adoption may flow to foreign technology owners. Economies combining widespread adoption with ownership of the underlying technologies and businesses, like the US, are better placed to capture both productivity gains and investment income. However households can also participate through diversified investments in foreign companies, meaning that national technological leadership is not the only route to sharing in AI-driven returns.

Policy must address both sides of the transition: protecting labor income and widening participation in capital returns. Three priorities stand out. First, education and retraining should focus on skills that complement AI, supported portable benefits, wage insurance and occupational mobility. This can help shorten the gap between displaced work and new opportunities. Second, tax systems should not unnecessarily favor machines over workers. Labor is subject to income taxes and social contributions, while automated production may face a lighter effective burden. For example, a tax on AI tokens treating computational output as a proxy for machine labor could moderate excessively rapid substitution and protect the tax base as value creation shifts towards capital. Recycling the proceeds into training, wage insurance or general revenues could also broaden participation in AI-driven gains. Third, policy should broaden access to capital returns through wider pension coverage, matched long-term savings, employee profit-sharing and collective investment vehicles. Governments could also establish citizen wealth funds financed from AI-related revenues that invest in productive assets on behalf of the population. Stronger financial literacy would help households take greater responsibility for their financial futures and make informed decisions about saving, investment and risk. Together, these measures would create a lasting and more widely shared claim on technological progress.

If AI shifts value creation further towards capital, wider ownership will become increasingly important to translating technological progress into broadly shared wealth. Broad participation in the gains will be essential not only for prosperity, but also for social cohesion and continued public support for technological progress. An AI transformation that concentrates rewards while spreading disruption would ultimately prove economically and politically unsustainable.

Outlook

Global financial assets are on course for another strong year in 2026. Financial markets have so far proven remarkably resilient, supported by continued enthusiasm around AI and solid corporate earnings. Given the central role of securities in household portfolios, these gains should once again provide the main impetus for wealth growth. We expect global financial assets to increase by around +9% in 2026, above the +8.6% recorded in 2025 and once again well above their long-term growth rate of +6.0%.

Markets, rather than fresh savings, are likely to do most of the work. Higher energy prices following the outbreak of war in the Middle East are squeezing real disposable incomes and households' capacity to save. Elevated uncertainty may encourage precautionary saving, partly offsetting this pressure, but additional funds are likely to favor liquid deposits over longer-term investments. Fresh savings should therefore provide only limited additional momentum, while renewed inflation means that gains in purchasing power are likely to remain well below nominal wealth growth.

The economic backdrop leaves little room for complacency. AI-related investment provides an important growth impulse, but geopolitical conflict, trade fragmentation and higher energy costs weigh on the wider economy. With no swift resolution of the conflict in the Middle East in sight, renewed inflationary pressures at a minimum will keep monetary policy restrictive and most likely prompt further tightening into 2027. With economic growth moderate and interest rates elevated, further asset-price gains increasingly depend on corporate earnings delivering on already high expectations.

This is where AI becomes both the main upside and the main risk to the wealth outlook. If today's enormous investment in computing capacity, infrastructure and applications translates into stronger productivity and profits, the rally may have further to run. But markets may also have priced in some of tomorrow's gains too early. In a downside scenario, in which earnings disappoint and expectations prove too optimistic, a 25% correction in the S&P 500 could wipe around USD27trn from US household wealth, equivalent to almost 14%

of total net worth. The resulting hit to confidence and consumption, combined with weaker AI investment, could push the US economy into recession (see Box 3: *US households on the front line of an AI stock-market correction*).

Over the medium term, AI should remain an important driver of global wealth creation, but the path is likely to become more volatile. Productivity gains could lift growth, corporate profits and asset returns, while AI may also trigger a notable shift in economic rewards from labor towards capital (see Box 2: *Who will capture the AI wealth dividend?*). How widely this wealth dividend is shared will depend not only on which countries and

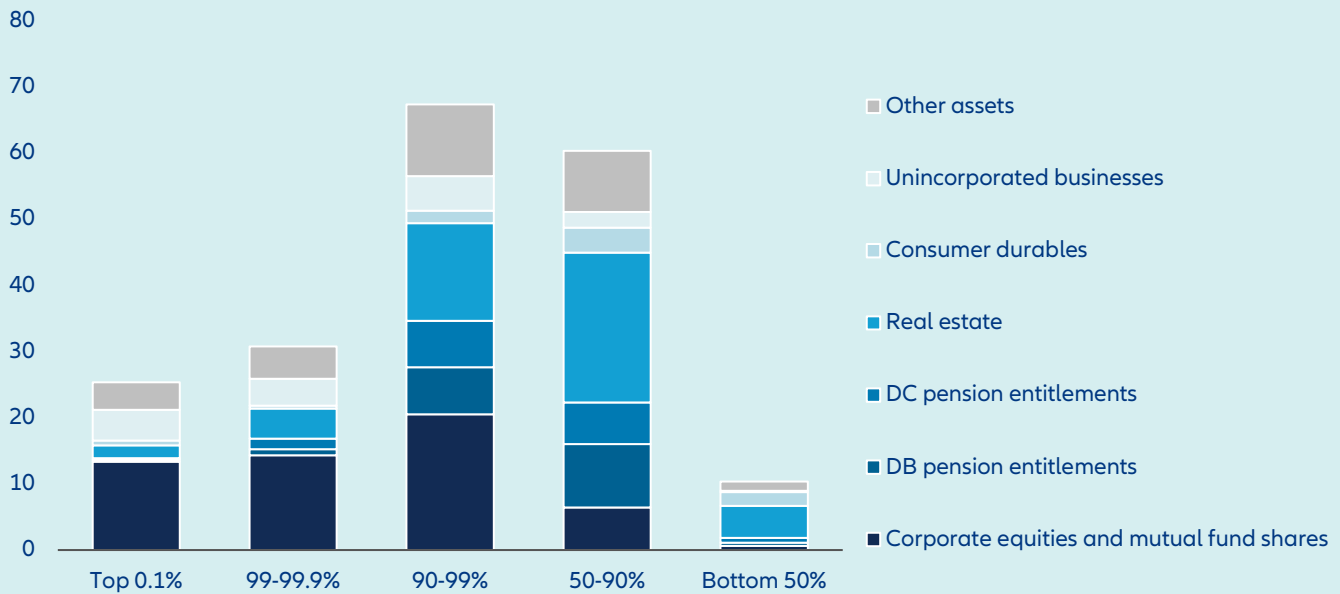
companies develop and adopt AI, but also on who owns the productive assets and on policy choices affecting workers' participation in the gains. At the same time, the structural headwinds are unlikely to disappear. Economic fragmentation, lingering inflation, elevated public debt and unpredictable policymaking will constrain returns and increase volatility. We therefore expect global financial assets to grow by around +5-6% annually over the next few years. AI offers substantial upside, but translating its technological promise into durable and broadly shared wealth will take time.

Box 3: US households on the front line of an AI stock-market correction

US households profited strongly from the AI-fueled stock market rally, thanks to their significant exposure to equities. But this may prove to be a vulnerability should markets correct. The S&P500 increased by around 95% between the end of 2022 and Q2 2026 with the six hyperscaler stocks⁴ driving 43% of the rise. With US households' significant exposure to equities – 34.0% of their financial savings are held in corporate equities, 23.3% in pension funds (defined benefits and defined contribution entitlements) and 9.4% in mutual fund shares – their gross financial assets grew by 42.0% or just under USD45.4trn, and total US household net wealth by 36.9% during the same period. But this notable exposure – a combined 66.6% of financial savings, around 7pps above the long-term average, and almost 28ppt higher than in Europe – is a double-edged sword. When markets rally, consumers feel more confident and are likely to increase spending. The AI-induced equities rally of the past four years was likely a key driver of the resilience in US consumption growth in that time period. But when markets correct, consumers are likely to tighten their belts. The resulting retreat in spending can topple the US economy as household consumption is typically the most important driver of US GDP growth. The increasingly unbalanced, K-shaped structure of the US economy is adding to economic fragility while leaving the broader economy more exposed to shocks and bouts of heightened volatility. According to the latest available figures, the majority of the asset classes mentioned above is concentrated among the top 10% of US households: collectively, they own 87.3% of the total private wealth invested in corporate equities and mutual fund shares (Figure 14).

⁴ Apple, Microsoft, Google, Nvidia, Meta, Amazon

Figure 14: Assets by wealth percentile groups, 2026Q1 , in USD trn

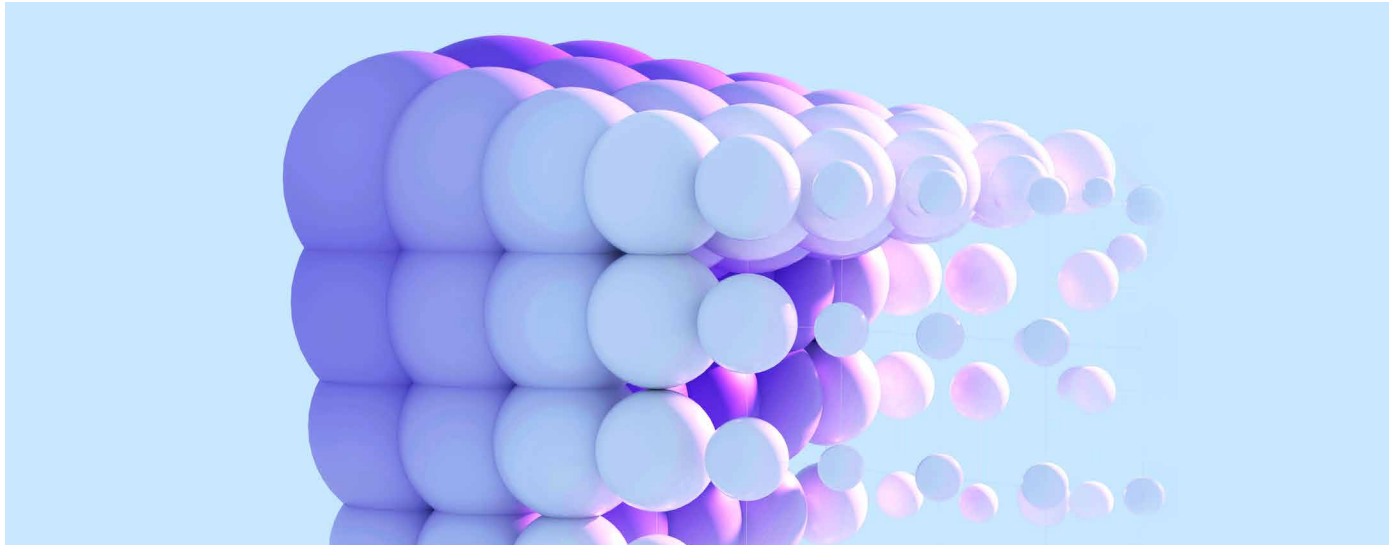


Sources: The Federal Reserve, Allianz Research

In addition, more than half (55.6%) of total defined contribution pension entitlements are held by the richest 10% of households. Overall, the top wealth decile holds 68.0% of total net household wealth. Moreover, US GDP growth has been increasingly powered by high-income consumers and the dominance of mega-cap corporations, leaving fewer households and sectors carrying a disproportionate share of economic momentum. This concentration also creates fragility as momentum rests on markets and affluent consumers, while lower-income households and smaller firms lack meaningful buffers. Any significant market downturn could rapidly erode high-income consumption and corporate confidence, amplifying negative economic outcomes.

If the AI equity bubble bursts, it would weigh on US economic growth and heighten recession risks. To gauge the economic and wealth impact we run two scenarios. While overall we do not dismiss the profound impact that AI will have on economies, the real risk is that markets may have priced in decades of growth overnight, leaving valuations vulnerable if adoption proves slower than expected. So in a first scenario an earnings miss triggers a correction to the tune of 15% in the S&P500. Given that the set-back will not be triggered by fundamental concerns about the viability of the AI business case, but rather exuberant expectations, it would be followed by a swift V-shaped recovery completed over a time horizon of six to nine months. Such a correction would lead to a 5.8% drop in total US household net wealth. The overall drag on annual GDP would tally up to -0.6pp.

In a downside scenario, more fundamental concerns about the AI business case trigger a -25% S&P500 correction eliminating USD27trn in household wealth. The equivalent -14% drop in total net worth leads to a prolonged period of weaker confidence and spending. The resulting erosion in wealth and sentiment, together with a collapse in AI investment, pushes the US economy into a recession despite substantial monetary easing. With equity markets taking up to two years to recover in this scenario, the drag on economic activity would be substantial: US GDP growth in 2027 would be -2.0pps lower relative to the baseline. The most severe impact would be visible in investment, as the bubble would also trigger an abrupt reversal in total business investment. Household consumption would be severely affected because of weak sentiment and negative wealth effects inducing households to hold back spending.

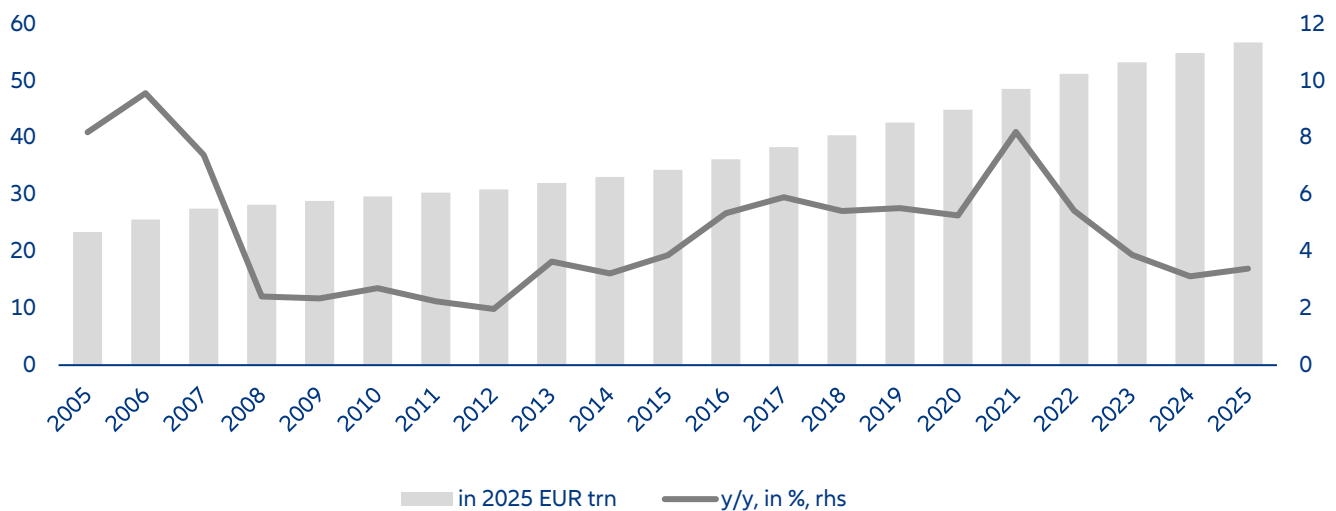


Liabilities: Borrowing remains subdued

The monetary-easing cycle that began in 2024 failed to produce a meaningful recovery in household borrowing. Global household-debt growth edged up from +3.1% in 2024 to +3.4% in 2025, but remained well below its long-term average of +4.5%. This muted response is

not particularly surprising: long-term interest rates did not follow policy rates down to the same extent, leaving mortgages and other long-term loans relatively expensive. Overall, global household liabilities reached a new record of EUR56.9trn at the end of 2025 (Figure 15).

Figure 15: Rate cuts fail to revive borrowing
Global private liabilities, in 2025 EUR trn and annual change, in %



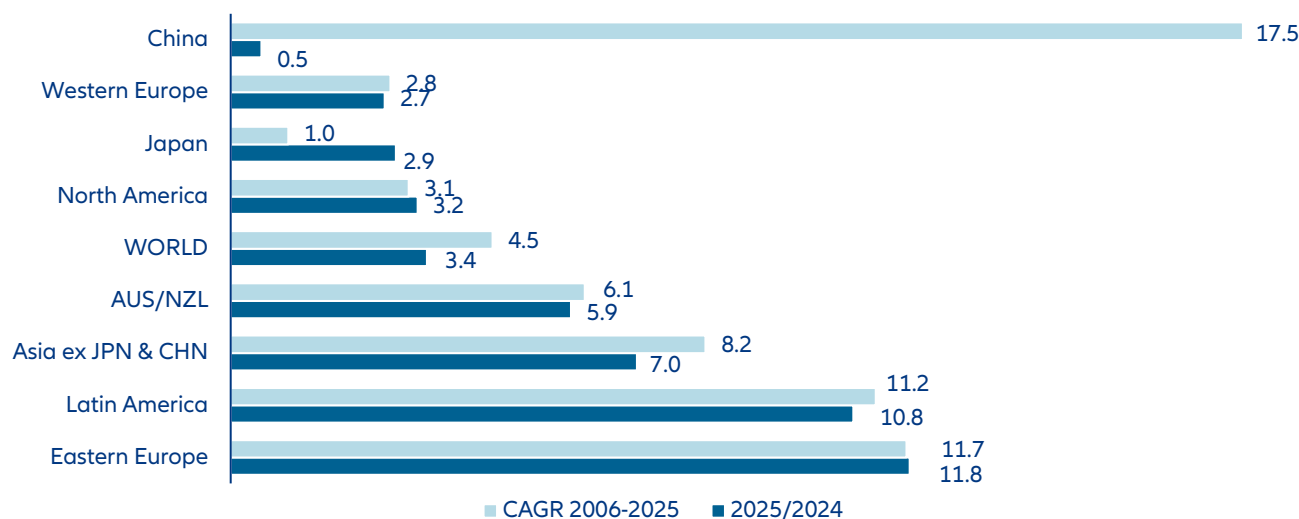
Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Debt growth in 2025 remained highly uneven. The strongest increases were concentrated in emerging markets. Liabilities rose by +11.8% in Eastern Europe and +10.8% in Latin America, while Asia excluding China and Japan recorded growth of +7.0%. While household debt growth in advanced economies remained moderate compared with emerging markets, it accelerated noticeably across most regions in 2025: In Western Europe, debt growth nearly doubled from +1.4% in 2024 to +2.7% in 2025, while North America recorded an acceleration from +2.0% to +3.2%. Australia and New Zealand followed at +5.9%. Japan and China stood out in opposite directions. Japanese household liabilities increased by +2.9%. Excluding the pandemic-distorted year 2020 (+3.8%), this was the strongest rise this century – another sign that Japan may finally be leaving its long deflationary period behind. China, meanwhile, moved sharply in the opposite direction. After expanding by an average of +17.5% annually over the past two decades, household liabilities grew by only +0.5% in 2025 (Figure 16). The debt engine that powered much of China's past growth has effectively stalled as the prolonged property

downturn weighs on housing demand and consumer confidence. What began as a cyclical slowdown increasingly points to a broader shift away from debt-driven expansion and towards balance-sheet caution.

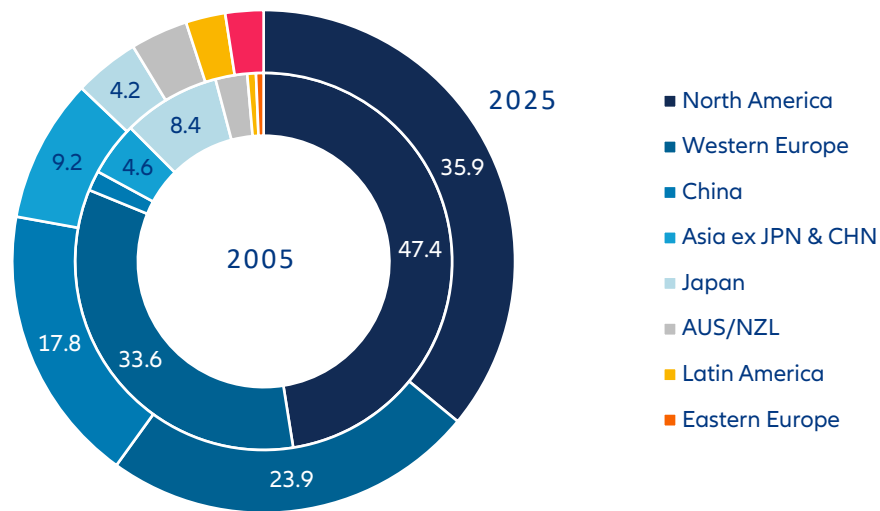
Significant shifts in the global debt map have been caused by the very different long-term growth rates of private debt (Figure 17). North America's share of worldwide household debt has fallen from 47.4% in 2005 to 35.9% in 2025. Meanwhile Western Europe's share declined from 33.6% to 23.9% and Japan's halved from 8.4% to 4.2%. Together, these three traditional debt centers accounted for only 64% of global liabilities in 2025, compared with almost 90% two decades earlier. The opposite trend is evident in Asia, particularly China, whose share of global debt has surged from 1.7% to 18.3%, despite its current weak performance. Chinese households alone now account for almost 60% of all private debt in Asia (including Japan). Although China's near-stagnant borrowing now marks a sharp break with its past expansion, the long-term debt story is therefore one of migration from West to East.

Figure 16: The price of higher interest rates
Increase of private debt by countries/regions, in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Figure 17: The debt map shifts east
Private liabilities, regional split 2005 and 2025, in 2025 EUR, in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

The monetary-easing cycle that began in 2024 failed to produce a meaningful recovery in household borrowing. Global household-debt growth edged up from +3.1% in 2024 to +3.4% in 2025, but remained well below its long-term average of +4.5%. This muted response is

not particularly surprising: long-term interest rates did not follow policy rates down to the same extent, leaving mortgages and other long-term loans relatively expensive. Overall, global household liabilities reached a new record of EUR56.9trn at the end of 2025 (Figure 15).

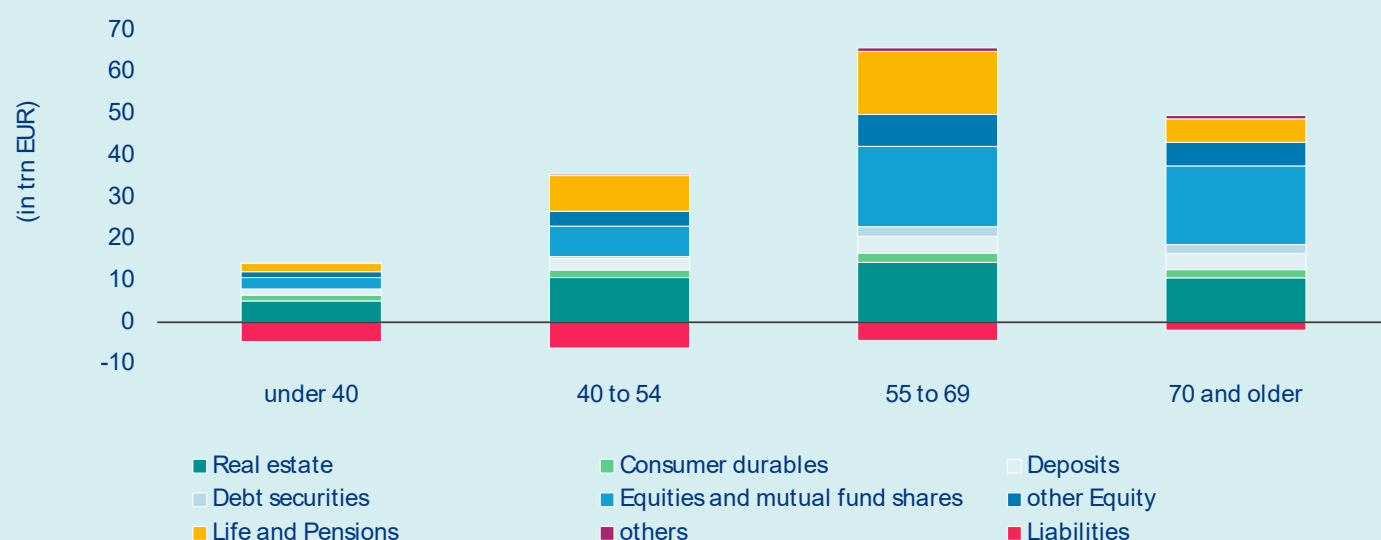
Box 4: Selfish retirees, overburdened youngsters?

The debate about the financial burden demographic change will impose on younger generations is often strikingly one-sided. Much attention is rightly paid to the rising cost of public pensions, health and long-term care systems as populations age. But there is another side to the intergenerational balance sheet that receives far less attention: over the coming decades, younger generations will also inherit an exceptionally large stock of private wealth that has been accumulated by today's older generations.

In the USA, households close to or already in retirement held around 86% of total gross financial assets and 80% of net financial assets⁵ in 2025. Total net financial assets of the 55–69 and 70+ age groups amounted to around EUR80trn, equivalent to 305% of US GDP. Including real estate and durable consumer goods, their total net assets reached around EUR109trn. The wealthiest age group was the 55–69 cohort, with gross financial assets of EUR49.2trn and real estate and durable consumer goods worth EUR16.6trn. This was followed by households aged 70 and older, whose combined financial and real assets amounted EUR49.6trn (Figure 18).

⁵ See: Board of Governors of the Federal Reserve System (2026): DFA: Distributional Financial Account. Distribution of Household Wealth in the U.S. since 1989, <https://www.federalreserve.gov/releases/z1/dataviz/dfa/distribute/table/>

Figure 18: Private households financial and real assets, USA, in trillion EUR



Source: Board of Governors of the Federal Reserve System

For Germany, the financial wealth of households aged 55 and older can only be estimated approximately on the basis of household surveys. According to the latest Panel on Household Finances (PHF) survey, published by the Bundesbank⁶, mean gross wealth reached around EUR114,400 for households whose reference person was aged 55–64, EUR98,200 for those aged 65–74 and EUR107,900 for those aged 75 and older. The comparatively lower figure for the 65–74 age group may partly reflect the weaker labor-market experience of cohorts born between 1950 and 1958, who were exposed to high unemployment and subdued real wage growth during important parts of their working lives. Combining these wealth estimates with the number of households in each age group reported in the Mikrozensus⁷, we estimate that the cohorts aged 55 and older hold around 60% of the private households' gross financial assets, which would correspond to around EUR 6.1trn in 2025 (see Figure 19).

Including real estate, average household net wealth in Germany stood at EUR324,000 in 2023, slightly above the euro-area average of EUR312,000⁸. Wealth peaked among households whose reference person was aged 55–64, at EUR440,100 on average. It remained high among those aged 65–74, at EUR411,400, before declining to EUR343,700 for households aged 75 and older. By contrast, households headed by someone aged 16–34 held average net wealth of just EUR106,900.

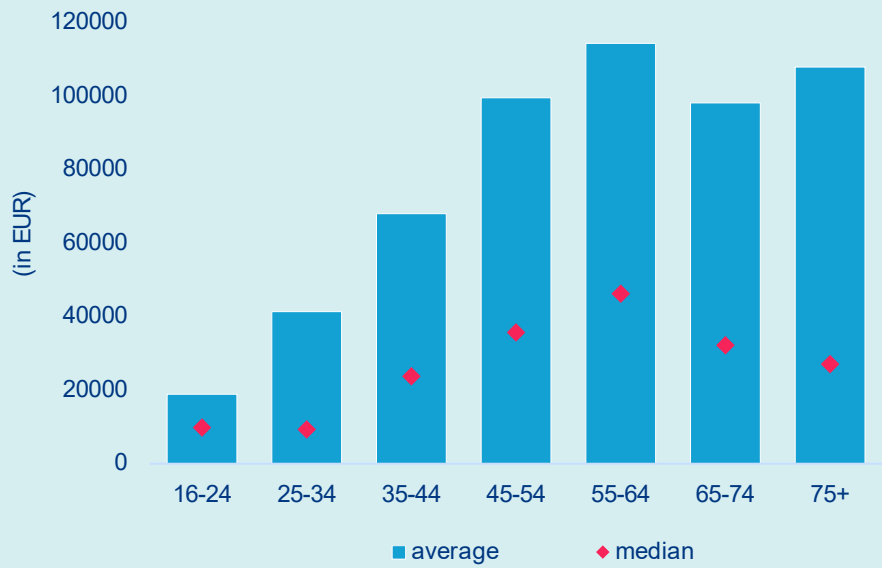
These differences largely reflect the typical lifecycle of wealth accumulation. Households build up assets during their working lives and, on average, begin to draw them down in retirement. The same pattern can be observed across most EU countries, although the pace of decumulation in old age differs markedly depending on the generosity and financing structure of public pension systems (Figure 20).

⁶ See Deutsche Bundesbank (2025): Vermögen und Finanzen privater Haushalte in Deutschland: Ergebnisse der Vermögensbefragung 2023, in: Monatsbericht der Deutschen Bundesbank, April 2025, no. 4, vol. 77, p. 31-80 and Tabellenanhang.

⁷ See Statistisches Bundesamt (2026): Mikrozensus – Haushalte und Familien. Endergebnisse 2024, tab. 12211-05.

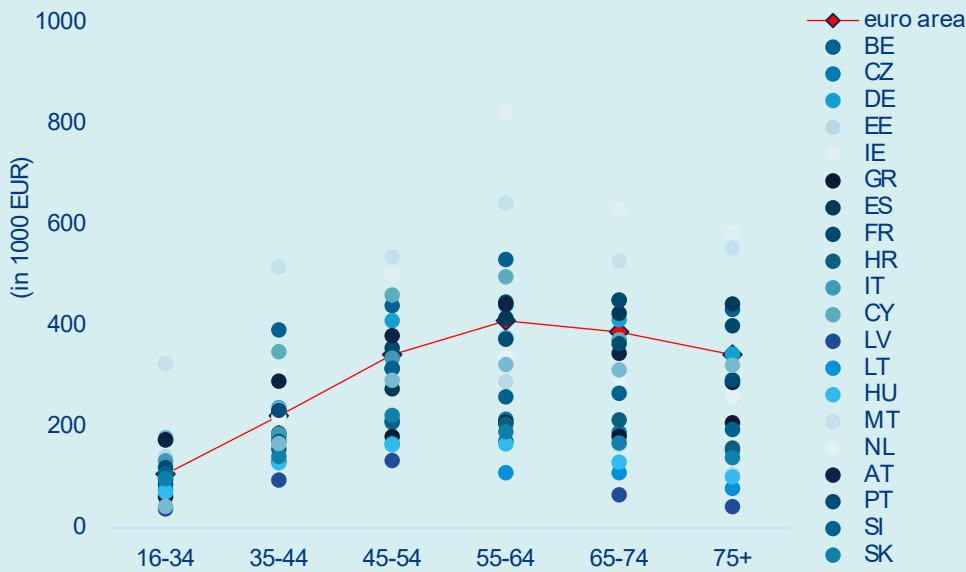
⁸ See ECB (2026): The Household Finance and Consumption Survey. Wave 2023, Statistical Tables, Table A4 Net wealth, means – breakdowns, https://www.ecb.europa.eu/stats/ecb_surveys/hfcs/html/index.en.html

Figure 19: Gross financial assets per household, Germany, by age of reference person (in EUR)



Source: Deutsche Bundesbank

Figure 20: Net wealth, mean, EU 27, by age of reference person (in 1000 EUR)



Source: Deutsche Bundesbank

These figures should nevertheless be interpreted with caution. Household wealth surveys tend to understate financial assets, while the very wealthiest households are often underrepresented. In Germany, for example, the PHF survey puts average gross financial assets at EUR87,400 per household, compared with EUR117,890 based on the aggregate household balance sheet. Survey-based estimates of future inheritances should therefore be regarded as indicative rather than precise.

Moreover, the wealth that younger generations may inherit over the coming decades represents an upper bound rather than a guaranteed transfer. Wealth is distributed very unevenly: in Germany, the richest 10% own 53.7% of total net wealth⁹. DIW estimates suggest that around EUR400bn is inherited or gifted each year, with roughly half of these transfers accruing to the wealthiest 10% of beneficiaries¹⁰. At the same time, rising health and long-term care costs, together with less generous pension systems, are likely to absorb a growing share of household wealth before it can be transferred. The coming inheritance wave will therefore be substantial, but highly uneven, and could reinforce existing wealth inequalities within younger generations.

The same applies in the US. Consider a single retiree who wants to withdraw an average of EUR2,000 per month to cover living, health and care costs. Assuming average inflation of 3.0%, an annual return of 5.0% and a retirement period of 17.4 years – the average remaining life expectancy of a 70-year-old woman according to the latest UN population statistics – the required savings at age 70 would amount to around EUR368,700. This is equivalent to roughly 46% of the calculated average net wealth of EUR802,800 for the 70+ age group. A substantial share of accumulated wealth therefore needs to remain available to finance retirement itself rather than being passed on.

Combined with the highly unequal distribution of US household wealth, this helps explain why estimates of the “Great Wealth Transfer” vary so widely, from around USD36trn to more than USD100trn over the coming decades.¹¹ Headline asset stocks therefore provide only a rough indication of the wealth that will ultimately be transferred to younger generations.

Nevertheless, the broader conclusion remains: the intergenerational debate should consider both sides of the ledger. Younger generations will face rising public-sector burdens as societies age, but they will also receive one of the largest private wealth transfers in history. Neither offsets the other. But discussing future pension, health and long-term care liabilities without considering the parallel transfer of private assets gives an incomplete picture of the economic relationship between generations.

⁹ SECB (2026), ebd., table J4 Net wealth inequality indicators.

¹⁰ The DIW estimated in 2021 that EUR400bn per year could be inherited to the younger generation, of which 50% of are transferred to the wealthiest 10 percent. See Baresel, Kira et al. (2021). Hälfte aller Erbschaften und Schenkungen geht an die reichsten zehn Prozent aller Begünstigten, https://www.diw.de/de/diw_01.c.809832.de/publikationen/wochenberichte/2021_05_1/haelfte_aller_erbschaften_und_schenkungen_geht_an_die_reichsten_zehn_prozent_aller_beguenstigten.html

¹¹ See for example Frank, Robert (2026): How big is the great wealth transfer? It could be over \$100 trillion or \$36 trillion, CNBC, published July, 17, 2026, <https://www.cnbc.com/2026/07/17/great-wealth-transfer-estimates.html>

Households deleverage – governments do not

The global household-debt ratio fell to 60.9% of GDP in 2025, almost 10pps below its 2005 level and nearly 13pps below its 2009 peak (Figure 21). This does not mean that households stopped borrowing: liabilities continued to increase, but more slowly than nominal economic output. Nevertheless, the contrast with the public sector is striking. While government debt has continued to rise, households have spent much of the past decade strengthening their balance sheets.

But deleveraging was far from universal. Since 2005, the debt ratio has fallen by 20.4pps in North America and by 6.3pps in Western Europe, while Japan's ratio has remained broadly stable. Australia and New Zealand stand apart from this trend: their combined ratio rose by 12.2pps to 113.8%, although it remains below its 2020 peak. The decline in the global ratio therefore conceals a significant shift in the geography of household debt, from the traditional advanced economies towards emerging markets, albeit with important exceptions.

China recorded by far the largest increase. Its household-debt ratio rose by 42.1pps to 59.4% of GDP between 2005 and 2025, reflecting the extraordinary credit and property boom of the intervening years. However, the ratio has barely changed since 2020, underlining how abruptly that boom has ended. China's household-debt ratio is now only around 10pps below that of the US, but the two countries have followed opposite paths: American households have deleveraged substantially, while China has moved from rapid debt accumulation to balance-sheet caution.

Elsewhere in the emerging world, the increase was less dramatic. Since 2005, the household-debt ratio has risen by 10.7pps in Latin America to 27.8% and by 6.1pps in Eastern Europe to 21.8%. Both remain moderate by international standards. Asia excluding Japan and China also appears relatively stable, with its aggregate ratio rising by only 2.2pps to 55.1%. But this regional average is deceptive. It partly reflects the growing weight of poorer, less-indebted economies and substantial deleveraging in Singapore, where the ratio fell by 26.4pps to 51.6%.

At the country level, the fault lines cut across the advanced and emerging-market divide. Switzerland and Australia recorded debt ratios of 125.1% and 119.4% of GDP, respectively, while Canada stood at 103.3% and the Netherlands at 97.2%. Several Asian economies also carry substantial household-debt burdens: Taiwan and South Korea recorded ratios of around 92%, while Thailand and Malaysia stood at approximately 87% and 85%, respectively. These levels are comparable with those recorded in several Western economies before the global financial crisis. In 2006, household debt stood at 98.4% of GDP in the US, 84.2% in Spain and 95.0% in Ireland. High leverage does not in itself signal an imminent crisis, but it makes households and consumption more vulnerable to income, interest-rate and housing-market shocks. The decisive dividing line is therefore not between advanced and emerging markets, but between housing and financial systems that rely heavily on household leverage and those that do not.

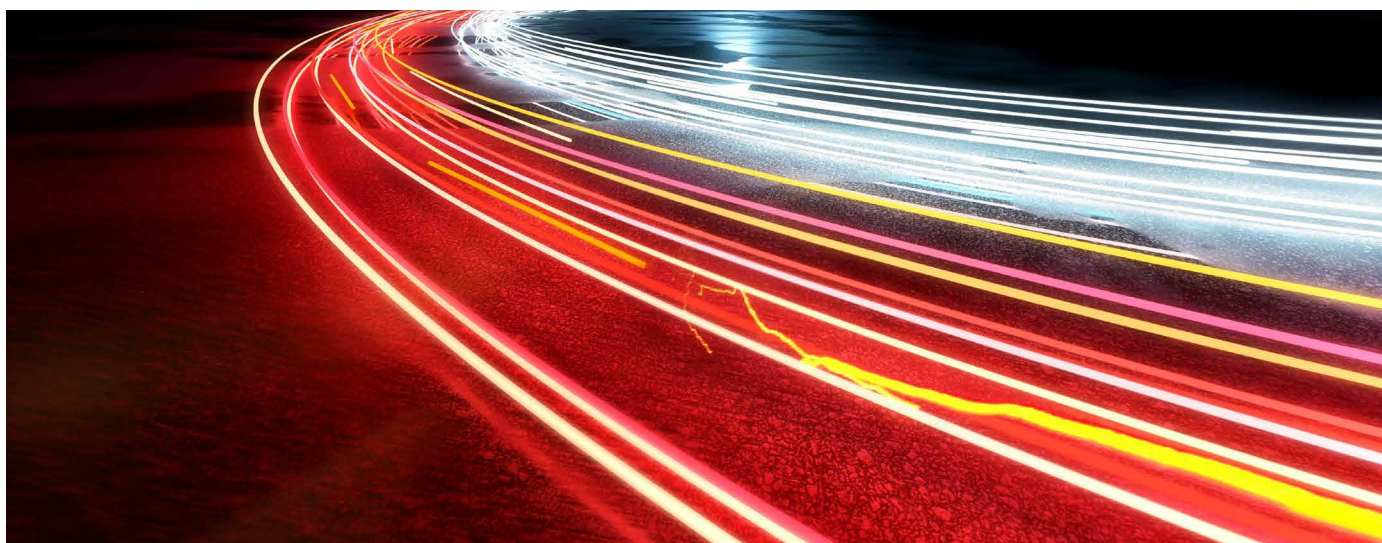
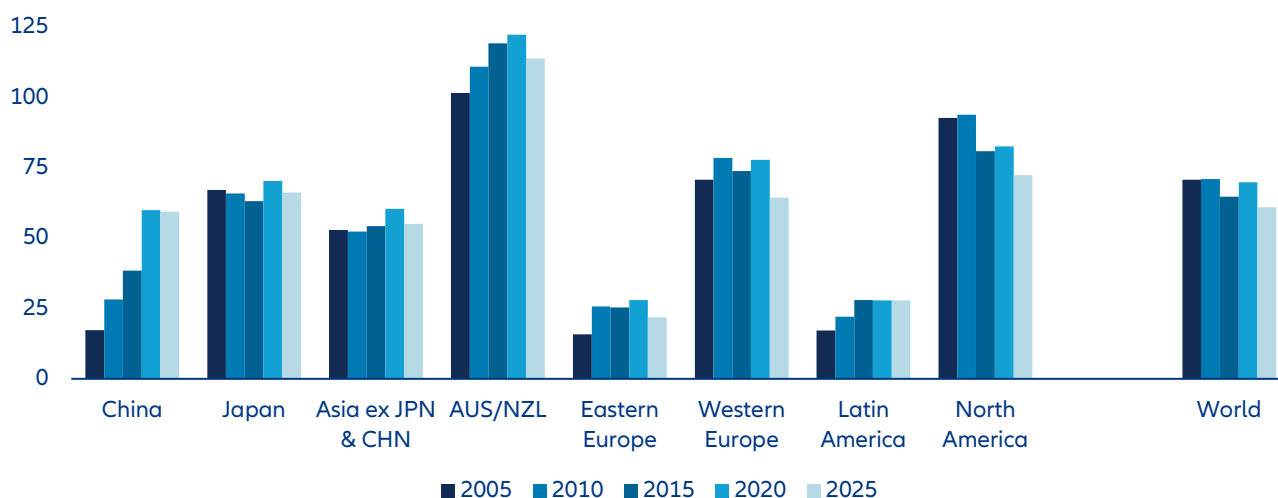


Figure 21: Global deleveraging
Private liabilities as % of nominal GDP, by countries/regions



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Strong asset growth and subdued borrowing pushed global net financial assets (financial assets minus liabilities) up by +10.1% in 2025, broadly matching the previous year's +10.2%. They reached a record EUR211.5trn, almost twice their 2015 level and more than tripling their value in 2005.

China recorded the strongest increase in net financial wealth at +15.3%, reflecting the combination of strong asset growth and the near-standstill in household debt. Latin America followed at +11.3%, while Eastern Europe and Asia excluding China and Japan both recorded growth of +11.0%. North America and Australia and New Zealand also achieved double-digit increases of +10.4% each. Japan recorded a strong +7.4%, while Western Europe again brought up the rear at +5.2%. Growth exceeded its 20-year average in almost every region (Figure 22). Latin America was the only exception, although its +11.3% increase was broadly in line with its long-term rate.

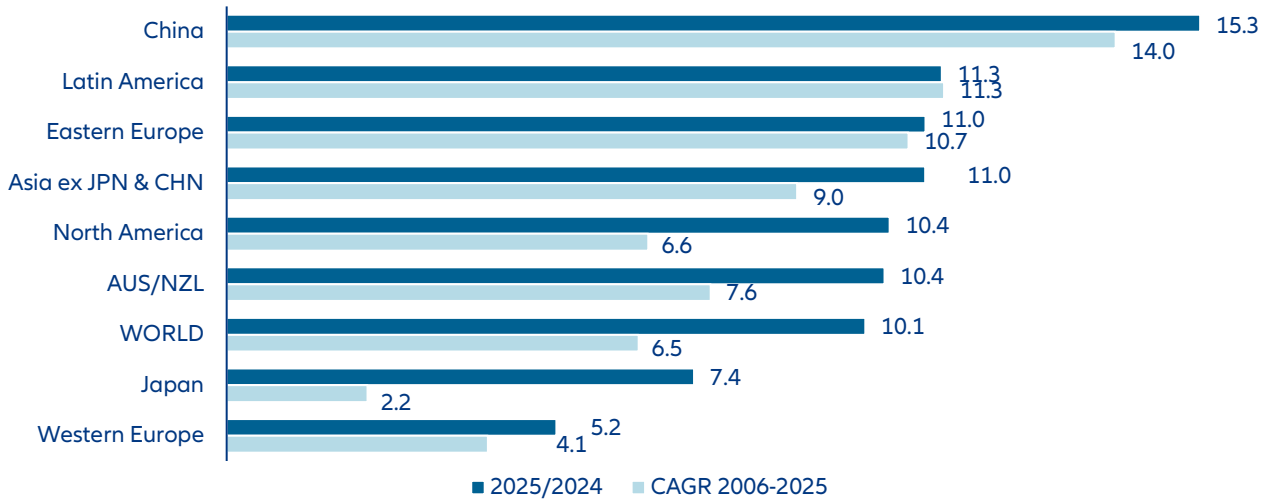
The figures reveal a less visible source of wealth creation. Weak credit growth may constrain housing activity and household investment, but it also strengthens private balance sheets when financial assets continue to expand. In 2025, this deleveraging dividend lifted global net financial wealth faster than gross financial wealth. It also reinforced North America's dominant position: the region held 51.3% of global net

financial assets, compared with 48.1% of gross financial assets. Low leverage relative to its enormous asset base gives North America an additional wealth advantage.

Adjusted for population growth and inflation, China remains the undisputed long-term leader (Figure 23). Real net financial assets per capita have increased more than sevenfold over the past two decades. No other region comes close. Even the other emerging-market regions recorded little more than a doubling. Among advanced markets, Western Europe continued to lag behind Japan, highlighting how weak asset growth, rather than debt accumulation, has constrained European wealth creation.

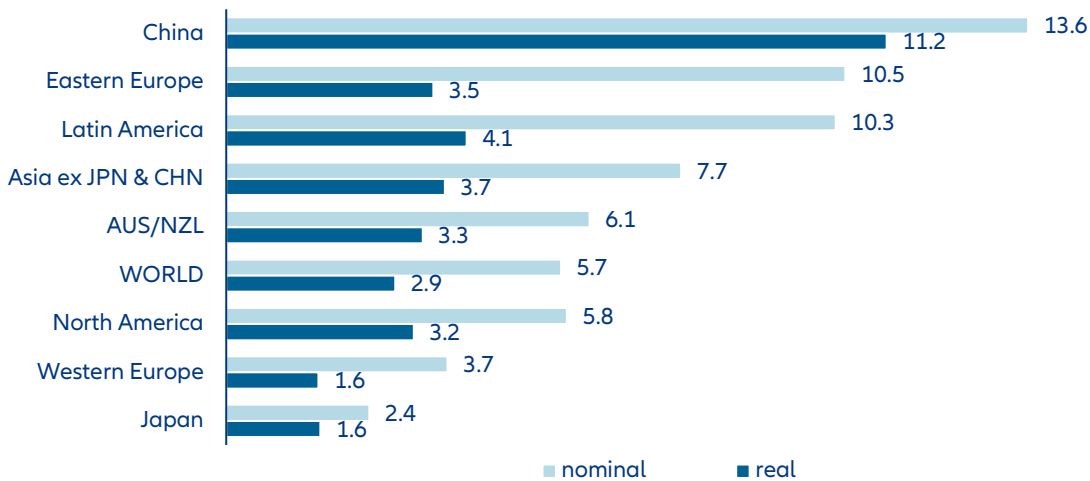
Comparing gross and net financial assets adds another dimension. In China, net financial assets grew around 0.7pps more slowly per year than gross financial assets over the past two decades, reflecting the rapid accumulation of household debt. A smaller gap is also visible in Eastern Europe. However, this is not a universal emerging-market pattern: in Latin America and the rest of Asia, gross and net wealth developed at broadly similar rates. In the advanced economies, the relationship is reversed. As household debt generally grew more slowly than assets, net financial wealth outpaced gross wealth. The difference was particularly pronounced in North America, where net financial assets grew around 0.7pps faster per year.

Figure 22: Net wealth posts another double-digit gain
Net financial assets, CAGR 2006-2025 and growth 2025/2024, in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Figure 23: China remains on top – by a wide margin
Net financial assets per capita, nominal and real CAGR 2006-2025, in %

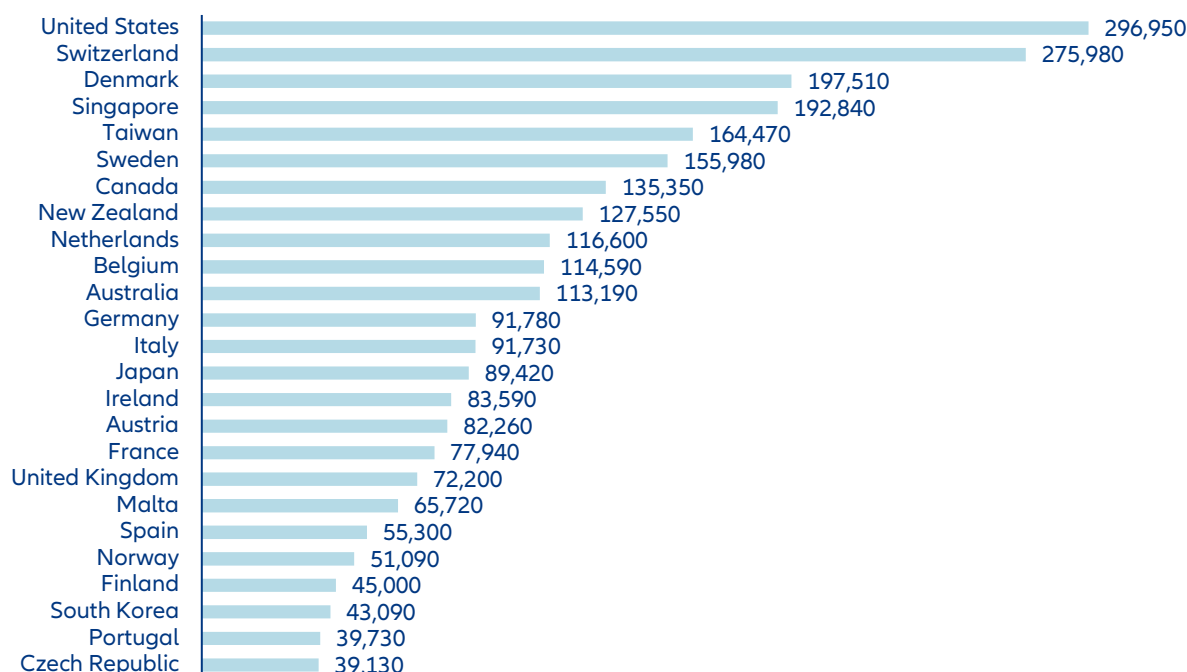


Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

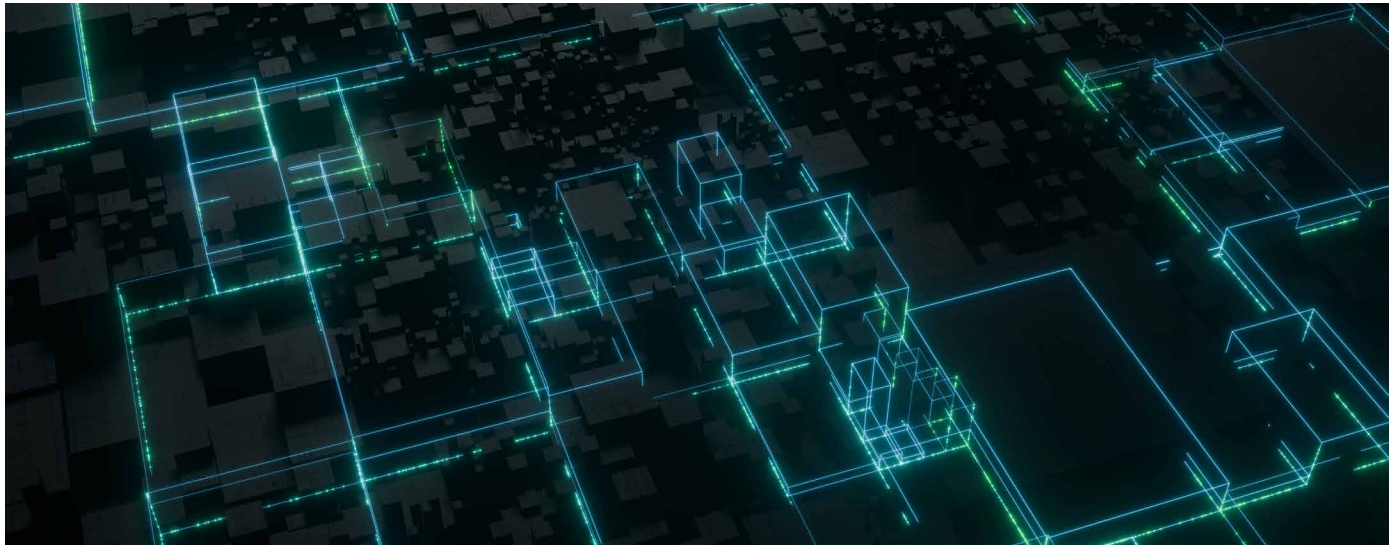
Examining the 25 richest countries by net financial assets per capita at the end of 2025 reveals how significantly debt can alter the ranking (Figure 24). Most notably, the US ranks ahead of Switzerland to claim first place. Although Switzerland remains ahead in gross financial assets, its household liabilities of around EUR130,080 per capita are more than twice the US figure of EUR52,730.

Taiwan and Sweden exchange fifth and sixth places. Australia falls from eighth place in the gross ranking to eleventh in the net ranking, while Ireland slips from 14th to 15th, the UK from 15th to 18th and Norway from 12th to 22nd. By contrast, Germany rises from 13th to 12th, Italy from 16th to 13th, Japan from 18th to 14th and Spain from 22nd to 21st. The Netherlands remains ninth in both rankings. The comparison makes clear that gross wealth tells only half the story: what ultimately matters is how much remains after debt.

Figure 24: Debt changes the picture
Net financial assets per capita, in 2025 EUR



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research



Real estate: A hesitant recovery

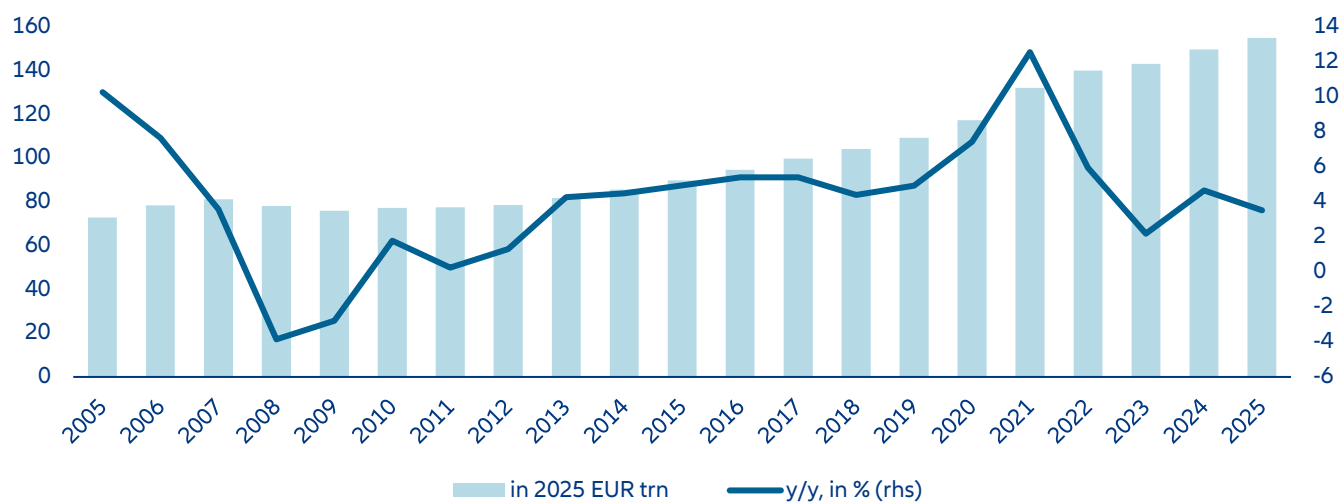
After a temporary acceleration to +4.7% in 2024, growth in global real estate assets¹² slowed again to +3.5% in 2025. Apart from 2023, growth was weaker only in the aftermath of the global financial crisis in 2012. Persistently high construction costs and elevated mortgage rates continued to weigh on affordability, transactions and new development. Overall, the value of real estate assets in the countries covered by the report reached EUR155.0trn (Figure 25)

Regional developments varied widely (Figure 26). Eastern Europe recorded the strongest increase at +10.6%, followed by Australia and New Zealand at +8.5%. Both comfortably exceeded their long-term growth rates despite the pressure from higher financing costs. Japan also stood out: real-estate assets increased by +5.0%, compared with a long-term average of just +0.7%. Together with the recent acceleration in household borrowing, this provides further evidence that Japan may finally be leaving its long deflationary period behind.

Western Europe recorded growth of +4.1%, slightly above its long-term average of +3.5%. North America meanwhile was the clear exception: growth slowed sharply from +4.9% in 2024 to just +1.8% in 2025, less than half its long-term rate of +3.9%. The global slowdown was therefore driven primarily by the largest housing market.

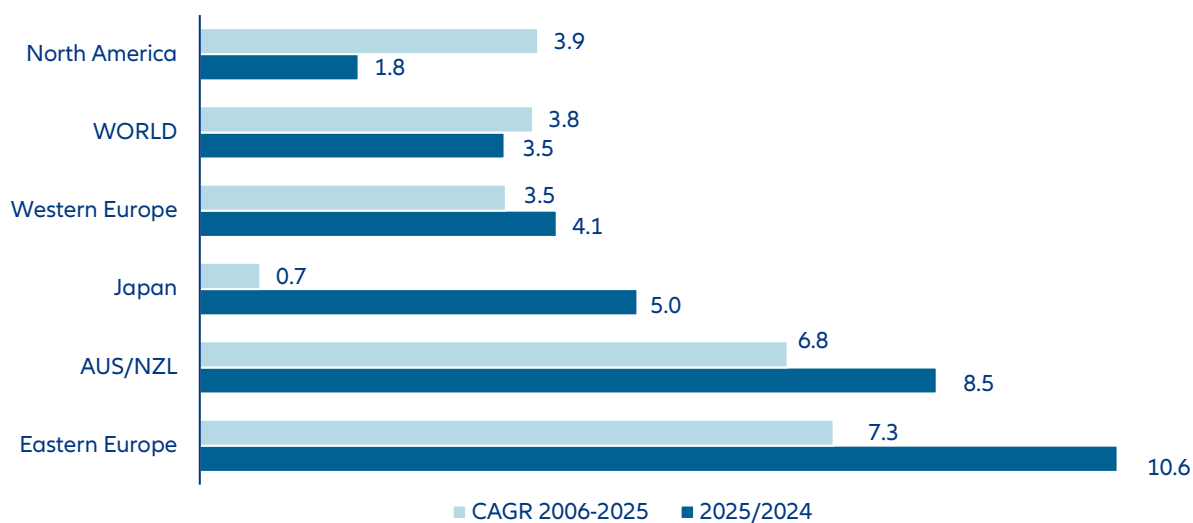
¹² Owing to limited data availability, the analysis only covers about half of the countries included in the financial assets survey. The regions of Asia and Latin America are therefore not represented. For Western Europe, data for Greece, Portugal, Malta and Ireland are missing. The aggregate for Eastern Europe does not include Croatia, Kazakhstan, Latvia, Romania, Russia, Serbia and Türkiye.

Figure 25: Running out of steam
Real estate assets, in 2025 EUR trn and annual change in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, OECD, Allianz Research

Figure 26: Housing markets move at different speeds
Real estate assets, CAGR* 2006-2025 and growth 2025/2024, in %

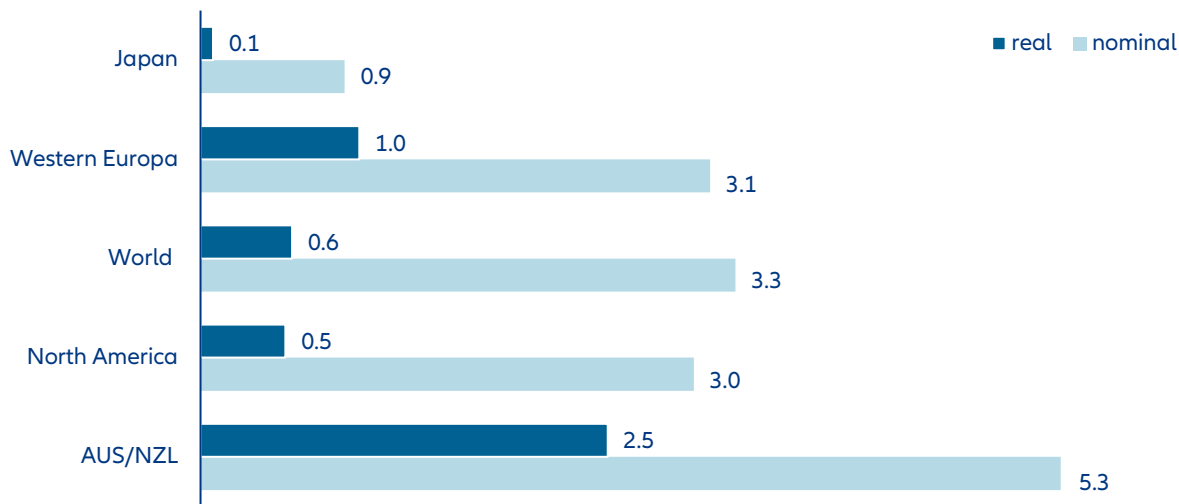


Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

As with financial assets, a clearer picture emerges when real-estate wealth is measured per capita and adjusted for inflation (Figure 27). The long shadow of Japan’s property crash remains visible: over the past two decades, real-estate wealth per capita was essentially flat in real terms, despite the recent recovery. Real gains were positive in Australia and New Zealand, North America and Western Europe, but generally modest. Compared with financial assets, the gap was particularly pronounced in North America, where real financial assets per capita grew around 2pps faster per year, and in Japan, where the gap was around 1.3pps. In Australia and New Zealand and Western Europe, by contrast, the difference was only around 0.2pps annually. Property may provide stability, housing services and diversification, but capital appreciation alone has generally been a weaker engine of wealth creation than participation in financial markets.

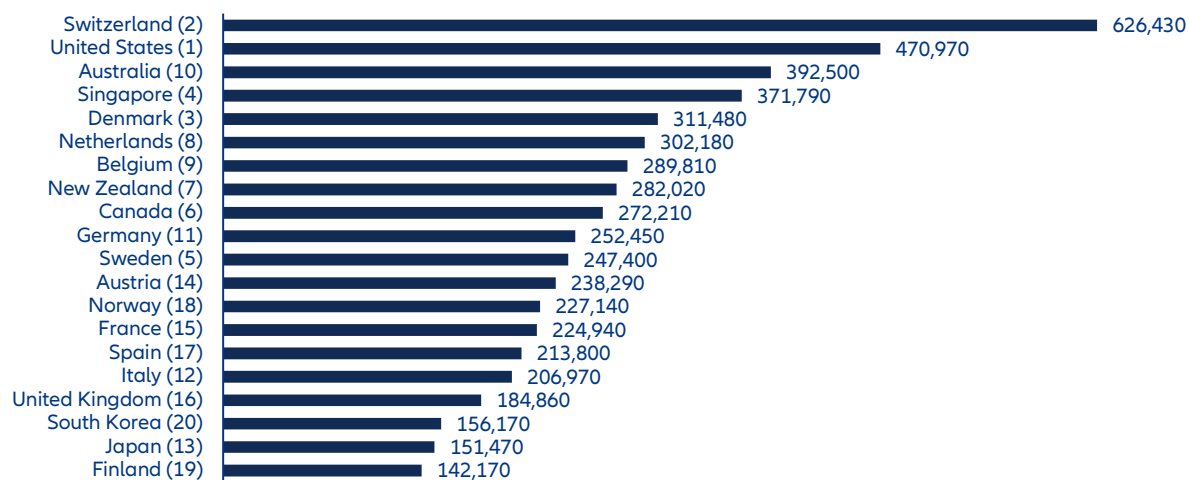
The country ranking of real estate assets nevertheless shows how strongly housing can reshape the overall picture. Switzerland had the highest real-estate assets per capita at EUR350,450, followed by Australia at EUR279,310 with the US taking the 7th spot at EUR174,030. But what does the ranking look like when net financial assets and real estate assets are presented together? Figure 28 provides the answer. Switzerland overtakes the US and claims first place, with combined wealth of around EUR626,430 per capita. Australia meanwhile is the biggest beneficiary, climbing seven places from tenth in the adjusted net-financial-assets ranking to third once property is included. Sweden and Japan each fall six places, while Italy drops four. Germany moves up one position to tenth. These shifts expose two very different models of household wealth: some countries build wealth predominantly through financial markets, while others hold a much larger share in bricks and mortar.

Figure 27: Real estate’s modest real returns
Real estate assets per capita, nominal and real CAGR 2006-2025, in %



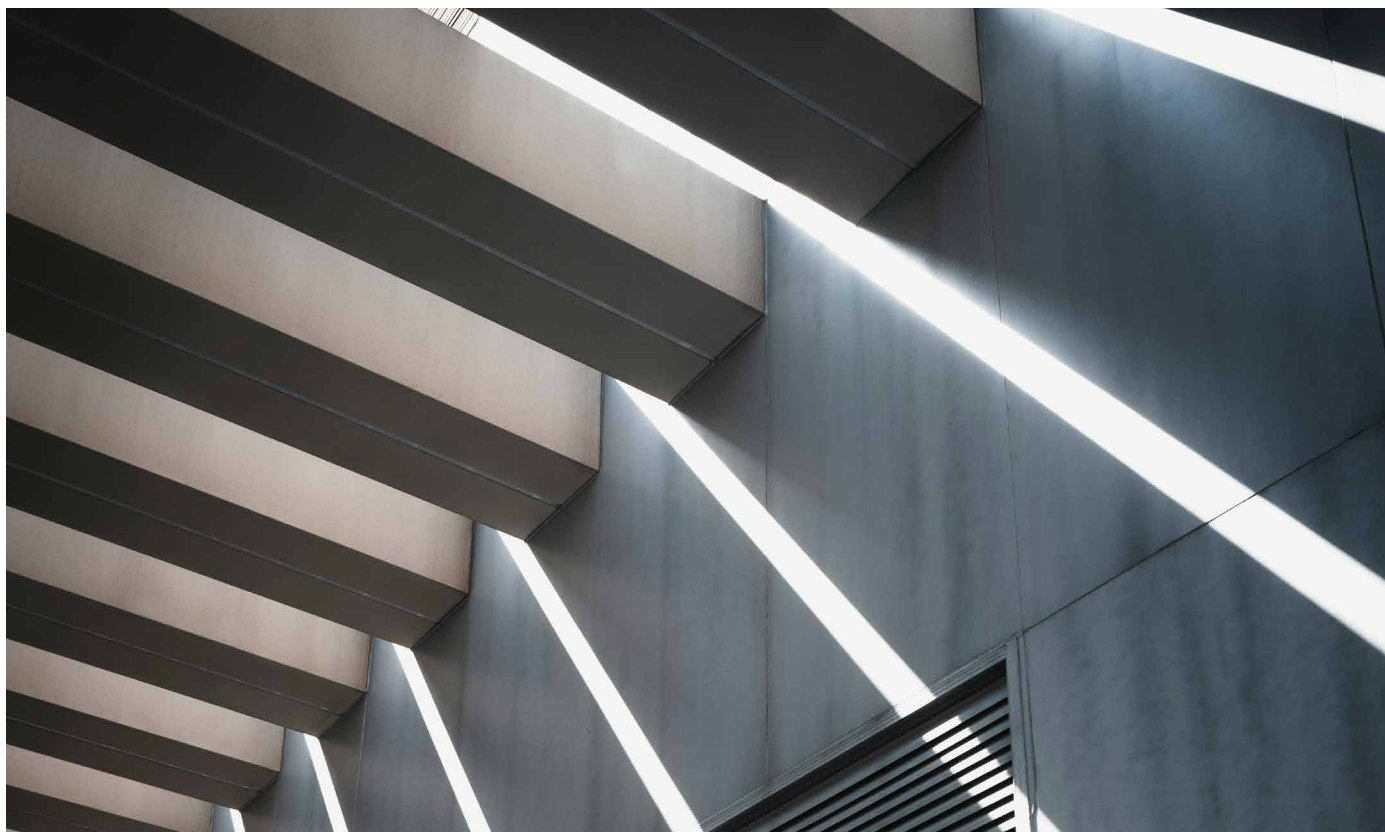
Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, OECD, Allianz Research

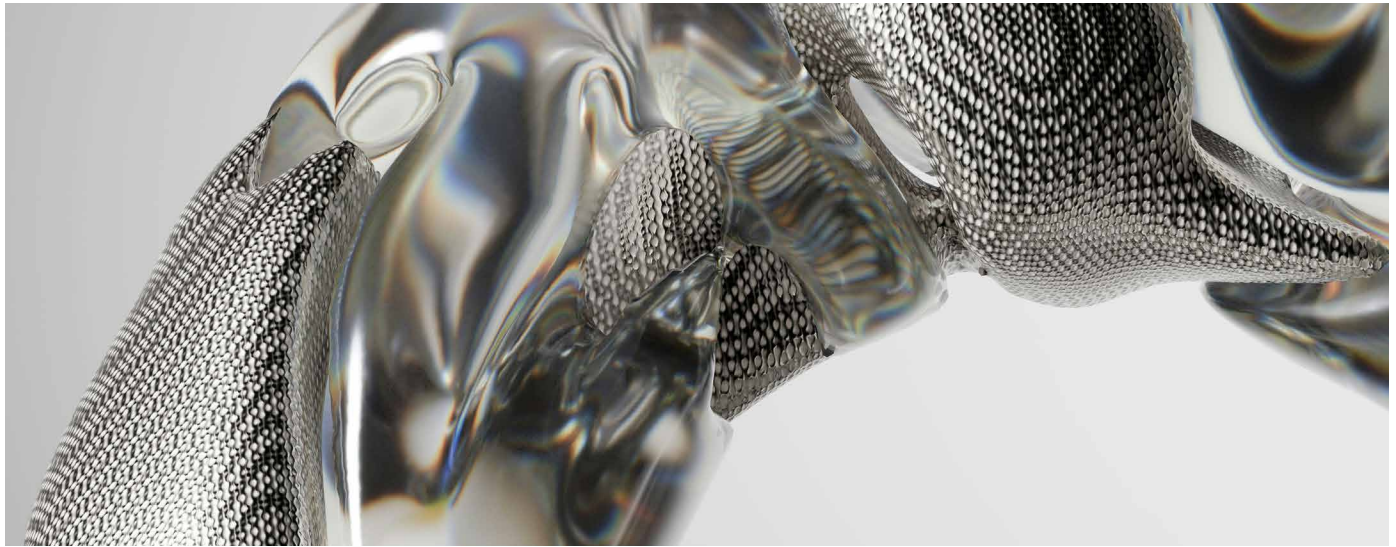
Figure 28: Real estate puts Switzerland back on top
Net financial and real estate assets per capita, in 2025 EUR



In brackets: Rank by net financial assets per capita (adjusted for the missing Top20 markets Taiwan, Malta, and Ireland).

Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, OECD, LSEG, Allianz Research





Distribution: New wealth, old divides

International: Catch-up loses momentum

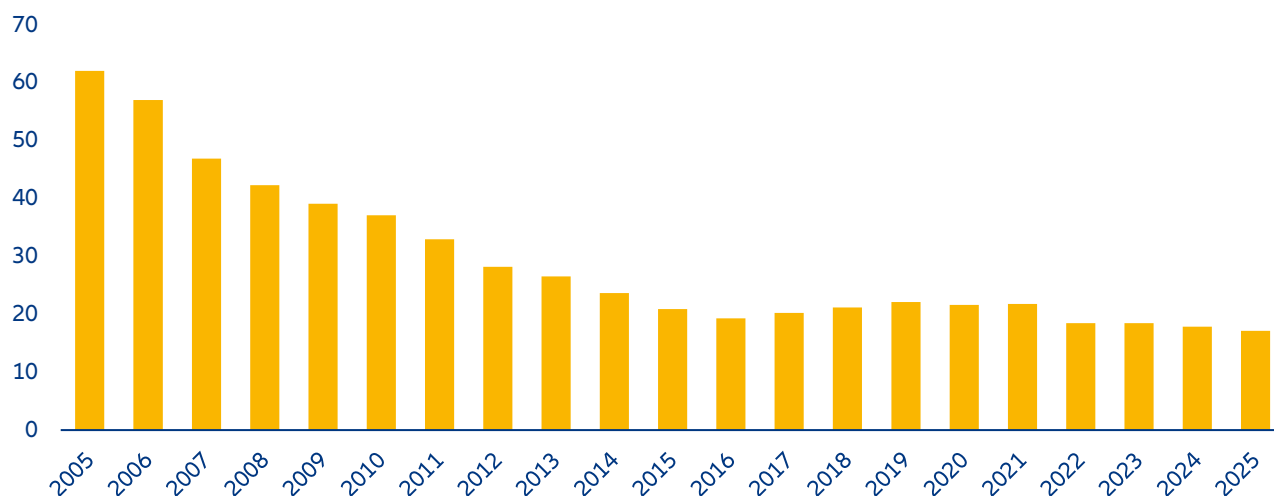
For many years, global wealth development was characterized by convergence, as emerging markets gradually closed the gap with richer economies. That process has not ended, but it has slowed dramatically. The ratio of average net financial assets per capita in advanced economies to those in emerging markets fell from 62 in 2005 to 21 in 2015. This means that, on average, the net financial assets of richer countries were “only” 21 times higher than those of poorer countries in 2015. Over the following decade, however, it declined by less than four points to 17 in 2025 (Figure 29).

Convergence reversed from 2017. After narrowing rapidly for more than a decade, the wealth gap widened again between 2017 and 2021. Convergence resumed in 2022, but at a much slower pace: the ratio has fallen from 18.5 to 17.2 in the past three years. The global wealth gap is still closing, but has slowed to a crawl.

Declaring the end of globalization would be premature, but its character has clearly changed. Geopolitical tensions, weaker cross-border investment and the reorganization of supply chains are eroding some of the advantages that emerging markets derived from ever-deeper global integration. At the same time, the green transition and AI could create new opportunities by increasing demand for critical resources, energy infrastructure, data services and digitally delivered work. Whether emerging economies can seize these opportunities will depend on their access to technology, capital and skills. For now, these transformations are unfolding in a more fragmented world, creating a less favorable environment for poorer countries to catch up.

Against this backdrop, the global wealth middle class comprised around 866mn people in 2025.¹³ Although its size changed little compared with the previous year, its long-term expansion remains impressive: membership has increased by 81% since 2005. More importantly, its center of gravity has shifted. Emerging markets accounted for 61.9% of its members in 2025, up from 43.6% two decades earlier, with China alone representing slightly more than half of the emerging-market middle class.

Figure 29: Convergence slows to a crawl
Net financial assets per capita, ratio between advanced and emerging markets



Sources: Eurostat, ECB, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, World Inequality Database, Allianz Research

The transformation is even more striking among the wealthy. The global high-wealth class grew by 37% to around 584mn people between 2005 and 2025. Emerging markets accounted for 32.1% of this group, compared with less than 2% in 2005. This expansion came entirely from emerging markets, while the number of high-wealth individuals in advanced economies declined slightly. China played the dominant role, accounting for more than three-quarters of the emerging-market total.

Emerging economies also generated most of the growth in the global middle class. Taken together, they accounted for more than 90% of the increase in the middle and high-wealth classes over the past two decades. The global wealth landscape has therefore become far more diverse, even though the gap in average wealth between advanced and emerging markets remains wide.

The global low-wealth class grew by around 7% to 4.3bn people, while the population covered by the analysis increased by almost 17%. Its share of the total population consequently fell from 81.7% in 2005 to

74.8% in 2025. Emerging markets still accounted for 92.0% of this group, slightly below their 92.9% share two decades earlier. However, the number of low-wealth individuals in advanced economies increased by around 21% to 346mn. The global shift towards higher wealth classes is therefore unmistakable, but it has by no means benefited everyone.

The emergence of a larger and more geographically diverse high-wealth class does not change the fact that financial wealth remains extremely concentrated at the global level. This becomes clear when the population of the countries covered by the report is divided into deciles according to net financial assets.

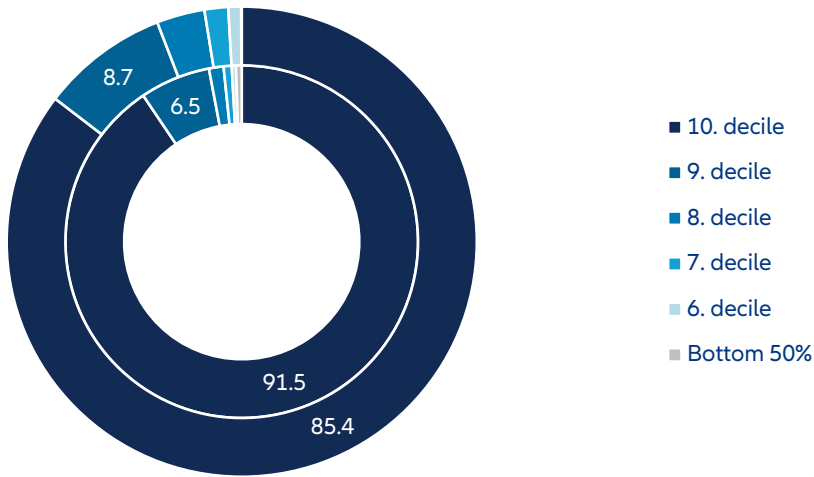
In 2025, the richest 10%, with average net financial assets of approximately EUR312,590, owned 85.4% of global net financial wealth. Their share has declined from 91.5% in 2005, but remains far above the average national top-decile share of 60.9% (Figure 30). At the pace of improvement recorded over the past two decades, it would take almost another eight decades for global concentration to approach the level currently observed within the countries.

¹³ The classification in wealth classes is based on worldwide average net financial assets per capita, which stood at EUR36,690 in 2025. The global wealth middle class („middle wealth“, MW) includes all individuals with net financial assets of between 30% and 180% of the global average. This means that for 2025, the rounded asset thresholds for the global wealth middle class are EUR11,000 and EUR66,000. The „low wealth“ (LW) category, on the other hand, includes those individuals with net financial assets that are below a EUR11,000 threshold, while the term „high wealth“ (HW) applies to those with net financial assets of more than EUR66,000 (for details on how the asset thresholds are set, see Appendix A).

The gap between the richest decile and everyone else is enormous. The second-richest decile owned just 8.7% of global net financial assets, with an average of around EUR34,060 per person. The richest tenth therefore held nine times as much wealth per person as the group immediately below it.

The bottom half of the population covered by the report, comprising almost 3bn people, held virtually nothing. Its combined share of global net financial assets was approximately zero. The bottom decile had negative net financial assets of around EUR2,680 per person, as liabilities exceeded financial assets. Even in the two deciles around the middle of the global distribution, average net financial assets amounted to only approximately EUR3,170 and EUR1,810 per person. Global wealth has become more geographically diverse, but it has hardly become broadly distributed.

Figure 30: Global wealth concentration
Net financial assets, share by decile, 2005 and 2025, in 2025 EUR, in %

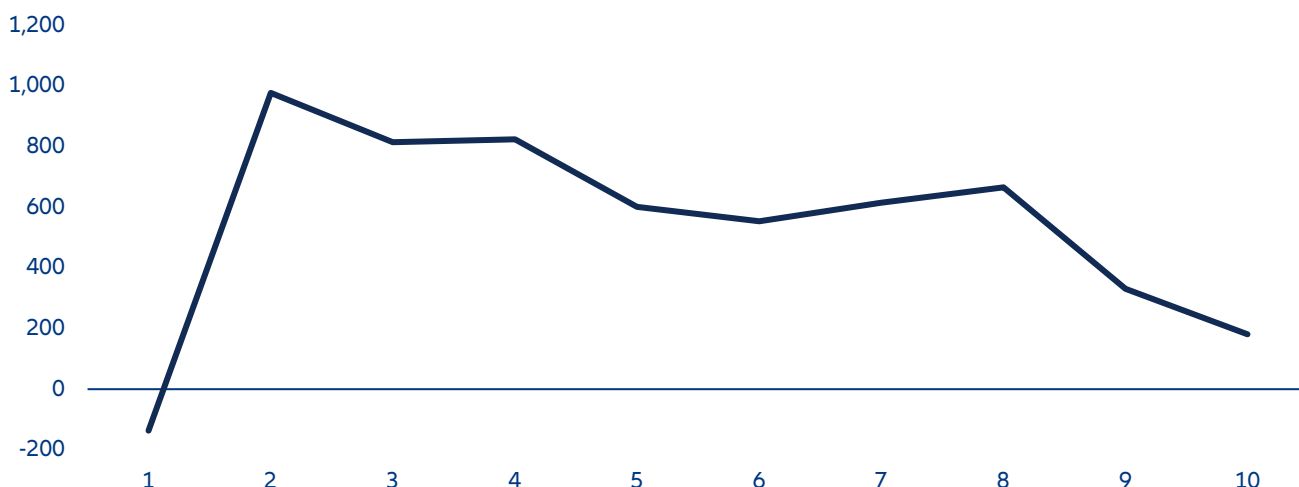


Sources: Eurostat, ECB, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, World Inequality Database, Allianz Research

High global wealth concentration is also reflected in the wide gap between median and average net financial assets. In 2025, global median net financial wealth stood at approximately EUR2,490 per capita, while the average was almost 15 times as high at EUR36,690. The gap, however, has narrowed substantially over time: in 2005, the average was almost 33 times the median. The typical person has therefore gained ground relative to the global average, but the average remains a poor representation of ordinary wealth.

At first glance, the much faster growth of average net wealth in most lower deciles appears encouraging (Figure 31). However, these high growth rates largely reflect extremely low starting points. Even large percentage increases translate into modest absolute gains, while the richest groups continue to accumulate much larger sums. A more equal global distribution of wealth therefore remains a distant prospect.

Figure 31: Catching up?
Growth of average net financial assets per capita per decile, 2025/2005, in %



Sources: Eurostat, ECB, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, World Inequality Database, Allianz Research

National: More wealth, same divide

Net financial wealth is distributed less unevenly within countries than across the world. In 2025, the richest 10% owned an average of 60.9% of national net financial assets across the 57 countries examined, using an unweighted average, compared with 85.4% at the global level. The gap between average and median wealth was also considerably smaller: the national average-to-median ratio was 3.12, again measured as an unweighted average.

When it comes to inequality, however, the national picture is particularly disappointing. Despite being a major political issue for years, there has been virtually no progress towards more even wealth distribution. In 2005, the richest 10% held an average of 60.4% of national wealth, while the average-to-median ratio stood at 3.11. Two decades later, both measures are almost unchanged. Wealth has grown substantially, but its distribution within individual countries has remained remarkably resistant to change.

This overall stability conceals sharper shifts at the country level. In 32 of the 57 countries examined, the share of the richest 10% changed by less than 2pps between 2005 and 2025 (Figure 32). Where larger shifts occurred, however, the balance was clearly tilted towards greater inequality, with deterioration almost

twice as likely as improvement. Wealth concentration increased in 16 countries and declined in only nine. Among those recording an improvement, Cambodia saw the largest decline in the top-decile share, followed by Portugal and Slovakia. Latvia, Hungary, Belgium, Ireland, Malaysia and the Netherlands also registered meaningful decreases. Different starting points were at work. Portugal, Latvia and Ireland moved down from relatively high levels of concentration, while Slovakia, Hungary and the Netherlands improved from already more balanced positions. In the Netherlands, the richest 10% saw their share fall by 2.4pps to 56.1%.

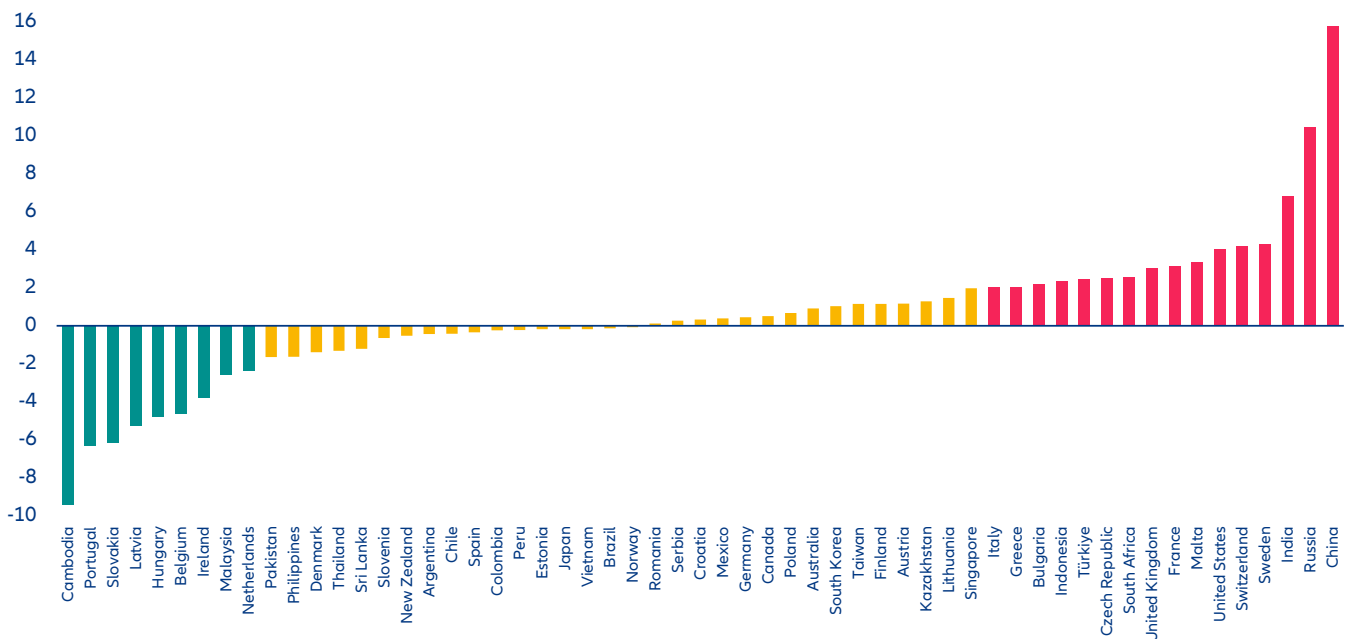
At the other end of the spectrum, China recorded by far the largest increase in concentration. The share of the richest 10% rose by 15.7pps between 2005 and 2025 to 68.0%, well above the average national share of 60.9%. This accompanied the enormous economic and social transformation of the past two decades, which created not only broad-based wealth but also a substantial private upper class. China illustrates the difficulty of combining rapid wealth creation with an equally rapid diffusion of its benefits. After all, it was the unbridled growth of the „wild“ 2000s, when the private sector was subject to few restrictions, that primarily caused inequality to rise. In sharp contrast, in the last five years, the concentration of wealth has remained unchanged.

China was not alone. The top-decile share increased by 10.5pps in Russia and by 6.8pps in India, where rising wealth concentration is a “side effect” of rapid growth. Concentration also rose in several advanced economies. In the US, the richest 10% increased their share by 4.0pps to 68.2%, one of the highest levels among advanced markets and with no improvement in sight. Sweden and

Switzerland also recorded increases of more than 4pps. France saw a smaller rise of 3.1pps, although its top-decile share of 54.8% remained below Germany’s 59.5%. Rising concentration is therefore not confined to emerging economies, nor does rapid development inevitably produce it.

Figure 32: Old divides, new extremes

Share of top 10% in total net financial assets, change between 2005 and 2025, in pp



Sources: Eurostat, ECB, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, World Inequality Database, Allianz Research

The ratio of average to median wealth provides an important cross-check: it shows whether rising average wealth is also reflected in the position of the typical household. Across the 57 countries examined, the average ratio remained virtually unchanged, rising from 3.11 in 2005 to 3.12 in 2025. This confirms the broader picture of persistent national wealth inequality.

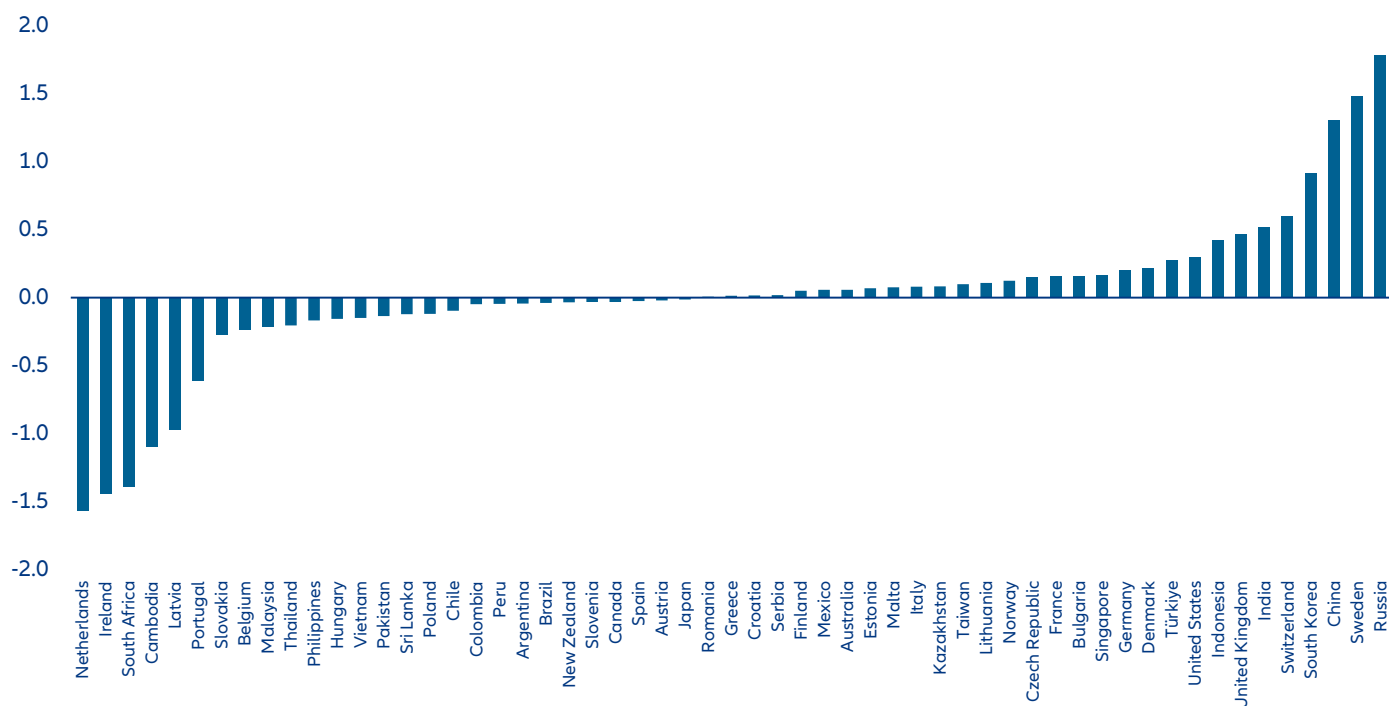
The strongest improvements occurred in the Netherlands, where the ratio fell from 4.04 to 2.48, and Ireland, where it declined from 4.87 to 3.42. In both countries, the narrowing gap indicates that the middle of the distribution gained ground relative to average wealth.

The largest deteriorations were recorded in Russia, Sweden and China. Russia’s ratio rose from 2.99 to 4.77, while Sweden’s increased from 3.77 to 5.25. In China, it climbed from 2.03 to 3.33. Median Chinese net financial wealth increased substantially, but average wealth grew faster. China thus illustrates a central tension of rapid wealth creation: prosperity can spread while inequality rises at the same time.

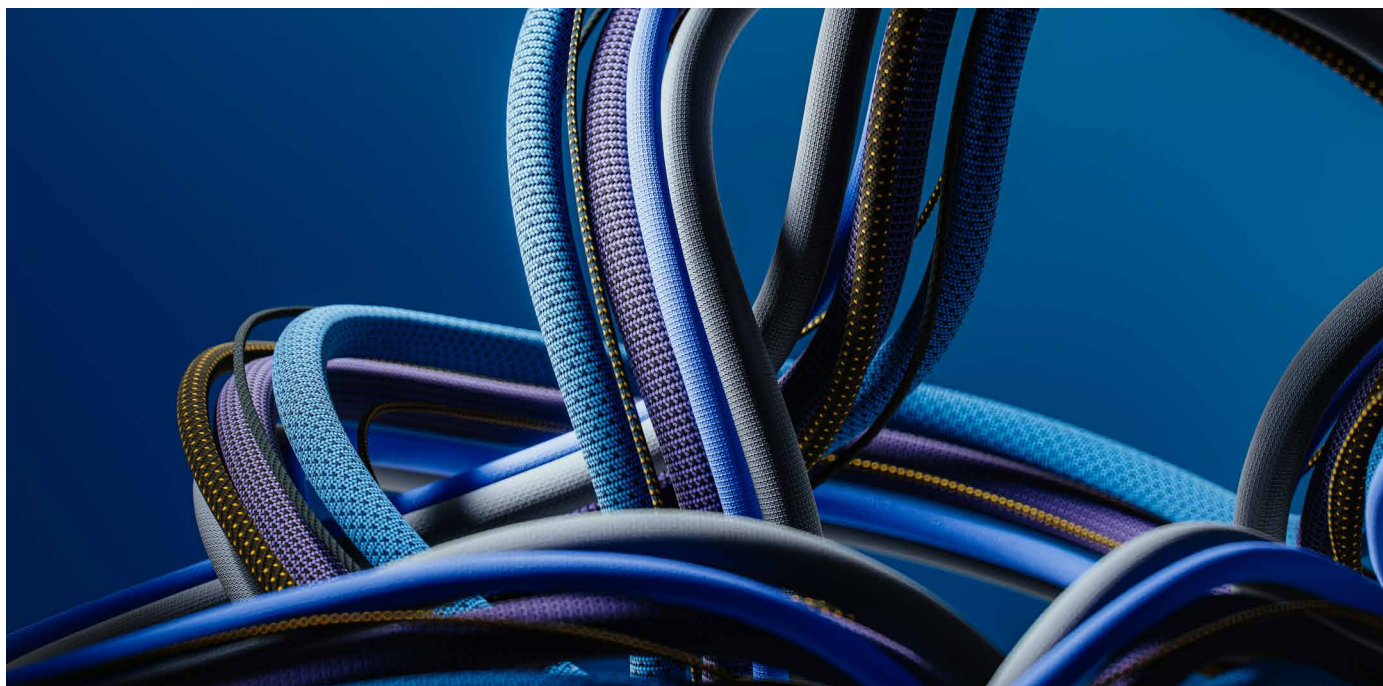
More broadly, the limited movement in both distribution measures across most countries suggests that wealth inequality is deeply entrenched. Two decades of economic growth, crises and political attention have barely altered the underlying distribution.

Figure 33: The middle struggles to gain ground

Ratio between mean and median net financial assets, change between 2005 and 2025, in points



Sources: Eurostat, ECB, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, World Inequality Database, Allianz Research



Appendices

Appendix A: Methodological comments

General assumptions

The Allianz Global Wealth Report analyses gross financial assets held by households, i.e. cash and bank deposits, receivables from insurance companies and pension institutions, securities (shares, bonds and investment funds) and other receivables, as well as household liabilities. Net financial assets are defined as gross financial assets minus liabilities. Real estate is excluded from this measure and analyzed separately where data are available. The report is based on data from 57 countries. This group of countries covers 91% of global GDP and 72% of the global population. In 43 countries, we had access to statistics from the macroeconomic financial accounts. In the other countries, we were able to estimate the volume of total financial assets based on information from household surveys, bank statistics, statistics on assets held in equities and bonds and technical reserves.

To eliminate exchange-rate distortions over time, financial assets and liabilities denominated in national currencies are converted into euros using exchange rates at the end of 2025. Unless explicitly described as real, these values are not adjusted for inflation. The closing date for data to be included in the report is 31 July.

Statistical distinctions

The process associated with the introduction of the European System of Accounts 2010 (ESA 2010) in September 2014 involved updating and harmonizing the guidelines governing the preparation of many macroeconomic statistics. The new requirements also apply to the macroeconomic financial accounts. One change relates to private households: under the ESVG 2010 regulations, the two sectors „Private households“ and „Non-profit institutions serving households“ are now reported separately. This also has implications for the Allianz Global Wealth Report, which takes data from the macroeconomic financial accounts as a basis where available. For many countries, however – particularly those outside of the EU – there is no separate data available for these sectors in general. So in order to ensure global comparability, this publication analyzes both sectors together under the heading „private households“.

Determination of wealth bands for global wealth classes

Lower wealth threshold: There is a close link between financial assets and the incomes of private households. According to Davies et al. (2009), private individuals with below-average income tend to have no assets at all, or only very few. It is only when individuals move into middle and higher income groups that they start to accumulate substantial assets. We have applied this link to our analysis. Countries in the upper-middle income bracket (based on the World Bank's country classification system) therefore form the group in which the average household assets first reach a meaningful level. This value marks the lower threshold for the global middle wealth class.

In terms of income, households with incomes that correspond to between 75% and 150% of average net income are generally considered to constitute the middle class. According to Davies et al., households with income corresponding to 75% of the average income have assets that correspond to 30% of the average assets. As far as the upper threshold is concerned, 150% of average income corresponds to 180% of average assets. Consequently, we have set the threshold values for the wealth middle class at 30% and 180% of average net financial assets per capita. In 2025, average net financial assets per capita in the countries covered stood at approximately EUR36,690. Applying these percentages gives the rounded thresholds used in the workbook: EUR11,000 and EUR66,000. Individuals with net financial assets between these thresholds belong to the global middle-wealth class. Those below the lower threshold belong to the low-wealth class, while those above the upper threshold belong to the high-wealth class.

¹⁴ Davies, James B. et al. (2009), The level and distribution of global household wealth, NBER working paper 15508.

Appendix B1: Gross financial assets and liabilities by country, 2025

	Gross financial assets				Liabilities			
	in EUR bn	yoy in %	EUR per capita	as % of GDP	in EUR bn	yoy in %	EUR per capita	as % of GDP
Argentina	89	44.6	1,950	18.0	33	90.1	730	6.7
Australia	4,988	9.6	184,930	307.8	1,935	6.0	71,740	119.4
Austria	969	5.0	106,280	188.6	219	0.9	24,020	42.6
Belgium	1,721	4.2	146,400	268.2	374	3.7	31,810	58.3
Brazil	2,555	8.6	12,010	129.1	740	11.6	3,480	37.4
Bulgaria	137	10.0	20,330	117.7	37	18.1	5,550	32.1
Cambodia	43	12.3	2,400	99.8	12	2.2	670	27.9
Canada	7,513	9.0	187,230	372.9	2,082	4.4	51,880	103.3
Chile	541	9.9	27,230	169.4	148	6.8	7,470	46.5
China	39,610	11.1	27,970	231.9	10,147	0.5	7,170	59.4
Colombia	393	2.7	7,360	94.1	125	7.1	2,340	30.0
Croatia	119	9.2	30,860	126.5	31	12.4	8,150	33.4
Czech Republic	534	7.8	50,360	151.7	119	6.6	11,230	33.8
Denmark	1,552	2.9	258,530	379.1	366	3.0	61,020	89.5
Estonia	63	7.2	46,770	151.1	18	8.3	13,740	44.4
Finland	470	8.6	83,540	167.4	217	-0.6	38,540	77.2
France	7,309	3.1	109,660	245.0	2,114	0.5	31,720	70.9
Germany	9,912	4.9	117,890	221.7	2,195	1.9	26,110	49.1
Greece	402	14.7	40,440	161.8	114	2.9	11,470	45.9
Hungary	320	9.2	33,220	142.1	50	12.8	5,170	22.1
India	4,719	9.0	3,220	143.8	1,434	14.3	980	43.7
Indonesia	580	6.7	2,030	47.7	214	3.1	750	17.6
Ireland	601	7.9	113,220	94.5	157	13.7	29,630	24.7
Vietnam	489	30.5	4,810	117.5	203	4.4	2,000	48.9
Italy	6,488	7.4	109,690	287.3	1,062	2.2	17,960	47.0
Japan	13,393	6.5	108,800	371.5	2,386	2.9	19,380	66.2
Kazakhstan	101	14.7	4,860	38.3	56	19.8	2,680	21.1
Latvia	51	9.1	27,330	117.7	10	8.8	5,370	23.1
Lithuania	90	7.3	31,850	107.2	27	10.0	9,410	31.7
Malaysia	769	6.2	21,370	181.2	360	5.6	10,010	84.8
Malta	50	6.3	91,700	203.5	14	10.6	25,980	57.7
Mexico	1,789	16.5	13,560	107.1	350	8.3	2,650	21.0
Netherlands	3,286	-2.3	179,090	278.5	1,147	4.5	62,490	97.2
New Zealand	827	3.4	157,480	379.6	157	4.7	29,930	72.1
Norway	711	8.4	126,480	152.7	424	4.8	75,400	91.0
Pakistan	135	5.5	530	38.9	9	12.1	30	2.5
Peru	126	6.6	3,630	41.0	46	6.9	1,340	15.1
Philippines	371	14.2	3,170	91.4	133	22.8	1,140	32.7
Poland	943	14.0	24,730	102.3	209	4.1	5,490	22.7
Portugal	628	6.5	60,290	204.7	214	7.7	20,565	69.8
Romania	269	5.4	14,200	71.6	66	5.3	3,490	17.6
Russia	2,023	6.0	14,050	88.0	523	8.9	3,630	22.8
Serbia	31	8.0	4,680	35.3	17	19.5	2,470	18.7
Singapore	1,402	9.1	238,810	268.2	270	7.4	45,970	51.6
Slovakia	128	9.2	23,330	93.4	65	8.1	11,940	47.8
Slovenia	95	8.6	44,700	134.3	20	7.1	9,380	28.2
South Africa	997	19.9	15,400	253.9	162	5.2	2,500	41.3
South Korea	3,669	13.7	71,010	233.1	1,443	3.1	27,920	91.6
Spain	3,445	9.6	71,940	204.4	797	4.6	16,630	47.3
Sri Lanka	56	11.0	2,390	64.3	9	16.7	370	9.9
Sweden	2,188	5.6	205,300	360.5	526	2.3	49,320	86.6
Switzerland	3,641	4.0	406,060	390.5	1,166	3.1	130,080	125.1
Taiwan	4,515	8.7	195,370	580.6	714	6.3	30,900	91.8
Thailand	808	-0.1	11,280	157.6	444	0.0	6,200	86.7
Türkiye	541	45.1	6,170	43.3	140	50.0	1,600	11.2
United Kingdom	7,728	2.8	111,120	222.1	2,706	3.1	38,910	77.8
United States	121,434	9.2	349,680	463.5	18,312	3.1	52,730	69.9

Appendix B2: Net financial assets by country, 2025

	Net financial assets			Top 10% share	GDP
	in EUR bn	yoy in %	EUR per capita	in %	EUR per capita
Argentina	56	26.5	1,220	60.0	10,840
Australia	3,053	12.1	113,190	57.7	60,080
Austria	750	6.3	82,260	64.1	56,350
Belgium	1,347	4.4	114,590	55.5	54,590
Brazil	1,815	7.4	8,530	71.9	9,300
Bulgaria	99	7.3	14,790	59.6	17,280
Cambodia	31	16.8	1,730	59.8	2,410
Canada	5,431	10.9	135,350	59.8	50,210
Chile	392	11.2	19,750	72.0	16,070
China	29,463	15.3	20,810	68.0	12,060
Colombia	268	0.8	5,020	71.9	7,820
Croatia	87	8.0	22,710	57.0	24,400
Czech Republic	415	8.2	39,130	58.7	33,190
Denmark	1,186	2.9	197,510	50.3	68,200
Estonia	44	6.7	33,030	68.0	30,960
Finland	253	18.0	45,000	58.9	49,890
France	5,195	4.2	77,940	54.8	44,760
Germany	7,717	5.8	91,780	59.5	53,170
Greece	288	20.1	28,970	46.9	24,990
Hungary	270	8.6	28,050	49.9	23,370
India	3,285	6.8	2,240	65.0	2,240
Indonesia	366	8.9	1,280	60.4	4,260
Ireland	444	6.0	83,590	66.3	119,800
Vietnam	286	58.7	2,810	59.3	4,090
Italy	5,426	8.5	91,730	60.6	38,180
Japan	11,008	7.4	89,420	59.1	29,290
Kazakhstan	45	9.0	2,180	59.9	12,700
Latvia	41	9.1	21,960	60.6	23,210
Lithuania	64	6.2	22,440	58.9	29,700
Malaysia	409	6.7	11,370	59.8	11,800
Malta	36	4.7	65,720	42.6	45,060
Mexico	1,439	18.7	10,900	72.1	12,650
Netherlands	2,139	-5.6	116,600	56.1	64,300
New Zealand	670	3.1	127,550	57.1	41,490
Norway	287	14.2	51,090	52.7	82,830
Pakistan	126	5.1	490	58.5	1,360
Peru	79	6.5	2,290	71.3	8,870
Philippines	238	9.9	2,040	60.7	3,470
Poland	734	17.2	19,240	61.7	24,180
Portugal	414	5.9	39,729	57.4	29,460
Romania	202	5.4	10,710	58.6	19,830
Russia	1,499	5.0	10,410	76.0	15,960
Serbia	15	-2.5	2,200	58.2	13,240
Singapore	1,132	9.5	192,840	61.4	89,040
Slovakia	62	10.4	11,390	44.5	24,980
Slovenia	75	9.1	35,320	49.0	33,290
South Africa	835	23.3	12,890	85.7	6,060
South Korea	2,226	21.8	43,090	66.4	30,470
Spain	2,648	11.1	55,300	53.5	35,200
Sri Lanka	47	10.0	2,020	61.3	3,721
Sweden	1,662	6.7	155,980	68.2	56,940
Switzerland	2,475	4.5	275,980	62.8	103,970
Taiwan	3,801	9.1	164,470	61.8	33,650
Thailand	364	-0.4	5,080	66.0	7,160
Türkiye	400	43.5	4,570	65.6	14,240
United Kingdom	5,022	2.6	72,200	57.1	50,020
United States	103,122	10.4	296,950	68.2	75,440

Appendix C: Global ranking 2025

... by net financial assets per capita, in EUR			... by gross financial assets per capita, in EUR		
1	United States	296,950	1	Switzerland	406,060
2	Switzerland	275,980	2	United States	349,680
3	Denmark	197,510	3	Denmark	258,530
4	Singapore	192,840	4	Singapore	238,810
5	Taiwan	164,470	5	Sweden	205,300
6	Sweden	155,980	6	Taiwan	195,370
7	Canada	135,350	7	Canada	187,230
8	New Zealand	127,550	8	Australia	184,930
9	Netherlands	116,600	9	Netherlands	179,090
10	Belgium	114,590	10	New Zealand	157,480
11	Australia	113,190	11	Belgium	146,400
12	Germany	91,780	12	Norway	126,480
13	Italy	91,730	13	Germany	117,890
14	Japan	89,420	14	Ireland	113,220
15	Ireland	83,590	15	United Kingdom	111,120
16	Austria	82,260	16	Italy	109,690
17	France	77,940	17	France	109,660
18	United Kingdom	72,200	18	Japan	108,800
19	Malta	65,720	19	Austria	106,280
20	Spain	55,300	20	Malta	91,700
21	Norway	51,090	21	Finland	83,540
22	Finland	45,000	22	Spain	71,940
23	South Korea	43,090	23	South Korea	71,010
24	Portugal	39,729	24	Portugal	60,290
25	Czech Republic	39,130	25	Czech Republic	50,360
26	Slovenia	35,320	26	Estonia	46,770
27	Estonia	33,030	27	Slovenia	44,700
28	Greece	28,970	28	Greece	40,440
29	Hungary	28,050	29	Hungary	33,220
30	Croatia	22,710	30	Lithuania	31,850
31	Lithuania	22,440	31	Croatia	30,860
32	Latvia	21,960	32	China	27,970
33	China	20,810	33	Latvia	27,330
34	Chile	19,750	34	Chile	27,230
35	Poland	19,240	35	Poland	24,730
36	Bulgaria	14,790	36	Slovakia	23,330
37	South Africa	12,890	37	Malaysia	21,370
38	Slovakia	11,390	38	Bulgaria	20,330
39	Malaysia	11,370	39	South Africa	15,400
40	Mexico	10,900	40	Romania	14,200
41	Romania	10,710	41	Russia	14,050
42	Russia	10,410	42	Mexico	13,560
43	Brazil	8,530	43	Brazil	12,010
44	Thailand	5,080	44	Thailand	11,280
45	Colombia	5,020	45	Colombia	7,360
46	Türkiye	4,570	46	Türkiye	6,170
47	Vietnam	2,810	47	Kazakhstan	4,860
48	Peru	2,290	48	Vietnam	4,810
49	India	2,240	49	Serbia	4,680
50	Serbia	2,200	50	Peru	3,630
51	Kazakhstan	2,180	51	India	3,220
52	Philippines	2,040	52	Philippines	3,170
53	Sri Lanka	2,020	53	Cambodia	2,400
54	Cambodia	1,730	54	Sri Lanka	2,390
55	Indonesia	1,280	55	Indonesia	2,030
56	Argentina	1,220	56	Argentina	1,950
57	Pakistan	490	57	Pakistan	530

A photograph showing a group of diverse hands of various skin tones stacked on top of each other, resting on a thick, textured tree branch. The background is a lush green forest with sunlight filtering through the leaves. The text "Our team" is overlaid in the center, with "Our" in white and "team" in orange.

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Economic outlook 2026-28: It got worse before it may get better

28 September 2026
Allianz Research

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• **Summer brought little of the calm markets had priced in before it began.** Three tensions we had been tracking escalated through the season, surfacing as fresh flashpoints by early September: a fresh energy shock out of the Middle East, a bond sell-off that has spread from the US to Japan to Europe (and drawn erratic policy responses from central banks and governments alike) and renewed doubts about the AI boom – talk of chip and power shortages, bubble concerns and underwhelming returns on frontier-model spend.

• **But none of this has yet broken the real economy.** Q2 growth surprised to the upside, carried by net exports and Germany's stimulus in Europe, and by robust AI-related investment in the US and Asia. Forward-looking indicators such as European manufacturing PMIs at four-year highs and strong US Q3 nowcasts show little sign of deterioration, albeit with marked divergence across sectors.

• **The Great Unwind: the case for an orderly path forward.** Our baseline continues to be that these three tension points will ease rather than escalate, but that call rests on specific mechanisms. In the report we also model three downside scenarios and their economic and capital market impacts, each based on a disorderly release of the tensions.

o **The energy shock risk.** We expect the conflict to stay contained and that rerouting, demand destruction and alternative supply do the job energy markets need them to do, easing prices and letting the inflation shock fade. This rests on the assumption that the Saudi pipeline outage does not extend past a month. If the outage runs longer, the shortfall could exceed 8Mb/d and Brent could stay near USD100/bbl, turning what is now a contained shock into a stagflationary shock.

o **The bond sell-off risk. We assume inflation moderates without meaningful second-round wage effects, and that sovereign markets can absorb elevated issuance without a disorderly rise in risk premia.** The assumption doing the real work here is political: the US midterms don't produce further fiscal slippage or erratic policy interventions and European elections (France, Italy) do not add fiscal uncertainty. Note that the real rate component of the US 10 treasury rates has increased by a full percentage point this past year confirming that bond markets also price more AI growth. In the downside, self-reinforcing yield–fiscal loop can take hold and force central banks to stabilize bond markets.

o **The AI capex cycle risk.** We think that AI capex decelerates slightly to peak at USD1trn in 2028, with value creation shifting from infrastructure build-out toward adoption and productivity. This rests on the assumption that infrastructure and power bottlenecks stay manageable, financing conditions don't tighten sharply and AI earnings keep validating the spend. A sharper investment retrenchment, given how much of US and Asian growth and equity performance now runs through AI, could spill from technology into corporate investment and trade, and from wealth effects into consumption.

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• **Our scenario in numbers: Global GDP growth slows from +3.0% in 2025 to +2.6% in 2026, recovers to +2.8% in 2027, and eases again to +2.6% in 2028.** US growth moderates from +2.1% (2026) to +1.8% (2028); the Eurozone recovers from +1.0% to +1.3%; Asia stays the main engine at around +4.4%. We forecast Brent to average 87 USD/bbl in Q4 2026 before easing to 76 USD/bbl on average in 2027 as Gulf export flows gradually normalize both in and around Hormuz but refined-product markets are running out of buffers, and prices should remain elevated for the next few quarters. European gas prices should stay elevated through year-end, with TTF averaging around EUR65/MWh in Q4 2026, before easing to about EUR36/MWh in 2027. Inflation stays 1–2pps above target in Europe and the US until H2 2027, which is why we still expect one more Fed hike to 4.00–4.25% and two more ECB hikes to 3.00% by year-end, with cutting cycles starting only once inflation is back at target – earliest end-2027 – and terminal rates of 3.50% (Fed) and 2.25% (ECB) reached in 2028.

• **What it means for markets. We see bond yields dropping when markets start pricing in our central bank scenario of a lower terminal rate in both Europe and the US.** The 10y Bund is expected to gradually drop from current levels to 3.3% at the end of 2026 and further to 3.0% in 2028 (US 10y from 4.7% end of 2026 to 4.3% in 2028). Credit spreads will slightly widen from current low levels given strong supply from the technology sector. Equity markets will finish the year with double digits again but decelerate to high single digits in 2027 and 2028, with valuations normalizing to historic levels (S&P500 2026-2028: 14%, 8%, 8%, Eurostoxx: 15%, 9%, 8% total return). The euro will gain gradually against the dollar, reaching 1.18 in 2028 as policy uncertainty and a weaker economy in the US will weigh on the greenback. Private markets are entering a more selective phase: Private equity faces a record ~13,300-company exit backlog, while infrastructure benefits from the AI buildout, with data-center investment expected at USD 5–7trn this decade.



Global outlook:

It may get better if three assumptions hold

The summer turned three risks we had been monitoring into part of our base case: a fresh energy shock out of the Middle East, a bond sell-off that has spread from the US to Japan to Europe and renewed doubts about the AI boom. Yet the real economy has not broken. Q2 growth surprised to the upside on net exports, Germany's stimulus and robust AI-related investment, and forward-looking indicators show limited sign of deterioration so far, even as bond markets tell a more troubled story, with yields at multi-year highs and equities still reading the growth story rather than the bond one. In our baseline scenario, global growth slows from +3.0% in 2025 to +2.6% in 2026, recovers to +2.8% in 2027 as the chokepoints fade and eases back to +2.6% in 2028 as that support wanes. Within this, the US moderates from +2.1% to +1.8%, the Eurozone recovers from +1.0% to +1.3%, and Asia remains the main growth engine throughout at around +4.4%. This path holds only as long as the three chokepoints unwind rather than escalate, and each rests on a specific, breakable assumption. On energy, we assume the conflict stays contained and that rerouting, demand destruction and

alternative supply let prices ease, contingent on the Saudi pipeline outage not extending past a month; a longer outage could push the shortfall above 8Mb/d and Brent back near USD100/bbl, turning a contained shock into a stagflationary one. On bonds, we assume inflation moderates without a wage spiral and that sovereign markets absorb elevated issuance without disorderly repricing, a call that rests on European elections (France, Italy) and the US midterms not adding fresh fiscal uncertainty; if that gives way, a self-reinforcing yield-fiscal loop could force central banks to choose between fighting inflation and stabilizing bond markets. On AI, we assume capex keeps supporting growth while decelerating, peaking above USD1trn in 2028, contingent on power and infrastructure bottlenecks staying manageable and earnings continuing to validate the spend; an investment retrenchment here would spill from technology into corporate investment, consumption and trade more broadly. Growth, inflation and rates in our baseline hold only as long as these three assumptions hold too.

Table 1: Real GDP growth forecasts, %

Growth (yearly %)	2023	2024	2025	2026f	2027f	2028f
Global	2.8	2.9	3.0	2.6	2.8	2.6
USA	2.9	2.8	2.1	2.1	2.0	1.8
Latin America	2.0	1.8	2.4	2.2	2.6	2.5
Brazil	3.3	3.0	2.6	2.0	2.2	2.3
UK	0.3	1.0	1.3	1.3	1.2	1.2
Eurozone	0.5	1.1	1.3	1.0	1.3	1.3
Eurozone excl. Ireland	0.7	1.0	1.1	1.3	1.2	1.3
Germany	-0.8	0.0	0.3	1.0	1.2	1.1
France	1.8	1.4	0.9	0.5	0.9	1.1
Italy	1.0	0.6	0.7	0.9	0.8	0.8
Spain	2.5	3.5	2.8	2.5	1.8	1.6
Central and Eastern Europe	1.3	2.3	2.3	2.1	2.4	2.7
Poland	0.2	3.1	3.6	3.6	2.8	2.9
Russia	3.9	4.9	1.1	0.5	1.8	0.8
Türkiye	5.0	3.5	3.6	2.7	3.6	2.8
Asia-Pacific	4.2	4.0	4.3	4.4	4.1	4.0
China	5.5	5.0	5.1	4.7	4.5	4.3
Japan	0.9	0.1	1.2	0.9	1.1	1.0
India	7.1	7.2	7.5	7.5	7.1	6.8
Middle East	2.0	2.5	3.2	-1.4	6.2	3.9
Saudi Arabia	0.5	2.6	4.6	-2.0	7.1	5.0
Africa	2.8	3.5	4.5	4.0	3.9	3.8
South Africa	0.8	0.5	1.1	1.0	1.2	1.5

Sources: National, Allianz Research

If our assumptions do not hold, we will stumble into one or several downside scenarios ranging from stagflation to demand-side deflationary recessions.

Table 2 sets out what happens if our assumptions on chokepoints break. Should Middle East de-escalation fail, the shock persists rather than fades: oil stays above USD100/bbl into 2027 and the picture turns stagflationary, with US and Eurozone growth undershooting the baseline. The Eurozone would see a recession, while inflation runs hotter and keeps rising through 2027, forcing the Fed and ECB to hike further to 5.00% and 4.00%, respectively. Long yields spike first before reversing sharply lower once the growth damage bites, and risk assets sell off hard through 2026

– equities barely positive, credit and sovereign spreads wider, private equity, private debt and real estate all negative – ahead of a partial rebound in 2027. An AI bubble burst plays out in the opposite direction: the shock is disinflationary, US growth stalls towards zero by 2027 and the Fed and ECB slash rates to just 0.50%, pulling long yields and oil sharply lower. Equities fall hardest in the US, given its greater AI concentration, while the damage is most acute in the areas most tied to the capex cycle – private equity, private debt and, notably, infrastructure, which turns negative for the only time across the three scenarios. The third scenario is a slower-moving chain reaction: a bond sell-off triggered by a political shock – long yields spiking and OAT and

BTP spreads blowing out as fiscal risk resurfaces on both sides of the Atlantic – triggers an equity correction, which in turn causes a growth shock in the US and elsewhere that eventually feeds through to sharply lower rates and inflation, with the Fed cutting to 1.50% and the ECB to 1.00% by 2027. Because the political shock hits the US and Europe together, EURUSD stays essentially unchanged from baseline throughout, even as growth and rates swing sharply; peripheral European spreads, however, stay persistently wider even once credit and core yields have normalized, a lingering political risk premium.

Table 2: What could go wrong

		Baseline				Downside risks					
		2025	2026	2027	2028	Middle East deescalation fails		AI bubble burst		Bond sell-off after political shock	
						2026 (MDD**)	2027	2026 (MDD**)	2027	2026 (MDD**)	2027
Growth	US	2.1	2.1	2.0	1.8	2.0	1.5	1.7	0.0	2.0	1.4
	EZ	1.3	1.0	1.3	1.3	0.8	0.4	0.9	0.4	0.8	0.5
Inflation	US	2.7	3.4	2.6	1.9	3.7	4.5	3.3	1.4	3.3	2.2
	EZ	2.1	2.9	2.5	2.1	3.4	4.8	2.8	1.7	2.8	1.7
Monetary Policy	Fed	3.75	4.25	4.00	3.50	4.50	5.00	0.50	0.50	4.25	1.50***
	ECB	2.00	3.00	3.00	2.25	3.25	4.00	0.50	0.50	3.00	1.00***
Rates 10y	US	4.2	4.7	4.5	4.3	5.4 (5.8)	4.00	3.00	2.50	5.6 (6.0)	3.50
	DE	2.9	3.3	3.2	3.0	3.8 (4.0)	3.00	2.00	2.00	3.8 (4.0)	2.50
Equity (TR, LC)	S&P500	18	14	8	8	+4 (-1)	10	-6 (-11)	6	+4 (-1)	10
	MSCI EMU	25	15	9	8	+5 (-1)	6	+5 (0)	8	+10 (+5)	8
Spreads	US IG	79	85	90	90	100 (110)	100	110 (120)	105	100 (110)	90
	EZ IG	78	80	85	85	110 (120)	110	100 (110)	95	110 (120)	85
	EM HC	163	170	175	185	200 (220)	190	220 (250)	220	200 (220)	175
	10y BTP	65	80	80	70	110 (130)	90	80 (100)	70	130 (160)	100
	10y OAT	71	100	70	70	120 (140)	90	100 (110)	70	130 (160)	100
	Oil (US\$/bbl)	68	88	76	73	95 (140)	100 (170)	70	65	76	73.0
EURUSD		1.13	1.16	1.17	1.18	1.12	1.15	1.20	1.20	1.16	1.17
Private markets*	Private equity	5.6	7.0	11.0	9.5	-7 (-10)	7	-12 (-15)	5	-5 (-7)	7
	Private debt	530	540	545	550	650 (700)	600	700 (800)	650	600 (650)	575
	Infrastructure	8.4	9.0	9.5	10.0	5 (4)	9.5	-3 (-5)	2	7 (5)	10
	Real estate	5.3	5.7	6.0	7.4	-3 (-5)	9	-1 (-2)	7	-2 (-4)	8

Year-end values are displayed for capital market figures

* Average of US and EZ

** MDD = Maximum draw down

*** Additional quantitative CB measures e.g. stop QT in Europe, TPI from the ECB, yield curve control, QE in the US

Sources: LSEG Datastream, Allianz Research

Global trade of goods in volume is expected to grow at +4% y/y in 2026, driven mainly by AI, which masks a more divergent global economy. AI-driven demand will contribute 4.8pps to global trade, which together with European defense spending (+0.2pp) and carryover effects (+1.4pp) add further support. Without these offsetting forces, the underlying picture would be considerably weaker: The Strait of Hormuz closure is estimated to subtract 2.1pps from trade growth, while the ongoing trade war erases a further 0.4pp. The rest of the global economy is contracting in trade terms, and the +4% headline number conceals what is effectively a two-speed world.

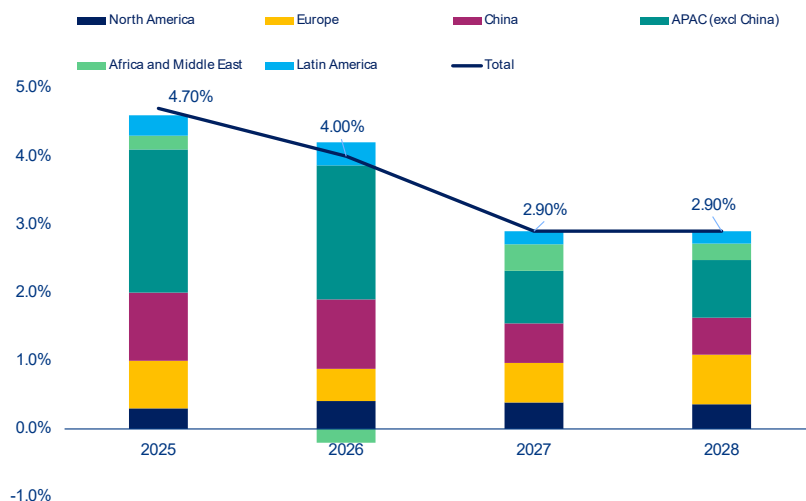
Global goods trade growth in volume is expected to ease to +2.9% in both 2027 and 2028 as the forces supporting the 2026 headline begin to fade. AI-driven demand will remain the largest contributor to growth (+1pp), but at slower phase than prior years as deceleration starts. Hormuz normalization is unlikely to be linear, causing stock rebuilding to take longer and extend to 2028. Defense spending remains a positive but diminishing contributor. The trade war persists through

2027, with US tariffs continuing to disrupt established supply chains, subtracting 0.3pp from growth. In parallel, free-trade agreements (FTAs) signed over the past 12 months will begin generating measurable export gains from 2027, adding around 0.1pp annually, with beneficiaries concentrated in the EU, India, Mercosur, the UAE and Australia.

At a country level, the clearest winners are economies embedded in AI supply chains, concentrated in Asia-Pacific, while structurally the US trade war unleashes the so-called “China shock 2.0” amplifying China’s presence through global supply chains.

South Korea and Taiwan are posting export growth rates of +10.5% and +30% y/y, respectively, driven by semiconductor exports and other AI inputs. Mexico, Vietnam and Malaysia are benefiting from supply-chain diversification, while Israel’s technology exports are also on the rise. In the developed world, the US and the Netherlands stand out. The structural consequence of US tariffs, combined with China’s weak domestic demand, are amplifying China’s role in the global supply chain under the „China shock 2.0.“ Unable to sell as much into

Figure 1: Global trade of goods, annual growth in volume, in %



Sources: CPB, Allianz Research

the US, China is redirecting exports through the global south and into Europe at record volumes, causing Europe to be squeezed from both sides: more Chinese imports competing with domestic industry, and fewer US export opportunities due to tariffs.

The effective US tariff rate currently stands at 9.2% and is expected to reach 12% following the implementation of the second Section 301 investigation on overcapacity in October. Export losses are estimated at USD42bn this year, after USD74bn in 2025. We expect tariffs on China at 32%, with potential for lower rates on non-sensitive goods and fewer restrictions as relations are likely to remain stable in the near term. However, the trade war is likely to intensify after the US midterm elections as a shift in Congressional control would place constraints on the administration's domestic policy agenda and push it to rely more heavily on trade tools. On the downside, potential risks could push the average US tariff rate up to 21.3%. The most likely scenarios include higher-than-expected tariffs under the overcapacity Section 301, the opening of a new Section 301 investigation targeting countries accused of transshipment on behalf of China, and continued tensions with Canada following the escalation over the summer. While we do not expect further developments in the near term, the threat of 50% tariffs on Canadian autos remains while USMCA renegotiations progress very slowly. Finally, the EU should also remain watchful, with two main tariff risks: one linked to the global services tax and the other tied to the new US sanctions on Russia, allowing for tariffs on Russian energy importers.

The global fiscal outlook continues to deteriorate at the margin as structural spending pressures – defense foremost – combine with the renewed cost of energy-related support measures. Many governments were initially reluctant to intervene, treating the current shock as transitory; the repeated extension of these „temporary“ measures has instead become a recurring drag on consolidation efforts. Looking at the regions, US fiscal policy is unlikely to turn significantly restrictive amid a likely divided Congress (or a Democratic

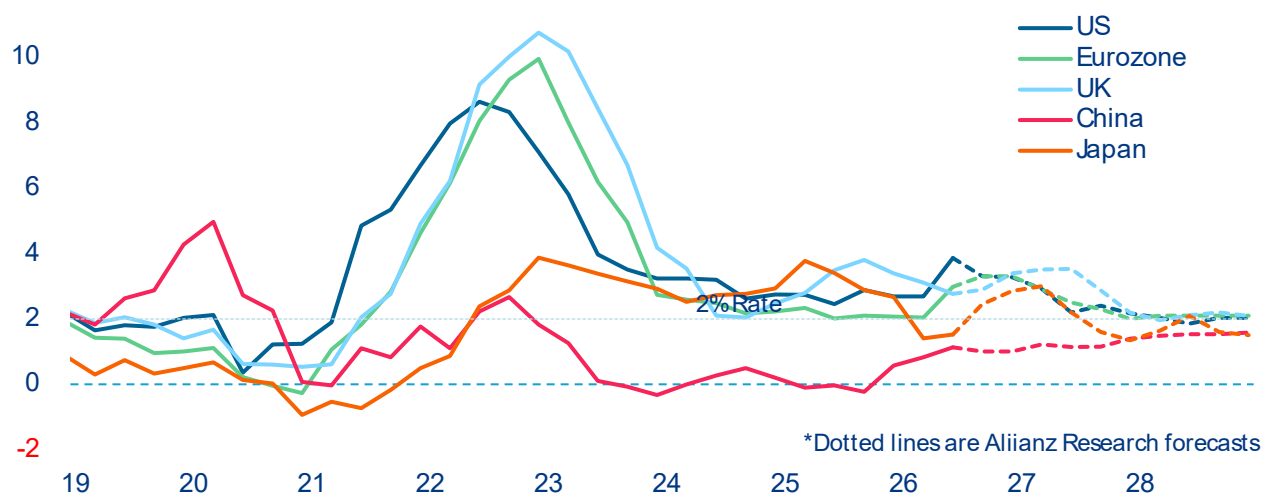
sweep) after the November midterm elections. In this environment, we would expect only limited fiscal consolidation in 2027 and 2028, to the tune of 0.5% of GDP in 2027 and 0.6% in 2028 of structural deficit improvement, relying on a mix of discretionary and social spending restraint and „stealth“ taxation increases. In the Eurozone, political risk is an increasingly relevant input for spread dynamics: With France, Italy and Spain all facing elections in 2027, pre-electoral tax cuts and spending pledges raise the risk of fiscal slippage precisely as consolidation becomes more pressing. Moreover, the phase-out of NGEU disbursements adds a further headwind: As grants are booked as fiscal revenue, their decline mechanically weighs on headline deficits for the bloc's largest beneficiaries (Southern European countries in particular), compounding the loss of investment support at a time when fiscal buffers are already thinning.



Inflation and central banks: More hikes ahead before easing cycle starts in Q4 2027

Inflation rates will remain elevated until the first half of 2027 as indirect effects of elevated input costs filter through core consumer prices. Sharply higher energy prices in 2026 have quickly pushed up fuel inflation in most economies, with gasoline prices reaching historical highs. Meanwhile, utility bills have started to drift up, especially in European countries, as higher wholesale gas prices are gradually being passed through. In Q4 2026, we expect CPI headline inflation at +2.9% in Japan, +3.3% in the Eurozone, +3.4% in the UK and +3.5% in the US, with upwards risks. Higher utility bills should continue through 2027 even if wholesale gas prices start to decline as we expect. Persistently elevated energy and input costs should also increasingly prompt corporates to increase their selling prices to protect their margins. This will filter through to consumer prices, mostly from end-2026 and into 2027. In particular, consumer food prices should accelerate significantly from early 2027. In most developed markets, we expect headline inflation to start

pulling down decisively only from Q2 2027, thanks to favorable base effects on fuel inflation, but core prices will remain sticky. However, high inflation and tighter financial conditions will weigh on growth, which should eventually limit 'second round' effects of higher prices onto wages and corporate profits, while lower oil and gas prices will also help pull down fuel and core prices. In this environment, we see inflation rates normalizing from the end of 2027 and in 2028. We expect headline CPI inflation to reach +2.1% by Q4 2027 in the Eurozone, +2.2% in the UK, +2.5% in the US and +1.4% in Japan.

Figure 2: Quarterly inflation, y/y, %

Sources: LSEG Datastream, Allianz Research

US and Eurozone labor markets are set to cool further into 2027 as slowing hiring meets accelerating AI adoption.

In the US, August's steady headline (+162,000 payrolls, 4.1% unemployment) masks a thinning hiring pipeline: Soft hiring intentions and cooling wage growth point to further pullback ahead, even as layoffs stay contained. In the Eurozone, we expect unemployment to drift only marginally above current lows (6.4%) as vacancies keep falling and wage growth keeps normalizing. The adjustment should keep running primarily through hiring pace rather than job cuts, delaying, not removing, the risk of rising unemployment. Sectoral divergence should also widen, with manufacturing staying under pressure from weak demand and high energy costs while services hold up better. AI adoption adds a further, structural drag on hiring: Firms are increasingly able to absorb demand growth without adding headcount, and with productivity gains from AI

still limited so far, the near-term effect shows up more in slower hiring than in higher output, reinforcing margin pressure into 2027. Our base case remains a gradual, not sharp, deterioration, with buffers thinner than a year ago, and Europe's main vulnerability now industrial rather than energy-driven.

Table 3: Inflation forecasts, yearly, %

Inflation (yearly %)	2023	2024	2025	2026f	2027f	2028f
Global	6.1	4.7	3.8	4.2	3.4	2.7
USA	4.1	3.0	2.7	3.4	2.6	1.9
Latin America	14.8	16.6	7.6	3.8	3.6	3.0
Brazil	4.6	4.4	5.0	4.5	4.3	3.4
UK	7.4	2.5	3.4	3.0	3.0	2.1
Eurozone	5.5	2.4	2.1	2.9	2.5	2.1
Germany	6.0	2.3	2.2	2.7	2.4	2.2
France	4.9	2.0	0.9	2.2	2.2	1.3
Italy	5.7	1.0	1.5	2.7	2.3	2.0
Spain	3.6	2.8	2.7	3.6	3.0	2.2
Central and Eastern Europe	11.1	3.8	4.8	4.3	3.3	2.9
Poland	11.6	3.8	3.8	3.0	2.7	2.6
Russia	5.9	8.4	8.7	6.4	7.0	6.2
Türkiye	53.4	60.0	35.2	31.3	27.3	22.8
Asia-Pacific	3.1	2.2	1.3	2.3	2.2	2.0
China	0.2	0.2	0.1	0.9	1.1	1.3
Japan	3.3	2.7	3.2	2.1	2.0	1.7
India	5.7	5.0	2.2	4.7	5.2	4.2
Middle East	16.6	10.8	14.1	9.4	3.2	2.4
Saudi Arabia	2.5	1.5	2.0	2.1	1.8	1.8
Africa	17.0	15.1	9.1	8.3	10.9	7.2
South Africa	5.9	4.5	3.2	4.4	3.5	3.2

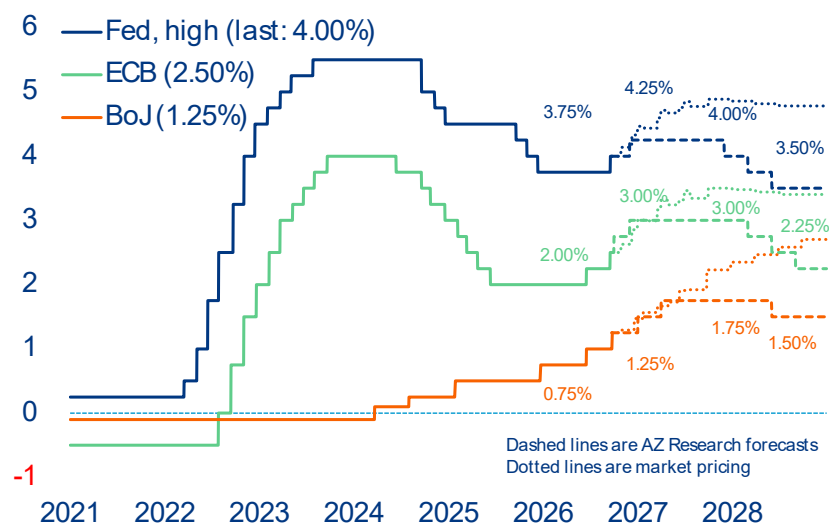
Sources: LSEG Datastream, Allianz Research

We expect the Federal Reserve to deliver one final hike in December, before maintaining a prolonged hold for most of 2027. As we expected in our last economic outlook, the Fed delivered a 25bps interest rate hike at its September meeting. With price pressures expected to remain elevated in the near term, we now see the Fed delivering a follow up hike at its December meeting. With economic activity and the labor market remaining resilient, the Fed will stay vigilant about the risks of second-round effects. However, this hiking cycle should be limited to two rate hikes. For a start, the Fed policy stance is much less loose than in 2021-23, with the real Fed interest rate slightly positive today (vs largely negative in 2021-2023). Second, corporate pricing power is less strong. Back in 2021-23, high and rising margins were widespread across sectors, pointing to an economy running too hot. In contrast, the rise in profits today is much more concentrated in a handful of sectors (ICT, energy, electronics). Thanks to a soft economy, easing supply-chain strains (including for AI) and lower expected

energy costs, inflation should eventually cool down, prompting the beginning of a Fed normalization from December 2027. We expect the Fed policy rate to settle in the 3.25-3.5% bound by mid-2028.

Following the European Central Bank's (ECB) second rate hike this year in September to 2.50%, we expect two further 25bps increases in October and December 2026, taking the deposit rate to 3.00%. The ECB's focus is likely to remain on containing the second-round effects of the Middle-East-related energy shock, particularly as resilient economic activity provides room for further tightening. Thereafter, we expect a prolonged pause through 2027. While inflation is likely to remain elevated in the near term, our assumption of gradually easing oil and gas prices should support a renewed disinflationary trend, with inflation moving back towards target during the second half of 2027. Against this backdrop, we expect the ECB to resume easing in 2028, delivering three 25bps cuts to 2.25%,

Figure 3: Monetary policy key rates, %



Sources: LSEG Datastream, Bloomberg, Allianz Research

the upper end of the estimated neutral-rate range. This would mark a gradual normalization of monetary policy as energy-related pressures fade, while the ECB continues to balance inflation risks against the potential drag from higher borrowing costs on economic activity. Meanwhile, quantitative tightening continues at its full run-off pace of around EUR45bn per month and is expected to continue for the foreseeable future as the stock of holdings is still high. At the current pace it would still take six years to run down the remaining EUR3.2trn of assets sitting in the PEPP and APP program. The annualized balance-sheet reduction equals around 3.3% of GDP and by that exceeds the Eurozone's fiscal deficit of around 3.1%, further reinforcing the net supply pressure on government bonds.

The Bank of England (BoE) is expected to provide two back-to-back rate hikes in November and December as elevated core inflation prompt a response. The BoE has refrained from hiking interest rates so far despite persistently above-target inflation (even prior the Iran crisis). Admittedly, the BoE's policy rate is already elevated at 3.75%, and there is scant evidence of accelerating core inflation. However, the indirect effects of elevated input costs will start to show up soon as corporates will start to increase their selling prices. A surprisingly resilient economy provides further impetus for a likely acceleration of core inflation in the months ahead. The labor market is

loose, but the unemployment rate has stabilized around 5%. In this environment, we expect the BoE to turn more hawkish and deliver back-to-back 25bps interest rate hikes at its November and December meetings, pushing the Bank Rate to 4.25%. We see a beginning of a normalization in November 2027 as inflation pulls back and the economy softens. We expect the Bank Rate to reach 3% by Q3 2028.

The Bank of Japan (BoJ) delivered a 25bps hike to 1.25% in September, accelerating its tightening on the back of resilient activity and firm wage growth despite headwinds from the Middle East conflict. Inflationary pressures have remained contained, in part thanks to government subsidies on energy, with headline inflation near target. However, the pass-through from elevated energy prices should push underlying momentum higher in the near term, with inflation picking up in Q4 to bring 2026 to +2.1%. The yen's slide to 40-year lows over the summer prompted intervention and reinforced the faster tightening path. We expect the next hike in January 2027 and one additional 25bps increase in H1 2027, reaching a terminal rate of 1.75%. With the Fed expected to ease in 2028 and Prime Minister Takaichi set to replace two hawkish board members in mid-2027, we anticipate a first 25bps cut in late 2028.



Developed markets: Growth holding up amid different drivers

US growth is expected to cool off slightly through 2028 as ICT capex growth slows down. We have kept our GDP forecasts at +2.1% for 2026 and +2.0% for 2027. The US economy continues to see multi-speed growth, with ICT capex growth expected to peak at around +18% in 2026, while residential investment is going through another recession year (-3.1% expected) and government spending is soft (+0.6%). Household consumption has eased significantly from 2025 (+2% expected after +2.6%) as stretched consumers are moderating their spending. For 2027, although we expect a similar pace of GDP growth, the drivers will likely change. While inflation is set to cool off, we expect consumer spending to remain soft (+1.8%) as households strive to rebuild their savings. We expect ICT capex growth to moderate, but to keep increasing at a strong clip (+10%). Meanwhile, elevated input costs and tighter monetary policy should constrain overall investment growth. However, residential investment should stabilize at low levels (+0.8%) as housing affordability improves at the margin. Exports growth should moderate (from +4.1% to +2.0%) in line with the cooling down of ICT investment worldwide. Meanwhile, the supply-side of the US economy should continue to remain constrained by weakening demographics offsetting a gradual, AI-related pick-up in productivity growth. We expect GDP growth to be soft in 2028 at +1.8%.

The Eurozone growth outlook remains heavily distorted by Ireland's outsized GDP swings but underlying growth of the region remains solid. Despite accounting for only ~4% of Eurozone GDP, Ireland's volatility skews the aggregate picture. Excluding Ireland, we expect the Eurozone to post stable, decent growth of around +1.3% over 2026–2028. Renewed geopolitical tensions have driven a surge in energy prices, making inflationary pressures more persistent; we have revised our inflation forecast up to +2.9% this year and +2.5% y/y in 2027 (from +2.7% and +2.0% in our July outlook), before converging towards the +2% target in 2028. European gas prices are climbing as the region races to refill storage; the resulting macro risk looks contained for now, but poses a threat to the activity outlook in coming quarters, which has otherwise proved resilient in recent months. As prices climb, European firms plan to pass higher input costs on to consumers. Providing some offset, Germany's updated outlook lends support – defense and infrastructure stimulus is delivering near-term tailwinds – while Southern Europe continues to benefit from a stronger H1 and final NGEU inflows.

Germany: External headwinds persist but the fiscal boost creates resilience. Elevated energy prices remain a headwind for real disposable income and consumer sentiment. The government's fuel rebate will provide only partial relief, meaning household consumption should remain lackluster. However, business surveys and trends in high-frequency industrial data suggest that after some temporary weakness in Q3, a recovery in capex is underway. Overall, fiscal stimulus will continue to boost growth, offsetting structural headwinds from the second China shock – exports may even begin to recover cyclically. We expect GDP to grow by +1% this year and +1.2% and +1.1%, respectively, in 2027 and 2028. Improved growth should allow for a gradual firming up of the labor market over the next two years.

France's GDP growth is expected to remain weak amid external headwinds, tight macro policies and policy uncertainty. We have maintained our GDP growth forecast of +0.5% for 2026. Domestic demand has taken a hit from elevated input costs and rising interest rates, with both business and residential investment both set to contract. The industrial sector has fared better, thanks to strong demand in some sectors (transportation, electronics, machinery) but high energy costs are a growing headwind. Heading into the 2027 elections, policy uncertainty could rise, keeping investment subdued. Interest rates should remain elevated and fiscal policy tight. On the positive side, consumer spending has shown signs of improving despite higher inflation as households seem more eager to reduce their high savings. We expect GDP growth to accelerate only modestly to +0.9% in 2027 and +1.1% in 2028.

Italy's activity resilience has surprised on the upside in recent quarters, posting modest but steady growth (+0.2–0.3% q/q over the last year). Private consumption continued to support growth despite surging inflation (which reached +3.3% y/y in August). Buoyant investment has also been supported by the large inflow of NGEU funds – Italy has now received 85% of the funds (out of the EUR194bn allocated), easing earlier concerns about administrative capacity to absorb such a large volume of resources. On the back of a stronger H1, but cautious of rising headwinds and the end of NGEU disbursements in December, we have upgraded our forecast to +0.9% this year (up from +0.7% in 2025) and expect growth to settle around +0.8% in 2027–2028. With the fiscal deficit confirmed at -3.1% of GDP in 2025 (primary balance at +0.8% of GDP), the country remains under the Excessive Deficit Procedure. Bringing the deficit below 3% could have allowed for bigger spending in the 2027 budget, providing a boost to the current government's pre-electoral campaign.

Spain's growth does not seem to be slowing. We expect GDP to grow by +2.5% in 2026, before stabilizing below +2% in 2027–2028. Spain's outperformance remains a defining story within the Eurozone; average quarterly growth over the last six quarters has been +0.7%, versus a Eurozone average of +0.3%, with private consumption and services exports as the main drivers. Inflationary pressures have reignited strongly, with price growth set to average well above +3% this year. The labor market has been a bright spot, although immigration-driven regularization muddies the true picture behind the headline job growth. On the political front, Prime Minister Pedro Sánchez intends to run for re-election in 2027, but continued scandal and turmoil have left the opposition PP leading the polls, raising the risk of a snap election and a conservative government before then.

The UK has held up well against external headwinds but tighter financial conditions and higher inflation should keep growth capped. We have revised up our 2026 GDP growth forecast significantly to +1.3% (+0.3pp). Households have kept spending at a decent pace by reducing their savings rate, while business investment has maintained a healthy pace. The manufacturing sector has rebounded from 2025 with noticeable improvements in machinery and electrical equipment, while aerospace continues to power ahead. In 2027 we expect slightly lower GDP growth (+1.2%). Tighter financial conditions induced by higher market interest rates and (expected) policy rates should soften investment growth and keep residential investment weak. We also forecast GDP growth at +1.2% in 2028 as the UK economy remains constrained by weak supply side (including softening demographics).

Japan delivered strong Q2 growth at +1.4% y/y despite geopolitical headwinds and elevated energy costs. We forecast +0.9% GDP growth in 2026, supported by AI-linked exports and investments, and relatively resilient domestic demand. Fiscal policy remains expansionary under the Takaichi administration, with multi-year budgeting aimed at balancing stimulus with longer-term sustainability. We expect growth to edge to +1.1% in 2027 supported by the continuation of the global AI cycle, before moderating to +1.0% in 2028 as tighter monetary policy and a fading fiscal impulse weigh on activity. We expect inflation to average +2.1% in 2026, breaching the BoJ's target in Q4 on Hormuz pass-through and food inflation, before reaching +2.0% in 2027 and 1.7% 2028.



Emerging markets: Tailwind from exports, mainly thanks to AI and rerouting

China's economy lost momentum in Q2, with GDP growth decelerating to +4.3% y/y as the oil shock from the Middle East conflict and persistently soft household spending weighed on activity. Nonetheless, we maintain our 2026 forecast at +4.7%, anchored by robust export performance, while structurally elevated savings rates and depressed consumer confidence remain the primary drag on the domestic economy. We forecast GDP growth at +4.5% (+0.1pp) in 2027 as the global AI cycle continues to support the external sector. In 2028, while the export contribution should fade as the AI cycle matures, we expect the real estate downturn to come to an end, gradually restoring household confidence and marking a pivot in domestic consumption, bringing growth to +4.3%. We forecast inflation at +0.9% this year as inflationary pressure should moderate into year-end. We expect a gradual normalization thereafter, supported by two cuts from the People's Bank of China (PBoC) in 2027, with inflation rising to +1.1% in 2027 and +1.3% in 2028 as the recovery in domestic demand progressively ends China's deflationary episode.

In the Middle East, divergence continues, with Qatar, Kuwait and Bahrain most exposed to conflict volatility, keeping their real economies mostly at a standstill. GDP contraction figures are high: -14% y/y for Qatar, -10% for Kuwait and -8% for Bahrain. The latest attack on Saudi Arabia's pipeline brings the war back to Riyadh, with a GDP contraction estimated at -2% y/y. Meanwhile, the UAE and Oman remain more resilient as their Strait of Hormuz bypasses allow for exports to continue, even if at reduced speed. In 2027, a substantial rebound is expected, especially for the Hormuz-exposed economies. The renewed tightening cycle, on top of the ongoing energy shock, is exposing fault lines across the EM space depending on the intensity of energy imports and exposure to the USD, causing several countries to increase rates. Most exposed are a group of Sub-Saharan Africa and South-Asian countries, but EMs across the globe are exposed to the ongoing risks.

We forecast growth in APAC at +4.4% y/y (+0.1pp), with 25% of it attributable to the AI investment cycle. However, this masks significant divergence across countries.

While Taiwan, South Korea, Malaysia, Thailand and Singapore are the primary beneficiaries, with roughly 60% of their growth tied to AI-related activity – largely channeled through exports – Indonesia and the Philippines remain the region's laggards, having undergone the most aggressive tightening cycles, given their exposure to the Hormuz aftermath and domestic political difficulties, headwinds now compounded by El Niño effects on food supply and prices. On the central bank front, we see India joining South Korea in a tightening cycle in Q4, while we expect Indonesia and the Philippines to remain on hold, though both central banks will remain highly reactive to Middle East developments, energy and food inflation and FX depreciation.

Looking ahead, we expect rates in the region to remain unchanged until Q4 2027, when we forecast Indonesia and the Philippines to enter an easing cycle.

In Africa, a deceleration is taking place from +4.5% y/y in 2025 to +4% y/y in 2026, and then a slight further deterioration to +3.9% in 2027.

The major risks include inflation pressures from food and hydrocarbons and global liquidity tightening. Senegal remains one of the most exposed due to its high levels of debt that were misreported by the former administration. It is the latest nation to reach a deal with the IMF and is set to begin a restructuring process with international bond holders. Ghana, which already went through a restructuring process in 2023-2024 following the Ukraine crisis, also remains highly exposed to the current crisis as inflation levels have remained elevated for several years. A

second layer of exposure linked to energy imports and USD-exposure is identified in Kenya, and three northern Africa nations: Egypt, Morocco and Tunisia. The largest African economies, Nigeria and South Africa, remain exposed to the current shocks but are relatively shielded. Nigeria, historically a crude exporter, has benefited from reforms that allowed for the free-float of the Naira and is now benefiting from new oil refined exports. South Africa is the only major African economy to have raised rates (+25bps) and is expected to raise again during Q4 2026 due to its exposure to energy imports, as well as its orthodox central bank aiming to reduce structural inflation. However, recent structural reforms have also supported resilience.

CEE growth proved resilient in the first half of the year despite weak external demand, geopolitical tensions and the renewed energy shock, with domestic demand remaining the main engine of activity.

Resilient labor markets, positive real wage growth and still-solid consumption supported activity across most economies, while investment increasingly contributed in Poland, Czechia and Slovenia. We forecast regional GDP growth at +2.1% in 2026, accelerating to +2.4% in 2027 and +2.7% in 2028 as external demand gradually improves. Romania remains the clear outlier, with fiscal consolidation, falling real wages and weak consumption pushing the economy into recession in the first half of the year, while large fiscal and current account deficits add to its vulnerability. Inflation has remained relatively contained across most of CEE, but the balance of risks is increasingly tilted to the upside. We forecast regional inflation at +4.3% in 2026, easing to +3.3% in 2027 and +2.9% in 2028. Food prices have provided important relief, declining recently across Czechia, Poland, Slovakia and Hungary, but drought, extreme weather and higher global food prices could reverse this trend in the second half of the year and into 2027. Energy prices, persistent services inflation and wage pressures remain additional risks. Against this backdrop, we expect most central banks to remain on hold for longer, with the risk increasingly skewed toward renewed tightening rather than further near term easing. In Türkiye, growth has decelerated markedly, with GDP expanding just +2.3% y/y in Q2 2026, as persistently high inflation, running at +32% through Q3 and projected toward +30% by year-end, continues to compress consumer demand, erode trade competitiveness and squeeze corporate margins. We forecast growth at +2.7% for 2026, with a rebound toward +3.6% in 2027 conditional on inflation following a convincing downward trajectory, which would allow the Central Bank of the Republic of Türkiye (CBRT) to embark on a more meaningful easing cycle from the current 37% policy rate.

Across Latin America, fiscal consolidation remains a binding constraint, limiting the scope for countercyclical stimulus and requiring central banks to proceed cautiously with monetary easing, balancing the need to support activity against the risk of reigniting inflationary expectations. We forecast moderate GDP growth of +2.3% in 2026, accelerating to +2.7% in 2027, in both years trailing the global average by -0.3pp and -0.1pp respectively, as the region continues to face structural constraints on potential output. Brazil's economy has been losing momentum through the first half of the year, with the government recently downgrading its 2026 growth forecast, weighed down by weaker services and industrial output even as the agricultural sector provides partial offset. The BCB has delivered five consecutive rate cuts, bringing the Selic to 13.75%, but above-target inflation and persistent global price pressures are likely to cap the pace of further easing. Mexico has effectively concluded its easing cycle after Banxico cut to 6.5% in May as low growth (+1.3% y/y forecast for 2026, accelerating to 1.8% in 2027) coexists with still-elevated external risks, particularly from trade policy uncertainty and USMCA negotiations, which are leading to prolonged front-loading dynamics across sectors and is bringing about a structural shift in the goods exported to the North – from the automotive sector to those related to the AI transition. Central American countries, such as Costa Rica, Dominican Republic, Guatemala and Panama remain relative outperformers, supported by financial flows, tourism and commodity prices, but El Niño risks could affect 2027-2028 prospects in the area as well as in Andean countries. Chile, Ecuador and Peru have already seen flooding and logistics interruption. Colombia faces a more challenging adjustment path amid tighter financial conditions and spending-fueled GDP growth.



Corporates:

From energy shock to rate shock

Corporate earnings remain resilient, but the breadth of growth is narrowing sharply and sectors divide into three very different clusters. Momentum is increasingly concentrated in AI, defense and energy, while most of the cyclical sectors remain under pressure. In the US, revenue growth reached +15.2% y/y, the strongest pace since Q2 2022. Semiconductors have been the principal engine, supported by the AI investment super cycle, while energy companies have benefited from higher oil prices. Europe has posted similarly robust headline growth at +11.2%, but the underlying picture is even more concentrated: energy, defense and semiconductors account for most of the increase. Corporate performance is therefore no longer moving broadly in sync. Instead, earnings are increasingly bifurcating around three distinct sets of exposures. The first is an AI-linked cluster spanning semiconductors, software and IT services, and telecom infrastructure. These sectors are capturing a disproportionate share of current earnings momentum as capital expenditure continues to flow into computing capacity, data infrastructure and digitalization. The second is a group of traditionally defensive sectors whose resilience increasingly depends on the nature of their underlying risks. Pharmaceuticals continue to benefit from patent protection, relatively strong pricing power and less cyclical demand. Agrifood enjoys similarly structural demand but is more exposed to climate volatility and trade disruption. Energy, meanwhile, is benefiting directly from elevated oil prices, providing a near-term earnings tailwind even as geopolitical risks

increase uncertainty elsewhere in the economy. The third cluster comprises the more traditional cyclical sectors – autos, construction, machinery, textiles and transport equipment. Here, pricing power is thinner, tariff exposure is more direct and financing costs remain restrictive. These companies are therefore absorbing more of the downside from both weaker demand and a structurally higher cost of capital.

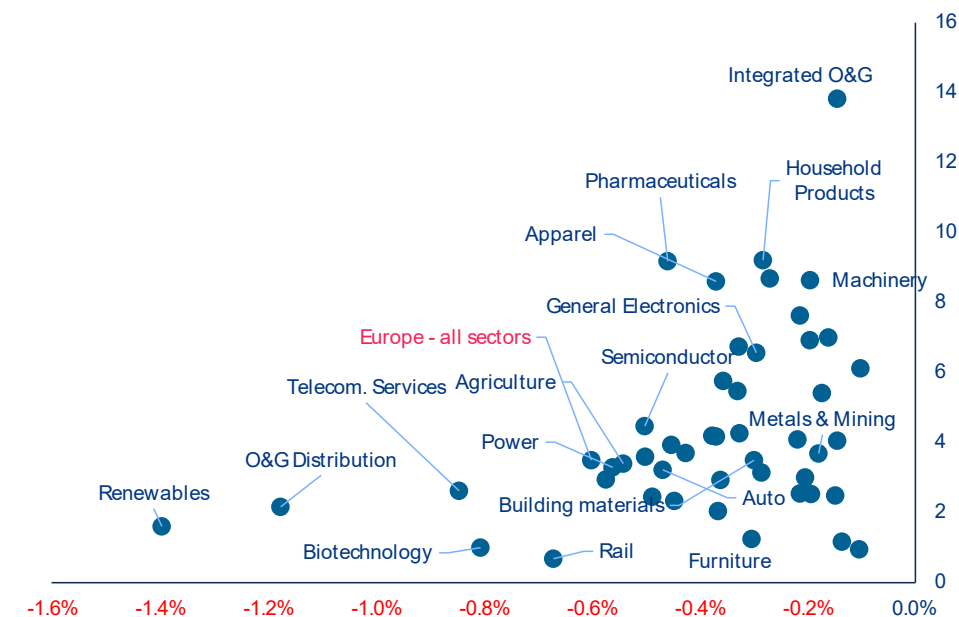
The Iran conflict has moved from an energy shock to a rate shock. The disruption around the Strait of Hormuz has sharpened the divergence in industrial cost structures, nowhere more visibly than in European chemicals and other energy-intensive industries. European producers were already operating at a structural disadvantage, paying a premium for feedstock and power relative to competitors in the US and Middle East. The result is an accelerating reallocation of production towards cost-advantaged capacity. Higher-cost European plants that are idled today are increasingly unlikely to return once conditions improve. This points to a continuation of the regional reshuffling of industrial production that began with the 2022 energy shock, rather than a conventional cyclical downturn that will simply reverse as demand recovers. In other words, part of the adjustment is becoming structural. The second transmission channel runs through interest rates. Persistent geopolitical tensions, higher energy prices and greater fiscal demands are reinforcing

pressure on borrowing costs just as many companies face refinancing needs. The impact on profitability is material. We estimate that a 50bps increase in the average interest rate on corporate debt would reduce the net margin of non-financial corporations from 9.0% to 8.6% in the US and from 6.6% to 6.2% in Europe, ceteris paribus. With a 100bps increase, margins fall further to 8.4% and 6.0%, respectively – a compression of roughly 0.6pp or 60bps in both regions. The burden is not evenly distributed. Exposure to higher rates is concentrated in capital-intensive, real-asset sectors with large debt stocks and persistent refinancing requirements. Under a 100bps shock, the net margin of US utilities falls from 19% to about 17%, while interest coverage declines from 3.1x to 2.4x. For European utilities, margins fall more sharply, from 10% to 7%, and coverage drops from 2.0x to 1.5x. US telecoms also see interest coverage fall substantially, from 4.5x to 2.8x, compared with a decline from 2.0x to 1.7x in Europe (see Figure 4). The implication is that the next phase of pressure on corporate margins may come less from the initial energy shock itself than from its second-round effects on financing conditions. Companies that entered this period with high capital intensity, limited pricing power and large refinancing needs are therefore increasingly exposed to a combination of weaker operating leverage and higher debt-service costs.

The corporate response is increasingly one of balance-sheet and industrial-footprint adjustment rather than conventional cyclical hedging. That is consistent with companies treating both the higher-rate environment and the emerging tariff architecture

as durable features of the operating landscape rather than temporary shocks. Automakers are shifting the focus of margin defense away from unit growth and towards cost reductions, platform simplification and lifecycle revenues. Chemicals groups are accelerating capacity rationalization and redirecting investment towards structurally advantaged geographies rather than waiting for the cycle to turn. Metals producers, meanwhile, are maintaining capital discipline even as electrification-related demand increasingly strains available supply. These strategies have a common objective: preserving cash generation and balance-sheet capacity through a period in which neither demand nor financing conditions can be assumed to normalize quickly. The emphasis is therefore moving from maximizing volume growth to protecting returns on capital, liquidity and strategic flexibility. This also exposes a growing asymmetry in how markets are pricing corporate risk. The upside associated with the AI-linked cluster is being capitalized immediately through stronger earnings expectations and investment flows. By contrast, the downside from higher energy costs, tariffs and interest rates is concentrated in the other two clusters – and particularly in Europe, where structural energy disadvantages, weaker pricing power in parts of industry and greater sensitivity to external trade shocks compound the effect. The result is not simply a divergence between sectors, but a widening gap between companies able to fund structural growth and those forced to manage structural adjustment. That distinction is likely to matter increasingly for margins, investment and corporate balance sheets going forward.

Figure 4: Change in net profitability vs interest coverage ratio after a 100bps shock for European firms

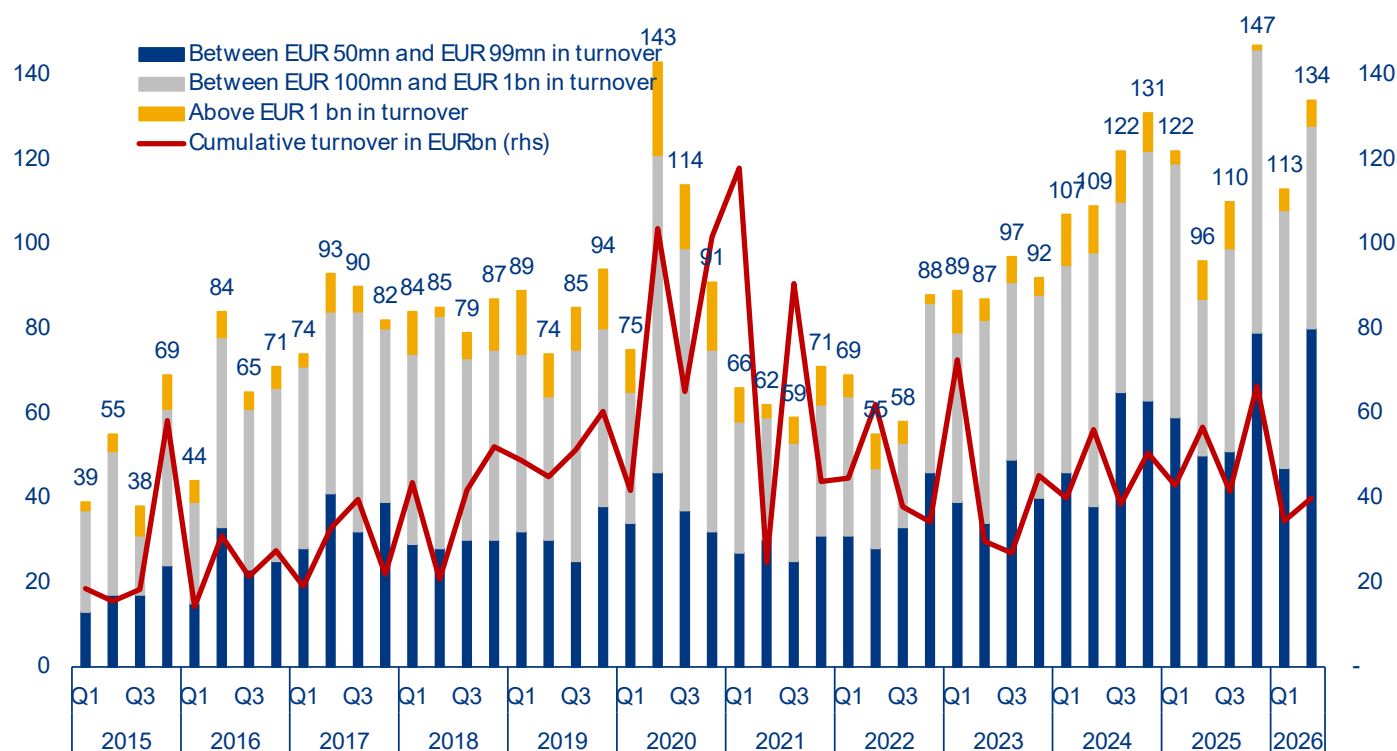


Sources: LSEG Datastream, NYU, Allianz Research

Global business insolvencies are running +6% above year-ago levels year-to-date, extending what is now the sixteenth consecutive quarter of y/y increases and leaving levels across most markets well above pre-pandemic norms. Among the largest economies, the US leads with a +19% surge, followed by Japan (+7%), Germany (+7%) and France (+5%), while the UK (-5%) and China (0%) are the notable exceptions. The strain is especially visible at the top end of the corporate spectrum: Insolvencies among firms with turnover above EUR50mn hit 134 in Q2 2026, the third-highest quarterly tally on record, bringing the count for the first half of the year to 247 cases (+13% y/y), with Western Europe accounting for nearly two-thirds of the total and industrial sectors such as chemicals, automotive and machinery equipment showing the sharpest deterioration. Insolvencies are projected to rise by at least +4% globally for the full year 2026 (the fifth consecutive year of increases) before a tentative stabilization in 2027. North America is set to be the largest regional contributor, with US filings forecast at +7% but a candidate for upside revision given strong first-half momentum; 27 countries

are already tracking above our full-year projections. In Western Europe, the expected +2% increase in 2026 would be followed by a modest -3% decline in 2027, but nine out of 17 markets are forecast within the -4%/+4% range, pointing to quasi-stable insolvency levels that remain historically elevated. Asia will see contrasting trends, with most countries prolonging their rise, except Australia, Singapore and Hong Kong. The full impact of the Middle East shock has yet to feed through corporate income statements: higher input and shipping costs, weak(er) consumer sentiment, elevated selling-price expectations and higher-for-longer interest rates all point to persisting margin pressure in the coming quarters, in particular for medium, small and very small firms. Highly leveraged sectors are particularly vulnerable as debt-servicing costs compound the profitability squeeze, suggesting greater differentiation across countries and industries depending on their exposure to war-related spillovers and, conversely, their ability to benefit from global tailwinds such as AI and defense spending.

Figure 5: Major insolvencies, quarterly number, by size of turnover



Source: Allianz Trade



Capital markets outlook: Cruel (bond) summer coming to an end

Capital markets had a difficult summer as the energy shock and renewed inflation concerns pushed government bond yields sharply upwards to multi-year highs. Equities proved more resilient: Strong earnings and AI-related investment kept returns positive despite rising rates, while credit spreads remained close to historical tightness, supported by solid corporate results. In currencies, EURUSD stayed broadly range-bound, while emerging-market assets benefited from improving fundamentals but now offer less spread compensation. Private markets are becoming more selective: Private equity remains constrained by a record exit backlog, private debt continues to deliver attractive income despite pockets of stress, infrastructure is benefiting from the AI buildout and real estate faces renewed refinancing pressure. Looking ahead, we expect the summer repricing to prove orderly rather than the start of a broader market break. As the energy impulse fades in our baseline outlook, we see scope for gradually declining long-term rates, while equity returns should moderate as valuations normalize.

The summer selloff in long-term rates had three synchronized drivers: the feedback loop between energy prices and policy rate expectations, firmer economic activity and a higher term premium. The repricing of the rate path was the strongest driver. The term premium was the swing factor capturing supply-demand imbalances emerging over summer in a government bonds market that is moved at the margin by price-sensitive, leveraged investors that react to tighter funding conditions. Firmer economic activity on either side of the Atlantic acted as underlying upside trend. But we think US late-cycle dynamics will resume in 2027 as the energy impulse fades and growth returns to potential. Markets will price rate cuts. Long-term rates will anticipate lower growth, bringing 10y yields to 4.5% in 2027 and 4.3% in 2028. The US term-premium rebuild looks largely complete and is actively contained by Treasury operations (buybacks and active Treasury issuance). The hawkish Fed turn should itself re-anchor the long end by restoring inflation-fighting credibility.

Table 4: Capital market forecasts

EMU	Last*	Unit	2023	2024	2025	2026f	2027f	2028f
Government Debt								
ECB deposit rate	2.50	%	4.00	3.00	2.00	3.00	3.00	2.25
10y yield (Bunds)	3.61	%	2.03	2.36	2.85	3.30	3.20	3.00
10y EUR swap rate	3.64	%	2.48	2.39	2.93	3.30	3.10	2.90
20y EUR swap rate	3.60	%	2.51	2.39	3.23	3.30	3.10	2.90
Italy 10y sovereign spread	95	bps	168	117	65	80	80	70
France 10y sovereign spread	110	bps	53	83	71	100	70	70
Spain 10y sovereign spread	46	bps	97	70	44	40	40	30
Corporate Debt								
Investment grade credit spreads	84	bps	135	101	78	80	85	85
High-yield credit spreads	277	bps	395	311	270	280	300	295
High-yield credit spreads ex-CCC	229	bps	333	239	219	225	240	240
Equity								
Eurostoxx (total return p.a.)	11 ytd	%	19	10	25	15	9	8

US	Last*	Unit	2023	2024	2025	2026f	2027f	2028f
Government Debt								
Fed Funds rate (high)	4.00	%	5.50	4.50	3.75	4.25	4.00	3.50
10y yield (Treasury)	5.19	%	3.87	4.57	4.16	4.70	4.50	4.30
Corporate Debt								
Investment grade credit spreads	79	bps	104	82	79	85	90	90
High-yield credit spreads	280	bps	334	292	281	290	315	310
Equity								
S&P 500 (total return p.a.)	14 ytd	%	26	25	18	14	8	8

UK	Last*	Unit	2023	2024	2025	2026f	2027f	2028f
Government Debt								
BoE rate	3.75	%	5.25	4.75	3.75	4.25	4.00	3.00
10y yield sovereign (Gilt)	5.39	%	3.54	4.57	4.47	5.00	4.80	4.40
Corporate Debt								
Investment grade credit spreads	84	bps	134	91	80	85	90	90
High-yield credit spreads	424	bps	515	364	420	425	405	380
Equity								
FTSE 100 (total return p.a.)	10 ytd	%	8	10	26	8	8	8

Emerging Markets	Last*	Unit	2023	2024	2025	2026f	2027f	2028f
Government Debt								
Hard currency spread ex-CCC (vs USD)	164	bps	215	202	163	170	175	185
Local currency yield	6.47	%	6.19	6.39	5.87	6.30	6.20	6.20
Equity								
MSCI EM (total return p.a. in USD)	26 ytd	%	10	8	34	31	12	7

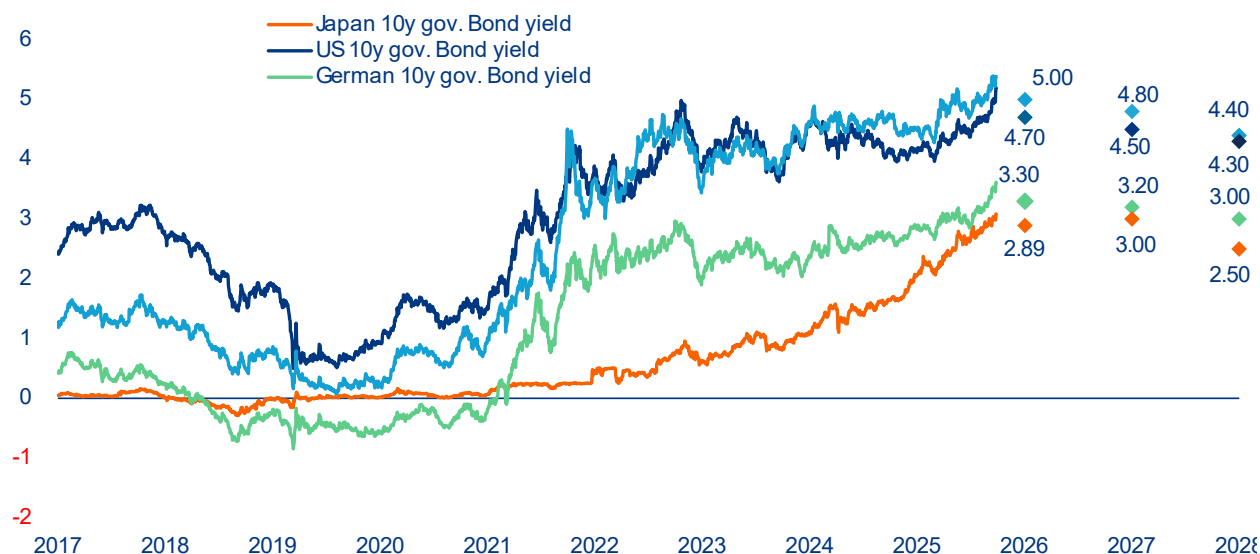
FX & Commodities	Last*	Unit	2023	2024	2025	2026f	2027f	2028f
EUR USD	1.14	\$ per €	1.10	1.04	1.17	1.16	1.17	1.18
Oil (Brent)	107	\$ per bl	78	75	61	87	70	71
Natural gas (Dutch TTF)	76	€ per MWh	32	49	28	65	35	30

Sources: LSEG Datastream, Bloomberg, Allianz Investment Management

Notes: Year end figures

* As of 24.Sept 2026

Sources: LSEG Datastream, Allianz Research

Figure 6 : 10y government bond yields including forecasts, %

Sources: LSEG Datastream, Allianz Research

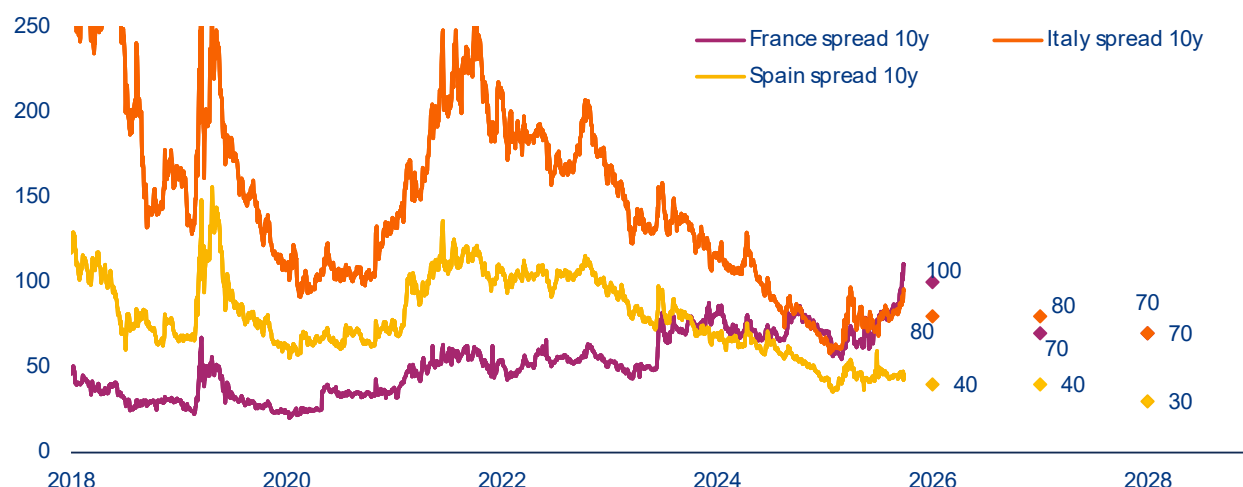
The Eurozone sits earlier in the cycle. But its growth impulse is moderate and there is no overshoot above potential to justify holding policy above neutral for long. We see markets pricing a reversal in mid-2027, easing German 10y yields to 3.2% in 2027 and 3.0% in 2028. Both curves bear-steepened through the summer. We now see potential for further steepening, especially in the Eurozone where the market-priced policy path is most excessively tight. In both markets, the belly is the sweet spot on a six to twelve month horizon. It captures some of the policy-driven decline, stays supported by economic activity and carries less term-premium risk than the long end. At current levels, intermediate maturities show the best combination of positive real returns and convexity.

Within the Eurozone the risk premium now sits in France rather than Italy or Spain. The OAT-Bund spread reached highest value since the Euro crisis (around 100bps) as markets began pricing a scenario in which the new president (election in April/May 2027) will struggle to gain a majority in the parliament, creating further fiscal uncertainty. The near-term risk stays skewed wider, and 130bps is reachable if political fragility deepens to levels not yet seen. BTP spreads stay contained, but the tightening impulse is missing as NGEU support fades, and upcoming elections are an upside risk we would treat as temporary. There is no systemic fragmentation risk within

EGBs as yield movement remain synchronized. Political fragility, not market fragmentation, will be the theme of the coming months.

EURUSD traded within a relatively narrow range of 1.14 to 1.18 during the last quarter, largely continuing the pattern observed in previous quarters. Traditional drivers such as the expected interest rate differential and valuation metrics suggest that this range-bound behavior is likely to persist. Within this range, short-term exchange rate movements were primarily driven by developments in the US, whereas events such as the recent German elections had only a limited impact on the currency pair. We expect this pattern to continue. With the US midterm elections likely to increase political uncertainty, we believe EURUSD could move closer to the upper end of its recent trading range by year-end.

Equity markets: the 2026 earnings boost gives way to normalization. Equities have held up through the summer oil shock, leaving year-to-date total returns at +13% in the US and +10% for Europe. Earnings did the work: 12-month forward EPS growth runs near +20% in the US, +16% in the EMU and above +30% in EMs. But valuation dispersion is the widest in a decade: The US trades at 19.4x forward earnings against a 20-year average of 16.6x; the Eurozone at 16.4x and EM at 9.9x. Valuations argue for selectivity rather than retreat: Earnings should keep delivering the equity risk premium,

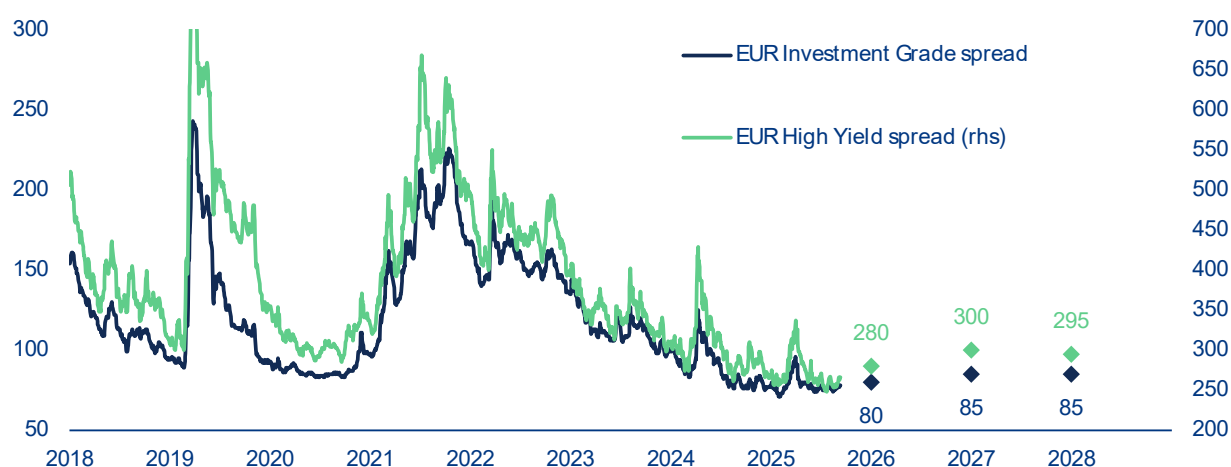
Figure 7: Yield spreads vs 10y German bund yield including forecasts, %

Sources: LSEG Datastream, Allianz Research. Note: For France and Italy we forecast the same spread at 70 for 2028.

but with PEs above average in the US and Japan, we expect the valuation premium to deflate there as growth slows and macro risks rise, while Europe and EMs – where expectations are lowest and the downside most discounted – offer similar earnings sensitivity at a lower price. We stay constructive on equities and expect Q4 to consolidate rather than extend the rally, with returns converging towards the long-term equity risk premium as multiples normalize. At year end, full-year 2026 total returns should reach +14% for the US and +15% for the Europe, before a more normal year in 2027 with +8% and +9%, respectively. Double-digit EPS growth carries the forecast (US: +32%/+16%/+16% over FY1-FY3; Eurozone: +22%/+12%/+12%). US earnings revisions (+7.1% since July) outrun nominal GDP only thanks to technology, ~30% of the index; ex-tech, the S&P 500 tracks the economy, so the market carries the downside if AI capex or monetization disappoints – growth, not inflation, is the risk. Eurozone consensus prices +14.7% EPS growth off +4.6% nominal GDP, but macro upgrades, lower valuations and already negative sentiment support it, while Japan looks hyped after a +20%. With positioning crowded and implied volatility below average, convertibles and hedges are compelling to retain equity and earnings upside while tailoring the downside to

tolerance.

Credit markets have remained broadly resilient through 2026, with spreads holding near the tight end of their long-term range. In investment grade (IG), upgrades continue to outnumber downgrades, though the net upgrade trend has slowed from its 2025 peak. Solid growth is offsetting the higher interest burden, holding credit metrics: Interest coverage went below its long-term median but stabilized above 6x in the US and 8x in Europe, while net leverage remains near cycle highs. In high yield (HY), global default rates have stabilized, albeit at a level still above their long-run average. The market has differentiated, reflecting tight spreads yet above-average default rates: BB and B credits have outperformed, supported by high carry and fading recession risk, while CCC spreads remain elevated and are likely to stay so as the weakest issuers face the highest refinancing costs in a higher-for-longer rate environment.

Figure 8: European corporate credit spreads including forecasts, bps

Sources: LSEG Datastream, Allianz Research

In the US, earnings growth and supportive technicals have underpinned the market, though heavy technology issuance is drawing investor attention. IG gross supply reached nearly USD1.5trn year-to-date, up 30% on 2025, while net issuance almost doubled. Demand has moderated from the high of the start of the year, but new issuance book coverage above 3x suggests the market can still absorb a sizeable calendar. With technology set to account for around a quarter of new issuance through 2026, its share of the IG index could rise towards 15% in 2030. Heavier supply against adequate demand argues for drift rather than dislocation: We expect US IG at 85bps by end-2026 and 90bps in 2027–28, with HY at 290bps, 315bps and 310bps. Euro credit is comparatively insulated from this technology concentration and offers a diversification option. Technology represents only 3% of the Euro IG index, which should limit spillovers from tech-specific volatility. Current tight spreads are driven by ‘yield’ demand, and are likely to continue in a higher-for-longer rates environment. However, increasing rate volatility started to weigh on spreads in the near term. We see EUR IG at around 85bps in 2027–28 and HY at approximately 300bps and 295bps.

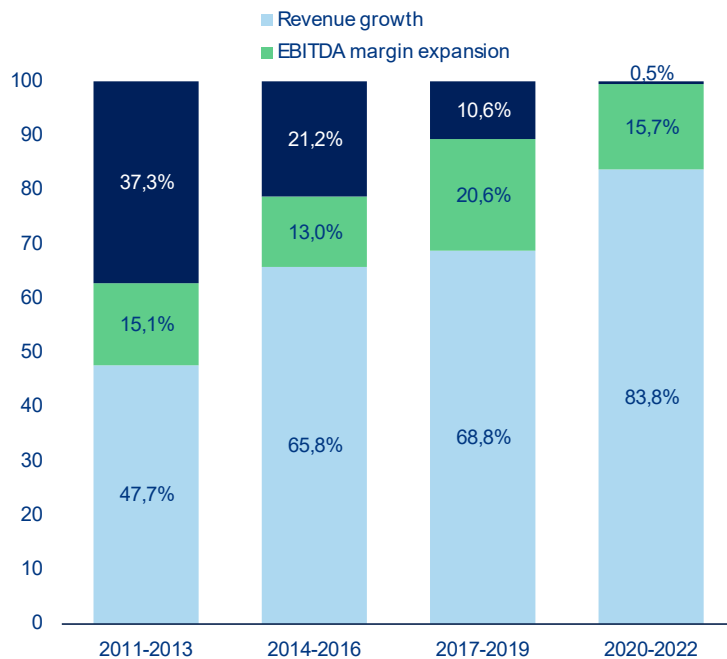
Emerging markets remain resilient to global shocks.

However, the path for EM sovereign spreads is asymmetrically skewed towards widening, while energy volatility and Fed hiking remain the drivers for EMs locally. EM fundamentals continue to strengthen, with sovereign rating trends clearly shifting toward upgrades, supported by successful debt restructurings, IMF-backed policy discipline and improving monetary policy credibility across the asset class. The structural growth premium that EMs hold over developed markets remains intact and is expected to widen further, supporting debt sustainability and increasing the resilience to higher energy prices and US rates volatility. Robust fundamentals, combined with sustained investor inflows, have pushed EM sovereign spreads to multi-year tight levels, compressing the rating-adjusted spread premium versus US corporates close to negative territory. From current multi-year tight levels, spreads are expected to widen modestly by year-end. With spreads offering limited additional pick-up, EM local-currency assets appear relatively more attractive at current yield levels. Given their correlation with US Treasury yields and the ongoing EM central bank cycle, yields are expected to move broadly sideways, reaching 630bps by year-end. While valuations look more compelling in local currency markets, the recent environment is less favorable as Fed policy expectations and oil-price volatility remain the key drivers of local currency performance.

EM equities are the cheapest way into the AI value chain. Consensus EPS growth of +72%, +23% and +10% over FY1-FY3 is driven by semiconductors, and AI supports around a quarter of Asian growth. Yet the market still prices EM semis at a discount to US peers: Their combined USD4trn market capitalization is below Nvidia alone, and technology weighs 21% in MSCI ACWI, of which only 3.5% is for EM semis – despite their crucial role and early monetization. SK Hynix and Samsung trade near 4x PE, with new long-term contracts extending the outlook and securing payback, whereas US semis command three times the multiple for twice the growth. The cycle has limits: We estimate AI capex to be roughly halfway through and expect it to peak above USD1trn in 2028, when normalizing returns on equity would imply a 20-45% PE discount that our target already anticipates. We forecast MSCI EM total returns of +31% in 2026, +12% in 2027 and +7% in 2028 – ahead of developed markets next year, fading only as the semiconductor cycle matures.

Across the USD16.7trn private capital industry, two forces are doing most of the sorting. Rates, having risen sharply again on both sides of the Atlantic rather than easing as underwritten, are pushing financing costs back toward levels many portfolios were not built for, and AI is rewriting which businesses deserve a premium and which do not. Each corner of private capital wears this pressure differently. Private equity is stuck at the exit, sitting on a record backlog of unsold companies as chastened investors keep fundraising in a multi-year drought. Private debt still pays its keep, with direct lending returning almost 11% last year, but cracks are showing among smaller funds and the most AI-exposed borrowers, where write-downs are creeping higher. Infrastructure is the outlier success story, its 12-13% annual return leaning on the USD5-7trn the world is expected to spend this decade wiring up data centers for the AI boom. Real estate's fragile recovery is now at risk of stalling as financing costs move higher again instead of easing, and AI's dampening effect on office demand leaves the sector doubly exposed. The thread running through all four is dispersion. Capital is flowing to contracted, well-covered, AI-aligned assets and fleeing everything else, widening the gap between winners and laggards to levels rarely seen.

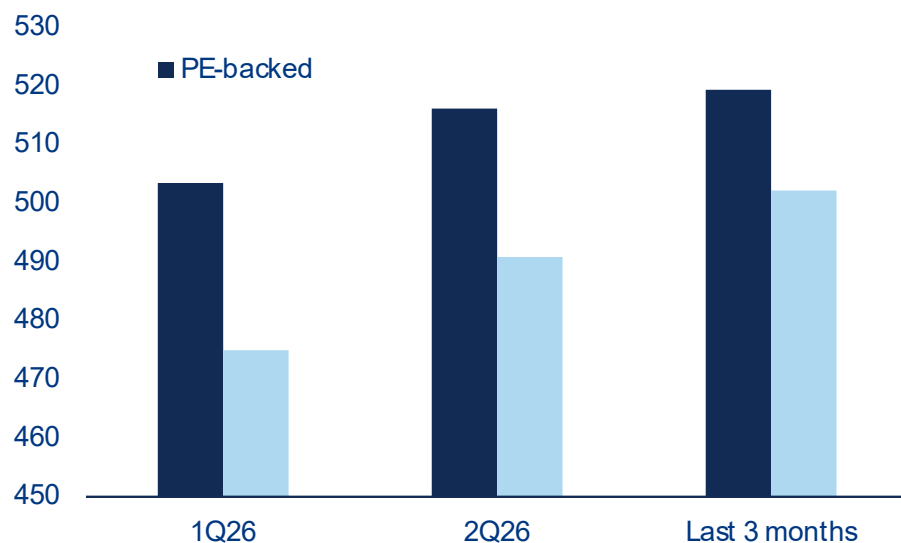
Private equity's story in 2026 is increasingly one of exits, or the lack of them. US buyout funds are still sitting on some 13,300 unsold companies, most acquired in the frothy days of 2020-21 at prices that assumed multiples would keep rising. Instead, across US buyout deals, multiple expansion contributed 37.3% of value creation in the 2011-13 vintages but just 0.5% in 2020-22, with EBITDA margin expansion and revenue growth now doing almost all the work (Figure 9). That is a much harder way to earn a return, and it shows up directly in the exit numbers. US exits fell -46.3% in the second quarter, kept alive mainly by a handful of large sales rather than a broad clearing of the backlog, while dealmaking itself dropped -37.5% as the Fed reopened the door to rate hikes and software, previously the industry's favored sector, fell -65.7% on AI-driven concerns about its growth outlook. With so little cash flowing back to investors, distributions remain thin and the incentive to hold rather than sell persists. Europe tells a related story, deal value rose +6.9% in the second quarter, but its own deals-to-exit ratio has climbed from 2.4x to 2.9x, an early sign that the same operational reckoning may be coming. The lesson on both sides of the Atlantic is the same: Returns now have to be built company by company rather than bought through re-rating, and only sponsors who can genuinely grow revenue and margins will convert their backlog into distributions. We expect private equity to return 7-9% this year, rising to 11-12% in 2027 and 2028 as the exit market gradually reopens.

Figure 9 : US buyout value creation has shifted decisively from multiple expansion to operational growth

Sources: Pitchbook, StepStone, Allianz Research

Private debt has spent 2026 absorbing shocks it was largely built to withstand. Oil spikes and rate scares are not new for this asset class. The summer's Hormuz-driven energy shock pushed spreads a little wider, but the move has been modest. Spreads remain close to historic lows, and leveraged loan defaults, while ticking up, are still only a small drag on returns. In this environment we expect defaults to normalize gradually as energy prices and rate expectations settle back down. Some of the recent concern bundles together several separate issues – retail-vehicle redemptions, loan quality, software exposure and fund-wrapper design – and treating them as one story overstates the risk. The more interesting divergence is in valuations rather than credit quality. Private NAVs have held steady, while listed vehicles trade near 17% discounts, and payment-in-kind income, now around 8% of BDC investment income, is edging up among the weakest borrowers, whose interest coverage is squeezed by still-high floating coupons. The sensible approach, as in most late-cycle credit markets, is to be selective rather than pull back, favoring seniority, strong collateral coverage and full disclosure over older, more richly priced positions elsewhere in the portfolio. We expect spreads to hold around 550bps through year-end, cruising at similar levels through 2027 and 2028 as the asset class settles into a steadier, income-led phase.

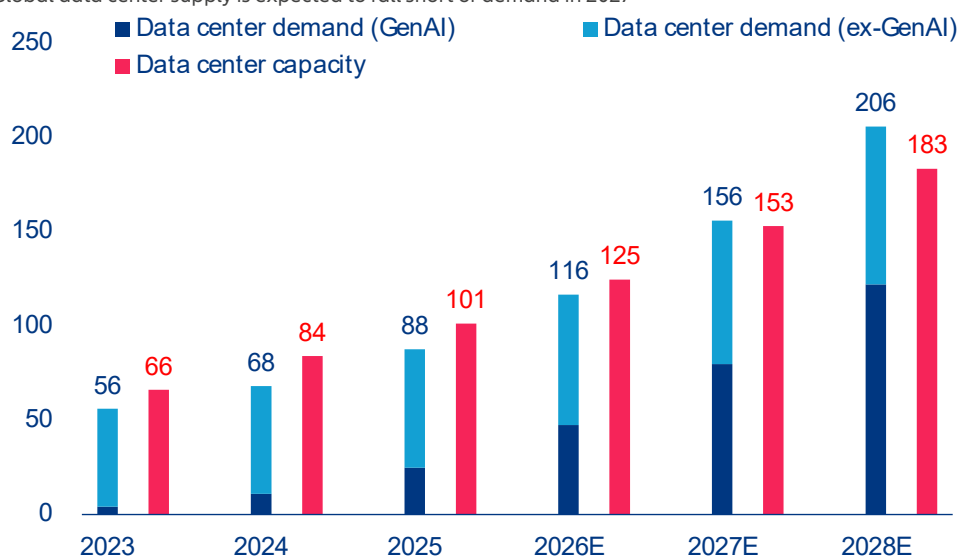
Infrastructure is expected to sustain strong performance, underpinned by AI buildout as a growth lever. Data centers continue to dominate the deal market this year. Despite strong new-build across major regions, demand keeps outstripping supply (Figure 14), holding vacancy at record lows while rents keep growing strongly. With power, permitting, and land constraints sustaining the scarcity, the economics stay attractive for ready-to-use data centers contracted long-term to investment-grade counterparties. Two tailwinds are strengthening the case. First, the token economics are getting more compelling: Usage keeps surging despite significant efficiency gains as workloads shift from chatbots to agentic, reasoning-heavy models and the paradigm grows more compute-intensive. Token prices are stabilizing at the frontier even as serving costs keep falling, supporting provider margins. Hyperscaler AI revenue is now beginning to cover the capex depreciation, pointing to a more sustainable cycle. Second, rising data sovereignty demands across regions add a further durable tailwind. We continue to see infrastructure as a strong play in the AI supercycle – the foundation on which the whole AI stack is built – with tangible, contracted earnings rather than speculative upside.

Figure 10: Spread of PE-backed deals & LBOs, direct lending market, bps

Sources: Pitchbook, StepStone, Allianz Research

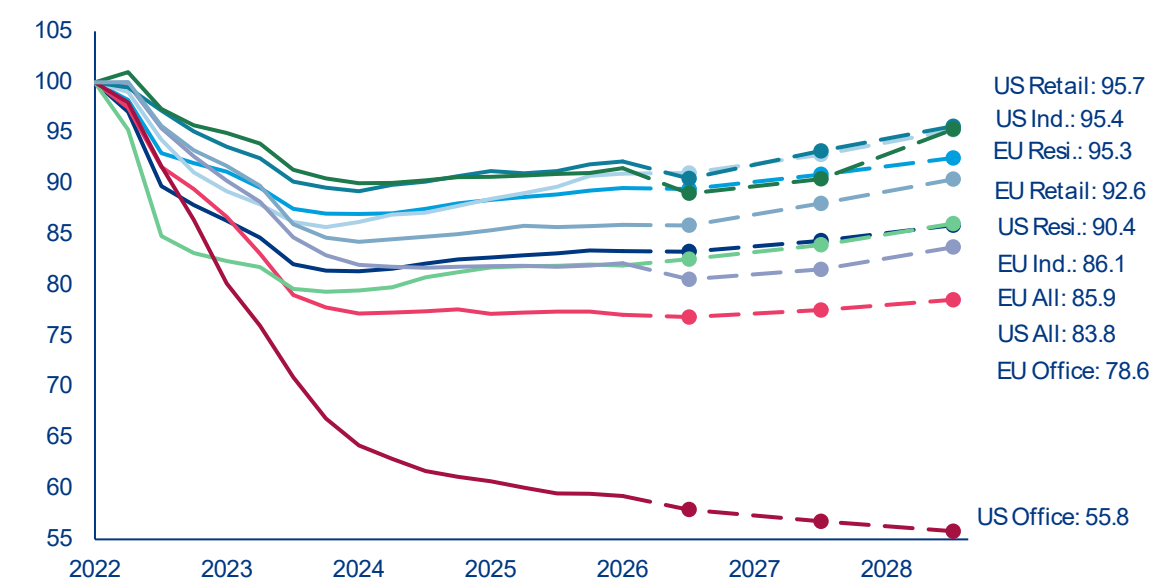
The income-led recovery in real estate continues, but higher long-end yields weigh on pricing and refinancing. Liquidity is returning ahead of pricing: Investment volumes are up 21% y/y in the US and 10% in Europe, drifting back to pre-Covid norms, while prices are stabilizing and cap rates are broadly flat. Values remain 14-16% below the 2022 peak in aggregate on both sides of the Atlantic, with US offices down more than 40% and Europe offices down over 20%, against high-single-digit drawdowns in US retail and industrial and European residential. Fundamentals are supportive: shrinking new supply and resilient occupier demand should underpin a progressive, income-led recovery, but

the path is gradual, with no sector expected to regain its peak before 2028 and offices to barely move (Figure 15). Rates are the constraint. With 10y yields at multi-decade highs on renewed inflation pressure and fiscal concerns, private appraisal cap rates still sit near 2021 levels. Marks have yet to absorb the move, so further outward yield shift and headwinds on refinancing and liquidity lie ahead.

Figure 11: Global data center supply is expected to fall short of demand in 2027

Sources: S&P Global 451 Research, Morgan Stanley, Allianz Research

Figure 12: Pricing is recovering but will stay below peak through 2028, with US offices the worst hit



Sources: MSCI, Allianz Research
Note: Index is rebased, Q2'24 = 100

A photograph showing a variety of hands of different skin tones stacked on top of each other, resting on a thick, textured tree branch. The background is a lush green forest with sunlight filtering through the leaves. The text 'Our team' is overlaid on the image, with 'Our' in white and 'team' in yellow.

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Allianz Climate Economics Report 2026

A year of escalating costs

24 September 2026

Allianz Research

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Executive Summary



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- **Europe's 2026 heatwaves carry an estimated annual output cost of EUR113bn (USD128bn) across 30 countries, a substantial economic burden from one hazard alone.** This corresponds to around 0.46% of their combined projected GDP, and roughly 60% of the global extreme-weather losses recorded in 2025. The estimate uses each country's most intense five-day heat episode between June and August, adjusted for humidity and population exposure, to assess the effect on annual growth. Italy, Germany and France account for almost two-thirds of the estimated losses, while Cyprus faces the largest growth reduction, at 1.74 percentage points. Humidity helps explain why the highest temperatures do not always produce the greatest economic strain: Italy's more humid heat episode is associated with a larger estimated growth loss than Hungary's hotter but drier conditions.

- **Europe was one of several regions hit hard by extreme weather in 2026, with a fuller picture of the year's economic losses expected in early 2027.** Major floods affected Madagascar, Malawi, Mozambique, South Africa, Zambia and Zimbabwe, while Tunisia and Morocco also suffered serious flooding. Indonesia faced an active wildfire season, and flooding along the Nepal–China border left estimated reconstruction needs of USD4–5bn. Peru declared two emergencies: one following February's floods and another in July to prepare for rainfall associated with El Niño. Assessing the combined effects on GDP growth and inflation will require more complete data on the damage and disruption to economic activity.

- **Allianz Research is launching the Allianz Climate Economics Report (ACE), an annual flagship examining how climate change affects economic growth and inflation.** Each edition reviews the previous year, assesses current developments and considers the outlook for the year ahead. The analysis draws on ClimRad (Climate Data Radar), a proprietary platform developed by Allianz Research and Earthian AI. Alongside climate data and catastrophe loss records, ClimRad provides damage functions developed in-house to estimate how temperature changes, heat stress and drought affect GDP growth, and how temperature changes influence headline and food inflation. This allows ACE to examine costs that extend beyond damage to physical assets and insurance claims, including losses in production and pressures on household purchasing power. Readers can explore national climate data and test their own economic scenarios through the [ClimRad platform](#).

- In 2025, climate risk became more geographically differentiated, with the largest physical shifts not always translating into the greatest current economic burden. Northern and Eastern Europe recorded some of the largest temperature anomalies, led by Norway at +3.74°C versus +1.38°C globally. To separate structural climate shifts from the severity of current conditions, the

¹ The results in this paper are produced using ClimRad, a proprietary climate analysis platform developed by Allianz Research in collaboration with EarthianAI thanks to Shayan Shokri and Greta Kudzmanaitė.

Allianz Climate Economics Report uses a Climate Change Score, measuring departures in temperature, heat, drought and precipitation from historical norms, and a Climate Stress Score, capturing current heat, drought and heavy rainfall. Nigeria, the Philippines, Malaysia, Brazil, Côte d'Ivoire, Morocco and Turkey rank high on both. Globally, extreme weather caused USD210bn in economic losses in 2025, down 32% from USD307bn in 2024 but still 20% above the 2000–2019 average. Measured against the size of each economy, the burden was equally uneven: the US recorded the largest absolute losses at USD118.5bn, equivalent to 0.4% of GDP, while Jamaica's losses reached 39.4% of GDP. Losses were equivalent to 2.9% of GDP in Thailand and 0.8% in Portugal, four times its historical average.

- The disasters of 2025–2026 exposed a widening adaptation gap: countries with prevention systems, pre-arranged financing and clear response mechanisms were better positioned than those still relying mainly on post-disaster relief.** Australia, Chile and Canada drew on established wildfire programs combining monitoring, community preparedness and investment before the fire season. Morocco's flood response similarly benefited from earlier investment in warning systems and risk mapping, supported by a World Bank-backed resilience program receiving USD408mn since 2016. Honduras illustrates a more targeted model, using forecast-triggered financing to release assistance before impacts materialized. Elsewhere, the response remained more reactive: Texas strengthened warnings and protective infrastructure after flooding, while European initiatives expanded heat, wildfire and water-resilience policies, including an EIB water-resilience facility of EUR15bn for 2025–2027. By contrast, Mexico and Bolivia remained focused largely on relief and reconstruction, Indonesia on wildfire suppression and Argentina combined major emergency firefighting with cuts to permanent wildfire-management capacity. The 2025–2026 experience shows that resilience depends less on emergency spending after disaster strikes than on sustained prevention, pre-arranged financing and clear responsibility before it does.
- Looking ahead, a very strong El Niño is already forming and could cost the world USD451bn, with most of the damage landing in 2027.** Expected to peak towards the end of 2026 and persist into early 2027, El Niño would add a temporary boost to human-induced warming. Our sensitivity analysis, calibrated on country temperature responses during the 2023–2024 El Niño episode, estimates a net output loss of USD451bn in 2027, equivalent to 0.24% of projected GDP across 144 economies. China, the US and India account for almost 60% of gross losses, at USD147bn, USD91bn and USD50bn, respectively, while South Korea and Indonesia face larger proportional declines of 0.51% and 0.41% of baseline GDP. For the EU-27, the net loss reaches USD24bn, or 0.09% of GDP. The shock would also reach households through prices: weighting country results by GDP at purchasing power parity gives average increases of 0.42 percentage points (pp) in headline inflation and 0.65pp in food inflation. The corresponding EU-27 increases are 0.31pp and 0.50pp. These results quantify temperature sensitivity only and exclude additional losses from floods, droughts, wildfires and other extreme events.

Allianz Climate Economics Report

As climate change accelerates, adaptation is becoming an urgent priority alongside efforts to reduce emissions. The Allianz Climate Economics Report is an annual flagship report that tracks climate risk developments and examines their economic implications. Each edition takes a three-year perspective, reviewing the previous year's climate conditions and losses, analysing major developments in the current year and assessing the outlook for the next. Linking physical climate risks to their macroeconomic effects, particularly

on GDP growth and inflation, is a central pillar of the report. Assessing these costs provides evidence to guide adaptation planning and investment decisions, helping policymakers and businesses address immediate risks while building long-term resilience. The Allianz Climate Economics Report is based on the ClimRad tool developed by Allianz Research and Earthian AI (Box 1).

Box 1: ClimRad – A climate economics tool

ClimRad is a climate macroeconomic platform developed through a collaboration between Allianz Research and Earthian AI. It brings together climate indicators, economic damage functions and natural catastrophe data to help economists, policymakers and businesses assess climate risks and their economic implications, providing evidence for adaptation planning.

The platform provides national and subnational data on temperature, heat stress, drought and precipitation from 1950 to the current quarter on a monthly basis, alongside a flood dataset currently covering EU countries from 2015–2024. Interactive maps and historical comparisons allow users to examine recent conditions and changes over time. Climate inputs include the Copernicus ERA5 and ERA-Land datasets. For the economic modelling, climate exposure is weighted using GPWv4 population data, bringing the assessment closer to the conditions people experience.

ClimRad translates climate conditions into economic effects through damage functions developed and estimated in-house. The growth model builds on Callahan and Mankin (2022) and Kotz et al. (2021, 2022). It combines climate inputs with reported economic accounts from DOSE, using 31,563 annual observations across 1,470 regions in 78 countries from 1990–2020. The model estimates how humid heat, annual temperature changes and drought affect annual real GDP per capita growth, accounting for persistent regional differences and common annual shocks. Heat exposure combines temperature and humidity during the hottest five-day period, allowing the estimated economic response to vary with the intensity of heat stress.

An interactive simulator on the ClimRad website makes these functions accessible to users without coding or modelling expertise. Users can select a country and specify climate conditions to estimate the associated change in annual growth relative to that country's baseline temperature. The platform also provides estimates of temperature effects on headline and food inflation. These simulations support analysis of observed events and hypothetical scenarios; their results depend on the climate assumptions entered.

ClimRad also includes a global natural catastrophe database compiled by Earthian AI, covering individual events since 2000. It records total economic losses and insured losses where available, allowing users to compare events across countries and hazards and assess the share of losses left uninsured. These records complement the modelled growth effects by documenting the economic and insurance costs of reported disasters.

Link to ClimRad : <https://climrad.earthianai.com/>



Global climate trends in 2025

Global temperatures eased in 2025 but remained far above their historical level (Figure 1a). Global average temperatures declined from 18.8°C in 2024 to 18.5°C in 2025. Relative to the 1950–1970 baseline, this corresponds to an anomaly of +1.38°C and remains the third-highest reading since 1950. The decline partly reflects the fading influence of the 2023–2024 El Niño and the return to neutral conditions during 2025. Looking beyond annual fluctuations, the mean anomaly increased from +1.08°C in 2020–2022 to +1.53°C in 2023–2025. The estimated rate of warming also rose from around 0.28°C per decade between 1980 and 2010 to approximately 0.5°C per decade thereafter. The moderation in 2025 therefore does not alter the acceleration visible in the longer-term series.

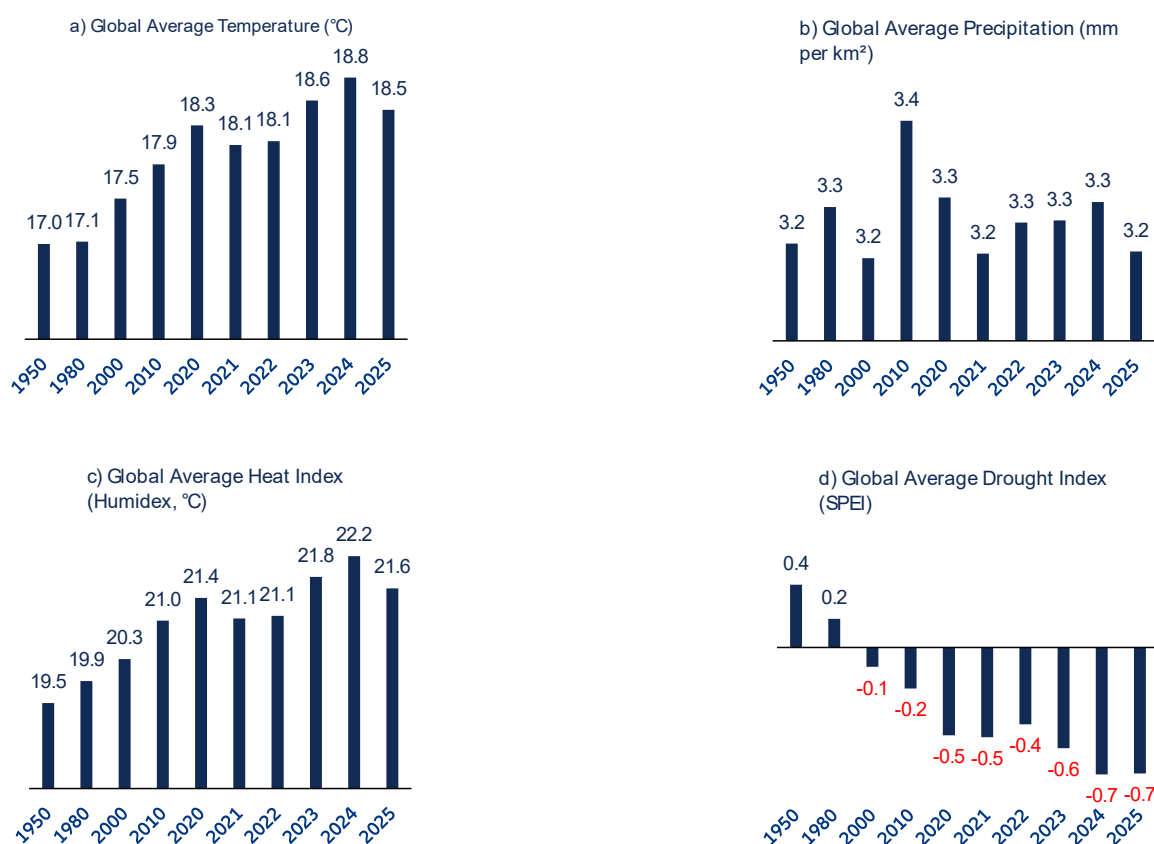
Global average precipitation remained broadly stable (Figure 1b). It stood at an average of 3.2 mm per Km² in 2025², the same level as in 1950 and within the narrow 3.2–3.4 mm per Km² range observed across the selected years. Measured against the 1950–1970 baseline, precipitation anomalies have fluctuated between –0.03

and +0.22 without establishing a persistent trend. This global stability should be interpreted carefully. An annual average does not capture where precipitation occurs, how it is distributed over the year, or whether it falls in short and intense episodes. Previous research finds increasing precipitation variability across much of the global land area and stronger precipitation extremes in both dry and wet regions (Donat et al., 2016³ ; Pendergrass et al., 2017⁴). A stable global average can therefore coexist with regional rainfall deficits and more intense precipitation events.

² Measured as total yearly precipitation per country related to its area

³ [More extreme precipitation in the world's dry and wet regions | Nature Climate Change](#)

⁴ [Precipitation variability increases in a warmer climate | Scientific Reports](#)

Figure 1: Global climate development 1950 – 2025

Sources: ClimRad, Allianz Research

Economic losses from extreme weather declined in 2025 but remained above their pre-2020 average (Figure 2a). Losses fell from USD307bn in 2024 to USD210bn in 2025, a decline of 32%. This decline may partly reflect the relatively lower temperatures recorded in 2025 than in 2023 and 2024, as warmer-than-average years tend to be associated with more frequent extreme weather events (Box 2). The 2025 total was nevertheless 20% above the 2000–2019 average of USD176bn. Every year since 2020 has exceeded that reference level, while average annual losses over 2020–2025 reached USD271bn, 54% above the earlier period. Annual totals are highly sensitive to a small number of major catastrophes: the January 2025 Los Angeles wildfires alone generated close to USD60bn, equivalent to

28% of the year's recorded losses. The decline in 2025 should therefore not be interpreted as evidence that the underlying hazard has diminished.

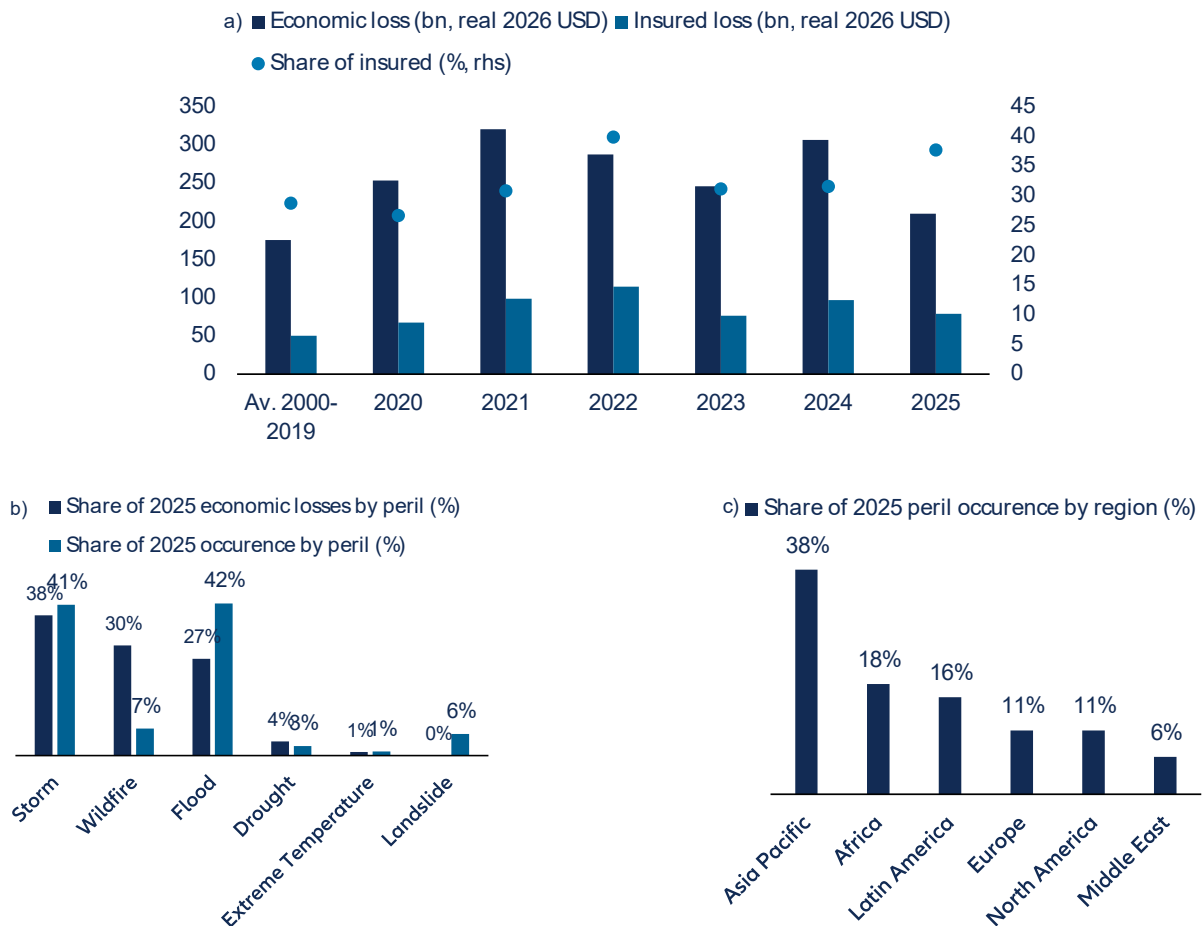
Insured losses declined less sharply, raising the share of economic losses covered by insurance (Figure 2a). Insured losses fell by 18%, from USD97bn in 2024 to USD79bn in 2025, while the insured share increased from 32% to 38%. Average insured losses reached USD89bn a year over 2020–2025, 76% above the 2000–2019 average of USD50bn. This exceeded the corresponding 54% increase in economic losses. Nevertheless, uninsured losses also rose substantially, averaging USD182bn a year over 2020–2025 compared with USD125bn during 2000–2019, an increase of 45%.

The 2025 protection gap of USD131bn was close to the historical average, but this mainly reflects the lower total loss recorded that year rather than a sustained narrowing of the gap. Nor does the increase in the insured share necessarily indicate a general expansion in coverage, since the proportion insured also depends on the geographical and peril composition of annual losses.

Event frequency and economic severity differed markedly across perils in 2025 (Figure 2b). Floods accounted for 42% of the 271 events in the sample and storms for another 41%. Together, they represented 83% of recorded events but 65% of economic losses. Wildfires showed the opposite pattern: they accounted for only 7% of events but generated 30% of reported losses, largely because of the Los Angeles fires. Landslides represented 6% of events, but almost none of the recorded losses. This is more likely to reflect incomplete loss information, particularly for smaller events, than an absence of economic damage.

The geographical distribution reveals a similar divergence between event occurrence and recorded losses (Figure 2c). Asia Pacific accounted for 38% of events, followed by Africa at 18% and Latin America at 16%. Europe and North America each represented 11%, while the Middle East accounted for 6%. Economic losses were distributed very differently. North America generated approximately 58% of reported losses from 11% of events, whereas Africa accounted for 18% of events but less than 1% of losses. This divergence reflects differences in asset values, vulnerability and the completeness of loss reporting rather than just hazard intensity.

Figure 2: Extreme weather events: losses, protection gap and 2025 composition



Sources: ClimRad, EarthianAI, Allianz Research

Box 2: Higher likelihood of extreme weather events during warmer years

The analysis in Figure 3 examines whether weather-related disasters occur more frequently during relatively warm years than during relatively cool years. The comparison is conducted within countries rather than against a single global temperature threshold. For each country, annual temperature anomalies over 1999–2025 are divided at the country-specific median. A year is classified as warm when its anomaly is above that median, and as cool when it is equal to or below it. This approach creates a broadly balanced comparison and avoids defining almost all recent years as warm simply because temperatures have risen over time. For each region and hazard, the chart reports the ratio between event frequency in warm years and event frequency in cool years. A value above one indicates higher frequency in warm years, a value below one indicates lower frequency, and a value close to one suggests little difference. Earthquakes are shown as a placebo because their occurrence should not be affected by temperature.

The results indicate that warmer years are associated with more frequent weather-related disasters, although the relationship differs across hazards and regions. Drought provides the most consistent signal. Its frequency ratio ranges from 1.26 to 1.31 across all regions, meaning that drought events occur around 26% to 31% more often in warmer years. Wildfire frequency also rises strongly in several regions, particularly Oceania, where the ratio reaches 2.24, followed by the Americas (central and south America) at 1.97 and Asia at 1.70. The relationship is weaker in North America and absent in Africa and Europe.

Extreme-temperature events are more heterogeneous. Their frequency rises markedly in Oceania, Africa and Europe, remains broadly unchanged in Asia, and falls in the Americas and North America. Storm frequency increases in the Americas, North America and Europe, while flood occurrence remains close to parity in most regions. Landslides show no common regional pattern.

Figure 3: Frequency of extreme weather events in warmer versus cooler years, by region and hazard (1999–2025)

Continent	Drought	Extreme Temp.	Flood	Landslide	Storm	Wildfire	Placebo* Earthquake	
Africa	1.29	1.54	1.08	2.1	0.86	0.92	0.59	
Americas	1.29	0.31	0.97	0.81	1.38	1.97	0.84	
Asia	1.31	0.99	1.14	0.87	1.01	1.7	1.05	
Europe	1.29	1.47	0.9	1.05	1.25	0.91	1.46	
N. America	1.26	0.61	1.02	0.66	1.33	1.46	1	
Oceania	1.29	2.15	0.9	1.35	0.96	2.24	0.75	
Event frequency: Warmer versus cooler years								
Where:								
>1.0 = events happen more often in a country's warmer-than-median years than in its cooler years								
1.0 = no difference between warmer and cooler years								
<1.0 = events happen less often in warmer years than in cooler years								
* Placebo: earthquakes (no climate link); near 1.0 return ratios confirm non-manufactured signals								

Sources: ClimRad, EarthianAI, Allianz Research



Country-level climate risk in 2025

Northern and Eastern European countries have moved sharply up the global temperature-anomaly ranking since 1980. Figure 4 shows the positions of the 52 focus countries in 1980, 2000 and 2025, measured against their respective 1950–1970 averages. Countries are ranked across the full dataset, with first place indicating the largest anomaly, although only the focus countries are displayed⁵. Magenta lines mark gains of at least five places, cyan lines mark equivalent declines, and dark blue denotes smaller changes. The anomaly values beside the labels shows that losing rank does not necessarily mean cooling, as a country can continue to warm while others warm faster.

Slovakia climbs 140 places, followed by Lithuania and Slovenia (139), Latvia (138) and Poland (135). Sweden, Romania, Finland and Estonia each gain more than 120 places. Norway has the largest anomaly among the focus countries in 2025, at +3.74°C, placing it third globally, up from 78th in 1980. Switzerland, Sweden, Estonia, Finland and Slovakia all exceed +2.6°C. Much of this regional shift was already visible in 2000, although individual countries followed uneven paths.

Several mechanisms help explain Europe's position.

Land warms faster than oceans, while the retreat of snow and sea ice amplifies warming at northern latitudes. Declining air pollution has also removed some of the cooling influence of sulphate aerosols. Nabat et

al. (2014) estimate that aerosol changes accounted for $23 \pm 5\%$ of simulated surface warming across the Euro-Mediterranean region between 1980 and 2012, a period overlapping much of the chart's observation window.⁶ Atmospheric circulation provides another influence, particularly on summer extremes. Vautard et al. (2023) attribute 0.8°C of the 3.4°C increase in Western European summer heat extremes per degree of global warming to circulation changes⁷. These findings help explain the regional pattern observed in Figure 4.

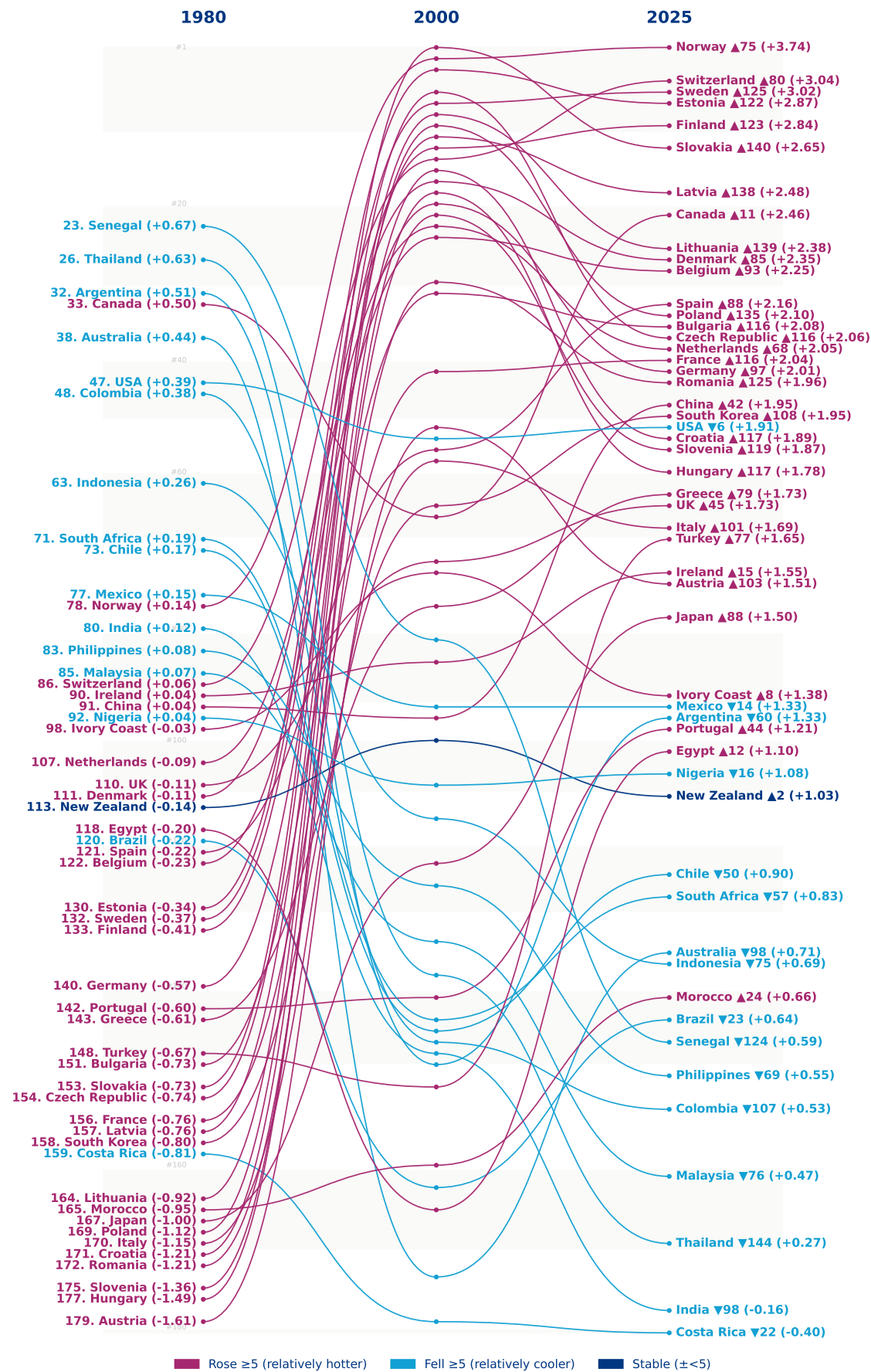
The largest falls in rank occur mainly among tropical and Southern Hemisphere countries, but they reflect different temperature trajectories. Thailand loses 144 places, Senegal 124, Colombia 107 and Australia 98. Thailand's anomaly is lower at the selected endpoints, falling from +0.63°C in 1980 to +0.27°C in 2025. Indonesia and Australia follow a different path: their anomalies rise from +0.26°C to +0.69°C and from +0.44°C to +0.71°C, respectively, yet they lose 75 and 98 places because anomalies increase more rapidly elsewhere. A decline in rank can therefore reflect either a lower anomaly in 2025, or continued warming at a slower rate than in other countries.

⁵ For readability, the main text reports results only for OECD countries and selected large economies from each region.

⁶ [Contribution of anthropogenic sulfate aerosols to the changing Euro-Mediterranean climate since 1980 - Nabat - 2014 - Geophysical Research Letters - Wiley Online Library](#)

⁷ [Heat extremes in Western Europe increasing faster than simulated due to atmospheric circulation trends | Nature Communications](#)

Figure 4: Temperature-anomaly rank movement (1980-2025)



Sources: ClimRad, Allianz Research

Ocean influence helps explain part of this pattern, particularly among island and coastal economies such as Indonesia. Observational evidence shows that continental surfaces have warmed more rapidly than oceans, reflecting differences in moisture availability and the atmospheric response to ocean warming (Byrne and O’Gorman, 2018)⁸. This mechanism may moderate temperature changes in strongly maritime climates, but it does not provide a common explanation for all the countries moving down the ranking.

The ranking also reflects the climate conditions prevailing in 2025. Weak La Niña conditions were present early in 2025, ENSO-neutral conditions subsequently became established, and borderline La Niña conditions emerged by November (WMO, 2025)⁹. ENSO affects surface temperatures through changes in atmospheric circulation, rainfall and cloud cover, with particularly strong teleconnections across tropical regions and the Southern Hemisphere. Its influence nevertheless extends across the global snapshot and is not confined to countries moving down the ranking.

Figure 5 combines two complementary indicators of country-level climate risk in 2025. The Climate Change Score (CCS) measures the extent to which current conditions differ from the 1950–1970 climate baseline. It combines anomalies in mean temperature, extreme heat, drought and precipitation and therefore captures the strength of the recent climate-change signal. The Climate Stress Score (CSS) measures the absolute severity of current heat, drought and precipitation relative to physically meaningful thresholds. The CCS indicates how rapidly a country’s climate is moving away from its historical conditions, while the CSS indicates how stressful those conditions are in 2025. The two indicators are presented on a common scale from zero to one, with the dashed lines at 0.5 separating higher and lower scores. The detailed construction and all countries results of both indicators are provided in Appendices A1 and A2.

The upper-right quadrant identifies countries where strong historical change coincides with high current stress. Nigeria records the highest CSS among the countries assessed, at 0.94, together with a CCS of 0.84. The Philippines shows the reverse configuration: its CCS reaches 0.94, while its CSS remains high at 0.64. Malaysia, Brazil, Côte d’Ivoire, Morocco and Turkey also fall within this quadrant. These countries face the

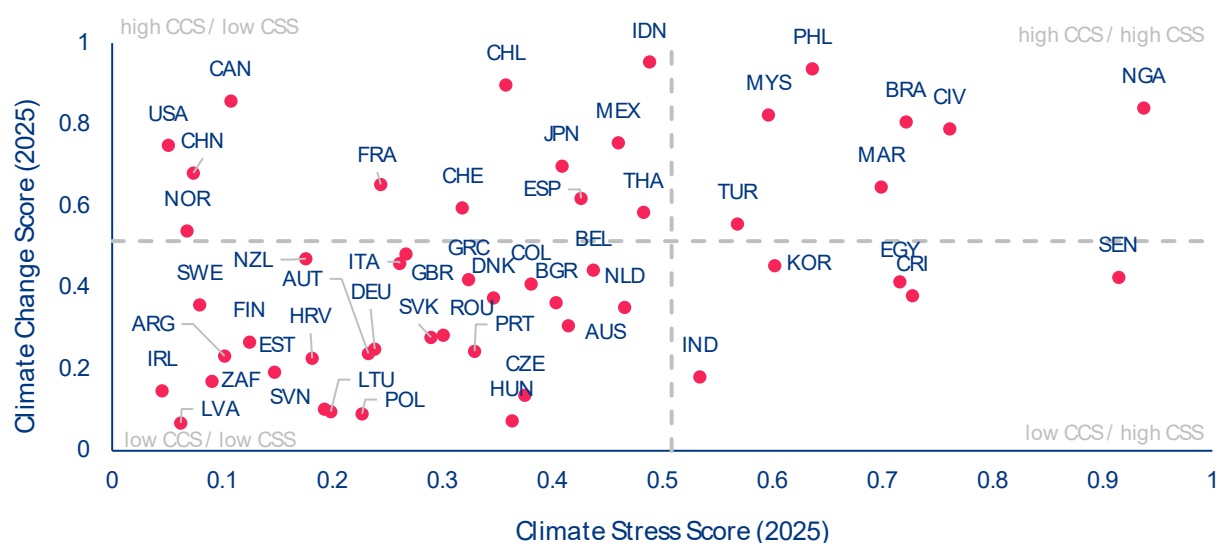
most immediate combination of risks because present conditions are already severe and continue to diverge substantially from their historical climate.

The other two upper quadrants show why the indicators should be interpreted jointly. Indonesia records the highest CCS in the sample, at 0.95, but its CSS remains just below the 0.5 threshold. Canada, Chile, the United States, Mexico, Japan, France and China follow a similar pattern. Their 2025 climate conditions represent a marked departure from the historical baseline, even where the absolute level of climate stress remains comparatively contained. Risk assessments based only on current severity would understate the speed of change in these countries. Senegal, Egypt, Costa Rica, South Korea and India show the opposite configuration. Their CSS exceeds 0.5 despite a lower CCS. In India, for example, the CSS reaches 0.53 while the CCS is only 0.18. This indicates substantial current stress that is less unusual relative to the country’s own historical conditions. A low change score therefore does not imply low exposure; it may instead reflect a climate that was already structurally hot, dry or precipitation-intensive.

Most European countries lie in the lower-left quadrant, including Germany, Austria, Poland, Portugal and the Nordic and Baltic economies. Their 2025 scores remain below 0.5 on both dimensions. This should be interpreted as lower relative risk within the framework, rather than an absence of climate risk. The figure captures conditions in a single year, and countries close to either threshold may shift quadrants as heat, drought and precipitation conditions evolve.

⁸ [Trends in continental temperature and humidity directly linked to ocean warming | PNAS](#)

⁹ [El Niño/La Niña Update \(November 2025\)](#)

Figure 5: Country-level climate risk in 2025

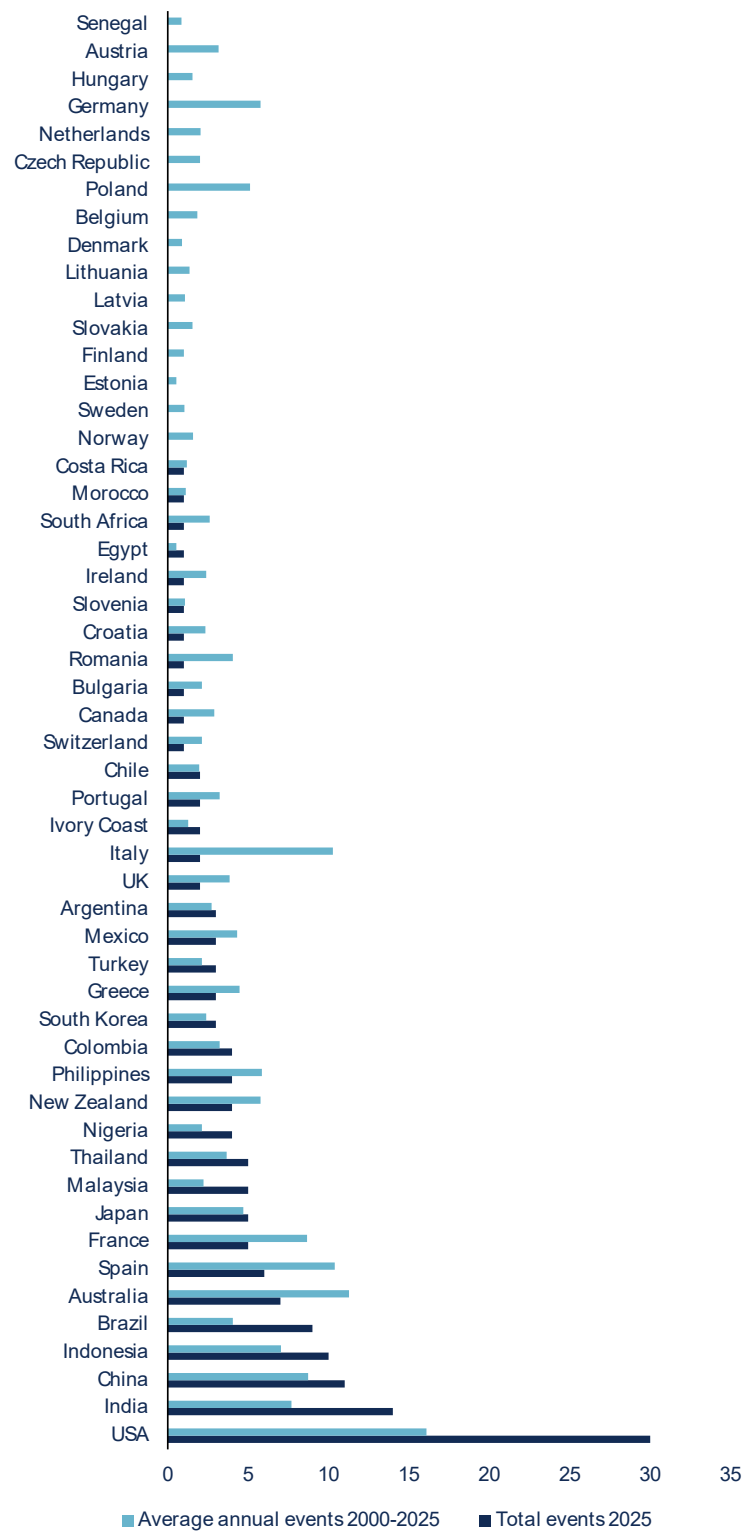
Sources: ClimRad, Allianz Research

Recorded extreme-weather activity in 2025 was concentrated in a relatively small group of countries (Figure 6, see Appendix A3 for the full list of countries)¹⁰. The United States stands apart, with 30 recorded events compared with an annual average of around 18 since 2000. India follows with 14 events, against a historical average of 10, while China records 11 compared with nine and Indonesia 10 compared with seven. The increase is also notable in Brazil, where nine events were recorded against an average of four, and Malaysia, with five against two. These figures show that 2025 was unusually active in several large and highly exposed economies, although the difference from the historical average varies considerably across countries.

The country totals also conceal very different combinations of hazards. In the United States, the 2025 count is dominated by storms, which account for 21 of the 30 events, alongside five floods, three wildfires and one drought. India's 14 events comprise seven storms, five floods and two landslides. Flooding is the main driver in Indonesia, accounting for seven of its 10 events, while China records a more even combination of storms, floods and landslides. Brazil's total includes storms, floods, a wildfire and a landslide.

High event activity was not universal. Australia records seven events in 2025, below its historical annual average of around 11. Spain records six compared with an average of 10, France five compared with nine and Italy two compared with 10. No qualifying event is recorded for Germany or Poland in 2025, despite historical averages of approximately six and five events a year, respectively. These differences reflect the strong year-to-year variability of extreme weather and should not be interpreted as evidence that the underlying hazards have diminished.

Figure 6: Extreme weather event occurrence per country in 2025



Sources: ClimRad, Earthian, Allianz Research

Economic losses in 2025 were highly concentrated, but their national significance depends on the size of the affected economy (Figure 7). Thailand records the largest relative burden among the 52 countries, with reported losses of USD16.7bn, equivalent to 2.9% of GDP. This is well above its average annual loss of 1.1% of GDP over 2000–2025. Most of the 2025 total comes from the November 2025 floods, estimated at USD15.7bn, with a further USD950mn associated with Typhoon Bualoi. The concentration of losses in a small number of events shows how one severe episode can dominate a country's annual result.

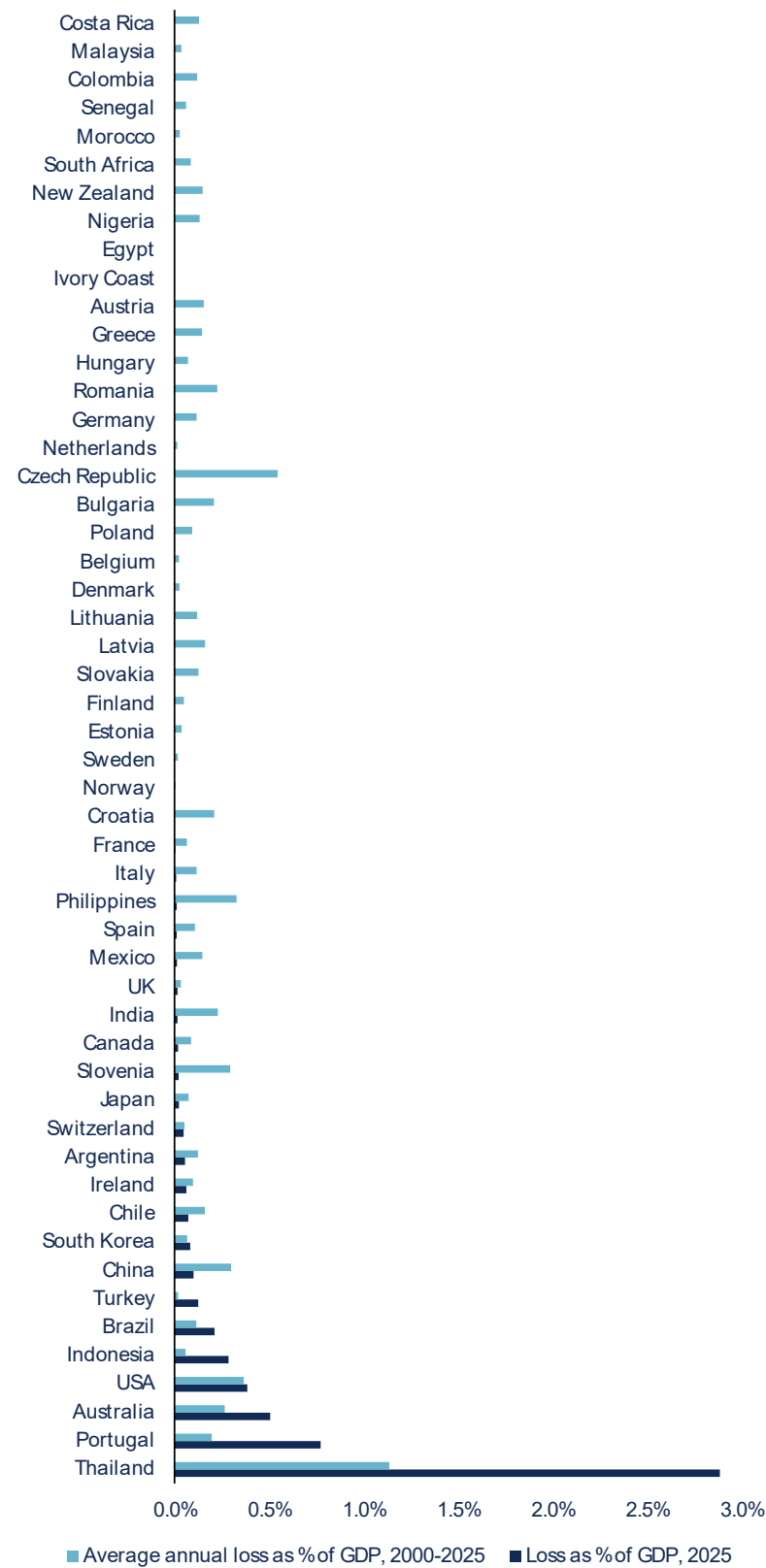
Portugal ranks second relative to GDP. Its reported wildfire losses of USD2.7bn represent 0.8% of economic output, four times the historical annual average of 0.2%. Australia follows at 0.5% of GDP, compared with an average of 0.3%. Its USD9.3bn total is largely associated with Ex-Tropical Cyclone Alfred and another major storm later in the year. In each of these countries, the 2025 burden was therefore unusually high because a few events generated losses that were large relative to the domestic economy.

The ranking changes considerably when losses are considered in absolute terms. The United States records by far the largest monetary loss, at approximately USD118.5bn. Nearly half of this amount is associated with the Los Angeles County wildfires, while severe convective storms, floods and drought account for much of the remainder. Yet the total corresponds to around 0.4% of US GDP, broadly in line with the country's historical average. China provides another example: reported losses reach USD19.8bn, but amount to only 0.1% of GDP, below its historical average of 0.3%. Large economies can consequently absorb very substantial monetary losses without appearing at the top of a GDP-normalized ranking.

Indonesia and Brazil occupy an intermediate position.

Indonesia records losses of USD4.1bn, equivalent to 0.3% of GDP, compared with a historical average of 0.1%. Brazil's USD4.8bn loss represents 0.2% of GDP, also above its long-term average of 0.1%. These cases underline the value of presenting both measures: absolute losses indicate the financial scale of an event, while the loss-to-GDP ratio provides a first indication of its weight relative to national economic capacity.

Figure 7: Extreme weather event associated economic loss to GDP per country in 2025



Sources: ClimRad, Earthian, Allianz Research



2026 climate event deep dive: Europe's summer heatwaves

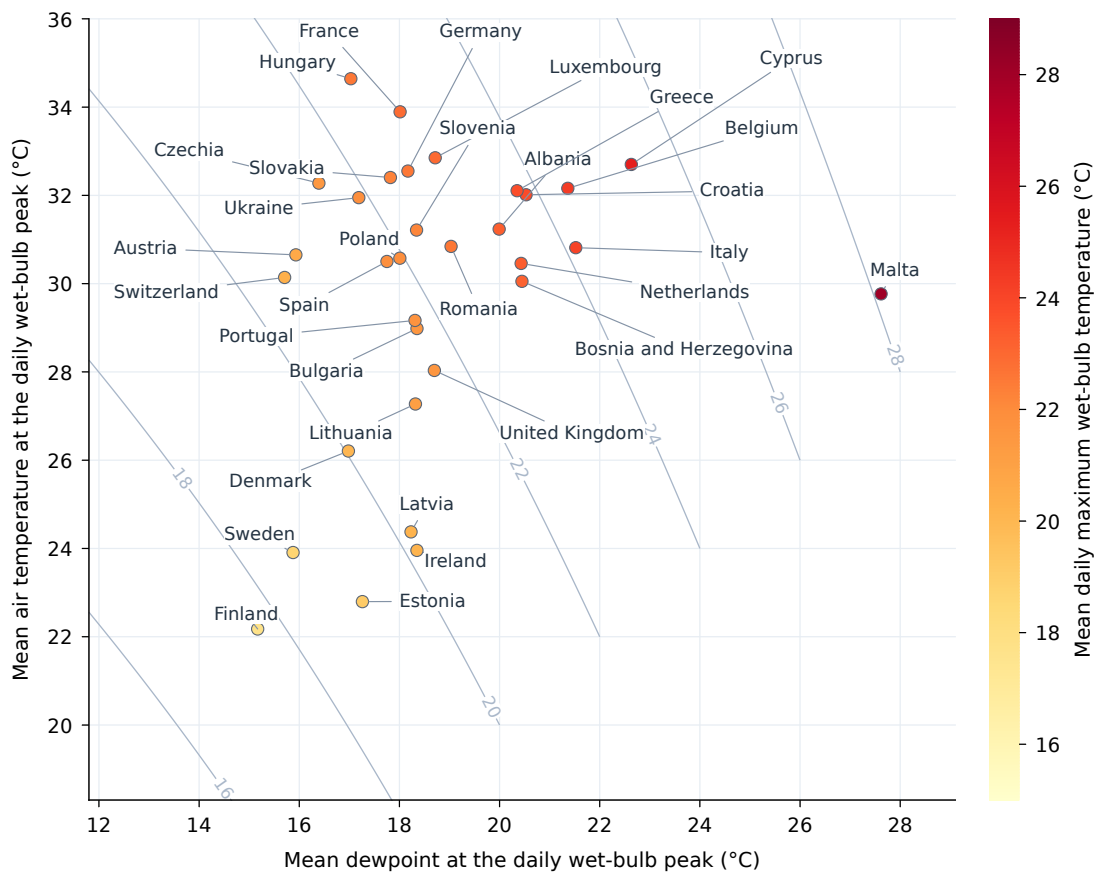
Europe's heatwaves extended across the summer, with the most intense exposure occurring at different times across countries. France, Germany and Belgium recorded their highest five-day heat exposure in late June, followed by Italy and Greece in July, and Spain, Portugal and Cyprus in August. These differences shape the assessment of economic losses, which uses each country's most intense five-day period between June and August 2026.

Humidity plays an important role in the severity of heat exposure (Figure 8). It limits the body's ability to cool, so the highest air temperatures do not always coincide with the greatest heat stress. We capture this combined effect using wet-bulb temperature, calculated from hourly ERA5 weather data. National averages give greater weight to more populated areas, bringing the assessment closer to the conditions people experience. For each country, temperature and dewpoint during the five-day period with the highest average daily peak in heat stress provide the inputs to calculate the annual output-loss estimates (Appendix A4).

The summer's peak heat exposure is associated with an estimated EUR113bn in annual GDP losses across the 30 countries assessed, equivalent to around 0.46% of their combined projected GDP in 2026 (Figure 9). The estimates use each country's most intense five-day period between June and August 2026 to calculate the heat-related reduction in annual GDP growth, expressed in percentage points (Appendices A4 and A5). For each country, we first construct a reference GDP projection for

2026 by applying the projected annual real GDP growth rate to its 2025 GDP. We then reduce that growth rate by the estimated heat-related growth loss, expressed in percentage points, and recalculate the 2026 GDP level. The difference between these two projections gives the estimated annual output loss associated with the observed heat exposure. Monetary losses are expressed in euros, holding prices and exchange rates constant between the two projections.

Italy, Germany and France account for almost two-thirds of the estimated monetary loss. Italy records the largest burden at EUR27.8bn, followed by Germany at EUR25.0bn and France at EUR20.1bn. Adding Belgium at EUR9.4bn and the Netherlands at EUR9.2bn brings the share of these five economies to 81% of the total. Economic size explains much of this concentration, but the intensity of the estimated growth shock also matters. Italy's loss exceeds Germany's despite its substantially smaller economy, as its growth impact reaches 1.19pp against 0.54pp in Germany.

Figure 8: Population-weighted peak heat exposure in Europe, June–August 2026

Sources: ERA5, Allianz Research

The largest proportional burdens fall on a different group of countries. Cyprus has the strongest estimated growth impact at 1.74pp, followed by Belgium at 1.41pp, Italy at 1.19pp, Croatia at 1.08pp and Greece at 1.03pp. For Cyprus, this translates into approximately EUR0.7bn, or 1.7% of projected annual GDP. Germany's much larger monetary loss corresponds to around 0.53% of GDP.

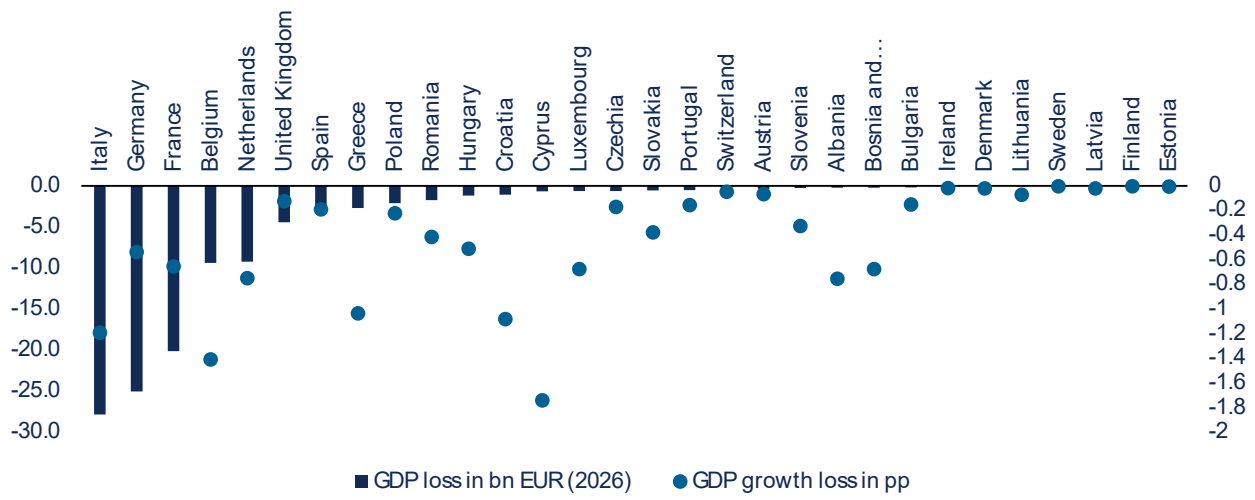
The results also show why air temperature alone is not sufficient metric to economic heat exposure. During Italy's selected period, the population-weighted air temperature averages 30.8°C and the dewpoint 21.5°C. Hungary is considerably hotter at 34.6°C, but its dewpoint is lower at 17.0°C. Their corresponding mean daily maximum wet-bulb temperatures are 24.1°C and 22.6°C, respectively, and the model estimates a larger growth loss for Italy: 1.19pp against 0.51pp in Hungary. Humidity helps explain why some countries with less striking air temperatures nevertheless face substantial heat stress. This interpretation is consistent with firm-level evidence across 23 advanced economies: Costa et al. (2024) find that high humidity and longer heatwaves amplify the adverse effects of heat on labor productivity¹¹.

Heat can reduce output without causing visible damage to buildings or equipment. Workers may work more slowly, require longer breaks or miss work altogether. Evidence from Indian manufacturing links hot conditions to both lower worker productivity and increased absenteeism, while finding that climate control mitigates productivity losses. These findings help explain how heat exposure can translate into lost production, although they do not establish the size of the European losses estimated here. The national results also conceal differences between workplaces: population weighting brings the calibration closer to where people experience heat, but does not directly measure occupational exposure, access to cooling or firms' capacity to reorganize work¹².

¹¹ [The heat is on: Heat stress, productivity and adaptation among firms | OECD](#)

¹² [The Impact of Temperature on Productivity and Labor Supply: Evidence from Indian Manufacturing | Journal of Political Economy: Vol 129, No 6](#)

Figur 9: Estimated real GDP cost for the 2026 European heatwave



Source: ClimRad, Allianz Research



The 2027 climate outlook

2027 is likely to be another year of exceptional global heat and has a credible chance of becoming the warmest year on record. The WMO projects annual global mean near-surface temperatures at between 1.3°C and 1.9°C above the 1850–1900 average during 2026–2030¹³. It estimates an 86% probability that at least one of these years will surpass 2024 as the warmest recorded, a 91% probability of another annual exceedance of 1.5°C and a 75% probability that the five-year mean will exceed that level. No final ranking can yet be assigned to 2026, and the WMO does not provide a separate probability for 2027. However, its lead author specifically identifies 2027 as a potential record year because El Niño is expected to peak towards the end of 2026. A June 2026 research places annual global surface air temperature (GSAT) close to 1.7°C in 2027¹⁴.

El Niño will add a temporary boost to temperatures in 2027, rather than explain the underlying warming trend. The forecast strengthened markedly during 2026. The WMO's May outlook indicated a tendency towards El Niño, particularly in 2027 and 2028; by September, the event was firmly established and considered almost certain to persist through February 2027. This was the first time a WMO El Niño/La Niña Update had been so unequivocal about the persistence of an event. The Niño 3.4 anomaly averaged 1.5°C during May–July and had risen to between 2.2°C and 2.6°C by mid-August, while

subsurface anomalies exceeded 8°C in places. The WMO projects a Niño 3.4 anomaly of around $3.6 \pm 0.4^\circ\text{C}$ for September–November, followed by a peak towards the end of 2026¹⁵. Since the global temperature response can extend beyond the peak in Pacific warming, part of the additional effect is likely to carry into 2027^{16 17}.

The weather outlook combines a widespread heat signal with much less uniform rainfall risks. The latest WMO seasonal forecast favors above-normal temperatures across almost all land areas entering 2027, including strong signals over most of Australia, southern Africa and large parts of South America. Rainfall patterns are more divided. Drier conditions are favored over the Indian subcontinent, southern Central America and the Caribbean, and northwestern and northern coastal South America; wetter conditions are favored across parts of North America, the Greater Horn of Africa and southeastern South America. The rainfall signal over Australia remains weak. These forecasts describe the conditions leading into 2027, not the whole year. Moreover, the strength of El Niño does not determine the severity of impacts in each country, which will also depend on the timing of the event and on conditions in the Indian and Atlantic Oceans.

¹³ [Global Annual to Decadal Climate Update 2026-2035](#)

¹⁴ [Getting even hotter: Researchers predict global warming of 1.7 degrees by 2027 - University of Graz](#)

¹⁵ [Global Seasonal Climate Update for September-October-November 2026](#)

¹⁶ [Evolution of El Niño–Southern Oscillation and global atmospheric surface temperatures - Trenberth - 2002 - Journal of Geophysical Research: Atmospheres - Wiley Online Library](#)

¹⁷ [El Niño set to become very strong, raising risks of extreme weather into 2027](#)

A record-hot 2027 would represent another annual exceedance of 1.5°C, but would not by itself establish a breach of the Paris temperature goal. Applying their published extrapolation method, Kirchengast and Pichler (2025)¹⁸ place the 20-year warming level centered on 2024 at 1.39 [1.29–1.49]°C GSAT. The June 2026 research extends this estimate to $1.55 \pm 0.10^\circ\text{C}$ GSAT for the center year 2027. Both figures are observation-constrained and projection-assisted, with projections accounting for a larger part of the 2027 window. Dividing the latter estimate by the authors' 1.06 GMST-to-GSAT factor gives approximately 1.46°C in global mean surface temperature. This is broadly consistent with Foster and Rahmstorf's (2026)¹⁹ finding that, if the recent GMST trend continues, the long-term 1.5°C level will be reached before 2030. El Niño may therefore determine whether 2027 sets a new annual record; emissions will determine whether warming subsequently settles above the Paris threshold.

El Niño is likely to have small to moderate economic effects in 2027, but their direction and scale vary markedly across countries (Figure 10a).

Most economies experience lower output as higher temperatures weigh on productivity and activity. A smaller group sees relatively cooler conditions than in the baseline, modestly supporting growth. This is compatible with an exceptionally warm year globally: the temperature response to El Niño is geographically uneven, and individual countries can move in opposite directions around the rising global trend.

The estimates use the 2023–2024 super El Niño to calibrate the country-level temperature response.

For each country, we use the change in temperature recorded during that episode to construct the corresponding 2027 shock. This is then translated into effects on GDP growth, headline inflation and food inflation. The economic baseline combines 2026 real GDP with 2027 growth assumptions from the IMF World Economic Outlook, supplemented by World Bank forecasts where necessary. Monetary effects are expressed in constant 2021 PPP-adjusted USD. The exercise should be interpreted as a temperature-channel scenario rather than a precise country forecast, since rainfall, crop losses and physical damage could alter the eventual outcome. Figure 10a presents a selection of countries, while Appendix A6 reports the full results.

The global monetary cost is driven as much by the size of the affected economies as by the severity of their individual shocks. Among the 144 countries with complete GDP data, 109 record lower output, 34 record gains and one is broadly unchanged. Gross losses reach an estimated USD488bn, partly offset by USD37bn of gains, leaving a net reduction of around USD451bn, or 0.24% of their combined projected GDP in 2027. China records the largest monetary loss, at USD147bn, with GDP 0.38% below baseline. It is followed by the US at USD91bn, or 0.33%, and India at USD50bn, or 0.30%. Together, these three economies account for almost 60% of the gross loss. The proportional effects are larger in South Korea and Indonesia, at 0.51% and 0.41% of baseline GDP, respectively, although their monetary losses are lower at USD15bn and USD19bn. France, Argentina, Nigeria and the UK are among the larger economies on the other side of the distribution, with estimated gains ranging from USD2bn to USD7bn.

The EU-27 aggregate conceals a marked divide between countries.

Output falls below baseline in 21 member states, generating gross losses of USD37.3bn. Gains of USD13.3bn in the other six reduce the net EU-27 cost to around USD24bn, equivalent to 0.09% of projected GDP. Italy, Poland and Germany record the largest monetary losses, at approximately USD7.0bn, USD6.7bn and USD6.3bn, respectively. Greece experiences the largest proportional decline among the EU countries shown, at 0.55%, but its smaller economy limits the monetary loss to USD2.3bn. France provides the largest offset, with a gain of USD7.3bn, followed by Spain at USD2.7bn and Ireland at USD2.4bn. The relatively small EU-wide effect therefore reflects offsetting national outcomes rather than a uniformly limited exposure.

The inflationary effects are broader than the output effects and are generally stronger for food prices (Figure 10b).

Across the countries with complete GDP data, a PPP-GDP-weighted summary points to an increase of 0.42pp in headline inflation and 0.65pp in food inflation. The corresponding EU-27 effects are 0.31pp and 0.50pp. The largest increases are concentrated in Northern and Eastern Europe. Headline inflation rises by around 1.5pp in Estonia, Latvia, Sweden and Poland, while food inflation increases by between 2.35pp and 2.57pp. Among the

¹⁸ [A traceable global warming record and clarity for the 1.5°C and well-below-2°C goals | Communications Earth & Environment](#)

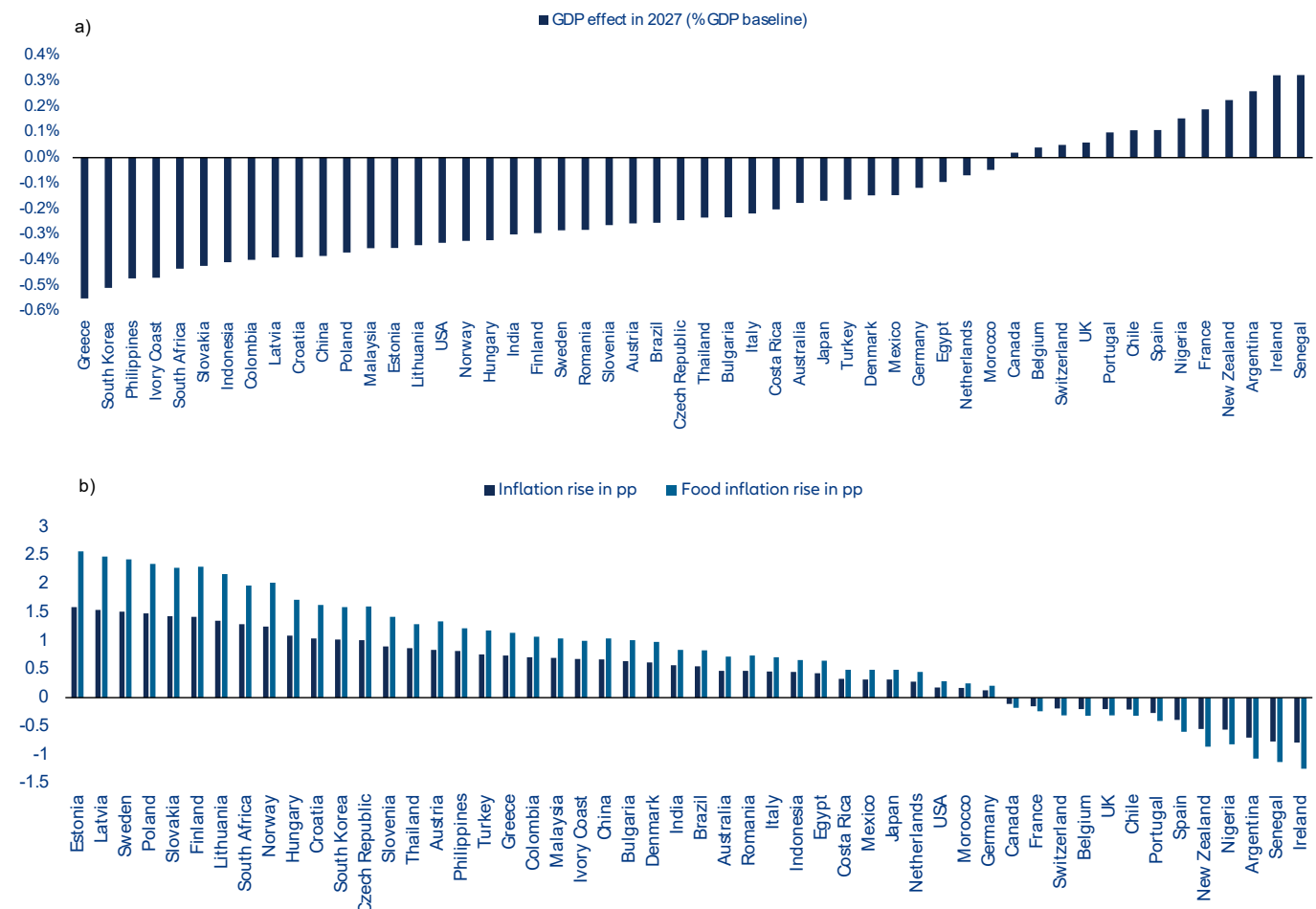
¹⁹ [Global Warming Has Accelerated Significantly - Foster - 2026 - Geophysical Research Letters - Wiley Online Library](#)

major economies, South Korea records increases of 1.02pp in headline inflation and 1.59pp in food inflation. The corresponding effects reach 0.67pp and 1.04pp in China, 0.57pp and 0.84pp in India and 0.18pp and 0.29pp in the US. Countries receiving a more favorable temperature impulse generally move in the opposite direction: inflation declines in Ireland, Argentina, Spain, France and the UK. The stronger response of food prices means that the household effect could be more visible than the relatively moderate GDP percentages suggest, particularly in economies where food represents a large share of consumption.

These results should be read as a sensitivity analysis, not as a forecast of the realized economic effects of the 2026–2027 El Niño. The exercise assumes that country-level temperature responses broadly resemble those observed during the 2023–2024 episode. This pattern

could change with the strength, timing and geographical center of the event, as well as its interaction with the Indian Ocean Dipole, Atlantic sea-surface temperatures and regional atmospheric and soil-moisture conditions. The estimates pass the resulting temperature shocks through temperature-driven damage functions and therefore do not capture additional losses from discrete extreme events. These could include severe heatwave in southern and western Europe, flooding and landslides in Peru and Ecuador, drought and agricultural losses in Indonesia and southern Africa, wildfire conditions across parts of Southeast Asia, or changes in tropical-cyclone activity in the central and eastern Pacific. If such events materialize, the eventual economic cost could be substantially higher than the temperature-based estimates reported here.

Figur 10: Estimated GDP and inflation effects of El Niño in 2027



Source: ClimRad, Allianz Research



Adaptation responses to major climate events in 2025–2026

Recent climate events provide a practical test of how countries are adapting to rising physical risks. This section examines major weather and climate events recorded in 2025 and 2026 across Europe, Latin and Central America, North America, Asia-Pacific, Sub-Saharan Africa, and the Middle East and North Africa. Events were first screened for record or near-record severity in at least one material dimension, including hazard intensity, area affected, human consequences, economic or insured losses, and disruption to critical infrastructure. The final selection captures distinct regional patterns while limiting overlap between events with similar risk profiles.

For each event, we examine how the affected countries responded and whether the experience led to broader adaptation measures. The comparison covers the main adaptation priorities, measures already implemented or announced, and the funding committed or still required. It also distinguishes immediate emergency and recovery actions from longer-term efforts to reduce exposure and vulnerability. The aim is to identify where recent shocks have accelerated preparedness and investment, and where adaptation remains fragmented, reactive or insufficiently funded.

Europe

Europe is experiencing rapidly changing climate conditions, making previously rare extremes increasingly common. Preparedness, however, varies across countries and hazards. The events of 2025–2026 illustrate this shift across several hazards: extreme heat has become a recurrent threat across much of the continent, while persistent drought and water scarcity have affected both southern Europe and major river basins further north (Table 1). Wildfire activity reached unprecedented levels in the EU in 2025 and remained a major concern in the Mediterranean in 2026. Severe storms and flooding also continued to cause substantial impacts, particularly across southern and western Europe. The scale of these events is prompting new adaptation measures, including stronger EU wildfire preparedness, expanded heat health planning and new water resilience measures. Together, these developments highlight the need to strengthen adaptation not only where hazards are already well established, but also in regions where changing conditions are creating new or more frequent risks.

Table 1: Europe adaptation responses to major climate events, 2025–2026

Events	Countries affected	Key adaptation strategies	Measures implemented / planned	Budget needed / budget available
Heatwaves 2026: ≥35,000 excess deaths (Germany ~14,000, its worst on record) 2025: ~16,500 climate-attributed deaths	Widespread across Europe	Heat-health action plans (early warning, at-risk registries, health-system readiness); urban cooling & greening (street trees, reflective/green roofs); passive cooling & building/hospital retrofits.	WHO/Europe 2nd-edition Heat-Health Action Plan (8-element framework); HHAPs cut heat deaths ~25% where in place but <50% of WHO-Europe states have a national, mostly reactive plan[1]; building renovation/ cooling funded via EU renovation programmes; no EU-wide heat law.	~EUR100bn EU building renovation (not heat-specific); no dedicated EU heat budget line; cost of heat-proofing (cooling, retrofits, greening) largely not yet estimated.
Wildfires 2025: worst EU year on record (~1.08m ha) 2026: France, Spain & Belgium set national / single-fire records	Spain, Portugal, France, Greece, Italy, Cyprus; plus Belgium & UK / Scotland in 2026.	Fuel reduction & sustainable land/ forest management; fire-resilient landscapes & ecosystem restoration; early-warning & risk-monitoring systems; shared aerial & ground firefighting capacity; community preparedness.	EFFIS (forest-fire information & early-warning system); the EU Integrated Wildfire Risk Management Strategy, funded through the CAP; Civil Protection Mechanism, including rescEU : 777 firefighters, 22 aircraft and 5 helicopters prepositioned for 2026., plus a new regional hub and a permanent EU fleet from 2028.[2]	~EUR170m rescEU reinforcement plus CAP & cohesion funds (not fire-specific); no dedicated EU prevention fund. ~80% of EU wildfire funding goes to response, only ~20% to prevention.[3]
Drought 2025–26: widespread & persistent Summer 2026: ~50% of EU+UK land in drought; Loire, Po, Rhine & Danube at record lows	Mediterranean hotspots (Spain, Portugal, France, Italy); major river basins across Central & Western Europe.	Water Efficiency First; water reuse & efficiency; nature-based retention (soil & 'green water' storage); national drought-management plans; AI-based monitoring & early warning.	European Water Resilience Strategy sets 30+ actions and a 10% water-efficiency target by 2030, backed by a Water Resilience Forum[4]; national drought-management guidance is being issued to Member States, and the water sector is now covered by EU resilience rules.	EUR15bn EIB water-resilience facility (2025–27)[5]; calls for a dedicated, ring-fenced EU water fund are ongoing.
Storms (windstorms&severe convective storms / hail) Kristin & Iberian cluster (2026): EUR7.2bn economic loss Eowyn (2025): Ireland record loss SCS / hail (2025): top European insured-loss driver	Windstorms: Portugal, Spain, France, Italy, Ireland, UK, Malta, Greece, the Balkans. Hail / SCS: France, Austria, Germany, northern Italy.	Resilient & hail-resistant building codes; power-grid hardening; better exposure data; parametric & public-private insurance; closing the insurance protection gap.	Response runs through the EU Civil Protection Mechanism and the EU Solidarity Fund; on prevention, the ECB and EIOPA have proposed an EU-level scheme (reinsurance plus a public disaster fund) to narrow the protection gap, since only ~25% of EU NatCat losses are insured.[6]	No ring-fenced EU storm-protection budget; response relies on national reconstruction funds, the EU Solidarity Fund and private insurance. Core issue: the protection gap (Kristin >80% uninsured).
Floods 2025: modest EU insured losses 2026: main driver of Iberian-cluster damage	Southern & Western Europe (Iberia flash / pluvial); riverine basins across Central Europe.	Floodplain restoration & 'sponge cities'; upgraded flood defences; risk-based land-use planning; expanded or mandatory flood cover.	Covered by the EU Floods Directive and national insurance schemes, moving toward mandatory business cover; flood defences already cut losses substantially, but Southern-Europe investment is patchy and most exposure uninsured.	No dedicated EU flood-protection budget; funding via national schemes and the EU Solidarity Fund[7]; most flood-prone losses in Southern Europe remain uninsured.

Source: Allianz Research

Adaptation priorities differ across Europe, reflecting differences in exposure, vulnerability and existing preparedness. Europe has substantial capacity for emergency response, early warning and post-disaster support, but adaptation remains uneven and greater emphasis is needed on preventing and reducing risks before events occur. This is particularly important as hazards increasingly affect countries and regions with less experience of them: heat resilience needs to be integrated into building renovation, urban planning and health systems, while flood risk needs to be addressed through both infrastructure and more risk-sensitive spatial planning. In southern and increasingly water-

stressed parts of Europe, improving water efficiency, reuse and natural water retention will be central to managing drought risk. Meanwhile, in wildfire-prone areas, prevention through landscape management and community preparedness needs to complement growing firefighting capacity. A further European challenge is the significant gap between rising climate-related losses and available financial protection. Closing this insurance protection gap, alongside more systematic risk-informed planning and investment in prevention, will be important to reduce the growing costs of climate impacts.

Asia Pacific

Asia Pacific shows clear differences in adaptation maturity, with countries varying in how far they have moved from emergency response towards established prevention systems (Table 2). Australia presents the most developed framework: bushfire prediction, building standards, community resilience and dedicated funding are already embedded in national and local institutions, although implementation still varies by region. Japan also has strong emergency capacity, as shown by the extensive response to the Ofunato wildfire, but the balance remains tilted towards firefighting, evacuation and recovery rather than reducing forest-fire risk in advance. China occupies an intermediate position. Its response to Typhoon Ragasa combined forecasting technology, regional data sharing and rapid infrastructure restoration with clearly identified emergency funding. Cooperation around the Nepal–China floods also improved early warning, but lacked a dedicated adaptation budget. Indonesia has expanded hotspot monitoring, weather modification and local coordination, yet persistent land-management problems and the absence of a separate wildfire budget limit the shift from suppression to prevention. India ranks lower in terms of institutional consolidation: heat adaptation draws on building projects, welfare measures and climate-finance platforms, but delivery remains dispersed across schemes and jurisdictions. The regional pattern suggests that repeated exposure can strengthen operational capacity, while long-term adaptation advances more slowly when responsibilities and budgets are divided among several levels of government.

Table 2: Asia-Pacific adaptation responses to major climate events, 2025–2026

Event	Countries affected	Adaptation targets	Measures implemented / planned	Budget needed / budget available
Ōfunato Wildfire (2025)	Japan	Wildfire prevention and warning systems; forest and fuel management; firebreak and forest-road development; stronger firefighting capacity; wildfire-resilient communities[8]	Extensive firefighting, evacuation support and temporary housing; forest restoration was also provided. Current measures remain more focused on response and recovery than on long-term prevention[9]	Information not available
Australia Bushfires (2025/26)	Australia	Extended landscape and fuel management; stronger community preparedness and evacuation planning; wider use of fire-resilient building standards; stronger bushfire intelligence and early warning[10]	Extensive fire-prediction and early-warning systems; satellite hotspot monitoring and spread modelling; national bushfire building standards; community-resilience frameworks; continued investment in bushfire intelligence and preparedness. Overall, Australia has a relatively mature adaptation framework, although implementation and coverage vary across regions[11]	AUD 17.1mn for the Bushfire Community Recovery and Resilience Program in 2025-26; AUD 7.0mn over 2025-27 for the National Bushfire Intelligence Capability[12]
Indonesia Wildfires (2026)	Indonesia	Peatland and forest-fire prevention; hotspot monitoring and early warning, sustainable land and water management; stronger enforcement against fire-based land clearing; local preparedness in high-risk areas[13]	Hotspot monitoring; weather-modification operations; helicopter and aircraft deployment; water bombing; stronger central-local coordination. Measures in 2026 remain heavily focused on rapid suppression, while longer-term prevention and land-management challenges persist.[14]	No dedicated national wildfire budget exists — part of BNPB's overall disaster budget, which is planned to increase[15]
India extreme heat (2025, 2026)	India	Passive cooling and heat-resilient building design; enforceable worker protections; long-term heat action planning; climate-resilient health systems; better-calibrated insurance and finance tools[16]	Demo building projects; worker welfare levies and insurance pilots; health facility guidelines; farmer forecast alerts; early-stage national climate finance platform. Implementation remains fragmented and mostly small-scale or non-mandatory[17]	No dedicated national heat budget exists; ~INR 91,138 crore identified as 'directly relevant' across 27 schemes in the 2026-27 budget proposal[18]
Typhoon Ragasa (2025)	Cambodia, China, Laos, Philippines, Vietnam	Climate-resilient critical infrastructure; stronger coastal and urban flood protection; impact-based multi-hazard early warning[19]; regional data sharing and contingency planning[20]	Advanced forecasting and early-warning systems; large-scale evacuation and disaster management; regional data sharing; use of AI for cyclone monitoring, forecasting and impact assessment. Early-warning systems are relatively mature[21]	China allocated CNY 150m for disaster relief and CNY 200m for emergency infrastructure restoration[22]; Information not available for other countries
Nepal-China border flood (2026)	China, Nepal	Glacier and slope monitoring; cross-border data sharing; early-warning systems; climate-resilient transport and hydropower infrastructure[23]	Nepal plans to rebuild and expand its border early-warning system using seismic sensors, cameras and satellite connectivity; stronger real-time data sharing with China is being pursued[24]	USD 4-5 bn[25] estimated reconstruction needs; no dedicated adaptation budget identified
Pakistan monsoon floods (2025)	Pakistan	End-to-end flood early warning; comprehensive flood-risk assessment and mapping; risk-informed land-use planning; pre-positioned emergency equipment and shelters[26]	Multi-tier early-warning systems; national monsoon contingency planning[27]; large-scale preventive evacuation; anticipatory cash assistance and strengthened contingency planning. Preparedness has improved, but translating early warnings into timely action remains a priority[28]	Pakistan: 1% of FY2025/26 federal budget for disaster expenditure[29]; USD 5m UN[30] + USD 3m ADB[31] for 2025 flood response

Source: Allianz Research

Central and South America

Across Central and South America, adaptation capacity is shaped less by the volume of resources mobilized than their timing, continuity and purpose (Table 3). Honduras and Chile represent the strongest approaches, although through different models: Honduras links funding to forecasts so that action can begin before impacts materialize, while Chile relies on institutional capacity accumulated through sustained investment in prevention and emergency response. Mexico and Peru occupy an intermediate position. Both can mobilize substantial resources, but the boundary between adaptation, disaster recovery and broader public spending remains blurred, limiting confidence that current expenditure will reduce future losses. Bolivia and Argentina appear more constrained for different reasons: Bolivia's response remains centered on relief and dependent on the completion of financing approvals, whereas Argentina's emergency mobilization coexists with a weakening of permanent wildfire-management capacity. The comparison therefore exposes a central regional fault line. Governments may respond forcefully once a disaster occurs without necessarily building resilience between events. Stronger adaptation requires more than larger emergency packages: it depends on protected multi-year budgets, clearly identified adaptation spending, pre-agreed financing triggers and institutions capable of preserving expertise and preparedness from one season to the next.

Table 3: Central and South American adaptation responses to major climate events, 2025–2026

Event	Countries affected	Adaptation targets	Measures implemented / planned	Budget needed / budget available
Central and eastern Mexico floods (2025)[32]	Mexico	Flood early warning and river monitoring; resilient housing, roads, health facilities and schools; emergency communications; protection of vulnerable communities.	Recovery-led The DN-III and Plan Marina systems supported rescue, relief and service restoration. A federal plan added support for households, businesses and agriculture, alongside reconstruction of homes and public infrastructure. Longer-term drainage, land-use and river-basin measures remain less clearly specified.	Federal relief, recovery and reconstruction package MXN10bn (approximately USD543m at MXN18.40 per USD on 22 October 2025). The published total does not identify a dedicated adaptation share.
Bolivia floods (2025)[33]	Bolivia	Multi-hazard and river early warning; climate-resilient water and sanitation; stronger housing and transport links; social protection for remote rural and Indigenous communities.	Relief-oriented A national emergency accelerated procurement and resource deployment, supported by military logistics. Humanitarian assistance in Beni included water filters, storage and hygiene support for vulnerable families. No clearly documented new national prevention programme followed.	Sovereign disaster-response loan USD75m from CAF. The Senate had approved the loan before the 26 March emergency declaration, but full congressional approval remained outstanding. No dedicated adaptation allocation was identified.
Honduras flood season (2025)[34]	Honduras	Forecast-based early action; community warning and evacuation; water, sanitation and hygiene; cash and livelihood protection; stronger local preparedness.	Anticipatory A forecast-triggered protocol linked warnings to early measures and assistance for 10,000 people. EU support complemented national and Red Cross flood-response efforts. This is the clearest case of finance being released before impacts fully materialised.	Anticipatory trigger fund and emergency grant CHF917,330 (approximately USD1.15m) from IFRC-DREF, plus EUR150,000 (approximately USD0.18m) in EU support. These funded separate responses during the 2025 flood season, not one pooled package.
Chile wildfire season (2025–2026)[35]	Chile	Wildfire prevention and mitigation; larger brigade and aerial capacity; technology-enabled monitoring; fuel and vegetation management; community preparedness and resilient recovery.	Institutionalised prevention and response The government launched its plan before the season, adding brigades and technology. Emergency declarations, evacuation and international expert support followed the January 2026 fires in Biobío and Ñuble. The architecture reflects capacity accumulated over several seasons rather than a post-event reaction.	Annual wildfire operating budget CLP160.803bn (approximately USD166m). This is 113% above 2021–2022, not the previous season, and only around 3% above CLP156bn in 2024–2025 in nominal terms.
Patagonia wildfire season (2025–2026)[36]	Argentina	Prevention and early warning; fuel and firebreak management; firefighter and aerial capacity; native-forest protection; community preparedness.	Reactive and capacity-constrained An emergency covered Chubut, Río Negro, Neuquén and La Pampa, with national and provincial firefighters, aircraft, the military and community brigades deployed. Operational mobilisation was substantial, but prevention capacity remained constrained.	Emergency firefighting allocation Approximately USD69m. FARN estimates the National Fire Management Service's 2026 budget was cut by 71% in real terms from 2025, following an 80% cut in 2024. The National Park Administration reportedly retained 391 firefighters after losing around 10% of staff.
Peru floods (February 2026)[37]	Peru	Emergency repairs to roads, bridges, water and electricity; flood warning; resilient reconstruction; protection of exposed communities.	Post-event emergency response The February declaration enabled faster funding and repairs after severe rains and flooding. It was a distinct response from the pre-emptive El Niño measures adopted in July.	No dedicated flood-response or adaptation envelope was identified in the reviewed February source.
El Niño preparedness measure (July 2026)[38]	Peru	Flood-prevention infrastructure; continuity of essential services; early action for agriculture and fisheries; precautionary fiscal planning.	Pre-emptive but not ring-fenced A separate 60-day emergency covered nearly 40% of districts because of imminent El Niño rainfall risk. Congress then approved broad supplementary spending that included prevention measures. The fiscal council questioned expanding expenditure rather than building precautionary savings.	General supplementary budget USD2.8bn across infrastructure, essential services, salaries, crime initiatives and flood prevention; no adaptation share was disclosed. Credicorp Capital estimated potential El Niño losses at PEN16bn (USD4.7bn) over 2026–2027.

Source: Allianz Research

North America

North America shows that adaptation responses can differ as much within countries as between them, shaped by the hazards faced and the strength of existing prevention systems (Table 4). California presents the strongest response in terms of financial scale and structural prevention. Following the Los Angeles wildfires, the state combined updated hazard maps, expanded prescribed burning and fuel reduction with support for home hardening, backed by USD4bn for wildfire and forest resilience. Canada offers the most developed community-based model. Its FireSmart framework links local planning, risk assessment and public preparedness, with dedicated funding for Indigenous communities and public warning systems. Implementation nevertheless remains uneven across high-risk areas. Texas represents a more reactive stage of adaptation. The Hill Country floods exposed gaps in forecasting, warning systems and emergency communication, prompting new investment in sirens, gauges, meteorological infrastructure and disaster response. These measures address clear operational

weaknesses, but place less emphasis on land-use planning and long-term reduction of flood exposure. The contrast reflects the nature and history of the hazards: recurrent wildfire losses have encouraged California and Canada to build permanent prevention frameworks, while the Texas response followed a disaster that revealed neglected local preparedness.

Table 4: North America adaptation responses to major climate events, 2025–2026

Event	Countries affected	Adaptation targets	Measures implemented / planned	Budget needed / budget available
Texas Hill Country Flood (2025)	US	Comprehensive flood warning and forecasting; local emergency communications and evacuation planning; emergency-management training; stronger preparedness in high-risk areas[39]	Flood-warning sirens and gauges; upgraded meteorological forecasting and weather intelligence; improved flood management and warning timeliness.[40] Key warning gaps are being addressed	USD 50m for flood-warning gauges; USD 28m for forecasting and warning improvements; USD 200m for disaster response[41]
Los Angeles wildfires (2025)	US	Wildfire-resilient rebuilding and home hardening; defensible space and ember protection; community-wide mitigation; vegetation and fuel management[42]	Updated fire-hazard maps[43]; expanded fuel reduction and prescribed burning; accelerated wildfire-prevention projects.[44] Prevention capacity is relatively advanced, but broad implementation remains important	California: USD 4bn for wildfire and forest resilience; USD 200m annually through 2028-29 for forest and fire prevention[45]
Canada wildfire season (2025/26)	Canada	Community wildfire prevention and mitigation; local FireSmart planning; stronger preparedness in high-risk, northern and Indigenous communities; improved risk awareness and public warning[46]	FireSmart-ready communities; wildfire preparedness and FireSmart projects in northern and Indigenous communities; expanded community risk assessments and monitoring. Implementation remains uneven across high-risk communities[47]	CAD 285m (2023-28) for wildfire risk reduction; CAD 57.2m (2024-29) for Indigenous FireSmart measures; CAD 55.4m (2026-30) for public alerting[48]
US tornado and severe storm outbreak (2025)	US	Reliable tornado and severe-weather warning; accessible safe rooms and storm shelters; household and community emergency planning; stronger wind-resistant building protection[49]	Advanced hazardous-weather warning tools[50]; satellite and radar-based monitoring; strengthened risk communication. Warning capability is advanced, but exposure to extreme winds remains high[51]	Federal disaster assistance activated; no consolidated adaptation budget identified

Source: Allianz Research

Sub-Saharan Africa

Recent climate events are driving two different stages of adaptation in Sub Saharan Africa: anticipatory support for slow moving drought and stronger emergency management for sudden floods (Table 5). In Ethiopia, Kenya and Somalia, the drought response reaches beyond humanitarian relief through preparedness plans, cash support, solar-powered irrigation, water access and livestock assistance. Its design is increasingly preventive, but implementation remains too limited for the scale of regional exposure. The separately identified funding for East Africa and Somalia also remains fragmented across programs. Southern Africa has developed stronger operational capacity for floods. Expanded forecasting, hydrological monitoring and preventive evacuations helped countries act earlier, while search-and-rescue operations and drone assessments improved the immediate of response. Yet repeated damage across Madagascar, Malawi, Mozambique, South Africa, Zambia and Zimbabwe shows that better warning cannot compensate for vulnerable housing, transport and water infrastructure.

The difference largely reflects the hazards themselves: drought develops gradually and allows earlier livelihood protection, whereas floods require rapid warning and evacuation. Across both regions, progress is most visible in forecasting and emergency action, while investment in resilient infrastructure and long-term risk reduction remains less developed. Adaptation is therefore advancing, but financing and coverage still fall short of the geographic scale and recurrence of the shocks.

Table 5: Sub-Saharan Africa adaptation responses to major climate events, 2025–2026

Event	Countries affected	Adaptation targets	Measures implemented / planned	Budget needed / budget available
East Africa drought (late 2025 - 2026)	Somalia, Ethiopia, Kenya	Drought-resilient water infrastructure; climate-resilient agriculture and livestock systems; anticipatory action and early warning; adaptive social protection and livelihood diversification[52]	National drought-preparedness activation[53]; anticipatory cash and livelihood support[54]; solar-powered irrigation and water access[55]; livestock-feed assistance[56]. Measures are expanding, but coverage remains limited relative to needs	EUR 47m for East Africa[57], in addition to USD 10m for Somalia[58]
Southern Africa floods (2026)	Madagascar, Malawi, Mozambique, South Africa, Zambia, Zimbabwe	Multi-hazard early warning[59]; climate-resilient water, energy and transport infrastructure; improved regional risk monitoring and information sharing[60]	Expanded multi-hazard early-warning systems; strengthened meteorological and hydrological monitoring[61]; preventative evacuations and search-and-rescue capacity[62]; drone-based damage assessment[63]. Early warning has improved, but infrastructure vulnerability remains high[64]	USD 187m for flood-affected communities[65]; USD 5m for Mozambique[66]; USD 1m AfDB emergency grant[67]

Source: Allianz Research

Middle East and North Africa (MENA)

MENA faces a dual hydrological risk: chronic drought and water scarcity coexist with episodic but potentially severe flooding, while preparedness and policy maturity vary sharply across countries (Table 6). Morocco represents the clearest evidence that sustained investment in early warning, hazard mapping and disaster-risk institutions can reduce human impacts, with large-scale preventive evacuations helping to limit casualties during recent flooding. Tunisia has also strengthened flood-risk management, but its response remains more focused on post-event repairs, drainage clearance and the scaling-up of protective infrastructure. Drought adaptation is more challenging in Syria and Iraq, where high exposure is compounded by structural water scarcity, weaker institutional capacity and broader socioeconomic vulnerability. Beyond domestic

adaptation, transboundary water cooperation is also becoming increasingly important, as illustrated by Iraq's expanding water-management partnership with Turkey. Overall, stronger preventive investment and cooperation on shared water resources will be key to improving regional resilience

Table 6: Middle East and North Africa adaptation responses to major climate events, 2025–2026

Event	Countries affected	Adaptation targets	Measures implemented / planned	Budget needed / budget available
Morocco floods (2025/26)	Morocco	Dam-release management and early warning; climate-resilient irrigation and infrastructure; flood-risk zoning; reservoir capacity planning after extreme rainfall reversal[68]	Built on a decade-long World Bank-backed resilience program (USD 408mn since 2016)[69]; flood early-warning systems; hazard mapping, dedicated disaster-risk management directorate. This groundwork enabled a widely-praised, low-casualty response to record 2026 flooding, though the post-flood plan itself centers on relief and reconstruction	MAD 3bn (USD 330mn) post-flood relief/reconstruction plan[70]; part of a broader USD 408mn+ World Bank-backed resilience program since 2016[71]
Tunisia floods (2026)	Tunisia	Urban flood protection and drainage; impact-based early warning; risk-informed disaster planning; stronger communication and preparedness in high-risk areas[72]	Drainage and watercourse clearance; maintenance of flood-control infrastructure; strengthened monitoring and early warning; updated disaster-management plans and risk-area prioritization. Prevention efforts are being scaled up following the 2026 floods[73]	TND 132m for repairing January 2026 flood damage[74]; USD 50m World Bank financing for urban flood resilience[75]
Syria Drought (2025)	Syria	Water-efficient irrigation and reduced water losses; drought-tolerant crops and climate-smart agriculture; diversified and resilient rural livelihoods[76]; drought early warning and anticipatory action[77]	Rehabilitation of irrigation infrastructure; support for agricultural recovery and inputs[78]; development of a national drought-response plan; strengthened coordination on early warning and anticipatory action[79]. Measures are expanding, but remain insufficient relative to the scale of agricultural losses	USD 286.7 FAO for agricultural recovery and resilience plan[80]; no dedicated national drought-adaptation budget
Iraq drought (2025/26)	Iraq	Water-efficient irrigation and reduced conveyance losses; cross-border water-sharing arrangements with Turkey and Iran; drought-resilient crops and groundwater management; national drought early-warning and response planning[81]	Nationwide bans on summer/winter cropping to conserve water[82]; a Green Climate Fund-backed rural resilience project in three governorates; an oil-for-water arrangement with Turkey under negotiation[83]. Measures remain limited relative to a crisis now declared a national security threat[84]	USD 39mn Green Climate Fund project for rural household resilience[85]; no dedicated national drought-adaptation budget identified

Source: Allianz Research



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Chokepoints and pressure points : what is breaking and reshaping global energy markets

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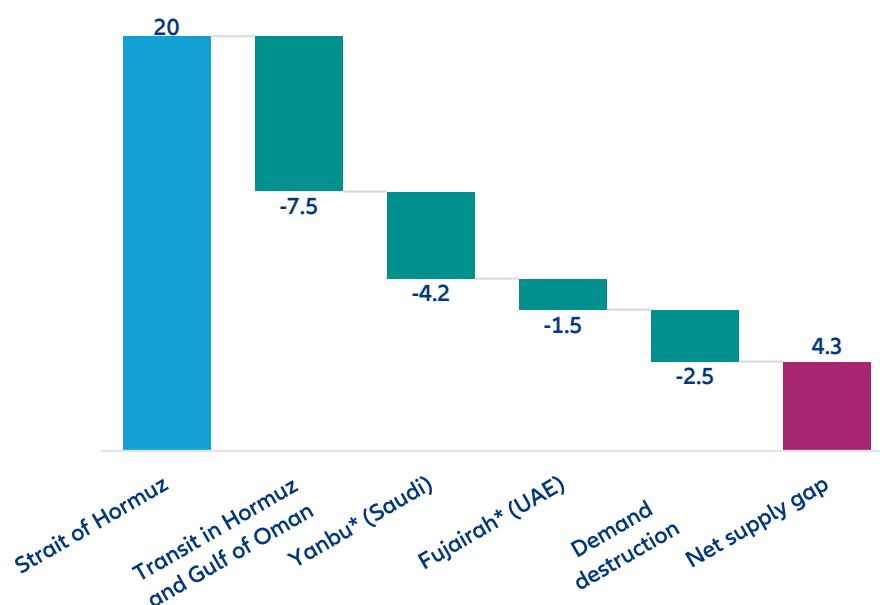
In Summary

- **The ongoing oil-price shock shouldn't prove structural, with flows likely to normalize in 2027. But several pressure points are pulling oil and gas prices in different directions and the balance will decide where prices go next.** Brent jumped to nearly 110 USD/bbl after Saudi Arabia was forced to shut its East-West pipeline, pushing the net hit to Hormuz flows to about 4.3mbpd vs pre-war levels. For now, pressure points (including strategic reserves near historic lows and an underinvested refining base) are outweighing the two relief valves (shadow traffic in Hormuz and demand destruction). As we expect the Saudi pipeline to be repaired rather swiftly and volumes steady in Hormuz, Brent should average 87 USD/bbl in Q4 2026 before consolidating to 76 USD/bbl in 2027. But prices would hold near 100 USD/bbl if the outage extends toward six weeks and Hormuz remains in flux.
- **European gas prices are climbing as the region races to refill, though the resulting macro risk looks contained for now.** Gas prices have rallied from the mid-40 EUR/MWh in July to over 80 EUR/MWh as Hormuz LNG loadings stay stuck at 15-25% of pre-war levels. We expect TTF averaging 65 EUR/MWh in Q4 2026 before easing to 36 EUR/MWh in 2027 amid larger supply from both the US and the Middle East. A sustained move above 120 EUR/MWh for six months would risk tipping the Eurozone into recession.
- **A separate refining and export bottleneck is keeping refined product prices elevated.** US and European crack spreads have surged to 62 EUR/bbl and 74 EUR/bbl. On top of Hormuz disruptions, a significant share of Russia's refining capacity has been hit by Ukrainian strikes, resulting in a diesel export ban. Until June, China also had export restrictions in place amid fears of supply shortages. A structurally underinvested refining base is adding to the multi-layered crisis. As a result, global oil demand is expected to contract 2.5mbpd in 2026 as demand from Asia has collapsed.
- **Diesel-reliant transport and agriculture, Asian petrochemicals and fertilizers are the most exposed sectors with very few short-term substitutes available, while producers with domestic feedstock flexibility are comparatively insulated.** Between March and August, fossil-fuel importers paid an estimated extra USD330bn. High diesel prices are hitting trucking, agriculture and construction, and the Gulf's 40% share of global sulfur exports is impacting food production via fertilizers. The near-term adjustment is mainly through inventory drawdowns and output cuts rather than genuine substitution.
- **Households are only starting to feel the full inflationary hit, and the pass-through will remain sticky into 2027.** In the US, gasoline alone drove over a third of August's CPI increase, with pump prices set to reach 3.84 USD/gallon in 2026 (+24% y/y, about 355 USD more per household annually). In Europe, regulated tariffs are catching up with a lag and lower-income households remain disproportionately exposed.
- **Bonds are already pricing in most of the energy premium, but sustained inflation and oil-price spikes could lead to further rate stress.** Much of the initial repricing has already occurred. We estimate that a further increase in Brent to 120 USD/bbl would only lift yields by 5-10bps (vs 17-18bps on inflation swaps and 8-11bps on expected policy-rate pricing). This suggests that a significant further rise in yields would likely require a renewed large supply shock or evidence that inflation is delaying monetary-policy normalization.
- **Looking ahead, over the longer run, the unfolding events are fundamentally a Hormuz/Gulf shock that will reshape global energy markets.** The conflict is reshaping global energy trade routes: Gulf states are building out bypass infrastructure (ADCOP, the Kirkuk-Ceyhan/Development Road corridor, Duqm) while China, India, Japan and South Korea diversify away from Gulf-transiting barrels; LNG has no equivalent bypass, so gas exposure remains structural.

Roller-coaster oil markets

The recent attack on Saudi Arabia's East-West pipeline (Petroline), combined with stalled talks between Iran and Gulf states on Hormuz shipping, is compounding risks, but we expect the shock to fade. Brent has spiked to nearly 110 USD/bbl, widening an already-significant Persian Gulf supply gap (see Figure 1): despite lower Gulf production, exports proved more resilient, but the net hit to Hormuz flows still stands at about 4.3mbpd versus pre-war levels. It remains uncertain when the Saudi pipeline will resume normal flows of 7mbpd - a mild scenario sees volumes ramp back to 5-6mbpd within weeks, while a worst case keeps the pipeline shut for about six weeks but we see this as a temporary shock either way.

Figure 1: Supply gap estimate (mbpd)



* additional flows versus pre-war flows
Sources: various sources, Allianz Research

OECD commercial stocks remain the main shock absorber, but that buffer is thinning fast. US Strategic Petroleum Reserve draws have slowed to just 0.3mbpd over the past month - reserves are now near their lowest level in decades, so Washington has little scope to repeat the scale of releases seen in 2022 or earlier this year even if the deficit widens further; while Japan and South Korea are rebuilding their own reserves rather than drawing them down. China's crude imports, meanwhile, are only just restarting after months of weakness and remain about 4mbpd below year-ago levels; refiners are taking advantage of firm margins and spare quota to buy and reprocess crude for re-export rather than to meet stronger domestic demand, so this is not yet a genuine demand recovery. Against this backdrop, we forecast Brent averaging 88 USD/bbl in Q3 and 87 USD/bbl in Q4 2026 before easing to 76 USD/bbl in 2027 - but a deeper or more prolonged Saudi export disruption, without an offsetting reserve release, would keep the market in deficit for longer and raise the probability of Brent holding near 100 USD/bbl.

Key pressure points for oil and gas prices

Pressure point	Current state	Direction	Why it matters
Residual transit in Hormuz	Accounting for shadow traffic, latest volumes indicate 7-8 mbpd transiting	↓ relief valve	Disruption in traffic could lead to further stress in the market
Saudi pipeline (Petroline)	Petroline shut since Sep. 14, repair timeline ranges from "a few days" to about six weeks	↑ upside risk	A longer outage keeps the market in deficit and is a key upside risk to Brent
Strategic reserves	Draws have slowed to just 0.3mbpd/month and reserves are near historic lows	↑ less cushion	Large releases are no longer an option, leaving little room to backstop the market if the deficit widens further

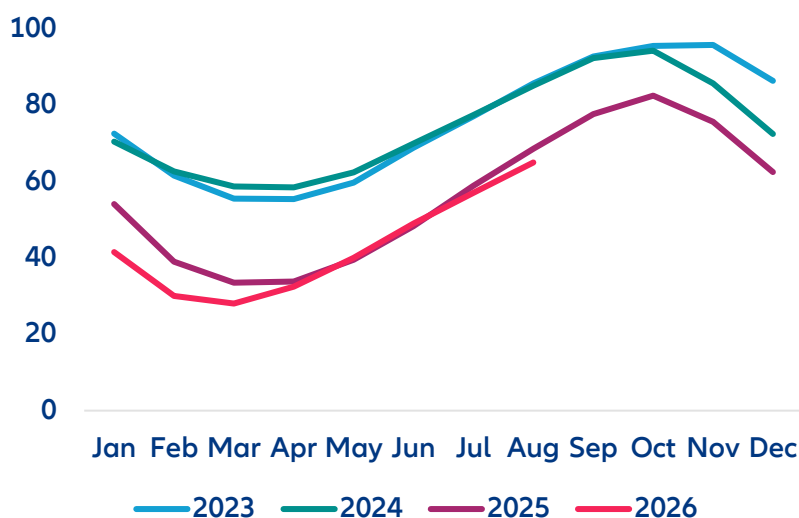
US refined product exports	Refiners running near 98% utilization but shipping most extra output abroad for higher margins	↑ US ↓ Global	Keeps US pump and diesel prices elevated even as it adds barrels to the global market; a pullback toward the domestic market would ease US prices but tighten supply elsewhere
China crude imports	Restarting but still about 4mbpd below year-ago levels. Driven by high refining margins and quota headroom, with output re-exported rather than absorbed domestically	↑ Crude ↓ Diesel	A refining-margin and re-export story, not yet a genuine demand recovery but a faster pickup in real Chinese demand would tighten the market further
Russia/Ukraine channel	Ukrainian strikes have cut Russian refinery runs and Russia's diesel export ban removes about 11% of global diesel supply	↑ Diesel	Distinct from the Middle-East shock driving crude, it matters mainly for diesel and refined-product cracks
Bab el-Mandeb	With renewed tensions, the strait should carry less Saudi oil exports	↑ Mild upside risk	A partial substitute route that has let exports outpace the hit to production, easing reliance on the most exposed corridors
Refining bottleneck	Crack spreads at record highs and global refining capacity growing only marginally with investments down 15% y/y	↑ products	Keeps refined product prices elevated even if crude eases, and is not fixable on a near-term timeframe
Demand destruction	World oil demand forecast to contract 2.5mbpd in 2026 as high prices bite	↓ relief valve	The main self-correcting mechanism that caps how far the deficit can widen and how high prices can go

Source: Allianz Research

A natural gas squeeze looming over Europe?

Natural gas prices are ticking up as Europe races to refill storage. European gas is exposed to the same Middle East disruption through a different channel: LNG loadings through Hormuz have remained stuck at 15-25% of pre-war levels for two months, even as Qatar sends more empty tankers into the Gulf. We expect Qatari and Emirati LNG exports to normalize only in Q1 2027, so for TTF to keep pricing enough Asian LNG demand out of the market to free cargoes for Europe, prices must stay elevated for longer: the rally from the mid-40 EUR/MWh in July to over 80 EUR/MWh has already cut some demand from the rest of the world. With Europe still playing catch-up on storage (see Figure 2), we expect TTF to average 65 EUR/MWh in both Q3 and Q4 2026 before consolidating to 36 EUR/MWh in 2027 as Hormuz flows normalize and incremental US LNG supply arrives. The key near-term risk is storage: a cold winter combined with a lower-than-usual fill could deplete storage before spring, front-loading price pressure into early 2027.

Figure 2: European gas storage



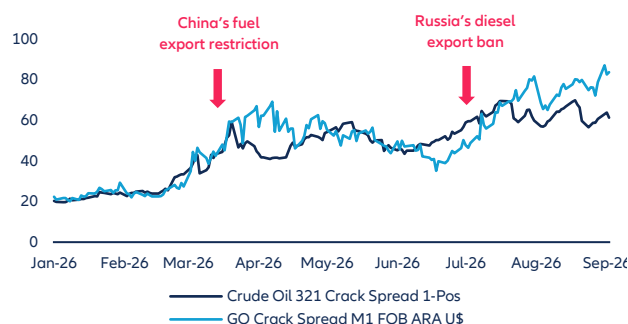
Sources: AGSI, Allianz Research as of Sept. 14

For now, the macro risk from gas prices looks contained. In 2022, gas prices averaged close to 130 EUR/MWh for a full year, yet the Eurozone still grew about 3.4%, cushioned by a post-pandemic demand boom and a fiscal response worth an estimated 0.4pp of growth. Today's backdrop is less forgiving: fiscal space has narrowed and household demand is far less dynamic. We think TTF in the 80-100 EUR/MWh range could be absorbed for nine months or more without a growth shock, but a sustained move above 120 EUR/MWh for six months or longer would tip the Eurozone into recession. Our base case, TTF averaging 65 EUR/MWh through Q3 and Q4 2026, does not test that threshold, though a winter upside scenario would keep the tail risk alive.

Refined products to remain expensive

A two-layer infrastructure bottleneck is hitting refined products and will keep driving regional prices up, independent of crude. In August, Brent averaged 89 USD/bbl, yet clean-product crack spreads surged to record levels, the US benchmark reached 62 EUR/bbl and European diesel crack 74 EUR/bbl (68% and 92% above their five-year averages) showing the main story is refining availability, not crude input costs. Three regions are driving the crunch. In the Middle East, the US-Iran conflict and Hormuz blockade have hit both refinery operations and product exports: pre-conflict flows of roughly 6mbpd through the Strait have fallen to 1.1mbpd, and the Saudi pipeline attack compounds this by also halting flows to the Yanbu refineries. In Russia, Ukrainian strikes cut refinery runs to multi-year lows by mid-May, and Moscow's diesel export ban - extended through September, with no guarantee against further extension - has squeezed a market that depends on Russia for 11% of global diesel. In China, export restrictions imposed in March to preserve domestic inventories cut clean-product exports by 24.3% year-on-year over the first five months, though Beijing's June release of 13mn tons should ease global supply, lifting China's exports full-year total to 32mn tons, 0.6% above last year.

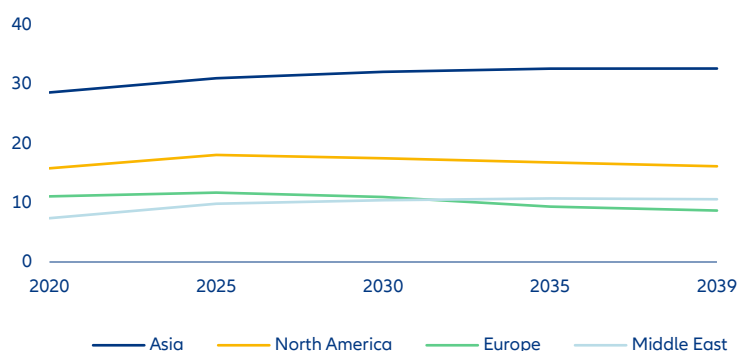
Figure 3: US and Europe crack spread historical prices (USD/bbl)



Sources: LSEG Workspace, Allianz Research

Global clean-product inventories are drying up as the crisis extends through 2026. European (ARA) inventories are well below the five-year average. In the US, refiners are running at record utilization (98% in September), but most of the extra output is being exported for higher margins rather than sold domestically — gasoline stocks are 6% and diesel 14% below seasonal norms, and US diesel topped 6 USD/gallon for the first time. Rising domestic prices could eventually pull barrels back into the US market and curb these exports, with some early – tough strongly pushed back by government officials for now - talks about potential diesel export restrictions to support domestic supply. Additionally, there is little relief from spare capacity: years of underinvestment and refinery closures have left the West structurally unprepared, global refining investment is on track to fall below 40 USD bn this year (-15% y/y), and capacity is set to grow only marginally through 2040. Unlike 2022, when Europe and Asia reallocated capital toward LNG regasification within months, refining capacity cannot be added quickly enough to ease this shortage in the short or medium term, and rebuilding inventories will take time even once Hormuz flows normalize. We now expect world oil demand to contract by 2.5mbpd in 2026 as high product prices force further demand destruction, concentrated in middle distillates and petrochemical feedstocks in Asia. Longer term, persistently expensive products should accelerate substitution toward EVs and heat pumps, and put a premium on refineries with the flexibility to shift crude grades and product mix.

Figure 4: Forecasted regional refinery output based on announced investments (in mbpd)



Sources: S&P, Allianz Research

Downstream sector impact and potential substitution

After six months, duration, and not just the peak price, is now the central macro risk. Between March and August, fossil-fuel importers paid an estimated 330 USD bn more than pre-war forward prices implied, split roughly evenly between crude and refined products - a real income transfer from importers to exporters that squeezes household purchasing power and corporate margins, weakens currencies, and strains public finances wherever governments subsidize fuel. The Hormuz crisis is unusual in disrupting many linked-but-hard-to-substitute commodities at once (crude, gas, LPG, naphtha and sulfur) spilling into fertilizer and petrochemical shortages. Substitution can happen at three levels : (i) switching energy carriers, (ii) switching industrial feedstocks, or (iii) consumers switching final products. With the first working fastest but simply redistributing scarcity, and the other two developing more slowly but reshaping industrial structure permanently. Inflation itself spreads in three stages: a fast first-round hit to energy-intensive industries (speed depending on taxes and subsidies), a slower production-cost effect as old-price inventories and contracts run out, and a second-round effect as wages, inflation expectations and price-setting behavior adjust.

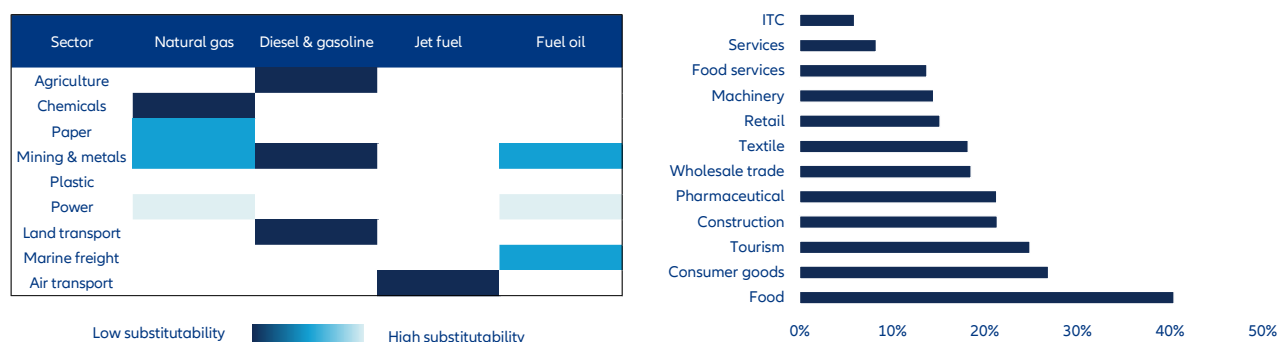
The immediate impact is on energy-intensive industries. Gulf states are major exporters of both fuels and feedstocks: Europe is less directly exposed to Gulf crude than East Asia but still feels it through global oil prices, LNG competition and product shortages; the US is more insulated on crude but exposed via global product prices, hitting lower-income consumers hardest while producers and refiners gain from higher margins. East and South Asia face the largest physical exposure, with China, India and Japan recording the highest net additional fossil-fuel import costs since the conflict began – USD 31.7 bn, USD 14.4bn and USD 10.4bn respectively. Diesel is the most powerful transmission channel given its role in trucking, agriculture, mining and construction - sectors that are hard to electrify, especially for long-haul transport and in emerging markets - while shipping and aviation face higher bunker/jet-fuel costs and rerouting. Among industrial inputs, East Asian petrochemical crackers reliant on imported naphtha are most exposed, whereas the US benefits from domestic ethane and China retains partial cover via coal-based chemicals; metals, cement and glass are exposed through electricity and high-temperature heat costs, hitting aluminum hardest. Gulf countries supply more than 40% of global sulfur exports and about 20% of ammonia/nitrogen-fertilizer exports, so the crisis strikes food production through fertilizer, diesel, irrigation and packaging costs simultaneously.

The second-round effect on the broader economy will be felt with a lag and last longer. Food shows this best: packaged food embeds fertilizer, farm fuel, irrigation, refrigeration, processing heat, packaging, transport and labor, each repricing at a different speed : fresh produce reacts within weeks, grain can take up to a year via fertilizer and harvest effects, and restaurant prices adjust slowest but most persistently as labor and rent costs catch up. Large retailers can hedge and absorb costs better than small ones, and real household income falls as consumers trade down and defer spending. Export restrictions, subsidies and price controls can temporarily shield domestic food prices but tend to redistribute scarcity and worsen the burden on lower-income, food-importing economies.

Construction and real estate are hit both directly (cement, plastics, metals, diesel) and, more durably, indirectly through higher interest rates raising financing costs and lowering the present value of future rents. Compared with 2022, the economy enters this shock with more renewable capacity and European LNG infrastructure - renewables installed since 2020 reportedly avoided USD 36bn of fossil-fuel imports in the first five months of the crisis - but public debt is higher and buffers are thinner after the pandemic and the 2022 crisis.

Substitution will spread across fuels, feedstocks and products but initially redistributes inflation rather than eliminating it. The first response is inventory drawdowns, switching to costlier available inputs, output cuts and cost pass-through. Over time it becomes more structural, reorganizing downstream markets around flexibility, lower energy intensity and redundancy - persistently expensive oil and gas improve the economics of electrification, even though electrification changes commodity dependence rather than removing it. Because capital, regulatory approval and margins all constrain the pace of change, expect a two-stage adjustment: curtailment and demand destruction first, structural substitution and capex later, alongside rising demand for fuel/feedstock flexibility even where it costs more than a specialized, single-fuel plant.

Figure 5a and 5b: Fuel potential substitution in energy-intensive sectors in the short-term; energy-intensive sector inputs (left) within share of total inputs in specific sectors (% - right)



Source: Allianz Research, Eurostat, Oxford Economics

Households to face higher inflation

Six months in, households are losing purchasing power in stages. Petrol and diesel reprice within days or weeks, but gas and electricity bills follow regulated tariff calendars and contract-renewal dates, so the current inflation reading is not yet the peak. Exposure varies sharply by household - an EV- and heat-pump-owning homeowner is comparatively insulated, a gas-heated renter won't feel the full effect until tariffs reset, and a rural household reliant on diesel cars feels it immediately. Petrol and diesel are the fastest channel: European pump prices typically pass through crude costs within one to two months, roughly one-for-one. In the US, gasoline alone drove over a third of August's CPI increase, diesel peaked above 6 USD/gallon in September, and average pump prices are on track for 3.84 USD/gallon in 2026 (+24% y/y) - about USD 355 more per year for a typical household; hitting rural, low-income households hardest given limited access to public transport.

Gas and electricity bills rise on institutional timetables, so the pass-through is felt with a lag that varies by market. In France, the regulated gas reference price rises 6.3% on October 1 (to 182.88 EUR/MWh including tax, about 60 EUR/year for indexed contracts), though roughly 40% of households are on fixed-price contracts and won't feel it until renewal; French electricity moves more slowly, with the next adjustment scheduled for February 2027. The UK's quarterly price cap rises by about 5 GBP/month from October, partly offset by government VAT relief, while roughly 35% of households on fixed contracts are shielded for now. Japan and India rely more on subsidy calendars than market pass-through, which smooths the household shock across time without removing its fiscal cost. More broadly, real energy bills were still about 4% above 2019 levels in 2024, so this shock lands on budgets that had not fully recovered from 2022; and unevenly: an estimated 120mn households in advanced economies spend over 10% of income on home energy, rising to 20% including transport for the poorest, and the bottom income quintile spent 12% of disposable income on gas, electricity and heating in 2022 versus 4% for the top quintile.

Figure 6: State reference current gas and power prices and planned updates and future tariffs.

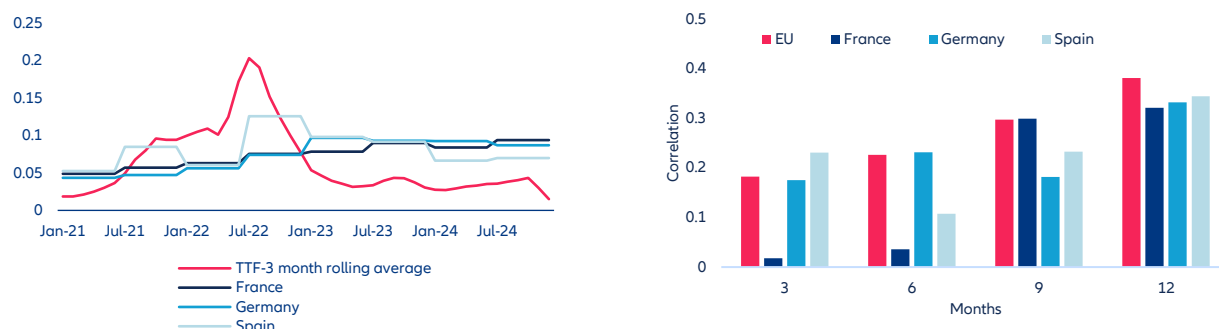
Country	Price type	Current tariff *	Next planned update	Planned tariff
France	Power	EUR 136.10/MWh	February 2027	Not available yet
	Gas	EUR 172.05/MWh	October 2026	EUR 182.88/MWh
United Kingdom	Power	GBP 261.10/MWh	October 2026	GBP 263.20/MWh
	Gas	GBP 73.30/MWh	October 2026	GBP 79.70/MWh
Spain	Power	Not available	Daily update	Not available yet
	Gas	EUR 37.76/MWh to 43.30/MWh	October 2026	Not available yet
Italy	Power	EUR 316.30/MWh	October 2026	Not available yet
	Gas	EUR 64.154/MWh	Monthly ex-post	Not available yet

*France: the power tariff stated is the variable component, it excludes subscription and taxes; the gas tariff stated is a reference price including taxes and other additional costs. UK: the prices stated include taxes and network costs but exclude the monthly standing charge. Spain: the gas tariff stated is a variable consumption term only, excluding taxes and fixed monthly charges. Italy: the stated power prices are only calculated for vulnerable customers and gas prices stated are the commodity component only.

Source: French Energy Regulation Commission (CRE), Ofgem, Italian Energy Regulation Authority (ARERA), Spanish Official State Gazette (BOE)

In the longer term, the energy crisis impacts inflation beyond energy bills. A second inflationary wave builds as transport and industrial costs feed into food, goods and services with a lag of around two years: a permanent 10% rise in oil prices raises headline CPI by about 2.3%, food CPI by 0.3% and core CPI by 0.1%, and after expenditure weights, headline CPI rises by almost 0.4% - consistent with the roughly 0.5% inflation contribution the last oil move added in the Eurozone, UK and Canada. Looking ahead, households are likely to weigh energy resilience more heavily in purchasing decisions, shifting spending from variable fuel costs toward upfront capex on electrification and insulation - even as higher prices simultaneously squeeze the ability to finance that switch, widening inequality in energy exposure. Electricity is set to become the central household energy price, trading oil and gas exposure for exposure to power prices, network charges and time-of-use pricing, with government subsidies and price-cap calendars still deciding when the crisis is actually felt.

Figure 7a and 7b: TTF three-month rolling average price vs. retail gas semi-annual prices excluding taxes and levies (EUR/kWh - left); diesel inflation vs. food inflation correlation over time (right)



Sources: LSEG Datastream, Eurostat, Allianz Research

The energy-yield loop

Energy shocks often have an immediate effect on rates through several components. The first one is inflation expectations: Higher commodity prices tend to increase inflation and are priced directly on the derivatives market. Historically a 1% rise in Brent lifts the 2Y inflation swap by 1.65bps in the US and 1.77bps in the Eurozone, and the 1y1y forward inflation swap by 0.64bp in the US and 1.09bp in the Eurozone. During special shocks the effect intensifies: The US 2Y inflation swap moved 1.86bps per 1% of oil during the Ukraine shock and 2.01bps during the Iran episode. The EU 2Y inflation swap moved by 2.60bps during the Ukraine shock, but only 0.36bp during the Iran episode.

The first channel then impacts the expected short rates path. When inflation tends to increase suddenly, the central bank faces more pressure to be hawkish because of market pricing. Historically a 1% rise in Brent adds 1.02bp to US monetary pricing (proxied by 2Y OIS – Fed Funds) and 0.83bp to EUR monetary pricing (proxied by 2Y OIS – €STR). During crises, this pressure concentrates region by region: US pricing repriced hardest during the Ukraine shock at 2.82bps per 1% of oil, close to three times its long-run sensitivity, while in the current Iran episode

it is EUR pricing that dominates at 2.40bps. This second channel tends to move short rates (more sensitive to inflation and monetary policy) (<2Y maturities: US 2Y +0.95bp, DE 2Y +0.53bp per 1% of oil) and the "belly" (more sensitive to growth and the economy) (5Y–7Y: US 5Y +0.98bp, DE 5Y +0.54bp) faster than long rates (which embed more fundamental factors such as demography, fiscal situation, political stability) (>10Y maturity: US 30Y +0.65bp, DE 30Y +0.50bp). When the front end increases more than the long end, it induces a bear flattening, which hurts the economy more broadly. This tends to tighten financial conditions by increasing borrowing costs, slowing the growth of production and credit, but also by increasing transport costs, making it harder for commodities trading houses to provide more inputs to markets due to their short-term financing at 3M.

Figure 8: Sensitivity of rates and inflation to a 1% move in Brent (bps, by regime)

Variable	HISTORIC (10 years) — Δ bps	UKRAINE (2022) — Δ bps	IRAN / ISRAEL (now) — Δ bps
RATES LEVEL			
US 2Y	+9.5	+9.5	+11.2
US 5Y	+9.8	+6.0	+11.7
US 10Y	+8.1	+1.5	+11.9
US 30Y	+6.5	–0.2	+11.4
DE 2Y	+5.3	+2.4	+14.3
DE 5Y	+5.4	–1.8	+12.7
DE 10Y	+5.2	–4.1	+10.5
DE 30Y	+5.0	–3.8	+9.4
MONETARY PRICING			
US (2Y OIS – Fed Funds)	+10.2	+28.2	+8.5
EUR (2Y OIS – €STR)	+8.3	+9.2	+24.0
INFLATION — 1y1y forward & 2Y swaps			
US 1y1y forward inflation	+6.4	+11.2	+9.7
EUR 1y1y forward inflation	+10.9	+12.6	+12.1
US inflation swap 2Y	+16.5	+18.6	+20.1
EUR inflation swap 2Y	+17.7	+26.0	+3.6

Values are deltas in basis points (Δ bps) for a given move in Brent, as measured in the attached analysis. HISTORIC = 10-year average; UKRAINE = 2022 shock; IRAN / ISRAEL = current episode. Bold green = statistically meaningful; grey italic = not meaningful.

Source: LSEG Datastream, Allianz Research

In times of shocks, the sensitivities of commodities on rates roughly double. On the German curve, a 1% rise in Brent moves the 2Y yield by 0.53bp historically versus 1.43bp in the current episode, and EUR monetary pricing by 0.83bp versus 2.40bp. Per +10% move in Brent, that is about +5bps on the German curve and +9bps on the US curve in normal times, rising to about +14bps on the German 2Y and +12bps on the US 10Y in shock, with the 2Y inflation swaps moving some +17bps historically and up to +20bps in a shock. Figure 9 illustrates the incremental impact on rates and inflation markets implied by a move in Brent to USD120, USD100 or USD80 from current levels. These scenario moves are separate from the repricing already observed during the current episode, much of which is already embedded in inflation compensation and monetary-policy expectations.

Figure 9: Rates and inflation under Brent price scenarios

Rates & inflation	Today (16/09/2026)	At USD 120 (+10.3%)	At USD 100 (–8.0%)	At USD 80 (–26.4%)
US 2Y	4.67%	4.77% (+10 bp)	4.59% (–8 bp)	4.42% (–25 bp)
US 10Y	5.00%	5.09% (+9 bp)	4.94% (–6 bp)	4.79% (–21 bp)
DE 2Y	3.24%	3.29% (+5 bp)	3.19% (–5 bp)	3.10% (–14 bp)
DE 10Y	3.54%	3.59% (+5 bp)	3.49% (–5 bp)	3.40% (–14 bp)
US monetary pricing	0.89%	1.00% (+11 bp)	0.81% (–8 bp)	0.62% (–27 bp)
EUR monetary pricing	0.98%	1.06% (+8 bp)	0.91% (–7 bp)	0.76% (–22 bp)
US inflation swap 2Y	2.60%	2.77% (+17 bp)	2.47% (–13 bp)	2.16% (–44 bp)
EUR inflation swap 2Y	2.87%	3.05% (+18 bp)	2.72% (–15 bp)	2.40% (–47 bp)
US 1y1y forward inflation	2.59%	2.66% (+7 bp)	2.54% (–5 bp)	2.42% (–17 bp)
EUR 1y1y forward inflation	2.27%	2.38% (+11 bp)	2.18% (–9 bp)	1.98% (–29 bp)

Brent today: USD 108.75. Scenario levels shown with the delta vs today in basis points (Δ bps). Linear scenario using historic oil sensitivity — not a forecast; assumes nothing else changes.

Source: LSEG Datastream, Allianz Research

Bond markets have already absorbed a large portion of the current energy shock through higher inflation compensation and a repricing of the expected monetary-policy path. While additional oil-price gains would still exert upward pressure on rates, the scenario analysis suggests that the marginal impact is now smaller than during the initial phase of the shock. As a result, a sustained and significant further rise in yields would likely require a new escalation in supply disruptions or clearer evidence that energy-driven inflation is feeding into broader price dynamics and delaying the normalization of monetary policy.

How the conflict is reshaping the global energy map

The Strait of Hormuz has always been the Gulf’s structural vulnerability, and this crisis is accelerating a shift from managing chokepoint risk to actively engineering around it. The attack on Saudi Arabia’s own hedge (i.e. Petroline) is a reminder that existing bypass infrastructure is now a target, not a guarantee. Riyadh’s repair timeline will determine how quickly that redundancy returns, but the episode has already revived talk of expanding capacity rather than just repairing it. The UAE’s ADCOP pipeline to Fujairah, which sits outside the Strait entirely, remains the cleanest working bypass and has absorbed a large share of redirected flows, with further capacity additions planned for 2027. Iraq is leaning on the Kirkuk-Ceyhan pipeline and the broader Development Road corridor to Türkiye, while Oman’s Duqm port is the other candidate for a Gulf pipeline that bypasses the Strait altogether.

Figure 10: Existing Hormuz bypasses and projects

Route	From → To	Status	Capacity
Petroline (Saudi East–West)	Abqaiq → Yanbu (Red Sea)	Halted as of Sep. 14	7.0 mbpd
Habshan–Fujairah	Habshan → Fujairah (Gulf of Oman)	Operational	1.8 mbpd
IPSA (Iraq–Saudi)	Basra/Rumaila → Yanbu via Saudi grid	Idle	1.65 mbpd nameplate
Kirkuk–Ceyhan	Kirkuk → Ceyhan (Turkey, Mediterranean)	Intermittent	1.5 mbpd potential
Goreh–Jask	Goreh → Jask (Gulf of Oman, Iran)	Idle	1.0 mbpd design, 0.3 mbpd effective
Iraq–Jordan (Basra–Aqaba)	Basra → Aqaba (Jordan, Red Sea)	Proposed	1.0 Mb/d
Saudi–Oman link	Eastern Province → Duqm (Oman)	Proposed	TBD
Kirkuk–Baniyas (Iraq–Syria)	Kirkuk → Baniyas (Syria, Mediterranean)	Proposed rehab & extension	From 0.3 mbpd to 2mbpd
Kirkuk–Haifa	Kirkuk → Haifa (Israel, Mediterranean)	Defunct	0.2 mbpd historical

Source: Allianz Research

There is no easy fix for natural gas. Unlike crude, LNG cannot be pipelined around Hormuz, which is why Qatari and Emirati LNG loadings have collapsed even as oil exports partially recovered via redirection. With normalization pushed out to Q1 2027, Qatar’s pattern of sending more empty tankers into the Gulf is one of the few signs of an eventual ramp-up, but there is no Petroline-equivalent for gas and the exposure is structural.

On the demand side, the pressure to de-risk predates this crisis — it dates back to the war in Ukraine — and is now intensifying, though Russia/Ukraine plays no direct role in the current Hormuz shock beyond the refined-products channel already noted. China has spent the past decade building overland alternatives (the ESPO pipeline from Russia and the Kazakhstan-China link) specifically to cut seaborne Gulf and Malacca dependency, and its crude imports remain about 4mbpd below 2025 levels even at firm prices — though the recent uptick in Chinese buying is a refining-margin and re-export story more than fresh demand. India is diversifying toward US, West African and discounted Russian barrels via the Cape route while expanding strategic reserves, and Japan and South Korea are rebuilding SPRs drawn down earlier in the crisis. The India-Middle East-Europe Economic Corridor is likely to see fresh political momentum as a longer-term, non-maritime link between the Gulf and Europe. None of

this displaces Hormuz as the region's central artery near-term, but it marks a durable shift toward supply-side redundancy and demand-side diversification that will outlast the current conflict.

These assessments are, as always, subject to the disclaimer provided below.

FORWARD-LOOKING STATEMENTS

The statements contained herein may include prospects, statements of future expectations and other forward-looking statements that are based on management's current views and assumptions and involve known and unknown risks and uncertainties. Actual results, performance or events may differ materially from those expressed

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(v) persistency levels, (vi) particularly in the banking business, the extent of credit defaults, (vii) interest rate levels, (viii) currency exchange rates including the EUR/USD exchange rate, (ix) changes in laws and regulations, including tax regulations, (x) the impact of acquisitions, including related integration issues, and reorganization measures,

and (xi) general competitive factors, in each case on a local, regional, national and/or global basis. Many of these factors may be more likely to occur, or more pronounced, as a result of terrorist activities and their consequences.

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How the AI supercycle is reshaping global interest rates

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In Summary

- **The AI supercycle will pull long-term yields down in both the US and Europe, but for very different reasons and by very different paths.** We model this across five transmission channels – three macro (neutral rate, inflation expectations, fiscal collateral) and two micro (AI-driven duration supply and crowding-out) – applied to an AI upside and downside scenario. Over a 10-year horizon the net effect is around –50bp for both regions in the upside scenario (roughly +5pp of cumulated US potential growth, +1.6pp for the eurozone), and a prolonged, smaller drag in the downside (–2.5pp and –1.3pp respectively). The US result depends on AI productivity actually materializing to keep its fiscal trajectory intact; the eurozone gets to the same place even without the AI dividend, since its fiscal position doesn't need repairing in the first place. The US is the levered, volatile expression of the AI trade; Europe is the safer one.
- **The market has already priced the AI productivity story for the US, but not the fiscal relief that should come with it.** The USD 5y1y forward has moved from ~3.0% to 4.9% since mid-2025 some 150bp above our median neutral-rate estimate and 90bp above the top of our estimate range, and more than the full +67bp our model assigns to the AI enhanced neutral-rate range over the next decade. What isn't priced at all is the fiscal collateral improvement, worth –85bp to the US 10Y by the end of the horizon. Either the market doesn't believe AI will repair the fiscal trajectory, or it's pricing a less favorable version of the same story with higher AI-driven job displacement pushing up social protection and unemployment spending enough to offset the tax-revenue gain.
- **Fiscal collateral – the extent to which a stronger economy makes a government's debt easier to repay – is what actually decides the outcome, in both scenarios and both regions.** The transatlantic rates converging seems counterintuitive at first view as Europe's growth impulse is a third the size of the US. But its fiscal position benefits more, because the improvement lands on a stable debt path rather than the expansionary US path. For every point of growth AI delivers, Europe's fiscal position improves about 1.6 times more than that of the US.
- **The way AI interacts with interest rate isn't a straight path, and its shape differs on each side of the Atlantic.** Both curves rise well above their eventual resting point before reversing, the US 10Y's round trip is 135bp (versus 80bp for the eurozone) even though the net 10-year effect is only –50bp for both. The peak trade also looks different in each market: a butterfly in the US (buy the belly, sell the wings, as front-loaded micro effects hit the wings while macro effects lag into the belly) versus a flattener in Europe. By the end of the period both curves converge to a similar, milder flattening.

AI is no longer only a sector story, but a macro-scale claim on the economy.

Artificial intelligence (AI) has become a major macroeconomic force. AI investment will pass USD1tn globally in 2026, of which more than USD500bn in the US alone. That is 1.8% of US GDP and 0.9% of world GDP, on a path to 2.8% and 1.4% respectively by 2028. In terms of growth, tech and data center activity will represent 36%-50% of US year-on-year growth this year. Globally, the direct AI investment impulse is worth roughly 10% of global growth. From the financial markets side, AI has mostly been examined through the lens of equities ([sector analysis](#), [valuation](#), concentration risk), or private credit ([risk profile](#) and risk pricing of [AI investments](#) types (see our latest reports here linked here). This paper asks how the AI supercycle transmits into interest rates..

US and eurozone vary in the level of macro impact, but share similar profile

We model the effect against a baseline without AI effects, measuring the difference versus an AI upside scenario and one in which AI shifts to the downside. We use several published estimates to derive scenarios for the impact on potential growth, trend productivity and trend employment. We define an upside scenario with cumulated potential growth gains of +4.94pp in the US and +1.60pp in the eurozone; in the downside we assume -2.47pp in the US and -1.35pp in the eurozone. The US macro scenario shows much greater sensitivity to AI, while Europe has less to gain in terms of productivity. The pattern is similar for inflation, where in the upside scenario the US faces a stronger supply- and energy-driven uptick, before higher productivity gains take over and reverse the AI impact into a disinflationary trend. Inversely in the negative scenario, the negative AI demand shock brings US inflation further down than it does in the eurozone (Table 1).

Table 1: Macroeconomic scenarios

Scenario	US Δ potential growth (pp)	EA Δ potential growth (pp)	US peak inflation	EA peak inflation
Downside	-2.47	-1.35	+0,35	+0,25
Upside	+4.94	+1.60	-0,35	-0,25

Sources: Allianz Research

Our framework rests on five major transmission channels

We identify two major channels of transmission: 1) a *macroeconomic channel* through potential growth, inflation dynamics and the fiscal position (plus a spillover effect for the eurozone), and 2) a *microeconomic channel* through the changes AI financing brings to the structure of fixed income markets. The latter has gained importance recently as market participants have discussed the possibility that AI debt issuance was competing with US government debt and therefore contributing to driving up yields. The macro channels capture the changes in the way long-term rates discount economic variables. The micro channels capture how the AI funding model (market size, self-funded vs debt issuance) affects the price of duration. Macro and micro channels work on different lags, and their effects can change sign over our 10-year forecast horizon. Generally, the macro channels affect the expected rate component of long-term rates, while micro channels act on the term premium. The exception is the fiscal position which, despite being a macro channel, affects the term premium component of long term government bond yields.

- 1) **Neutral rate r^*** is the real policy rate at which the economy neither overheats nor stalls. It is the level the expected path of short rates is anchored to. If AI raises trend productivity, capital earns more, firms want to invest more, and the neutral rate balancing saving against investment rises. A lasting productivity gain therefore lifts r^* which feeds through the entire yield curve. It has a stronger effect at the front end as it transmits through expected short rates, and productivity gains have a long-term mean reverting trend. The effect is inverted in case AI would fail to produce productivity gains in an economy facing a debt overhang from AI investments.
- 2) For **inflation expectations** we use an adaptive expectation approach where the estimation windows adjust with previous estimation errors. As AI has a strong supply impact at first, we get upside push in expectations

that fades with time when productivity gains take over. As the phase in becomes smoother, the change in expectation is less pronounced to the downside. These factors also influence the expected rate component of government bond yields.

- 3) **Fiscal collateral** is defining the fundamental value of sovereign bonds as discounted claims on future primary surpluses. The channel captures its change in response to an AI-driven up- or downside productivity shock. A productivity shock has an asymmetric effect: tax revenues improving the fiscal position are elastic to GDP, while the largest spending lines (pensions, benefits, debt service) are sticky.
- 4) **Duration supply** is a market-microstructure model tracking AI capex as a generator of new duration, through both long-dated IG bonds and pay-fixed swap structures in private credit. The curve effect sits at the long end as 65% the supply lands beyond 10 years. The swap spread effect depends on fixed-rate issuance, which cheapens the sovereign against swaps while pay-fixed hedging from private credit, enriches it. Duration supply affects the term premium, it is more pronounced at the longer end of the curve.
- 5) **Crowding Out** is a sector-level displacement model affecting long-term rates via the swap-market. Financial institutions issue fixed-rate bonds and then ask for floating, receiving fixed in swaps. That receive-fixed leg is how financial issuance moves duration out of the sovereign market. AI borrowers sit on the opposite side of the swap curve, paying fixed rather than receiving it. So both channels lift swap yields against the sovereign: one adds fixed-payer supply, the other removes fixed-receiver demand. Like duration supply, crowding-out affects the term premium at the longer end of the curve.
- 6) **Spillover Effect** is added for the eurozone, acting mainly at the long end, where global term premia and rate levels remain structurally correlated and anchored to the US benchmark. It captures how AI effects propagate to global fixed income markets via the US Treasury market, even where AI exposure is limited.

Table 2: AI transmission channels to interest rates

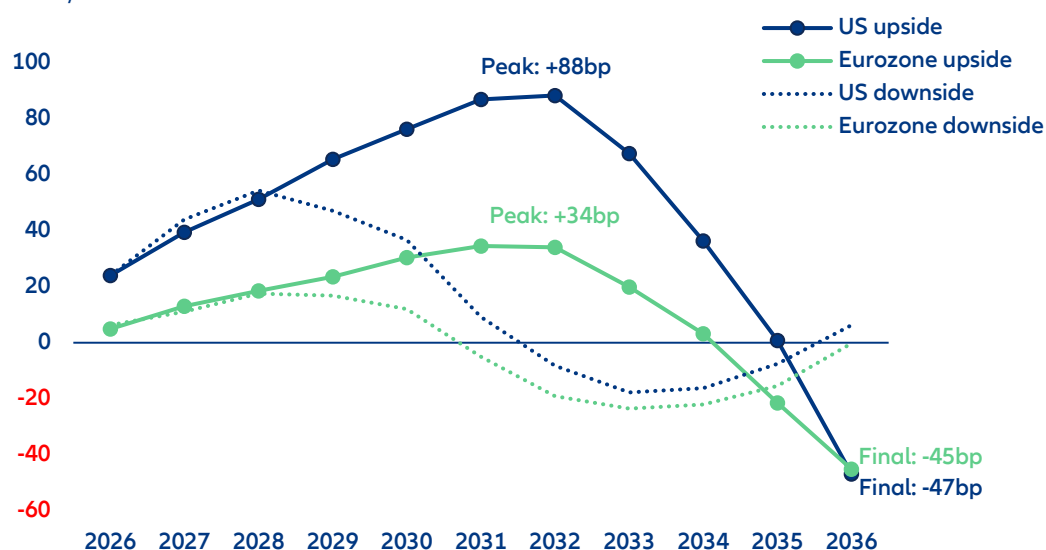
Side	Channel	Mechanism	Curve impact	Direction in Upside	Direction in Downside	Model	Effect on
Macro	Neutral rate r^*	Higher trend productivity raises the return on capital and lifts the equilibrium real rate	Short end	Up	Down	Holston, Laubach & Williams (2023), Ferreira, Lott & Richards (2025)	Expected rates
Macro	Inflation expectations	The capex boom is a demand shock before it is a supply shock; productivity offsets arrive later	Short end to Belly	Up, then down	Up, then down	Adaptive expectation model, Bartholon (2014)	Expected rates
Macro	Fiscal collateral	Productivity growth lifts the PV of future primary surpluses; government debt has a positive productivity beta	Belly to Long end	Down	Up	Kung, Lustig & Paron (2025), Gómez-Cram, Kung & Lustig (2025)	Term premium
Macro	Spillover (only eurozone)	International correlation structure	Belly to Long end	Up	Down		Expected rates + Term Premium
Micro	Duration Supply	Long-dated AI bond supply prices duration. Floating private-credit borrowing swapped to long fixed via pay-fixed swaps	Long end	Up / steepening	Up / steepening	De Vere, Ramaswamy & Searls (2026)	Term Premium
Micro	Crowding out	AI issuers displace financials, who recycle duration back into the sovereign market via receive-fixed hedging,	Long end	Up / steepening	Up / steepening	De Vere, Ramaswamy & Searls (2026)	Term Premium

Sources: Allianz Research

The AI super cycle is a bull market for duration, but it is not a directional trade

Our results show that AI is a bull market for duration in both scenarios, but the path matters. In the upside scenario, AI lowers long-term rates by around 50bp over a 10-year horizon in both the US and the eurozone. In the downside scenario, rates are also held down for a prolonged period. In both cases, however, yields rise before they fall: the US 10Y makes a 135bp round trip in the upside and 72bp in the downside, against 80bp and 41bp for the eurozone. The AI effect on rates is therefore not a long-term directional trade, the right timing is essential. The timing depends on which channels dominate when, how long they take to act and where on the curve they bite hardest. That makes the shape of the curve as important as the yield level for positioning (Figure 1).

Figure 1: Net AI effect on the 10Y yield – Upside and Downside scenarios
in basis points



Sources: LSEG Datastream, Allianz Research

The end points for the US and the eurozone are remarkably close, even though the two start from very different positions in the AI race. The fiscal collateral channel explains why. Europe gets only a moderate growth impulse, but it lands on a stable fiscal position, which improves the value of its fiscal collateral significantly. The US gets a much larger growth impulse, yet the gain is partly offset by continued fiscal expansion over the next 10 years (we use the CBO forecast of debt/GDP rising 20pp over the next 10 years). With a stable debt path, the increase in US fiscal collateral value would subtract 125bp rather than 85bp, lifting the total effect to -90bp and leaving the eurozone far behind. The transatlantic AI rates convergence is thus a late-cycle outcome: at the peak, the AI effect is more than twice as large in the US as in the eurozone.

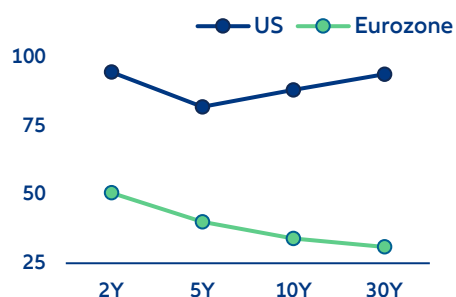
The US curve rotates between the peak and the end of period due to micro effects

At the peak of the upside scenario, the US curve shifts up, but with the middle of the curve (belly) holding up better: the 2s30s slope barely moves while 2s5s flattens 13bp and 5s30s steepens 12bp. The peak AI trade on the US curve is therefore a butterfly (buy the belly, sell the wings). In the eurozone the peak AI effect on the curve is a flattener instead: 2s30s -20bp, with the 2Y up 51bp against the 30Y up 31bp. This shape difference is driven by the stronger and front-loaded US micro channels, set against macro channels that arrive with a lag. In addition to the time lag, macro channels (neutral rate, inflation expectations) act mainly at the short end, while the micro channels hit the long end because AI issuance is long-dated. The 5Y sits in between: it absorbs little of the duration-supply and crowding-out pressure, yet is long enough to benefit from the improving fiscal collateral effect on its term premium. By the end of the period, both curves flatten to a similar degree as fiscal collateral value becomes the dominant force, pulling the belly and the long end down while the 2Y is barely affected (US 2s30s -41bp, EA -30bp). In the

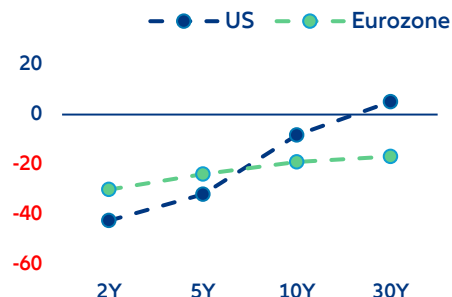
downside scenario the curve steepens instead, with the slope rising in the 5-10y segment within three years – first more strongly in the US, then converging towards to the eurozone the end of the period. In a AI downside ends the curves would steepen in both regions as the front end collapses on policy easing while the long end sells off on fiscal deterioration (US 2s30s +41bp, EA +24bp) (Figure 2 & 3).

Figure 2: Net AI effect on curve shapes – Peak vs Terminal values
in basis points

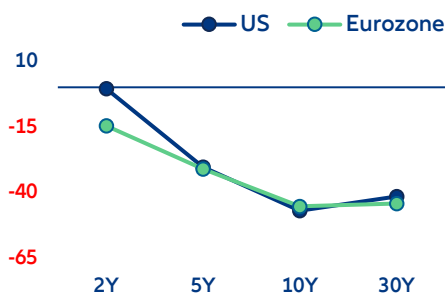
Peak in 5 years - Upside scenario



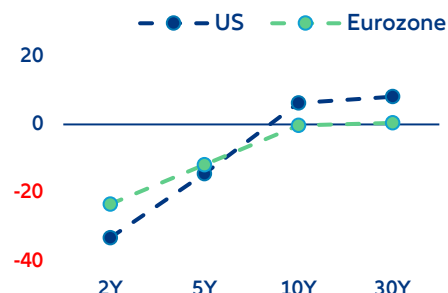
Peak in 5 years - Downside scenario



Terminal in 10 years - Upside scenario

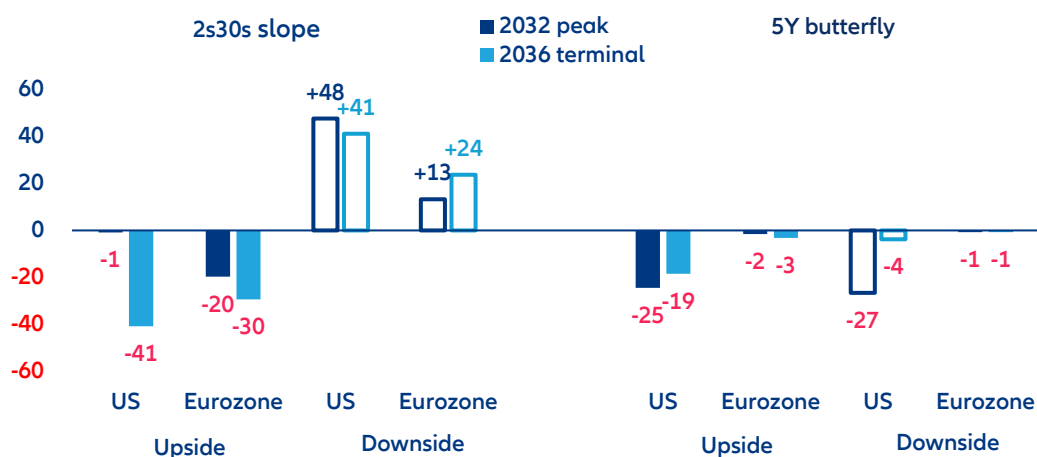


Terminal in 10 years - Downside scenario



Sources: LSEG Datastream, Allianz Research

Figure 3: Net AI effect curve shapes – Butterfly on the US curve vs flattener on the euro curve
in basis points



*5Y butterfly = 2 x 5Y minus 2Y minus 30Y. Negative means the belly richens against the wings.

Sources: LSEG Datastream, Allianz Research

Microeconomic channels and inflation move first, the fiscal channel decides the end point

Having looked at the way AI effect the changes in yield levels and the influences the shape of the curves, we now turn to the decomposition of the moves: which channels drives the yield and curve dynamics, how much each contributes and when. The sequence is the same in both scenarios: micro channels and inflation expectations drive rates early on, while the fiscal channel and the neutral rate r^* only kick in later.

In the upside scenario, the peak arrives when productivity gains lift r^* while inflation expectations are still elevated and the micro channels are still at work but before higher growth has significantly fed through to tax revenues rising the value of the fiscal collateral. For the US at the peak in 2032, r^* alone contributes +67bp against -18bp from the fiscal channel. By the end point the picture reverses: the fiscal channel contributes -85bp, r^* slows down to +42bp and inflation expectations flip to -18bp as the disinflationary effect of productivity gains sets in. Europe follows the same sequence at roughly half the amplitude, reflecting its lower sensitivity to AI.

In the downside scenario, rates first move up, driven by inflation expectations on the back of AI investment and energy demand. In the US, the micro channels add another 20-30bp from AI-related issuance. The tipping point is in 2031: productivity gains fail to materialize and the debt overhang starts weighing on growth, which later erodes tax revenues, increases government spending and reduces value of the fiscal collateral. In the eurozone the micro channels are negligible, but the spillover from US rates matters.

The greater US sensitivity also shows up in the gross channel activity, i.e. the sum of all channel contributions in absolute terms. In the upside it amounts to 158bp in the US against 78bp in Europe for a broadly similar final outcome. In other words, much more happens under the surface in the US, but most of it cancels out: only 30% of the US channel activity is left once the channels are netted against each other, compared with 58% in Europe. The AI journey is therefore likely to be bumpier for US rates than for eurozone rates, even if both end up in a similar place. The AI effect should therefore translate into relatively higher US rates volatility (Figure 4 & 5).

Figure 4: Channel contributions to the 10Y - Upside and Downside scenario
in basis points

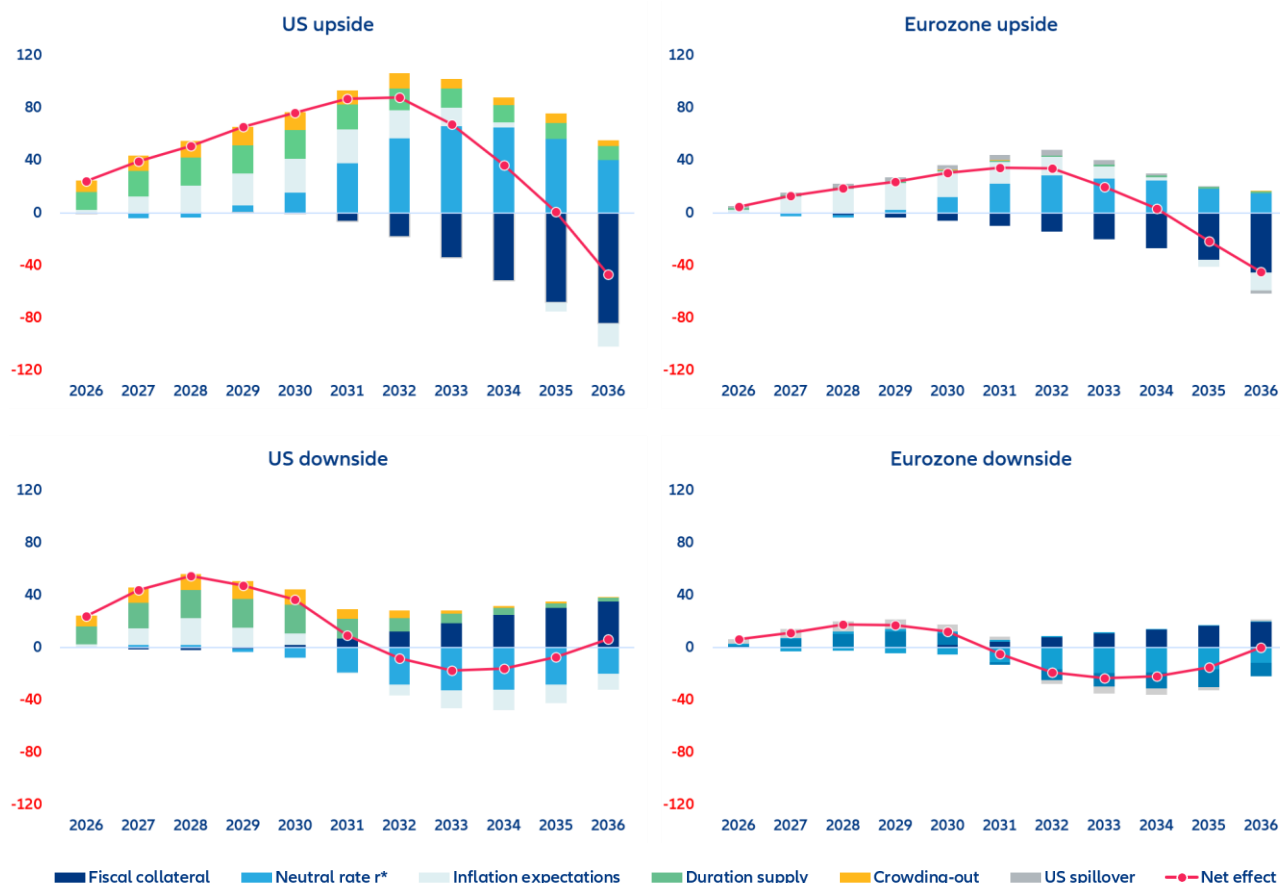
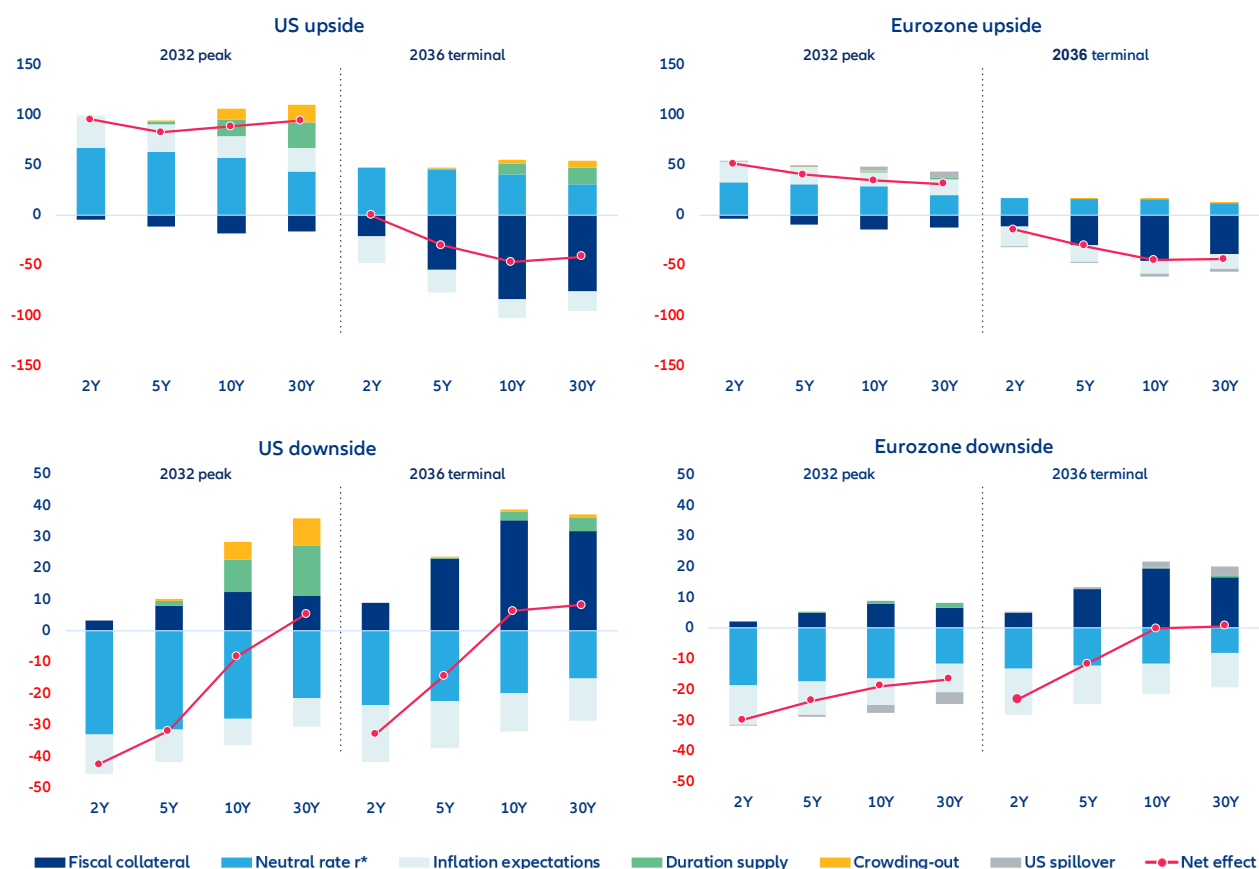


Figure 5: Channel contribution at every point of the curve: peak and terminal (basis points)
In basis points



The fiscal channel has the last word – and the US needs the AI dividend more than Europe

We find no transatlantic divide in the long-term AI effect on rates. At the end of the period the US and eurozone 10Y effects are only a few basis points apart in both scenarios. But the path to that point differs materially in level, drivers and timing. The convergence of the end points is attributable almost entirely to fiscal channel. Fiscal collateral contributes –85bp to the US terminal effect in the upside and –46bp to the eurozone, in both cases more than the channels working in the opposite direction, principally the neutral rate r^* effect.

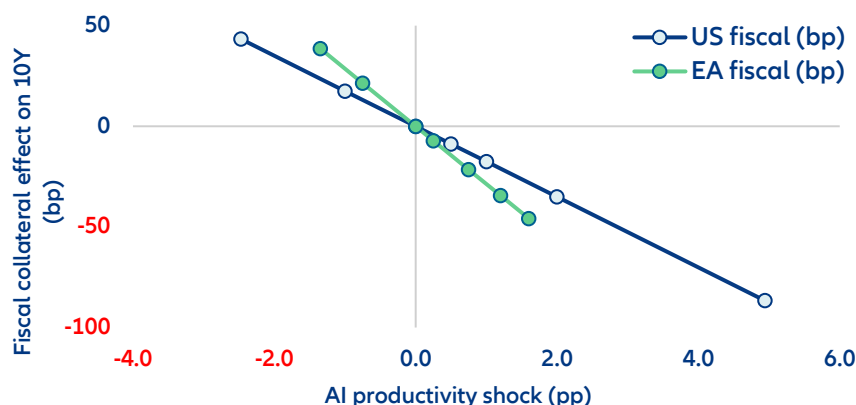
The mechanism is the productivity beta of government debt. A positive productivity shock raises tax revenues by more than the GDP gain, so the present value of future primary surpluses improves and the bondholder is effectively long AI productivity. Europe is disadvantaged here, as its tax revenues are less sensitive to GDP (also because AI growth is tilted versus US and less taxable by European governments) but its spending is also more sticky, as Europe is more exposed to negative labor market effects caused by AI. On the other hand, the fiscal trajectory of Europe is more favorable, with a rather stable debt to GDP ratio projection of 86% for the next 10 years. Over the same time period, the CBO sees US debt growing to 20pp of GDP.

What differs between the two markets is the debt path on which that improvement lands: deteriorating in the US, stable in the eurozone. The US is therefore the more dependent of the two on the AI productivity call actually being realized, as it needs the additional revenue to sustain its current expansionary fiscal stance, whereas the eurozone would maintain its debt trajectory even without the AI dividend.

On our calibration, Europe's fiscal-collateral beta is 1.6x the US per point of growth delivered, notwithstanding the more favorable US elasticities (higher revenue elasticity, lower spending elasticity). The difference lies in the denominator: a smaller debt stock (EUR14tn against USD40tn), a lower starting yield, a lower baseline real rate

and a flat baseline debt path against a deteriorating one, with the CBO projecting US debt rising 20pp of GDP by 2036. Europe is therefore the higher-beta expression of the AI fiscal call. But the result is conditional on the AI rent being booked in the US; were it to leak offshore, the US fiscal leg would weaken materially and Europe's relative advantage would widen further (Figure 6).

Figure 6: Europe has a 1.6x fiscal collateral beta per point of growth



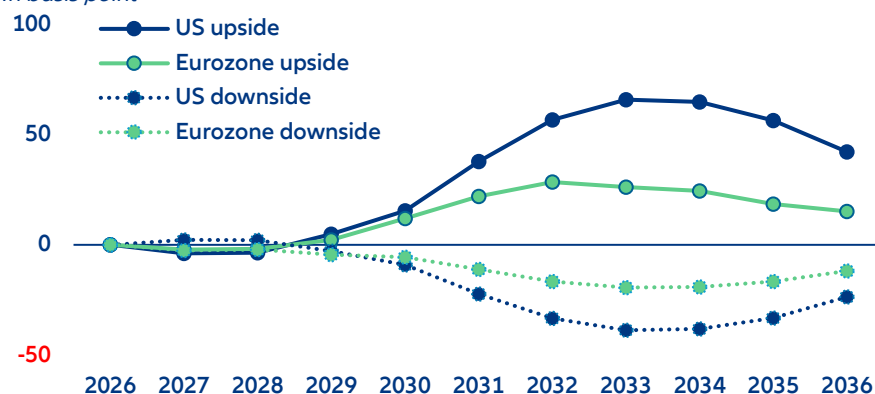
Sources: LSEG Datastream, Allianz Research

The neutral rate: bigger in the US, more decisive in Europe

The r^* channel is larger in the US but more decisive in Europe. In the US upside it is the biggest single positive contribution at both moments, +67bp at the 2032 peak and +42bp at the 2036 end point, but it sits inside 158bp of gross channel activity and is therefore largely netted away by the other channels. In the eurozone it is effectively the only positive channel left at the end of the period, at +15bp. Both paths rise with a delay, starting two to three years from now. The US path runs much higher but also mean-reverts more strongly later on, so the gap to the eurozone, which follows a smoother path, narrows over time. In the downside the paths are less pronounced and the two regions are closer together: the absolute impact is stronger in the US, while the eurozone shows the higher sensitivity relative to its own starting point.

Figure 7: AI effect on neutral rate r^* in different scenarios

In basis point



* based on neutral rate models from Holston, Laubach & Williams (2023) and Ferreira, Lott & Richards (2025)

Sources: LSEG Datastream, Allianz Research

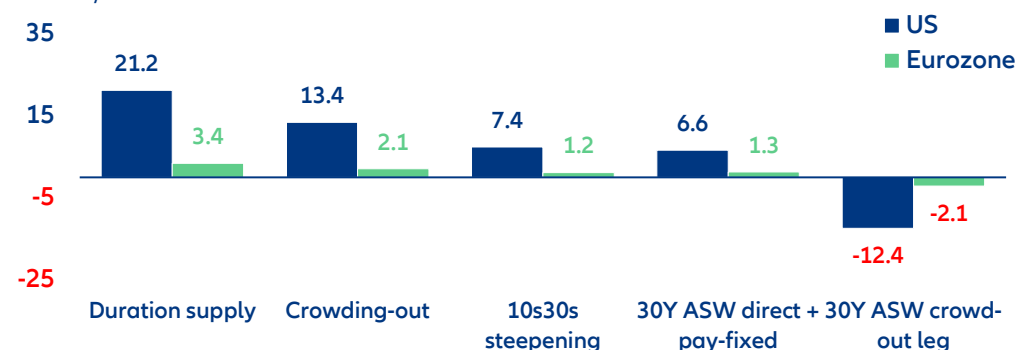
AI issuance is affecting the US treasury market, the euro market is untouched for now

The micro channels are a US story: the US dominates AI-related debt issuance and duration supply. In the eurozone the effect is still small, with EUR-denominated AI issuance accounting for around 1% of the corporate benchmark

indices and 10% share of global AI-related debt issuance. But it could change if reverse-Yankee AI bond issuance picks up in the coming years. On our estimates, however, euro issuance volumes would have to be around 10 times higher, increasing by min 20-25% p.a. to move eurozone rates to a comparable degree. Direct duration supply remains the dominant one at the peak. Together they add 34bp to the US 10Y at the peak, against 25bp today, and both steepen the curve as they act mainly on longer maturities. The effect on asset swap spreads (ASW) is positive through the direct pay-fixed leg, but negative through the crowding-out leg (Figure 8).

Figure 8: Peak impact of AI micro economic channels on 10y yields, slope and ASW

In basis points



* based on De Vere, Ramaswamy & Searls (Dallas Fed, Feb 2026)

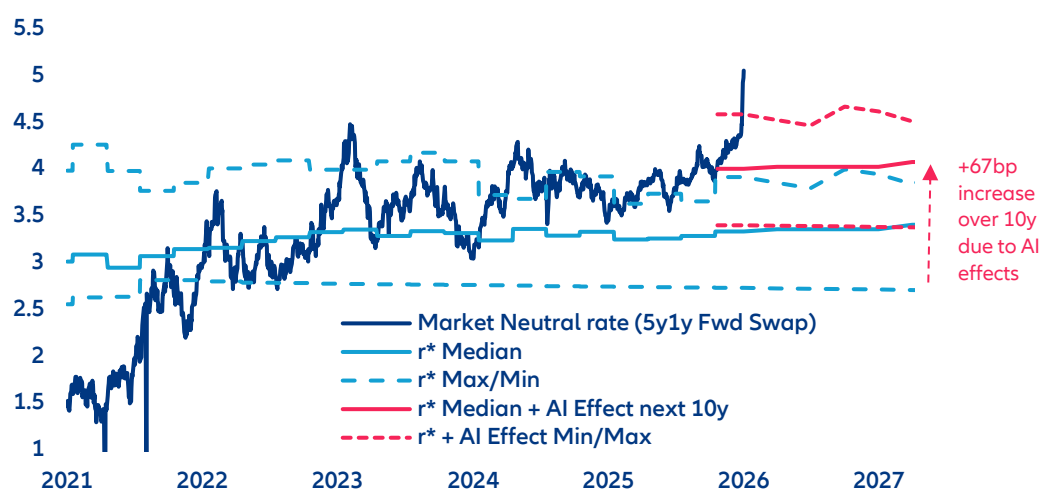
Sources: LSEG Datastream, Allianz Research

The market prices the AI productivity gain, but not the fiscal relief that should come with it

In the US, the rates market has already fully priced the productivity leg of the AI story. The 5y1y forward swap has climbed from 3.0% in mid-2025 to 4.9%, against a median neutral-rate estimate of 3.4% and range of 2.7-4.0%, which puts the market-implied neutral rate some 150bp above the median and 90bp above the top of the band. Our AI models would add +67bp to current estimates pushing the range to 3.3-4.67% – a range the market already exceeds. What is missing from the current AI narrative pricing is the other side of the same story: the fiscal collateral improvement that these productivity gains should bring, worth –85bp on the US 10Y over the next ten years. That leg arrives with a much longer lag, as it takes a visible turn in tax receipts to shift the narrative (Figure 9). We would therefore read the current level as a temporary mispricing rather than a challenge to the fiscal leg of the AI story. The front-loading of the productivity channel builds up correction potential.

Figure 8: Markets have already priced in the entire AI productivity gains for the next 10 years

In percentage points



Notes: neutral rate range based on Lubrik & Matthes (2015), Holston, Laubach & Williams (2023), Ferreira, Lott & Richards (2025), Laubach & Williams (2003), Hördahl & Tristani (2014), Del Negro et al. (2017) and Allianz proprietary model; AI enhanced neutral rate based on Holston, Laubach & Williams (2023) and Ferreira, Lott & Richards (2025)

Sources: LSEG Datastream, Allianz Research

These assessments are, as always, subject to the disclaimer provided below.

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The (A)iceberg beneath tech debt: Recognized calm, rising spreads below the waterline

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In Summary

- **Equity captures the upside of the AI build-out, while credit absorbs the loss if it fails – yet creditors are compensated with under 1% p.a. on 5-year bonds and around 2% on 10-year.** The asymmetry has grown as total long-term debt at the eight dominant US tech companies rose by 86% in the 12 months to mid-2026. If AI investment pays off, equity holders benefit; if it does not, the added debt, increasingly compounded by off-balance-sheet commitments, leaves creditors exposed to a skewed distribution of outcomes that current spread levels may not reflect. This paper tests whether spreads price that skewed risk using three structural credit models – Merton, and KMV-inspired, and CreditGrades – with financial-filing and equity data for eight mega-caps.
- **On recognized debt, the market's calm is justified but we see the first drifts.** Our modelling agrees with market pricing and ratings on most names. As of mid-2026, recognized leverage across the panel is low, at 0.2% to 6.8%, implying credit risk broadly consistent with Aaa–A ratings. Three of the eight screen weaker than their formal rating due to high leverage (Meta) or equity volatility (Oracle, SpaceX).
- **The real risk lurks below the waterline: off-balance-sheet debt lifts the debt burden by nearly 150% on average, and pulls the model-implied credit quality down 1-2 notches.** The deterioration surfaces as quality migration before it surfaces in price, because distance-to-default is too far for spreads to react. The market has noted the direction, but not yet the size: CDS spreads more than doubled over the past year, while the average model-implied credit spread rose six-fold once off-balance-sheet debt is included. Off-balance-sheet debt keeps growing as new commitments are signed, and AI profit potential, even realized, offers little spread-tightening against it.
- **Ranked against the broad corporate credit universe, the panel is bifurcated:** model-implied credit quality spans from the 97th percentile (strongest) to the 2nd (weakest), with the average sitting near the 62nd — barely better than a median credit. In effect, the rank bought by rising market capitalizations and compressed volatility is being spent on debt growth, both recognized and hidden. The two legs are not symmetric – debt is contractual and accumulates on schedule, while equity relies on the future.
- **A severe market repricing – equity down 10%, volatility up 10pp, debt up 50% – would cost the panel two standard deviations of distance-to-default, translating into ~20bps of model spread.** Debt sensitivity is actually lower: recognizing leases – equivalent to 150% of debt – moves spreads by only ~10bps, with wide dispersion across names. Mid-2022 is the natural stress test: the same balance sheets, carrying far less debt, still showed vulnerability – volatility and time horizon matter more than rates or equity levels.
- **As tech allocation in credit portfolios grows, spreads do not fully compensate for skewed risk.** Default risk is still remote, but spread risk will increasingly surface. The liability leg is contractual and arrives on schedule, while the equity leg can reverse in a quarter. Tech's curve steepness already prices the long horizon as the key risk, and that may extend to the front-end. Tech has avoided the iceberg so far, but the navigation is getting trickier, and the metric to watch is spread vs. quality ranking within the corporate market, including by financial commitments and equity volatility.

From the broad market to the (A)Iceberg

What is the right price for carrying the tail risk of the AI build-out? We put that question to structural credit models that price default risk from the equity market and the balance sheet, rather than from credit markets themselves. By definition, equity keeps the upside if the AI build-out works, credit mainly absorbs the loss if it does not. The mega-cap technology complex already dominates the equity indices and is now ballooning in credit to finance that build-out. And investment-grade spreads offer only modest compensation of ~80bps, even after the tech-led widening of 2026.

The starting point is Merton (1974), and behind the mathematics sits a simple idea: a company owns assets and owes debt. If the assets are worth more than the debt when the bill comes due, shareholders keep the difference; if they are not, creditors take what is left. Owning the shares is therefore a bet on the assets clearing the debt – and that means the equity market is already saying something about default risk. Two things drive the answer: how much cushion sits between what a company is worth and what it owes, and how fast that cushion can move, which is what equity volatility measures. A thick cushion that barely moves is safe. A thin one that swings around is not. The model implicitly assumes the consensus AI narrative embedded in equity, with equity volatility taken as a proxy for the market's uncertainty. This approach may not fully appreciate the income from current AI-investment. But credit investors will barely benefit from it, and instead need to focus on downside against slim spread.

Merton's limitation is that it is too well-behaved at the top end. Give it a company with 2% leverage and it reports a default risk of essentially zero – hard to argue and work with. A KMV-inspired approach¹ – our own implementation of the published structural framework, not the proprietary Moody's Analytics KMV model – keeps that logic and fixes the last step: instead of reading default risk off a bell curve, it reads it off what has actually happened in the past to companies with similar cushions. It also assumes a that firm has to cover its short-term debt plus part of its long-term debt, rather than everything all at once. The output arrives in a language credit investors already use – an implied rating. That matters here, because when Merton has flattened to zero, the rating still moves. CreditGrades, a variant that allows for uncertainty about exactly where the default point sits, is run alongside as a sanity check.

We run both models on key technology companies – Microsoft, Apple, Alphabet, Amazon, Meta, Nvidia, and Oracle. SpaceX was also added in recent analysis, completing the eight-name panel we refer to throughout. The analysis covers five timestamps from mid-2022 – the onset of the AI theme – to mid-2026, using the market capitalization, equity volatility and risk-free rate prevailing at each date. Each name is priced under two debt barriers: reported balance-sheet financial debt only, versus balance-sheet debt plus off-balance sheet commitments – together, the (A)Iceberg.

On the recognized balance sheet, default risk pricing is a volatility story

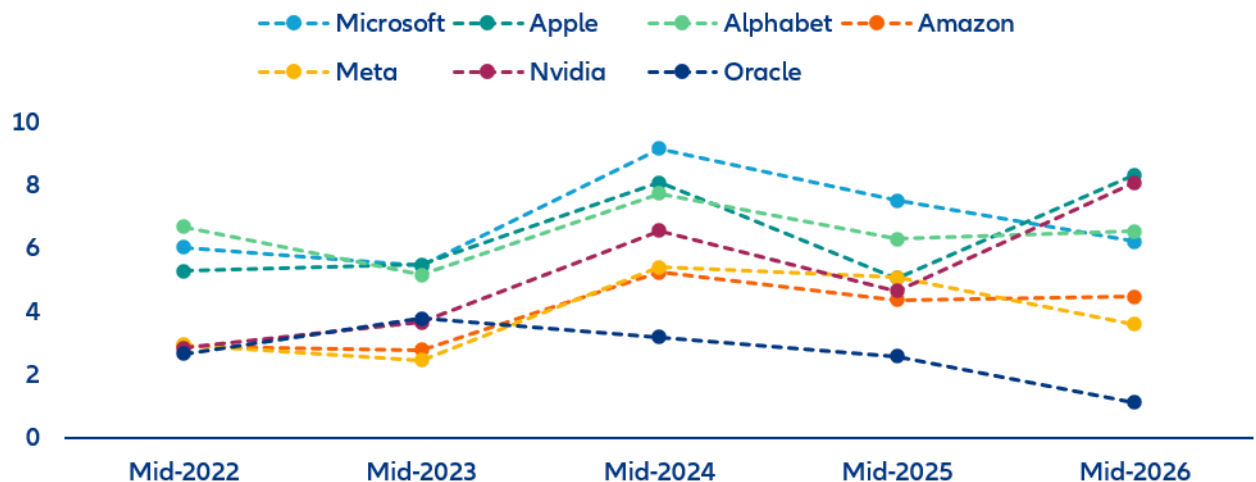
Five years of distance-to-default read as a volatility cycle, not a leverage cycle. Distance-to-default was weakest in mid-2022, when the inflation-and-policy shock had left market capitalizations 40–70% below today's levels and pushed single-name volatility into the 41–57% range. As the 2024 economic rally rebuilt equity cushions, it subsequently dipped in 2025, and split in 2026 (Figure 1). Meanwhile, balance sheets remained more static and the debt barrier quite stable from 2022 to 2025. Heavy issuance of new debt started only in late 2025. Oracle's path is the only one that can be explained through leverage: its distance-to-default has ground down substantially (from 2.4 to 0.8 standard deviations), as debt grew into an equity cushion that halved over 2026. Generally, below 1 standard deviation is naturally the danger zone (CCC-rating and below) while above 3 enters investment grade and 7 in AAA-space.

¹ Moody's KMV (Kealhofer, McQuown, Vasicek) operationalises the Merton model by mapping distance-to-default to default frequencies estimated from a proprietary default database, rather than through the Gaussian mapping, which understates default risk in practice. See Crosbie and Bohn (2003), Modeling Default Risk, Moody's KMV.

The 2026 differentiation is itself informative: model default risk improved sharply at Apple and Nvidia, while it deteriorated at Microsoft, Meta and Oracle, whose distance-to-default fell by 23–31%. Applying equity volatility has already divided the panel into the names it believes are winning the build-out and the names paying for it, with Oracle as the outlier – a point that debt markets also noted.

Figure 1: Distance to default, mid-2022 to mid-2026 – a volatility cycle for six names, a leverage story for one

Model-implied distance to default, standard deviations of asset value



Sources: Bloomberg, Allianz Research. Merton distance-to-default (standard deviations, 5-year horizon), recognized-debt barrier; higher is safer.

Mid-2026 shows the recognized numbers justifying the market's calm (Table 1), while SpaceX is repeating the volatility story. Recognized leverage – all short-term debt, plus 75% of long-term debt, against market-implied asset value – sits between 0.2% (Nvidia) and 6.8% (Amazon) for the six mega-caps; only Oracle, at roughly 25%, carries leverage that a structural model can even see. SpaceX makes the volatility point in its purest form: at just 1.3% leverage, its distance-to-default is short at 0.9. The model reads B against current ratings at Baa1, purely because equity volatility near 113% makes even a small barrier reachable.

Merton and CreditGrades spreads accordingly collapse for the AA/AAA quality names – nearly zero implied spread against market CDS of 31–71bps. Those numbers are not a data problem, they follow from what each side measures. Default risk at these balance sheets is so remote that the models' risk-neutral normal tail rounds it to zero, while the market spread is largely everything a default model does not price: liquidity, risk premium and the technicals of supply and demand. Model and market spread levels therefore cannot be compared directly – the information sits in the rankings and the changes.

The KMV-inspired overlay – an empirical mapping from distance-to-default to observed default frequencies, is used precisely to restore that information: Aaa-equivalent for Microsoft, Apple, Alphabet and Nvidia, A for Amazon, Baa for Meta and B for Oracle and SpaceX (Table 1). Set against the rating agencies, the mapping lands close for most of the panel: on five of eight companies, the model echoes both the agencies' and the market's calm. The outlier is Meta -Baa in the model against Aa3 at Moody's, roughly three notches below the agencies, because the model assumes 39% equity volatility and ignores the profit potential which is uncertain. Oracle's gap (B against Baa2), runs the same direction and the high leverage weighs on the result. However, the model better justifies market CDS price rather than the agencies: at 71bps Meta trades the widest of the six mega-caps excluding Oracle – wider than higher-rated Alphabet (Aa2, 55bps) and even BBB benchmark (60bps). The mismatch between market pricing and model implied default risk reflects the debt beyond the current balance sheet, namely announced future issuance and off-balance sheet debt, as well as future profit expectations.

Table 1: The recognized balance sheet in mid-2026 and model-implied rating

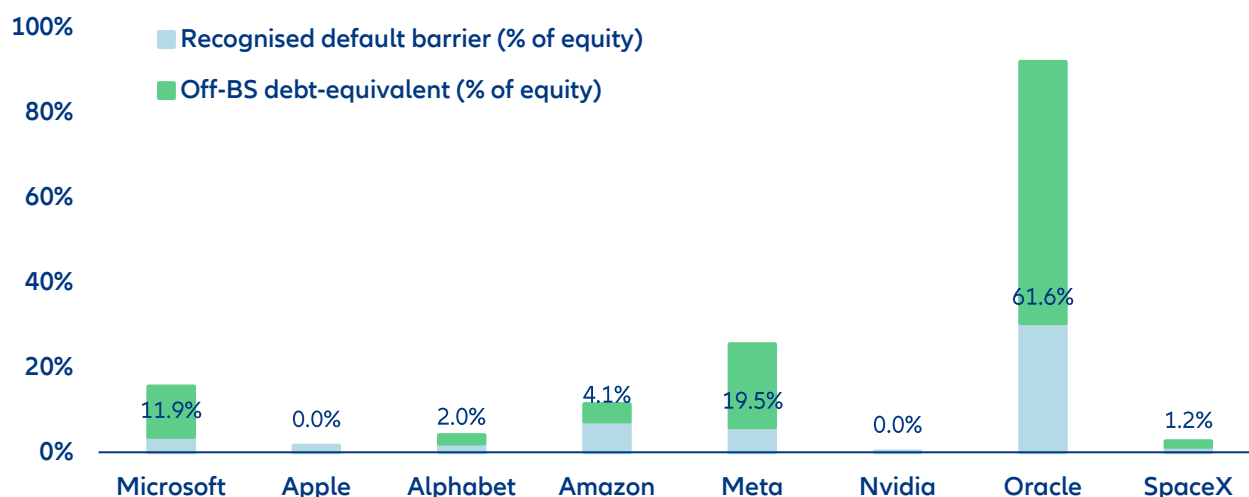
Company	Equity vol (1y, %)	Debt Barrier (USDbn)	Leverage	Distance to default	Model impl. rating	CDS impl. rating	Market 5y CDS at mid-2026 (bps)
Microsoft	27	101	3.6%	5.6	Aaa	Aa3	42
Apple	24	67	1.5%	7.9	Aaa	Aa2	31
Alphabet	30	90	2.0%	6.0	Aaa	A1	55
Amazon	31	186	6.8%	4.1	A	A1	55
Meta	39	85	5.7%	3.3	Baa	A3	71
Nvidia	36	10	0.2%	7.6	Aaa	A1	48
Oracle	63	128	24.9%	0.8	B	Baa3	171
SpaceX	113*	30	1.3%	0.9	B	Baa2	138

Sources: Bloomberg, Allianz Research. Barrier = ST debt + 0.75×LT debt; leverage = barrier / market-implied asset value; distance to default from the Merton solve at a 5-year horizon; model-implied rating from our own empirical default-frequency mapping. *Equity vol of Space X is annualized 10-days vol as there is no 1y trading history yet.

The (A)Iceberg: USD1.1trn of obligations the default barrier cannot see

The largest claims on future cash flow in this complex are hidden from the balance sheet. Data-center capacity contracted today but delivered in 2027–2031 stays disclosed-only until the lease commences: take-or-pay cloud, compute and power purchase agreements behave like debt services, but book as executory contracts; residual-value guarantees and vendor-financing structures sit further out still. According to Bloomberg Intelligence, Alphabet, Meta, Oracle, Microsoft, and Amazon collectively hold off-balance sheet commitments nearing \$2.6 trillion as of August 2026. That number is up from \$573 billion a year prior, driven primarily by AI infrastructure build-outs – including uncommenced data-center leases and long-term supply agreements.²

Figure 2: The iceberg in one chart – recognized barrier versus off-balance-sheet debt-equivalents, % of market equity, mid-2026

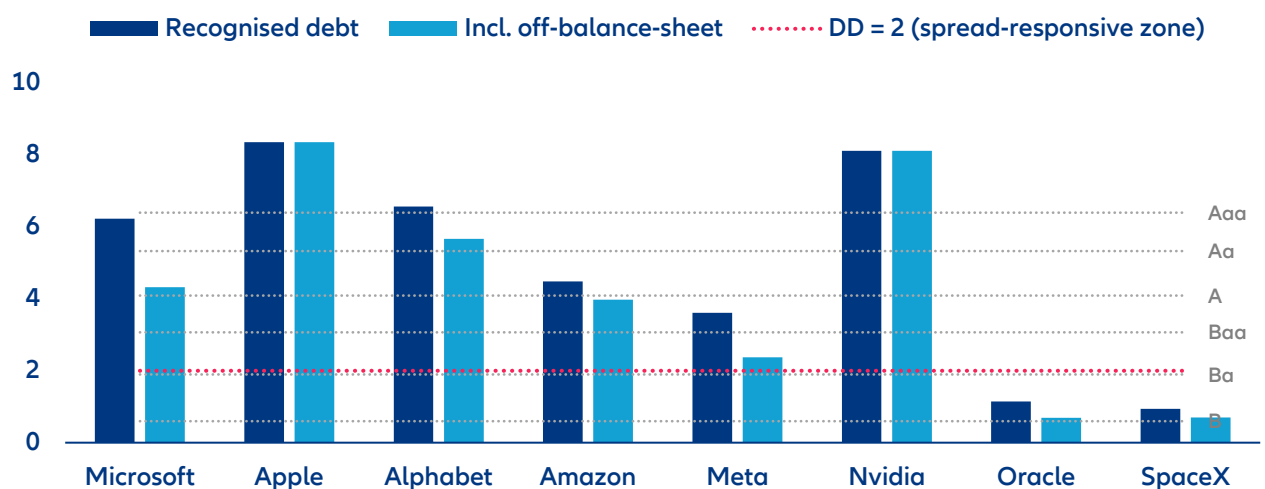


Sources: company filings (commitments notes), Bloomberg, Moody's, Allianz Research. Off-balance-sheet debt-equivalents are judgement-based estimates of not-yet-commenced leases; undiscounted, mid-2026 only.

² [Bloomberg Intelligence](#) Mandeep Singh, 08/13/26

The hidden debt moves model-implied credit quality by one to two notches while leaving most model spreads visually less changed. This is because the distance to default is still too far to reflect in model pricing. Adding the commitments lifts leverage to 16% and 25% respectively and multiplies Microsoft's and Meta's debt burden more than four times and (Figure 2). Therefore, as shown in Figure 3, distance-to-default would be cut by 1.9 and 1.2 standard deviations – equivalent to a 1-2 notch downgrade. Yet the model-implied spread response is close to nil everywhere except the two names whose cushions were thin to begin with: Meta moves from 0.2bps to 7.4bps (CreditGrades: 0.1 to 10.2bps) and Oracle from 192bps to 326bps (CreditGrades: 230 to 467bps). The model also translates the same compression into ratings language, full recognition of the off-balance sheet items moves model-implied quality by one to two notches overall (Microsoft Aaa to A, Alphabet Aaa to Aa, Meta Baa to Ba). Our measure of the stack is deliberately narrow: only uncommenced leases, the one component disclosed in the commitments notes and clearly definable as a debt-equivalent. Layering in the take-or-pay supply agreements, purchase obligations and guarantees would deepen every one of these migrations.

Figure 3: Distance to default, mid-2026 – recognized debt versus including the off-balance-sheet stack
Dotted line as model implied rating band floor

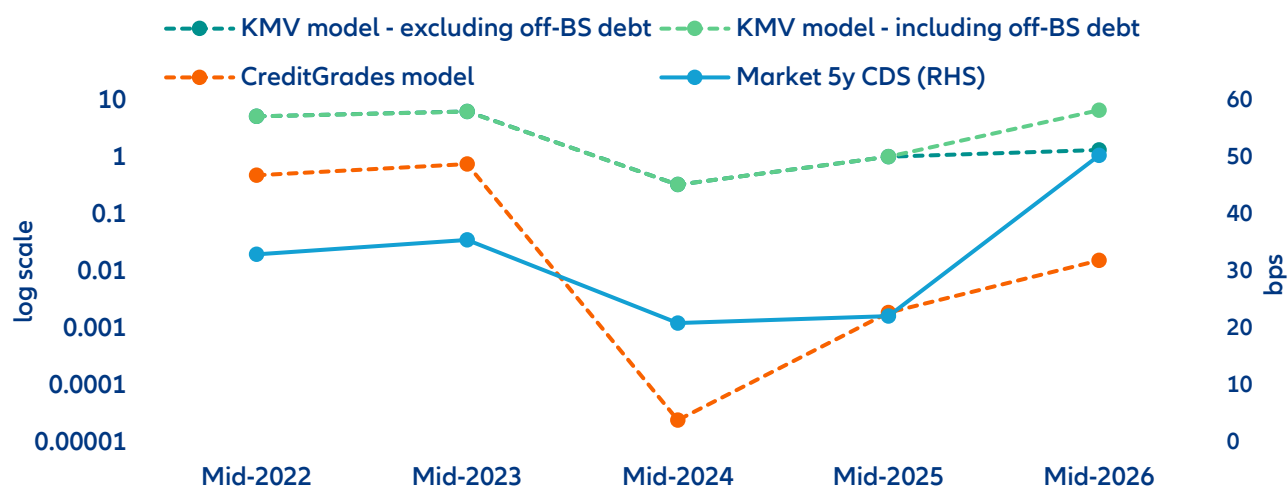


Sources: Bloomberg, company filings, Allianz Research. Below roughly $DD = 2$, structural model spreads become responsive; above it, barriers can multiply without spreads reacting.

The market is not blind to this – but it is not fully pricing it either. The 2026 widening is itself partial recognition: the two names carrying the largest commitment stacks relative to their recognized debt, Meta and Oracle, are also the two widest spreads in the group. Spreads have moved by tens of basis points year-to-date while, the inclusion of off-balance sheet items implies one to two notches of quality migration – a repricing consistent with part, not all, of the off-balance sheet stack. And the stack is not static: commitment schedules are still being signed, recognized debt is growing alongside them and every lease that commences converts a disclosed obligation into a recognized barrier.

Current spreads price part of the off-balance sheet stack, but pricing all of it would imply further widening, and the gap is still growing. Mid-2026 is the first time in the AI era that model and market widen together, and the models widen furthest where the hidden debt is counted. Model spread levels price expected default loss only, and sit far below traded spreads which reflect liquidity and other non-fundamentals drivers. Consequently, Figure 4 should be read for direction rather than level. From mid-2022 to mid-2025, model and market tightened together; into mid-2026 both widen. Once we exclude Space-X, due to its lack of history, and Oracle, due to its wider spread, the average market 5-year CDS of the remaining names more than doubled over the last year, from 22bps to roughly 50bps. The model average rises about 30% on recognized debt alone, and roughly six-fold once the off-balance-sheet stack is counted. This supports our argument that the market's widening only partially reflects inclusive deterioration. Given the continuing financing needs and dynamic nature of the commitments, we don't expect the widening pressure to fade away any time soon.

Figure 4: Model versus market, excluding Oracle, bps, log scale



Sources: Bloomberg, Allianz Research. Market line = average 5-year CDS; before 2026 only Microsoft, Apple and Amazon carried liquid quotes, and Alphabet, Meta and Nvidia enter the average in 2026. Model spreads capture expected default loss only and sit below market by construction – compare trends and the wedge, not levels.

Ranked against the broad issuer universe, the panel has bifurcated, stretching the whole range from 97th to 2nd percentile

Ranked against the broad issuer universe, rather than against each other, the panel has moved from clustered to bifurcated – and once the commitment stack is counted, four years of apparent improvement net out to almost nothing. On recognized debt, the average placement of the seven names rises from the 61st percentile in mid-2022 to the 73rd percentile in mid-2026, showing an improvement among the Investment Grade universe. Add the off-balance-sheet stack at full weight, however, and the average falls back to the 62nd (Table 2).

Table 2: Ranked against the broad issuer universe, the panel has bifurcated – percentile of model-implied distance-to-default, mid-2022 versus mid-2026

Company	Percentile mid-2022	Percentile mid-2026 ex off-BS	Direction on recognized debt	Percentile mid-2026 incl. off-BS	Net change (pp)	Direction incl. off-BS
Microsoft	95.0	94.1	Broadly stable	70.3	-24.7	Deteriorated
Apple	88.5	97.6	Improved	97.6	+9.1	Improved
Alphabet	96.3	95.4	Broadly stable	90.1	-6.2	Deteriorated
Amazon	39.0	73.8	Improved	62.0	+23.0	Improved
Meta	39.6	54.1	Improved	20.7	-19.0	Deteriorated
Nvidia	37.5	97.1	Improved	97.1	+59.7	Improved
Oracle	34.4	3.5	Deteriorated	1.8	-32.6	Deteriorated
Average	61.5	73.7	Improved	62.8	+1.3	Broadly stable

Sources: Bloomberg, company filings, Allianz Research. Percentile = placement of the model-implied physical distance-to-default in the broad issuer cross-section (323 issuers at mid-2022, 455 at mid-2026). Note: the comparator universes are built from recognized borrowings only, so the inclusive columns place an off-balance-sheet-adjusted distance-to-default into an unadjusted peer distribution – a conservative lower bound rather than a like-for-like rank. Direction reads the percentile change: improved or deteriorated for moves beyond ± 5 pp, broadly stable within it.

Although the aggregate level seems flat, the idiosyncratic movement is significant and the off-balance sheet debt amount is decisive. Three names improve on net, with or without the off balance sheet burden: Nvidia, Apple and Amazon all favorably ride favorable equity market effects with modest change in leverage. Nvidia gains most, from the 37th to the 97th percentile, and Apple rises from the 88th to the 98th. Neither carries a readily measurable commitment liability (Nvidia's buyer support via equity contributions obviously add circularity elsewhere and

financing support may rise in the future). Amazon keeps a net gain of 23pp despite handing back 12pp once its USD106bn of commitments are counted. Microsoft, Alphabet and Meta deteriorate only once the off-balance-sheet liability is counted, as their market-cap gains and volatility increases are not enough to offset liabilities growing several-fold. Microsoft is the clearest illustration: its placement is broadly stable over four years (95th to 94th) considering balance sheet debt, but if off-balance sheet liability is added, model-implied credit would deteriorate by one notch from Aa to A, as does the percentile rank. Meta runs the mechanism at higher intensity: +14 percentile-point change on recognized debt, -33 percentile-point from the stack, a huge net -19 percentile-points for eventual placement in the bottom quartile of the universe at the 20th percentile. Oracle is the only name dragged by everything at once – a fallen market capitalization, equity volatility, growing recognized debt and a stack equivalent to 60% of its equity – sliding from the 34th percentile to the 2nd at the bottom. All of above is not precise for each company but meant to offer insight into the dynamics for the overall technology panel and big-tech sector.

If benign markets turn: mid-2022 is the stress test built into the sample

Table 3 shows that horizon and equity volatility dominate the model results. Altogether, a stress scenario would cost the panel some two standard deviations of distance-to-default – equivalent to one to two rating letters or around 20bps of spread widening. Horizon matters the most (± 1 year is worth 0.42–0.58 standard deviations), because the model measures cumulative default risk within the horizon. The high horizon sensitivity also helps explain why the AI-related bonds curve is steeper, i.e. long-dated AI bonds are traded at a higher premium compared to the market curve. Among the market-facing parameters equity volatility dominates – 1pp moves distance-to-default by 0.20 standard deviations on average, against 0.11–0.13 for a 10% move in market capitalization or in debt. Implicitly, the model assumes that the equity markets efficiently price both the market consensus on the AI-outlook and the volatility surrounding it. The volatility channel is non-linear where it counts: the same shock produces larger spread reaction for names with currently lower volatility (e.g. Apple and Nvidia), and less spreads reaction for names already has high equity volatility (e.g. Oracle). Rates stress is less of a concern, as a 1pp move in rates only impacts distance-to-default by 0.07 standard deviations – a reasonable result while debt remains modest and off-balance sheet commitments lack rate sensitivity. A simultaneous stress scenario – equity down 10%, volatility up 10pp, plus debt up 50% (keeping the high issuance pace) – costs the panel two standard deviations of distance-to-default on average, which implies spread widening of around 20bps. Recognizing all the uncommenced leases pushed distance-to-default another 0.71 standard deviations shorter or around 10bps. Risk is firmly skewed to the downside in credit.

Debt and equity conditions are not two separate risks here – both enter distance-to-default, one raising the barrier and the other the cushion. Today they pull in opposite directions. Debt has grown hard on both sides of the disclosure line, yet distance-to-default has held for most of the big tech companies, because the equity leg moved the other way: market capitalizations are 40–70% above mid-2022 and volatility for all of them except Oracle sits at 24–39%, compared with the 41–57% of 2022. The equity market has also already taken sides: Apple and Nvidia re-rated through 2026, while Microsoft, Meta and Oracle de-rated, so the cushion is thinning precisely where the commitments are largest. For now spreads are held tight by the price-insensitive demand we described in July. But the offset is one-directional: commitments migrate to the financial statements on schedule regardless, so a turn in the volatility regime would raise the vulnerability and thin the cushion at the same time. In a market with less tailwind from demand that repricing tends to arrive quickly.

Table 3: Sensitivity and stress test – model-implied distance-to-default change by scenarios (based on Mid-2026, excluding off-Balance sheet debt)

Scenario	Average change (standard deviation)
Equity vol +1pp	-0.20
Equity vol -1pp	0.21
Equity price +10%	0.11
Equity price -10%	-0.13
Debt level +10%	-0.11
Debt level -10%	0.13
Risk-free +1pp	0.06
Risk-free -1pp	-0.06
Horizon T +1y	-0.42
Horizon T -1y	0.58
Stress scenario (price -10%, vol +10pp, debt +50%)	-2.00
Off-BS debt included	-0.71

Sources: Bloomberg, company filings, Allianz Research. Cells show the change in model-implied physical distance-to-default (standard deviations) from the mid-2026 baseline, one parameter at a time except in the combined-stress row.

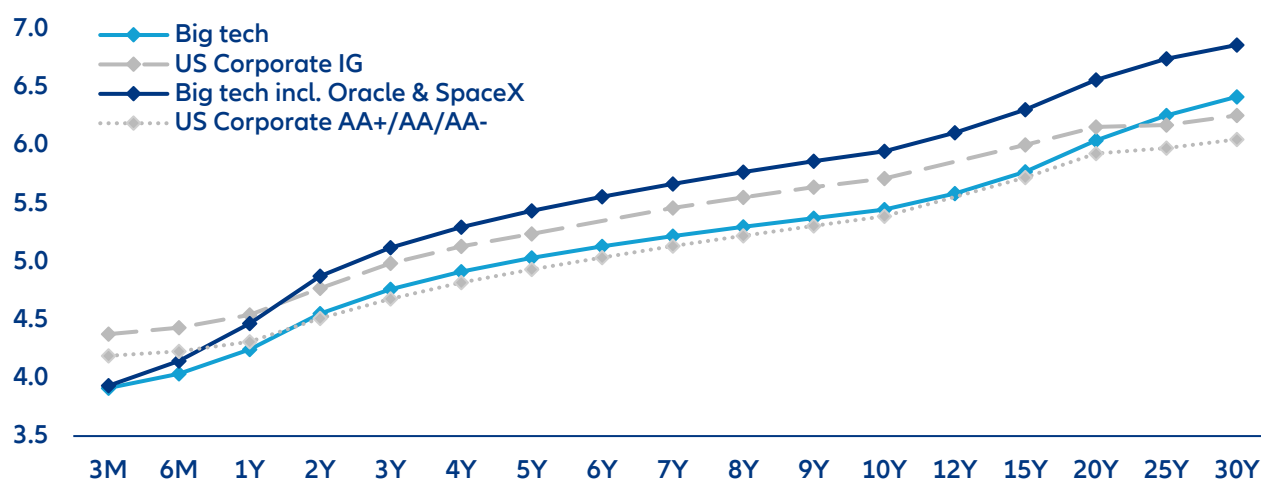
What this means for credit investors

First and foremost, based on today's balance sheets at the big-tech companies we examined, imminent default risk is remote for most of the panel. The finding is the dispersion and the direction. Their improvement in ranking compared with the broader market since 2022 came from the equity side – higher market capitalizations and lower volatility – and sits with the names that carry no commitment burden. Every name with large off-balance sheet liability deteriorates once that is counted. And the newly liquid CDS market has begun siding with the model approach, e.g. Meta CDS tends to reflect part of the off-balance sheet commitments. Default risk is still remote, but spread risk will increasingly surface.

Second, the metric to monitor is debt migration. The disclosed commitments commence and will move to financial statements between now and roughly 2031. The liability leg is contractual and arrives on schedule, while the equity leg reflects a market expectation that can reverse in a quarter, given uncertain monetization, or a technology jump to more efficient chips. The models say this will show up first as quality migration – e.g. one to two notches at Microsoft, Alphabet and Meta on full recognition, and if not matched by additional revenue – while spreads stay pinned until cushions are far thinner. The market pricing reflects the direction, but not yet the size: the 2026 widening covers part of the off-balance sheet liability, and the unpriced portion grows as new commitments are signed.

Third, after recognition of off-balance sheet liabilities, the main risk that remains is horizon and volatility, as Table 3 sizes it. A severe market repricing costs the panel two standard deviations of distance-to-default, or roughly 20bps of model spread. Recognizing the leases adds another 10bps on average. The two channels compound, because the commitments migrate on to the balance sheet on schedule, into whatever volatility regime prevails. The offset holding the rankings up is volatile: the equity leg can reverse in a quarter; the debt leg cannot. Horizon sensitivity concentrates the exposure in long-dated paper, consistent with the steeper curves on AI-linked issuance. In a repricing, the names with only a thin-cushion move by multiples, the rest by market beta. Oracle's CDS, already the sector's risk proxy, is where the move would be read first. Tech's curve steepness already prices the long horizon as the key risk, and that may extend to the front-end.

Figure 5: Big tech curves vs IG and AA benchmarks – higher premium at long-end



Sources: Bloomberg, Allianz Research

Tech has avoided the iceberg so far, but the navigation is getting trickier. The metric to watch is spread versus quality ranking within the corporate market, measured to include financial commitments and equity volatility. In recent years, the search for yield and tech's low initial weight in credit portfolios provided a tailwind that may turn into a headwind. With technology accounting for an ever-larger share of credit, integrating this into position sizing and maintaining the flexibility to adjust course if the (A)Iceberg appears will be key.

These assessments are, as always, subject to the disclaimer provided below.

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Allianz Research | 1 September 2026

Ten top-of-mind questions on the bond market rout

In Summary

The bond market dominates the financial news flow since summer. Here, we answer the ten top-of-mind questions about the latest market trend:

1. Is the bond market in panic mode? No. Sovereign yields rose since July, again reaching multi-year highs, but the speed of increase was lower (30-50bp) than after the start of the US-Iran war (50-90bp). Bond markets are still functioning well according to bid-ask spreads or auction demand, but elevated rate levels are rightfully raising debt sustainability concerns.

2. Have higher energy prices contributed to the recent sell-off? Yes. Renewed tensions in the Middle East since July and destructions of refining capacity in Russia have raised energy costs in particular gas prices again, leading to higher inflation and central bank expectations (Fed terminal rate +35bp, ECB +50bp) explaining the lion's share of rate increases. Europe's energy dependence is back in focus, with inflation rising to 3.3% in August, above the May reading.

3. Can we blame AI funding for the lack of demand in government bonds? Partially. Even though total net credit issuance, largely due to AI investment, rose from USD48bn ytd last year to USD356bn ytd this year, equivalent to around half of US Treasuries' net supply of USD681bn ytd, stable swap spreads do not indicate strong crowding out lately. Structurally, credit spreads near decade-lows indicate that the supply imbalance has shifted against government bonds.

4. Will Treasury Secretary Scott Bessent's fiscal dominance attempts backfire? Yes if they intensify. Off-the-run bond buybacks or using excess cash to temporarily lower issuance are accounting tricks that will not lead to lower debt issuance in the medium run. With an average debt maturity of just 5.9 years, the US remains highly exposed to refinancing conditions. Ultimately, only credible fiscal consolidation can ease pressure on yields.

5. Could the US mid-term elections improve the fiscal policy outlook? No. But despite the likely political deadlock, we expect Democrats and Republicans to find a compromise on a modest fiscal tightening (0.5–0.6% of GDP/year), which would halve the pace of debt accumulation to +1pp of GDP/year through 2028, but would not stabilize the debt ratio.

6. Can Fed Chair Kevin Warsh calm the markets if bond markets go south? Yes, he has already done so in Jackson Hole, by re-affirming the Fed's commitment to bring down inflation. Moreover, the Fed has unlimited firepower to purchase bonds to lower yields. But this would only happen if market functioning were at risk given Warsh's reluctance to use QE.

7. The USD is down, Bitcoin and Gold are up – is the debasement trade back? Yes, but to a lesser extent than in 2025 following Liberation Day. After a war-driven reversal in H1 2026, the "hard" basket (precious metals) has outperformed the "soft" basket (govies, equity and inflation breakevens) by +15pps since July as concerns over the USD resurfaced.

8. Are European bonds suffering from rising political instability? Yes. Governments are perceived as less likely to deliver necessary but painful fiscal tightening ahead of upcoming elections amid a rise of populist parties across the continent. France and Italy are the clearest pressure point with the OAT-Bund spread at 86bp with 100bp possible by year end.

9. What's the role of Japan in all this? It adds to the turmoil as we expect the BoJ to hike by +75bp more by end-2027 (to 1.75%), encouraging Japanese capital repatriation. Japanese investors hold around USD1.1tn of US Treasuries, while France is also particularly exposed to foreign portfolio flows, with non-residents holding around 56% of its government debt.

10. Bond outlook: Could it get worse before it gets better? Yes. While current yield levels look attractive, the negative feedback loop between higher rates and debt sustainability could trigger self-fulfilling prophecies in several countries (FR, IT, UK, JP, US). We estimate temporary yield spikes of up to 70bp before central banks would weigh in. But overall, we consider risks as balanced as any demand side shock would rapidly lower yields.

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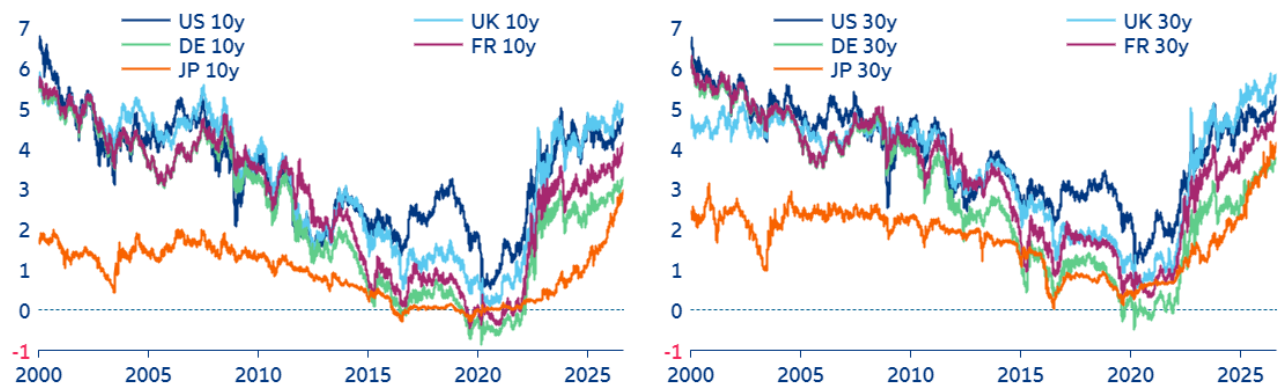
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1. Is the bond market in panic mode?

No, but multi-year highs have caught investor attention again. Interest rates on government bonds have increased again in summer and reached multi-year highs. In most western economies 10y rates have reached levels last seen in 2007-2011 (Germany, France, UK) while in Japan they are the highest in 20 years. Notably, the very long end of government bond yield curves has also risen strongly. While US 10y rates are still below their 2023 high the 30y rate has crossed 5.3% - the highest level since 2007 (see Figure 1). However, while the long-run picture looks eye-watering, it is important to highlight that the increase in interest rates over the summer months was not particularly fast and therefore does not imply panic selling by investors. In fact, the increase in 10y rates since July ranged from +30bp in the US to +55bp in France. While substantial, this is lower than the increase following the start of the US-Iran war until mid-May when the range was within +55bp for Germany and +90bp for UK (see Figure 2). Also, auction demand, bid-offer spreads and other liquidity indicators do not show any sign that the bond market is not functioning anymore. Rather because the increases since July have again surpassed recent multi-year highs, they have triggered media and investor attention. This is justified because interest rate levels are indeed questioning debt sustainability. But we are not (yet) in a “Truss moment,” scenario, or a market panic and rapid sell-off, prompting central bank intervention, such as that triggered by then British Prime Minister Liz Truss in September 2022.

The latest bond sell-off cannot be pinned down to one trigger but rather a combination of forces. The most dominant driver was renewed geopolitical tensions and higher energy prices (Question 2). But other factors also played a role: a crowding-out effect of government bond demand due to high corporate issuance related to AI (Question 3), unstructured attempts by the US Treasury (Question 4) to ease issuance pressure due to high fiscal deficit (Question 5), and misleading communication by the Fed that was, however, at least partially restored during the Jackson Hole conference (Question 6). Investors also dislike rising political instability in Europe which magnifies stretched fiscal budgets (Question 8) and fiscal slippage, as well as the late hawkish turnaround by the BoJ in Japan (Question 9).

Figure 1: Government bond yields have risen to the highest levels in years or even decades (Japan).

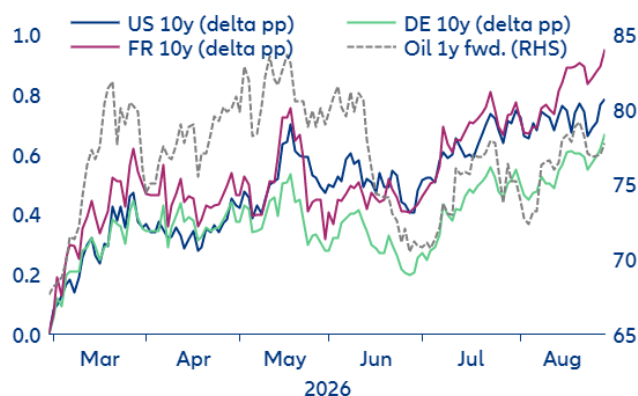


Sources: LSEG Datastream, Allianz Research

2. Have higher energy prices contributed to the recent sell-off?

Yes. Renewed tensions in the Middle East and the destructions of refining capacity in Russia have raised energy costs and inflation expectations. Figure 2 shows that rates co-moved with oil prices in particular when looking at medium term expectations (12-month forward oil price). While the increase in the dated Brent price during summer (peak close to 103USD/bbl) was significantly below the Q2 peak (144), markets started to price in a longer duration of the conflict or at least of oil supply disruptions with the 12m forward oil price reaching similar ranges as in Q2 – although slightly lower as market participants are starting to factor-in new bypasses and substitutions (78 USD/bbl on average in Q2 vs 75 USD/bbl on average since July). Gas prices increased even more strongly over the summer as did refined products due to Ukraine’s targeting of the refining industry in Russia. This weighed particularly on European inflation expectations and rates.

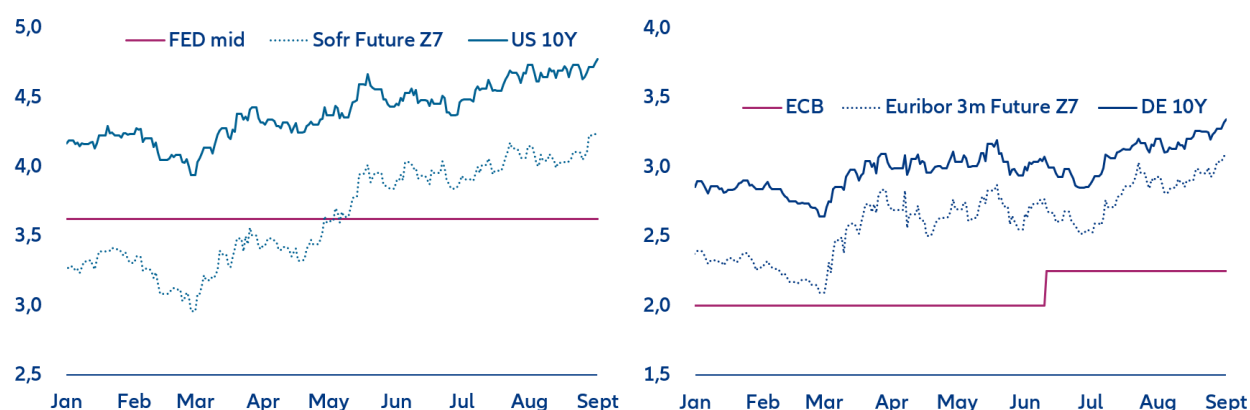
Figure 2: In 2026, government bond yields co-moved with longer-term oil price expectations.



Sources: LSEG Datastream, Allianz Research

Higher inflation expectations shifted anticipated central bank policy rates up – a major driver for the increase in longer dated bond yields. Figure 3 shows how the rise in the expected policy rates at the end of 2027, proxied by money market futures, co-moved closely with 10y government bond yields. With the breakdown of the US-Iran ceasefire and renewed worries about energy supply and inflation markets priced in an additional 50bp of hikes for the ECB and 35bp for the Fed since July – ultimately pushing also 10y rates higher by 35bp (DE) and 25bp (US).

Figure 3: Higher expected central bank policy rates pushed bond yields higher in the US (LHS) and Europe (RHS)

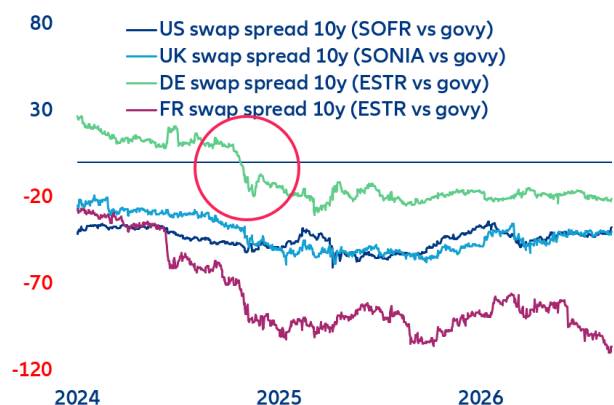


Sources: Bloomberg, Allianz Research

Notes: SoFr Future Z7 and Euribor 3m Future Z7 are used as a proxy for the expected policy rate in Dec 2027.

Stable swap spreads over the summer suggest that fiscal concerns have not been the main driver of rising yields. Ten-year swap spreads measure the difference between the expected cumulative central bank policy rate over the next ten years and a country's government bond yield. An anticipated increase in bond supply, driven by rising fiscal deficits, typically pushes government bond yields above the expected policy rate, causing swap spreads to narrow. This phenomenon was clearly visible in Germany at the end of 2024, when the incoming government began discussing the abolition of the debt brake or earlier that year in France, when Macron called snap elections. Over the summer of 2026, however, swap spreads in Germany, the US and the UK (not France) remained broadly stable, indicating little change in expected bond issuance. This reinforces the view that rising inflation expectations, rather than fiscal concerns, were the primary driver of higher yields.

Figure 4: Swap spreads have been fairly stable in the second half of 2026 in the US, UK and Germany



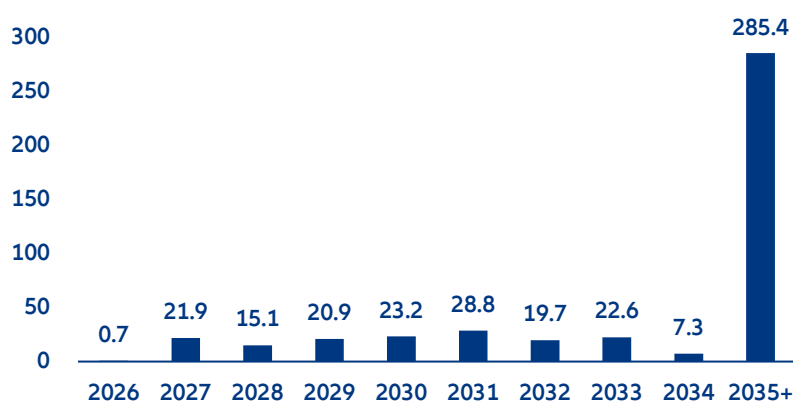
Sources: Bloomberg, Allianz Research

Notes: Swap spreads indicate expected supply-demand adjustments in the government bond market. The red circle highlights the time when discussions in Germany began to abolish the debt brake following the 2025 election. France continuously faces lower swap spreads meaning government bond yield rise more and more above swap yields.

3. Can we blame AI funding for the lack of demand in government bonds?

Partially: AI borrowers have already raised USD356bn in US credit markets this year, compared with USD174bn in the whole of 2025, and because they have almost nothing maturing, essentially none of it is refinancing. Two thirds of investment grade issuance normally replace debt that is coming due, and the cash investors get back from maturing bonds pays for it. Here that cash does not exist. The hyperscalers have sold USD150bn worth of dollar bonds this year against USD23bn falling due before the end of 2027, so the money has to come from somewhere else. AI credit issuance was worth a ninth of the Treasury's net coupon supply last year; against the USD681bn raised so far this year it is worth half. They are also borrowing long, with USD285bn falling due only in 2035 or later (Figure 4), and their share of the index has risen from around 2.6% a year ago to 5.3% now.

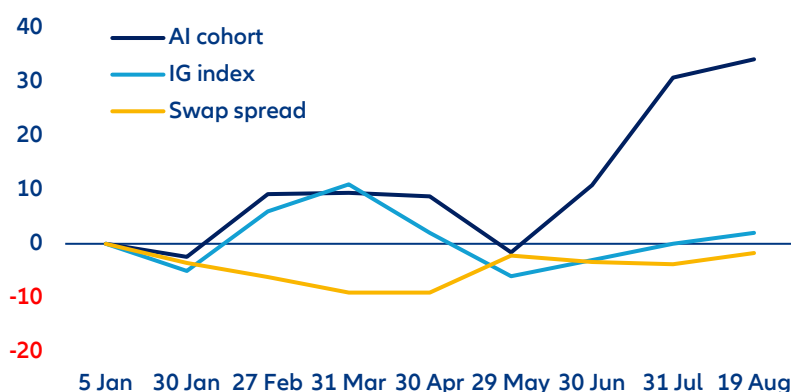
Figure 4: Hyperscalers have almost nothing to refinance, so the issuance is net new (Hyperscaler bond maturities by year, USD bn)



Sources: LSEG Datastream, Allianz Research

Treasury swap spreads have not moved this year, the investment grade index is 2bps wider, and the large AI borrowers are 34bps wider. The swap spread is the cleanest of the three because it strips out the level of rates and isolates demand for government paper itself: at -44bps it sits where it started in January (Figure 5). Inside the AI cohort the widening lands where the paper is, with bonds priced this year around 40bps wider at the long end since pricing against 15bps at the short end, and Nvidia's 2056 issue 43bps wider two months after it was sold.

Figure 5: The AI cohort has paid the concession, and nobody else has (Change since January 2026, bps)



Notes: The AI cohort is a constant sample of large AI-related benchmark bonds; the Treasury swap spread is 10-year SOFR OIS less the benchmark government yield. Sources: LSEG Datastream, Allianz Research.

AI borrowers have paid the concession themselves, and the spillover to everyone else is moderate. Strip the AI cohort out of the index and what remains trades at 79bps, against a median of 128bps since 1997, with only 24 of the past 356 months tighter. Neither big sector has moved either: financials are 2bps wider this year and industrials 1bp, against 34bps for the AI names. Banks are still the largest individual borrowers in the index, with seven of them in the top ten holding USD955bn between them against USD543bn for the whole AI cohort. With almost nothing to refinance, each year of AI issuance adds to the stock rather than replacing it. What to watch is the concentration: the AI cohort has doubled its share of the index in a year, from 2.6% to 5.3%, and nothing in the maturity profile stops it going further.

4. Will Treasury Secretary Scott Bessent's fiscal dominance attempts backfire?

Yes, Treasury Secretary Scott Bessent's attempts to limit the rise in bond yields could backfire if he doubles down on technical measures such as expanded buybacks or TGA-funded purchases. The Treasury announced an increase in long-dated bonds buybacks on 19 August, subsequently topping up the size of the scheme. Recently, several senior Treasury officials have hinted that the Treasury General Account (TGA) – the government's cash deposit held at the Fed – could be used to fund these purchases (in place of, or as a substitute for, bills issuance). These announcements have not had a sustained impact on long-dated bond yields, signaling skepticism amongst market participants. Doubling down on sticker platers solutions, and continuing to claim that higher yields reflect technical factors rather than fundamentals (i.e. higher fiscal and monetary policy uncertainty) could give the perception that the executive power is not likely to reduce the fiscal deficit – in our view the only sensible policy to lower pressure on long-term yields. The US debt is exposed to changing financing conditions and rollover risks, given that the weighted average maturity is only 5.9 years. It also means that funding costs are closely tied to Fed policy, which increases fiscal dominance risks. With the political deadlock likely to increase after the November midterms elections (see below), a sizeable fiscal consolidation is unlikely. However, we think a modest fiscal consolidation (0.5%-0.6% of GDP) will be agreed between the Republicans and the Democrats which will slow down the increase of the debt ratio. The savings could entail a mix of discretionary and social spending restraint and 'stealth' rise of taxation (see below). Ultimately, if Bessent remains concerned about the long end, he will likely reduce issuance in the next quarterly refunding process, but more sticky platers solutions cannot be ruled out. A concerning development would be the Treasury starting to run down its TGA ahead of a potential debt ceiling standoff next year. In the latest debt ceiling spat in 2023, the Treasury largely ran down the TGA (to 23bn by June 2023) to continue financing government spending. Hypothetically, if we get into 2027 with few TGA buffers left, it is not clear how the Democrats would handle the debt ceiling: moderate their demands amid risks that the federal government is running short on buffers, or ratchet up pressure on the Republicans to extract concessions? The TGA level currently sits at around 5.5 weeks of total withdrawals, excluding public debt redemptions and revenues.

5. Could the US mid-term elections improve the fiscal policy outlook?

No. Rising interest expenses and mildly expansionary fiscal policy are expected to increase the deficit modestly this year, albeit at a high level. The White House spending package is likely to be watered down. The federal government deficit decreased significantly in 2025 under the first year of the second Trump administration. On a cash-based measure, it settled at -5.4% of GDP versus -6.9% in 2024 (versus -7.2% GDP in 2024 and -6.4% GDP in 2025 for the national-accounts measure)¹. Sharply higher tariffs and spending restraint were the two main contributors of deficit reduction. However, this year we expect the (cash-based measure) deficit to widen again, though mildly so, at -5.7% of GDP. First, the OBBB Act delivered tax cuts for households and corporates. Second, IEEAP tariffs were struck down by the Supreme Court in February, leading the federal government to pay out refunds to importers and corporates. Meanwhile, spending restraint has been moderate so far this year and interest expenses continue to grind higher. Against a backdrop of increased scrutiny over public finances, the latest USD100bn White House spending package, comprising mostly new defense and border enforcement spending, looks less likely to pass the Senate in full this autumn. Republican fiscal hawks are likely to stall the bill unless, unless the White House agrees to offsetting savings measures.

Political deadlock and a likely divided Congress after the November midterm elections mean that US fiscal policy is unlikely to turn significantly restrictive, with Bessent's 3% of GDP deficit target in 2028 out of reach. Treasury Secretary Bessent has acknowledged that dynamic Social Security and Medicare spending are structural problems that need to be addressed to put the US debt trajectory on a sustainable path. On the other hand, the Democrats see tax hikes as the main avenue to reduce the deficit. Entitlement reforms to Social Security and Medicare need 60 Senate votes to pass, which the Republicans do not currently have, and are even less likely to reach after the midterm elections in November. We place a 75% probability that the Democrats win the House (out of which 40% that they get the Senate, too), versus 25% that the Republicans keep both chambers (Table 1). Likewise, any attempt by the Democrats to pass tax hikes will likely face Republican pushback in Congress. In this environment, we would expect only limited fiscal consolidation in 2027 and 2028, to the tune of 0.5%/0.6% of GDP per year of structural deficit improvement, relying on a mix of discretionary and social spending restraint and 'stealth' taxation increase.

¹ The cash-based measure is sourced from the Bureau of the Fiscal Service. The alternative, national-accounts measure (sourced from the BEA) reports a deficit which shrunk from -7.2% GDP in 2024 to -6.4 GDP in 2025. The latter deficit is an accrual and a national-accounts measure: it times flows when the liability is incurred (taxes accrued, interest accrued rather than paid) and excludes purely financial transactions.

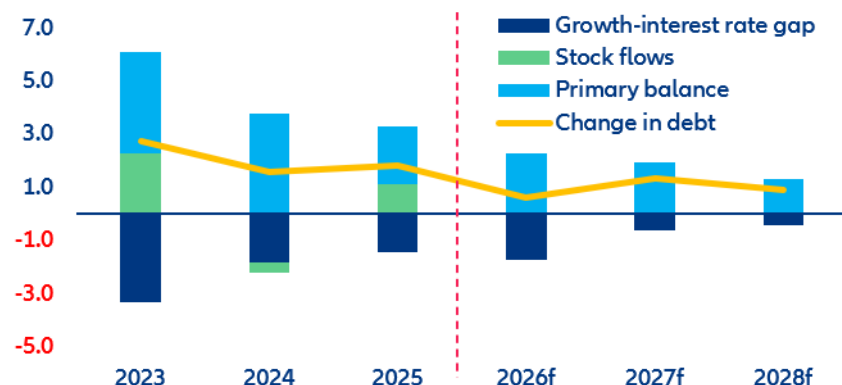
Table 1: Midterm elections outcomes

Mid-term election outcome	Probability	Policy expectations
Democrats get the House	75%	• No major fiscal policy changes, limited fiscal consolidation • Higher risk of renewed and prolonged shutdowns (from October onwards) • Higher risk of lack of agreement on the debt ceiling (likely to be reached in summer 2027) • Continued uncertainty on trade • Ongoing regulatory changes (energy, finance, technology, trade) • Continued uncertainty on foreign policy
<i>Out of which: Democrats get the Senate, too</i>	<i>Out of which: 40%</i>	• <i>Fewer judicial appointments (Senate is needed to appoint federal judges)</i> • <i>Greater uncertainty around senior executive staffing</i> • <i>More institutional friction</i>
Republicans keep both chambers	25%	• Additional tax changes (making temporary provisions permanent) • More immigration funding (border infrastructure, ICE, detention capacity) • Defense spending increase • Squeeze on non-defense discretionary spending

Sources: Allianz Research

Any fiscal consolidation in a divided Congress would likely rely on modest, politically palatable spending restraint, rather than major entitlement reform. On discretionary spending, Democrats and Republicans could agree on tighter caps, slower federal hiring and pay growth, and efficiency savings, building on the precedent of the 2011 Budget Control Act. On mandatory spending, bipartisan support may be more feasible for targeted measures – such as Medicare provider payments, Medicare Advantage overpayments, or higher premiums for affluent beneficiaries – than for broad benefit cuts. More limited savings could come from targeted reductions in agricultural subsidies and other politically protected programs. On the revenue side, bracket creep could provide a further, less politically visible boost to receipts as nominal incomes rise faster than tax thresholds. Overall, such measures could deliver gradual consolidation while avoiding contentious cuts to Social Security, Medicaid and core Medicare benefits.

Figure 6: US debt-to-GDP change and drivers (in p.p., baseline)

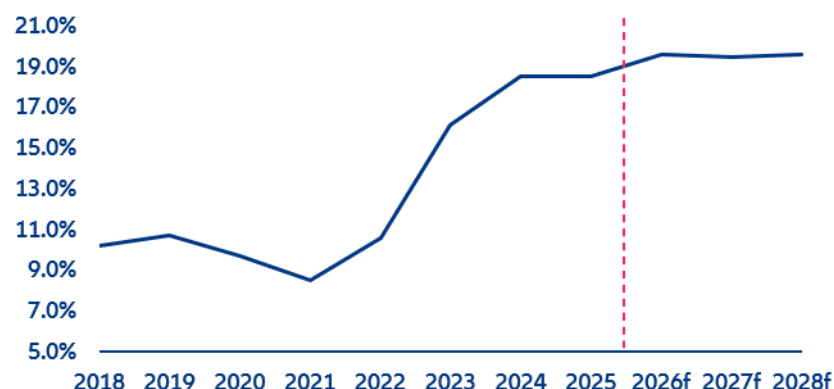


Sources: LSEG Datastream, CBO, Allianz Research

Note: federal public debt held by the public. Stock flows adjustments, which are difficult to predict, could alter the forecasts significantly.

Limited fiscal consolidation under a divided Congress, as we expect, should slow down the increase in public debt over the next two years. But spikes in short-term interest rates could pressure the White House and Congress to embark on more aggressive fiscal tightening. Under the assumptions of limited fiscal consolidation, the federal primary deficit could reach -1.3% of GDP by 2028 (from -2.3% expected this year). If short-term interest rates do not increase much – most of the US debt is issued on short-end maturities, making it more sensitive to short-term rates – the debt-to-GDP ratio increase could be limited to around +1pp per year through 2028 – slower than in recent years (+2pp per year on average in 2023-25, Figure 6). Meanwhile, interest expenses would stabilize, albeit at an elevated level, both as a share of GDP and of federal revenues (Figure 7). But if real interest rates were to spike (e.g. the Fed hiking rates aggressively to tame inflation), interest expenses would rise again, eating further into government revenues, increasing the risk of a fiscal crisis and eventually pressuring the administration and Congress to embark on more aggressive fiscal tightening. Under this scenario, nominal GDP growth could likely slow, providing no offset to the debt-to-GDP-ratio increase. Alternatively, the higher nominal GDP growth that we expect – for instance induced by stronger AI effects – could improve debt sustainability and ease pressure on the government to reduce the structural deficit. Real GDP growth would need to be sustainably above +3% to stabilize the debt-ratio under our mild fiscal consolidation scenario (against +2% expected in our baseline, taking into account a gradual AI-induced pick up in productivity growth, partially offsetting worsening demographics). Higher inflation could also help, but the favorable effect on debt dynamics would likely be partially offset by higher interest rates.

Figure 7: US federal interest payments as a share of federal revenues

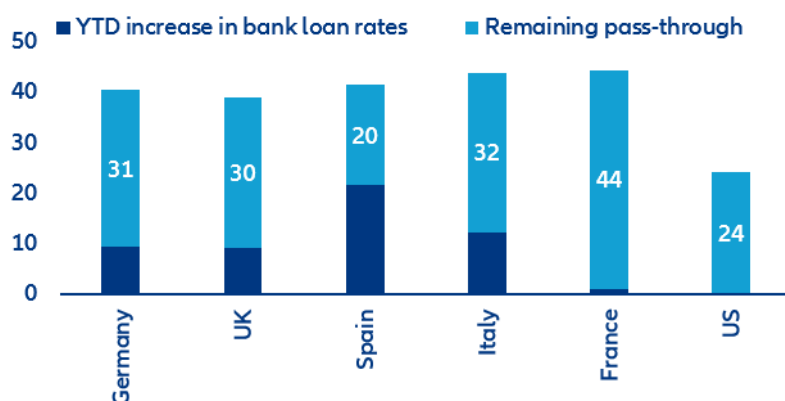


Sources: LSEG Datastream, CBO, Allianz Research

6. Can Fed Chair Kevin Warsh calm the markets if bond markets go south?

Yes. He proved so in Jackson Hole, where he re-affirmed the Fed's commitment to bring down inflation. The Fed has unlimited firepower, in principle, to purchase bonds, but this would likely only happen if market functioning were at risk. However, clear communication from the Fed Chair on short-term interest policy would help limit the rise of long-dated government bond premiums. A sharp sell-off in government bonds – 50-100bps yields increase in the space of a few days – could prompt the Fed to launch unlimited purchases, citing unwarranted rate moves and risks to financial stability. This could trigger a sudden loss of trust in debt sustainability, prompting a rapid sell-off in rates, similar to the “Truss moment” in the UK in 2022 (see Question 10). As long as the rise in bond yields is more orderly and reflects rising term premium over inflation and/or fiscal risks, then the Fed's best policy would be to let financial conditions tighten, and follow through with rate hikes to ease concerns over inflation risks and monetary policy uncertainty. In the near term, a sensible course of action for Warsh is to reduce uncertainty around the Fed's reaction function. A near-term risk would be for Warsh to announce a premature easing of policy – for instance on the premise that higher-long term yields could justify a lower policy rate. Such a move, which could erode the Fed's anti-inflation credibility and push up long-term bond yields, seems unlikely after his speech in Jackson Hole. In our June baseline scenario, we expect a rate hike from the Fed in September (+25bp to 4%), but it could come later. This would mean that the prime rate charged by banks to households and companies would rise by more than 20bps just one month later, as the pass-through is rather quick in the US.

Figure 8: Pass-through from key interest rates to short-term bank rates

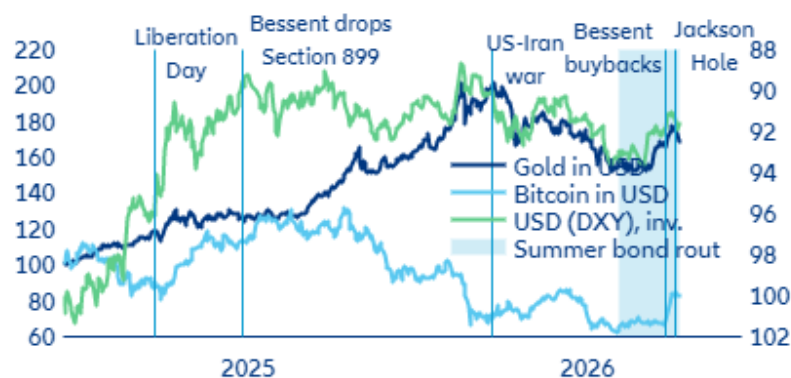


Sources: LSEG Datastream, Allianz Research

7. The USD is down, Bitcoin and gold are up – is the debasement trade back?

In August a familiar pattern from 2025 has re-emerged: Rising yields, a weaker dollar and stronger real assets such as gold and Bitcoin – next to equities. After a war-driven reversal in H1 2026, those “debasement assets” have seen significant interest again with a particular boost after Bessent announced unconvincing measures to curb debt issuance (see question 4). This is a strong reminder of 2025, following Liberation Day and subsequent threats by Bessent to charge a “revenge tax” on foreign investors – another policy that global investors disliked.

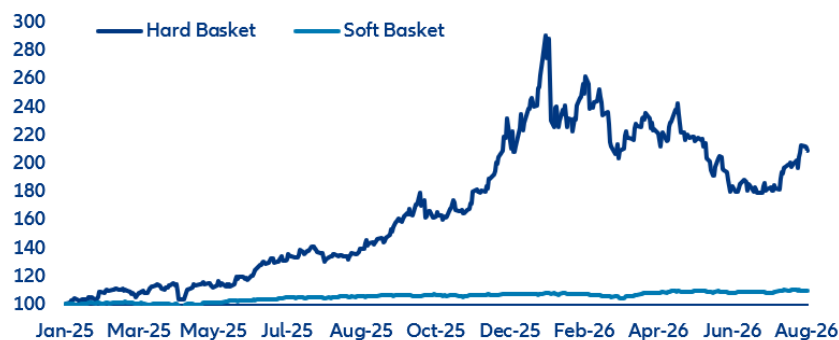
Figure 9: Bitcoin and gold have risen again, the USD has weakened over the summer



Sources: LSEG Datastream, Allianz Research

Since Covid, and with repeated inflation shocks – the post-pandemic rebound, Ukraine, tariffs, Iran – the "debasement" theme has regained centrality in macro analysis. Debasement is defined as the declining value of money, captured simultaneously across three prices: the exchange rate, interest rates, and inflation. When the policy mix is perceived as expansionary, or when exogenous shocks hit, these three monetary prices tend to devalue in tandem. To quantify this, we construct two baskets: the first one is a "Supply constrained Basket" ("hard assets"): long gold / silver / platinum. The second one is a "Monetary Policy Sensitive Basket" ("soft assets"): long US breakevens / 30y-5y steepener / long S&P 500 / short FX. ²

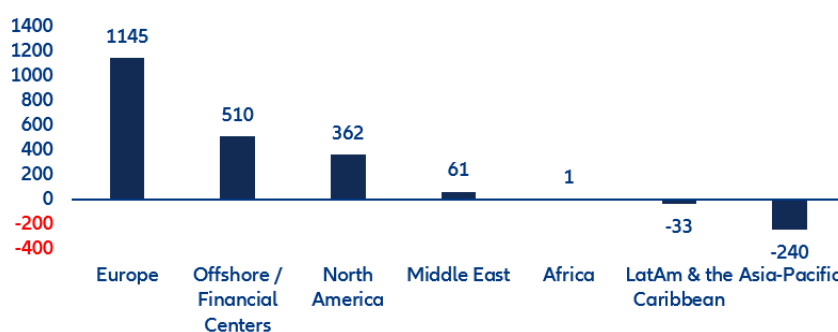
Figure 10: Hard vs Soft Debasement basket performance (Base Jan 2025 = 100)



Sources: LSEG Datastream, Allianz Research

Precious metals are the most reliable barometer of debasement than rates, breakevens, or risk assets. A conventional policy-driven debasement – expansionary settings, rising inflation expectations, a steepening curve, dollar weakness – would show up primarily in the soft basket; instead, it has consistently underperformed. This suggests debasement is better read as a structural erosion of trust in fiat currency, expressed through tangible stores of value, than as a conventional repricing of the policy mix. Beyond narratives around de-dollarization and central bank gold accumulation, markets appear to be pricing elevated sovereign debt and doubts over governments' willingness to control it. This is a signal that hard assets have been capturing constantly. The "hard" basket (gold, silver, platinum) strongly outperformed in 2025 (+101pps), before the war-driven inflation repricing temporarily reversed the trend in H1 2026 (-15pps); since July, however, the 2025 regime has reasserted itself, with the hard basket outperforming again by +15pps in just two months as concerns over the USD return. This is precisely what the summer price action has been telling us. Gold and silver rebounded, while the dollar stayed on the back foot. The classic inflation-trade signature was absent. Instead, the pressure showed up at the long end, with curves steepening on term premium. Hard assets bid, the front end anchored, the long end penalized: that is a credibility repricing, not a policy-mix repricing, consistent with the long-term trend toward debasement.

Figure 11 : Changes in foreign holdings of US treasuries since COVID (USD bn)

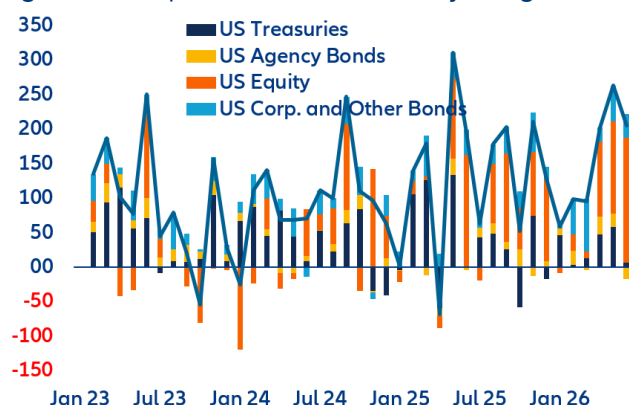


Sources: LSEG Datastream, Allianz Research

² Indices are constructed from equally-weighted daily returns, geometrically compounded from a base of 100 at 2 January 2025. The Hard basket is long gold, silver and platinum (one third each). The Soft basket is long US 10-year breakevens, long the S&P 500, short USD (via inverted DXY) and long the 30y-5y curve steepener (one quarter each).

To explain this debasement index, we can find a strong relationship with the foreign holdings of US treasuries. The regional breakdown clarifies a picture that looks more diffuse at the country level. Asia/Pacific is the only region with a large net negative since Covid, and within it, selling is concentrated in China and Japan, while most other Asian holders (Taiwan, Singapore, India, South Korea) are net buyers or flat. Latin America & the Caribbean is marginally negative, driven by Brazil, though this is partly offset by acquisitions from the Cayman/Bermuda havens booked in the same region. Europe (Luxembourg, France, Belgium, UK) and the offshore financial centers (Cayman, Virgin Islands) are the dominant net buyers, by a wide margin. The more accurate framing isn't "surplus countries are exiting Treasuries," it's that a small number of large official holders (China, Japan, and to a lesser extent Brazil) are net sellers. At the same time, a majority of foreign holders are simply not expanding purchases at the pace of new issuance, while a growing share of net demand is being absorbed domestically or via offshore/allied intermediaries. This is where the debasement index comes into play; the highest-impact sellers (China, Japan, foreign official generally) are having their yield effect muted by issuance-mix management and buybacks, which is exactly the mechanism that suppresses the soft basket's response to declining foreign UST demand. Gold and other hard assets have no equivalent "buyer of last resort" to smooth their price discovery. Instead, the debasement signal that should be distributed across both baskets is being structurally routed into the hard-asset basket by default.. We do not know if Treasuries saw a significant selloff this summer, as the data is delayed by two months. We do see, however, that foreign investors have largely bought equities (real assets), instead of Treasuries, confirming the picture of the longer-term debasement trend.

Figure 12: Net purchases of US assets by foreign investors per asset class, bln USD



Sources: LSEG Datastream, Allianz Research – last data point June 2026

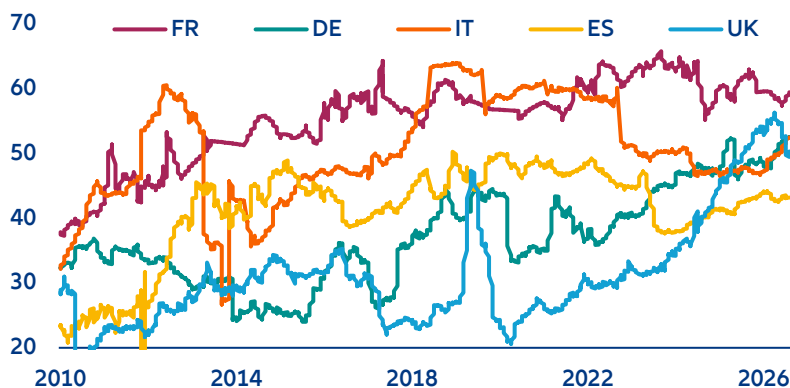
8. Are European bonds suffering from rising political instability?

Yes. European governments are perceived as less likely to deliver sustained fiscal tightening which would put debt levels on a firm downward trajectory. Our political fragility indices³ (Figure 13) remain at elevated levels. Especially in Germany, it hit its highest level since the index began in 2008. The governing coalition in Berlin has been steadily losing ground since it formed last year. The far-right Alternative for Germany, or AfD, is now clearly the largest single party, well ahead of Chancellor Friedrich Merz's governing Christian Democratic Union. In Italy, the index is at its highest level since 2022, driven by the rise of the new far-right party Futuro Nazionale. FN has overtaken the right-wing Lega party, which is a junior partner in Prime Minister Giorgia Meloni's governing coalition. That split has eroded the governing coalition as a whole. The index has been quite stable in France and Spain, though France remains by some distance the most fragile. The government is likely to struggle once again to pass a budget before the end of the year amid a fractured National Assembly. There are already risks of fiscal slippages this year, with the deficit potentially coming out at -5.2% GDP against -5.0% targeted by the government. For 2027, government officials have indicated that the deficit target could be set at -4.9% GDP, implying little fiscal improvement. Important to note is that without any additional fiscal consolidation measures, the fiscal deficit could reach -5.6% of GDP in 2027 because of dynamic underlying social spending. Meanwhile the Presidential elections of April 2027 are rapidly approaching. Anti-establishment parties Rassemblement National and La France Insoumise are high in the polls and it cannot be rule out that they will be both qualified to the 2nd round. These parties are perceived as less credible to restore sound public finances. If these trends persist, term premium on

³ See [2026_07_23_PoliticalFragility.pdf](#)

French bonds could further increase in 2027, exacerbated by a large share of foreign holders (56%). In the UK, political fragility has receded since the arrival of A. Burnham in July. The Labour Party has recovered in polls is now almost at the same level with Reform UK. However, bond markets will have to digest the upcoming Autumn Budget. Burnham has clearly stated his intention to increase government spending. How much of them will be funded with tax increases remain to be seen. Markets' tolerance to new borrowing is very limited, and we would expect Burnham to tread carefully by switching from a moderate fiscal tightening (0.6% GDP in 2027, 0.4% GDP in 2028) planned under his predecessor to a "soft fiscal" tightening (0.2% GDP and 0.3%GDP in both years).

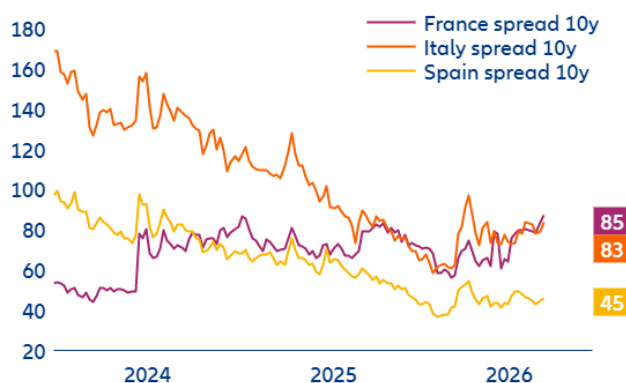
Figure 13: Political fragility index



Sources: Wikipedia, Allianz Research

Notes: The Political Fragility Index is a weekly, poll-based index on a 0–100 scale (higher = more fragile), built from smoothed (Kalman filtered) poll-of-polls vote shares.

Figure 14: French 10y government bond spreads versus Germany have widened this year, bp



Sources: LSEG Datastream, Allianz Research

9. What's the role of Japan in all this?

Japan is experiencing an imported inflationary episode, driven by higher energy and commodity costs alongside a structurally weak yen. The resulting pressure on the Bank of Japan to tighten policy is not just about inflation control; it is about maintaining credibility in both the FX and government bond markets. As Japanese yields rise, the economics of overseas investment become less compelling. Capital that spent years financing global markets can increasingly be repatriated. This matters because Japan sits at the heart of the global dollar recycling system, acting simultaneously as a major lender of dollar liquidity and one of the largest foreign buyers of US Treasuries. The consequence is potentially profound: a tighter BOJ does not only tighten financial conditions in Japan; it withdraws liquidity from the rest of the world. Should Japanese investors accelerate their repatriation flows, Treasury demand would weaken precisely when US financing needs remain elevated. In an extreme scenario, outright sales of Treasuries could emerge as institutions raise liquidity to support domestic markets. A weaker yen is forcing a hike to gain back control on FX, which is tightening global financial conditions and push up global rates higher. The result was a powerful transmission channel from Tokyo to Washington. What starts as upward pressure on Japanese rates

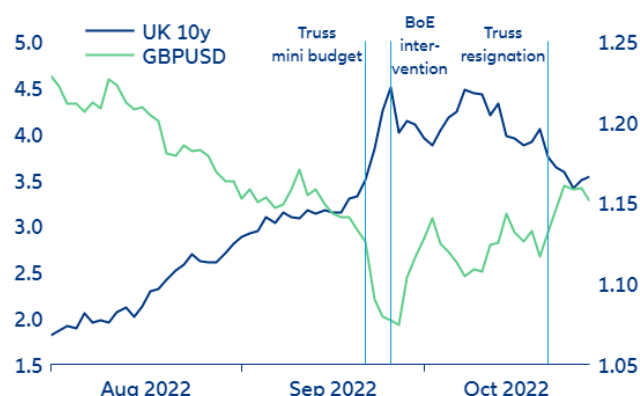
can rapidly become upward pressure on US yields. Hence, rising Japanese rates could become a thorn in the foot of US yields. Stabilizing the Treasury market will therefore be closely tied to stabilizing the yen and preventing domestic Japanese adjustment to have a worldwide impact.

We expect the BOJ to deliver one additional hike to 1.25% by the end of the year before reaching a terminal rate of 1.75% by the end of 2027. Despite short term tailwind from the recent interventions and the BOJ tightening cycle, we continue to expect the yen to remain around 160 USD/JPY in the near term. Meanwhile, aggressive quantitative tightening (QT) continues, pushing long-term yields significantly higher. Table 2 shows that, while Japan has the highest debt-to-GDP ratio among developed economies, its central bank also holds the largest share of government bonds among the countries in the sample. The current pace of balance-sheet reduction is resulting in a substantial supply of JGBs that must be absorbed by private investors.

10. Bond outlook: Could it get worse before it gets better?

Yes, self-fulfilling prophecy reactions in which higher yields trigger higher risk premia on debt sustainability concerns cannot be ruled out in multiple countries. With current yield levels at decade highs in many countries, government bonds look attractive to investors. However, given the negative feedback loop from higher rates to debt sustainability, investors could become more nervous in the near term and demand a higher risk premium which leads to higher rates and therefore reinforces the downward spiral (self-fulfilling prophecy reaction). A sudden loss of trust in debt sustainability could lead to a rapid sell-off in rates within days or even hours, like the Truss moment in the UK in 2022 (see Figure 15). The Bank of England responded by stepping in to limit the rise in Gilt yields, which increased by +130bp in just three trading days, following the September 2022 Budget announcement. Future triggers could include misleading communication from central banks or treasury departments, extreme election outcomes or polls, a rating decision⁴, or, on a more technical level, weaker demand at a government bond auction.

Figure 15: The BoE intervened in 2022's Truss moment when 10y UK yields climbed >100bp in five days



Sources: LSEG Datastream, Allianz Research

Fiscal health metrics highlight stresses in various countries for different reasons. Table 2 highlights which fiscal metrics require close monitoring when assessing fiscal vulnerabilities. Several countries stand out. Japan has the highest share of government debt, although much of it is held by the Bank of Japan (BoJ). With a primary deficit of 2.9% of GDP, France stands out negatively in terms of fiscal discipline. The US appears particularly concerning in terms of the share of government receipts devoted to debt servicing. However, this is also a function of comparatively low tax rates. Were it to raise taxes, it could easily reach debt-servicing levels, as a share of GDP, closer to those of Italy or the UK. Germany, France and Spain have a large proportion of their debt held abroad, which is typically viewed positively. Foreign holders of government debt are often sovereign wealth funds, central banks or other large institutional investors that tend not to adjust their allocations rapidly. A key metric for long-term debt sustainability is the well-known $r - g < 0$ relationship, which captures the condition that real interest rates should be lower than real economic growth to prevent a country from entering a debt spiral. On this measure, France and the UK appear the most vulnerable. By contrast, the US, supported by strong real growth and relatively low real interest rates, remains in a fairly safe position.

⁴ Several rating agencies will publish their sovereign rating reviews in September-November 2026.

Table 2: Fiscal heatmap

Country	Gov. debt in % of GDP	Primary balance in % of GDP	Debt servicing in % of gov. receipts	Debt servicing in % of GDP	Share of gov. debt held abroad in %	Share of gov. debt held by central bank in %	r-g
US	125	-2,2	18,6	3,2	31,0	14,0	-1,2
JP	197	-1,0	3,7	1,4	13,0	49,0	0,2
DE	64	-1,8	2,4	1,1	51,3	19,5	0,2
FR	116	-2,9	4,3	2,2	54,3	16,5	0,5
IT	137	0,7	8,0	3,9	34,3	18,5	-0,2
ES	101	0,0	5,6	2,4	48,9	20,4	-3,0
UK	102	-1,9	7,5	3,4	25,0	19,0	0,8

Sources: LSEG Datastream, Allianz Research

Notes: 2025 values are used except for the last column. r-g denotes the debt sustainability condition that real interest rates r should be smaller than real GDP growth. The figure is approximated using current trend GDP growth (HP-filtered), the current 10y government bond interest rate and the current headline inflation number.

But “central bank puts” remain in place covering worst case scenarios even in times of elevated inflation.

However, even in times of elevated inflation, central banks would not hesitate to intervene. We expect a threshold of around 70bp within a couple of days for them to act. The ECB has created the Transmission Protection Instrument (TPI), which would allow substantial quantitative easing (QE) if “market functioning” were to be threatened. A milder first step would be to halt the current record pace of quantitative tightening (QT) at around EUR40bn per month. Similarly, the Fed or the BoJ could restart QE (see Question 6), just as the BoE did in 2022 following the announcement of an unsustainable fiscal ‘mini’ budget, or as the Fed did in 2023 following the SVB banking crisis.⁵ Such a move could come even in times of elevated inflation because QE would support market functioning while policy rates could remain unchanged to keep the short end of the yield curve elevated.

Overall, however, the outlook for rates is balanced. Any demand side shock to the US or global economy would trigger lower rates immediately – painful for those who exited the bond market at elevated yield levels.

An increase in taxes, government spending cuts or a financial market correction could all be trigger-points. A more prominent example of a demand side shock could be the bursting of the AI boom because a subsequent slowdown of fixed investment and household consumption (which has been driven by wealth effects from higher equity prices) would lead to a sharp economic slowdown and disinflation. In such a scenario – central banks would lower policy rates pulling government bond yields down as well.

⁵ Strictly speaking the Fed did not restart QE in 2023 but was supporting the market by lending money against collateral via traditional and new lending programs causing the downward trend of the Fed’s balance sheet amid quantitative tightening to abruptly reverse.

These assessments are, as always, subject to the disclaimer provided below.

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The statements contained herein may include prospects, statements of future expectations and other forward-looking statements that are based on management's current views and assumptions and involve known and unknown risks and uncertainties. Actual results, performance or events may differ materially from those expressed

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Such deviations may arise due to, without limitation, (i) changes of the general economic conditions and competitive situation, particularly in the Allianz Group's core business and core markets, (ii) performance of financial markets (particularly market volatility, liquidity and credit events), (iii) frequency and severity of insured loss events, including from natural catastrophes, and the development of loss expenses, (iv) mortality and morbidity levels and trends,

(v) persistency levels, (vi) particularly in the banking business, the extent of credit defaults, (vii) interest rate levels, (viii) currency exchange rates including the EUR/USD exchange rate, (ix) changes in laws and regulations, including tax regulations, (x) the impact of acquisitions, including related integration issues, and reorganization measures,

and (xi) general competitive factors, in each case on a local, regional, national and/or global basis. Many of these factors may be more likely to occur, or more pronounced, as a result of terrorist activities and their consequences.

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Sector Atlas 2026:

The three-speed economy: How corporates navigate AI, geopolitics and fragmentation

7 September 2026

Allianz Research

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Sector Risk Methodology



Executive summary



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- **A challenging but still holding macroeconomic backdrop.** Global growth is expected to ease to +2.5% in 2026 before rebounding to +2.9% in 2027, propped up significantly by AI investment, which alone contributes roughly a third of US growth. Strip that pillar out and the divergence is stark: the US grows +2.1%, the Eurozone limps at +0.9% with almost no AI upside and China holds at +4.7% on exports and high-tech manufacturing despite weak domestic demand. A reloaded US trade war compounds the split even as Middle East de-escalation removes one acute risk while still leaving flare-up potential on the table. Across our sectors, this uneven backdrop is producing three distinct realities rather than one shared cycle.
- **The semiconductor industry is riding the AI supercycle while other tech-related sectors face mixed outlooks.** Hyperscaler infrastructure spend is expected to reach USD725bn in 2026 (+80% y/y) and above USD1trn in 2027, propelling global chip sales toward USD1.5trn. As a result, semiconductor sales growth stands at about +90% thanks to the rise in memory price. The picture is mixed for other tech-related sectors: Software & IT services demand remains solid (+3.6%) but investor confidence has cracked, with leading names down 25-30% on GenAI-erosion fears. For computers and smartphones, AI is a cost story as component shortages are compressing margins while PC and smartphone volumes fall 11-14%, while telecom services benefit via data-center interconnect but are exposed to any pullback in AI capex, and to LEO-satellite competition eroding high-margin niches.
- **Cyclical sectors are absorbing higher rates, geopolitical turmoil and a reloaded trade war.** A number of sectors are facing still-restrictive financing costs, tariffs and thin pricing power that forces companies to absorb rather than pass through input-cost inflation. The automotive sector has moved from unit volume to software and data monetization, with Chinese EV competition especially hurting Europe. Construction remains rate-sensitive, with residential and commercial demand still soft, offset mainly by data centers. Retail, textiles and household equipment are seeing consumers trading down, keeping headline sales resilient but eroding gross margins underneath. Transportation remains in flux, with shipping turbulence in the Middle East and high oil prices. Transport equipment and machinery & equipment are benefiting from defense spending but the recovery is gradual and vulnerable to a renewed growth or trade shock. In the chemicals sector, Europe's energy-cost disadvantage, sharpened by the Middle East conflict's exposure of import-dependent feedstock flows, is turning a cyclical downturn into a lasting divide between US/Middle East cost leaders and higher-cost European producers. Lastly, the metals sector is benefiting in segments close to copper, lithium and rare earths (with strong demand tied to electrification and AI infrastructure) while iron & steel remains challenged.

- **Traditional defensive sectors have different risk profiles in the current context.**

Pharma still benefits from strong patents and pricing power, while its US/Europe innovation base largely insulates it from the turbulence hitting everything else. In the energy sector, oil & gas players, especially US producers, are benefiting from higher oil prices but Middle Eastern, Asian and European players face a number of challenges, from sourcing feedstocks to reaching customers. Renewables might benefit in the current context of heightened focus on energy sovereignty and resilience.

- **Earnings remain resilient, but growth is increasingly concentrated in AI, defense and energy, while cyclical sectors continue to face significant headwinds.** In the US, revenue growth reached +15.2% y/y, its strongest pace since Q2 2022. Semiconductors were the standout, supported by the AI investment supercycle, while energy benefited from higher oil prices. Metals & mining also improved sharply, although gains largely reflected tariffs, stronger commodity prices and policy-driven margin expansion rather than broad-based demand. Chemicals showed signs of recovery, but underlying conditions remain fragile. Airlines were a clear weak spot as higher fuel costs drove a -44% y/y EPS decline. Europe delivered similarly strong headline revenue growth (+11.2%), but performance was concentrated in energy, defense and semiconductors. Automotive, transportation, discretionary retail and metals remained under pressure amid weak demand, high financing costs and global competition. Chemicals rebounded as geopolitical disruptions temporarily improved pricing power, though Europe's structural energy-cost disadvantage remains.

Country and Sector Matrix

		Automotive manufacturers	Automotive suppliers	Construction	Transportation	Chemicals	Pharmaceuticals	Agri-food	Textiles	Paper	Electronics	Metals	Retail	Machinery & Equipment	Transport equipment	Software & IT Services	Household equipment	Computers & Telecom	Energy
North America	US	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Canada	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
Latin America	Brazil	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Mexico	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Argentina	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Colombia	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Peru	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Ecuador	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Uruguay	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Paraguay	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Panama	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Chile	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Costa Rica	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Dominican Republic	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Guatemala	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
Western Europe	France	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Germany	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Spain	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Italy	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	UK	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Netherlands	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Switzerland	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Sweden	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Norway	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Belgium	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Austria	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Denmark	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Greece	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Finland	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Portugal	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Ireland	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Luxembourg	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Turkey	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Poland	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Czech Republic	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
Central & Eastern Europe	Romania	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Hungary	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Croatia	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Bulgaria	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Slovenia	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Lithuania	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Latvia	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Estonia	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Slovakia	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Algeria	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Morocco	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Saudi Arabia	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	UAE	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
Africa & Middle East	Israel	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Qatar	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Kuwait	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Oman	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Bahrain	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	South Africa	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Japan	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Australia	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	China	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	India	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
Asia Pacific	Indonesia	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Malaysia	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Singapore	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Philippines	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Korea (South)	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	New Zealand	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Thailand	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Taiwan	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Vietnam	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●
	Hong Kong	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●	●

● Low risk: sound fundamentals; very favorable or fairly good outlook.
 ● Medium risk: signs of weaknesses; possible slowdown.

● Sensitive risk: structural weaknesses; unfavorable or fairly bad outlook.
 ● High risk: imminent or recognised crisis.

Agrifood

Resilience tested by climate, trade fragmentation and input costs

Sector rating

M Sensitive risk for enterprises

Strengths & weaknesses



- Fundamental demand resilience: food is non-discretionary, and rising populations - particularly in emerging and middle-income economies; underpin durable long-run volume growth.
- Pricing power: despite elevated input costs in recent years, agrifood companies have largely maintained pricing power, keeping gross margins broadly stable and demonstrating the sector's ability to pass through cost pressures.
- Technology adoption is structurally improving yield efficiency, traceability and supply-chain resilience.



- Climate disruptions and extreme weather events are increasingly frequent and severe, causing yield volatility, commodity price spikes and infrastructure damage across major producing regions.
- Input cost pressures from fertilisers and energy to logistics and packaging remain structurally elevated, compressing margins for producers operating on thin spreads.
- Supply-chain vulnerability is high: the sector is simultaneously exposed to policy shocks (export curbs, trade barriers, subsidy changes), disease outbreaks and geopolitical disruptions to key commodity corridors.
- Labour shortages persist in key agricultural regions due to urban migration and ageing demographics, and stricter immigration policies in major economies risk intensifying near-term capacity constraints.

Sector overview

What to watch?

- Trade policy and food security: Export curbs, import tariffs and bilateral trade agreements are reshaping commodity flows globally. Governments are increasingly treating food supply as a strategic priority, introducing compliance costs and market distortions that are likely to persist.
- Climate and crop cycles: Cereal production has been high in 2025-2026, but climate-driven variability in key growing regions remains a major source of year-to-year revenue uncertainty.
- Labor and automation: Filling workforce gaps in farming and food processing through automation and robotics is a multi-year transition. Companies investing early in precision agriculture and harvest robotics will gain durable competitive advantages.
- Technology and biotech adoption: Advances in synthetic biology, AI-driven agronomy and alternative proteins are gradually reshaping what the sector produces and how, with adoption rates in emerging markets accelerating.

The global agrifood sector is one of the world's largest economic systems, employing approximately 1.2bn people and producing nearly 11bn tons of food annually. The market encompasses upstream agriculture (cereals, oilseeds, livestock, aquaculture), food and beverage processing and a rapidly expanding agritech layer spanning digital farming tools, biotech inputs and smart logistics. Asia-Pacific accounts for the largest share of production, while demand growth is increasingly driven by expanding middle classes in South and Southeast Asia, Africa and Latin America.

Global gross output for upstream agriculture (crops, livestock, fisheries) is estimated at approximately USD7.6trn in 2025, rising to around USD8.2trn in 2026 – a gain of roughly 8%, with a 2026-2028 CAGR of approximately +3.6%. Food, beverage and tobacco processing is a separate, larger stage of the value chain, at approximately USD9.3trn in 2025 rising to around USD10trn in 2026 (+8.6%), with a 2026-2028 CAGR of approximately +5%. However these two figures should not be summed, since processing output already embeds upstream agricultural output as an intermediate input. This growth reflects a combination of stable to firming commodity prices in most categories and continued volume growth in beverage sub-sectors. Food price indices in 2025 were higher than in 2024 but remain approximately 21% below the March 2022 peak. Cereal markets are well-supplied (2025 production reached a record) keeping staple prices broadly in check, while meat and dairy prices remain elevated due to persistent supply-side constraints.

Profitability varies significantly by value-chain position. Farming/Agriculture has an EBITDA margin of approximately 8.0% and a net margin of approximately 4% - thin margins typical of a commoditized, price-taking segment with real but limited pricing power. Food Processing shows a similar EBITDA margin (approximately 15.3%) but a lower net margin (approximately 3%), reflecting high input-cost pass-through. Food wholesalers/distribution is the thinnest of all (EBITDA margin approximately 3.7%, net margin approximately 1%), consistent with a low-margin, high-volume logistics function. Beverages show the strongest and most differentiated profitability: Beverages (alcoholic) carry a EBITDA margin of approximately 29.5% and beverages (soft) approximately 22.8%, both well above the food-processing average, which

supports the observation that beverage sub-sectors are outperforming on both growth and margin. As a general pattern, margins expand moving downstream from farming toward branded, processed and beverage products, while distribution and wholesaling remain structurally low-margin regardless of the underlying commodity cycle.

The key risk factors for the sector over the medium term are structural rather than cyclical. Climate change is increasing the frequency of extreme weather events that disrupt yields and logistics in ways that are difficult to plan around. Trade-policy fragmentation – including agricultural tariffs, export bans and shifting bilateral agreements – is adding cost and complexity to global supply chains. Labor availability in key producing regions remains a constraint, and the structural solution (automation) is a multi-year investment cycle. Companies that invest in supply-chain diversification, precision agriculture and technology adoption will be better positioned to sustain margins and manage volatility than those relying on traditional sourcing models.

Subsectors

Upstream agriculture: Growers and producers of foundational agricultural goods including cereals, oilseeds, fresh fruits, vegetables, livestock and aquaculture. Performance is closely tied to weather patterns, commodity price cycles and input cost inflation.

Food and beverage processing: Firms that convert raw agricultural commodities into packaged, shelf-ready food and drink products. Encompasses processing, packaging and logistics, with beverage sub-segments demonstrating stronger recent revenue growth and pricing resilience.

Agri-tech and biotech: A cross-cutting segment leveraging digital innovation (AI, IoT, drones, robotics), synthetic biology and precision farming tools to improve yield, traceability and sustainability across the upstream and downstream supply chain. The fastest-growing part of the broader agrifood ecosystem.



Automotive

Battling a new business environment and technology shift

Sector rating

S Sensitive risk for enterprises

Strengths & weaknesses



- Stronger demand for EVs in Europe aligns with tightening framework, pushing for a further electrification of new supply
- Strategic sector benefiting from regular state support / protection
- Well-developed and competitive ecosystem favoring innovation and cost control
- New and lucrative service-derived revenue channel under rising collection of data
- Older fleet in Europe (high potential for renewal)



- Strong competition from Chinese OEMs orienting retail car price to the downside
- Reliance on China for software-defined tools, sensors and batteries.
- Increasing tariff and non-tariff barriers altering trade exchange volume and profitability
- New minimum domestic sourcing criteria in
- Low ROI for autonomous mobility R&D (weak demand for that technology)

Sector overview

What to watch?

- Tariff and non-tariff barriers and consequences on the supply chain
- Adoption pace of EVs and change over national demand-supportive policy
- Cost-cutting programs from large western OEMs and impacts on local/regional ecosystems
- Evolution of the China's market share abroad (Europe & Asia)
- Impacts of new regulatory framework on part sourcing on European/US automotive ecosystems
- New range of services derived from a broader adoption of software-defined technology inside vehicles
- -Development of robotaxi services across the US and Europe and evolution of demand for autonomous vehicles

Demand is not the sector's problem, the mix is. EU registrations rose +6% YTD in H1 2026, with Battery Electric Vehicles (BEV) at 21% versus roughly 16% a year earlier, and now neck-and-neck with Internal Combustion Engines (ICE), whose market share sharply decline in one year from 28% to 22%. Hybrids remain the dominant segment, with a 37% market share, slightly up by 2pps comparatively to the same period last year. New geopolitical headwinds in the Middle East and increasing energy volatility have not altered demand despite energy volatility. In fact, they seem to have rekindled new interest for new and non-fossil engine models as operating and maintenance costs have sharply increased since 2022, especially on the back of an ageing European fleet. The US is moving the other way: The EV share fell from 10.5% to 5.9% after the credit lapsed, with 2026 sales set to decline 3% to 15.8mn units. Directionally, every unit of growth is dilutive – volume shifts toward lower-ASP mass-market EVs and incentive-dependent segments, so revenue holds while contribution margin erodes. The commercial opportunity sits where volume and margin still coincide: corporate fleets, around 60% of European new car sales and the next policy lever, plus aftermarket and service revenue on an older fleet – the one reliably high-margin annuity in the model.

Low pricing power amid fierce competition from new entrants. Pricing power has passed to the low-cost entrant. Chinese brands reached a record 10.9% European share in June and are gaining share over historic foreign competitors. The financial consequence is direct: with the price floor exogenous, European groups cannot recover cost inflation through pricing, which is why margin guidance has compressed to a low single-digit rate (1-5%) and is today oscillating near the low seen during the crisis period. In China, EVs are ~55% of sales and 70% of BEVs already undercut the average combustion car – the offshore profit pool is structurally impaired, not cyclically weak. In this new environment, assuming permanent price compression in mass-market segments, carmakers have no choice but to defend margins through mix, cost and services rather than volume recapture. This is one key challenge European carmakers imperatively need to address this year.

Trade policy and sourcing rules: footprint, not compliance, is the adjustment. Tariffs are now priced as permanent, and that assumption is what forces irreversible capital decisions – the remaining duty architecture survived the Supreme Court striking down the IEEPA tariffs. The result is industrial migration in both directions: a dozen US EV models were pulled because imports could not clear 25% duties and 100% levies on Chinese-built cars profitably, forcing domestic assembly or exit. Meanwhile Chinese groups build European plants that bypass EU duties entirely – protection relocates the competitor inside the wall rather than keeping it out, and defense shifts from trade policy to domestic cost. Sourcing rules are the harder lever: The EU is trading compliance flexibility for “made in the EU” conditionality, a Battery Booster Strategy and fleet greening, with residual 2035 emissions offset through EU-made low-carbon steel and e-fuels – an explicit attempt to unwind dependence on Chinese cells, sensors and SDV tooling, backed by EUR108bn committed to European gigafactories targeting ~1.4 TWh by 2030, though LFP cost leadership stays Chinese.

A whole ecosystem fragilized by industrial revamping and liquidity constraints. Restructuring is the dominant use of cash and consumes before it releases – a multi-billion write-down on overhauling cost-cutting programs and downsizing line-up. OEM liquidity remains adequate – net cash positions and captive finance arms – and investment-grade solvency is not in question at the assembler level. The fragility is one tier down. 76% of European suppliers expect margins below 5% in 2026, beneath the threshold needed to fund innovation,

after the supply chain shed roughly 90,000 jobs (net) in two years. Weak margins combined with leverage and mandatory electrification capex is an insolvency profile, not a cyclical squeeze. The main risks for the industry are rather in supplier distress ahead of OEM credit metrics. Indeed, a disorderly failure in tier-2/tier-3 transmits into production stoppage and a working-capital shock far faster than any demand shortfall, and it is the most plausible route to a 2027 downgrade cycle.

Software and autonomous mobility: the model shifts from unit sale to lifecycle annuity. The strategic prize is no longer the vehicle margin but the recurring stream behind it – paid-in functions activated post-delivery, data monetization and eventually autonomous mobility services – turning a one-off transaction into cash generation across the ownership cycle and structurally lifting the revenue quality of a business currently valued on volume. That transition is capital-hungry before it pays and we see no meaningful P&L contribution inside the 12-24M forecast window. The deeper constraint is ecosystem: few European or US players sit at the leading edge of IoT, embedded software and high-end sensing, where Asian suppliers dominate, so the pivot to services runs on imported critical content. The new “made in the EU” sourcing conditionality is designed precisely to seed a domestic ecosystem around this technology shift, but the interim is disruptive on both sides of the value chain: OEMs absorb new cost lines and heavy organizational change – moving from mechanical engineering to software release cycles – while suppliers face the harder adjustment, competing against entrenched foreign incumbents while re-tooling for a demand profile they were not built to serve.

Subsectors

Manufacturers: This includes firms that assemble all the parts to produce a vehicle and oversee second-hand distribution and marketing through their own channels or via an external network of suppliers.

Suppliers: This includes all firms that collaborate with manufacturers by supplying them raw materials, parts, tyres, batteries, software...etc that will be incorporated in the final composition of the vehicle.

Retailers: This includes firms that buy cars from OEMs before redistributing to the retail market.



Chemicals

An uneven recovery

Sector rating

S Sensitive risk for enterprises

Strengths & weaknesses



- Diversified end-markets and broad product portfolios provide some resilience
- Strong competitive positioning in higher-value specialty segments.
- Structural growth opportunities linked to sustainability and the energy transition.
- Strong innovation capabilities and technological expertise.
- Global scale, integrated operations and high barriers to entry.



- High capital intensity can weigh on returns during periods of weak demand.
- High exposure to energy and raw material price volatility.
- Cyclical demand, overcapacity and margin pressure as many chemical products are closely tied to global economic activity and industrial cycles.
- Significant ESG, decarbonization and regulatory transition challenges: Meeting increasingly stringent climate, safety, and chemical regulations requires major investment and operational transformation.
- Long-term disruption risk from changing materials demand and the energy transition

Sector overview

What to watch?

- Geopolitical fragmentation and supply-chain realignment: Persistent geopolitical tensions, trade restrictions and uncertainty and regionalization trends are reshaping chemical supply chains, accelerating the shift toward local production, strategic sourcing and supply diversification.
- China's evolution from growth engine to competitive disruptor: China remains the world's largest chemicals market and producer, but slower domestic growth (GDP: +4.7% in 2026 and +4.4% in 2027) and continued capacity expansion are increasing global competition, putting pressure on pricing and reshaping trade flows.
- Trade policy and industrial protectionism: Changing tariffs, export controls/bans and industrial policies in major economies could increase input costs, disrupt global trade patterns and accelerate the localization of chemical production.
- Energy competitiveness and regional cost dynamics: Differences in energy prices and feedstock availability will remain a key determinant of competitiveness, particularly as

European producers continue facing higher structural costs compared with regions benefiting from cheaper energy and raw materials.

- Capital allocation toward innovation and efficiency: Leading chemical companies are expected to prioritize investments in advanced materials, automation, artificial intelligence and process optimization to improve productivity, develop differentiated products and strengthen competitive positioning.
- Decarbonization as both a challenge and growth driver: Regulatory pressure and customer demand are accelerating investment in low-carbon technologies, circular solutions, bio-based chemicals, sustainable packaging and materials supporting electrification and the energy transition.
- Industrial policy and the reshoring of strategic industries: Government incentives supporting domestic manufacturing, supply-chain resilience and strategic sectors will influence future chemical capacity investments, particularly in regions seeking to reduce dependence on foreign suppliers.

The global chemicals industry remains one of the most strategically important industrial sectors, underpinning virtually every major value chain from construction and automotive to electronics, agriculture, healthcare and consumer products. The sector encompasses a broad range of segments, including basic chemicals, petrochemicals, polymers (plastics), packaging, specialty chemicals, agrochemicals (fertilizers and pesticides), coatings and pharmaceutical intermediates. While long-term growth fundamentals remain intact due to rising material demand in emerging economies, technological innovation and the increasing use of advanced materials, in 2026 the industry is navigating a widening structural divide between globally competitive producers and higher-cost regions.

Asia-Pacific, led by China, continues to dominate global chemical production and consumption, accounting for approximately half of global output and demand. China has expanded capacity aggressively over the past decade, particularly in petrochemicals, polymers, and basic chemicals, supported by large-scale industrial policy, integrated refining and chemical complexes and strong domestic demand. However, the rapid build-out of Chinese capacity has contributed to global oversupply in several commodity segments, placing pressure on margins worldwide and accelerating rationalization among higher-cost producers. At the same time, India continues to show strong growth, supported by domestic demand and specialty chemicals. Across APAC, companies are increasingly prioritizing higher-value specialty chemicals, advanced materials and sustainability initiatives to offset pressures in traditional commodity markets.

The US remains one of the strongest global competitors in 2026, benefiting from abundant shale gas resources, lower-cost ethane feedstocks and highly integrated petrochemical infrastructure along the Gulf Coast. These structural advantages have strengthened the competitiveness of US producers, particularly in ethylene, polyethylene and other olefin-based products.

Europe, by contrast, continues to face a challenging industrial outlook, with its chemical sector undergoing a significant structural adjustment as high energy costs, carbon pricing, regulatory complexity and weak demand undermine the economics of energy-intensive production. Despite some improvement in business confidence, the recovery remains fragile amid persistent geopolitical and

trade uncertainties, while the industry's performance remains well below pre-crisis levels. Europe's structural energy cost disadvantage – particularly natural gas prices that remain significantly above those in the US – continues to erode competitiveness, discourage investment and accelerate the relocation or closure of production capacity. These challenges are especially evident in olefins, the essential building blocks for plastics and many industrial materials. Europe has shifted from being broadly self-sufficient in polyolefins to becoming increasingly dependent on imports, a trend expected to continue over the coming decade as domestic olefin capacity declines. This erosion of production capacity extends beyond the chemical sector, posing broader risks to industrial competitiveness and supply-chain resilience, given the strategic importance of olefins and their derivatives across manufacturing value chains. On top of this, the European chemical sector faces a strategic dilemma: balancing decarbonization objectives with the need to preserve industrial capacity. The region's transition toward lower-carbon production is necessary, but the current cost environment creates significant challenges for energy-intensive industries. Electrification of chemical processes, particularly steam crackers, represents one potential pathway. Pilot projects demonstrate that electric crackers could significantly reduce emissions, potentially cutting carbon intensity by up to 90% in certain applications. However, commercial deployment requires substantial investment, competitive electricity prices, reliable power supply, supportive policy frameworks and regulatory certainty.

Geopolitical risks and supply-chain security issues have intensified in 2026. Geopolitical developments are becoming an increasingly important factor for chemical markets. The Middle East conflict has highlighted the vulnerability of global material supply chains and reinforced the strategic importance of domestic chemical capacity. Disruptions to energy flows can quickly affect petrochemical margins, benefiting low-cost producers while increasing pressure on regions dependent on imported energy and feedstocks. In 2026 and 2027, chemical companies are likely to continue reassessing supply chains, prioritizing resilience alongside cost efficiency. This could accelerate regionalization trends, encourage investment in integrated production hubs and increase strategic importance of countries with secure energy and feedstock access.

Entering 2027, the sector recovery should be highly uneven across regions and segments. With global GDP anticipated to improve in 2027 (+2.9% from +2.5% in 2026), industrial activity should stabilize next year, with chemicals demand growth expected to improve gradually. However, the industry will increasingly be defined by a widening gap between producers with structural cost advantages (US and Middle Eastern companies) and those burdened by higher energy and feedstock costs, with European players expected to remain at a competitive disadvantage. The survival of Europe's chemical industry will depend on its ability to preserve profitable capacity, accelerate in low-carbon technologies, improve its industrial infrastructure and create a more predictable investment environment. Commodity chemical markets are likely to remain primarily driven by cyclical pricing dynamics, limiting the scope for structural differentiation, while specialty chemicals and advanced materials are expected to benefit from stronger pricing power and long-term demand trends.

Subsectors

Basic or commodity chemicals: Chemicals substances used as a starting material for the production of a wide variety of other chemicals. Examples include chlorine (used as disinfectant and for water treatment), sulfuric acid (used in metallurgy, for refining petroleum products or production of explosive materials), vinyl chloride (used to produce PVC, for wall coverings, housewares and automotive parts), aluminum sulfate (used for water treatment, in agriculture and in paper production), sodium carbonate (used in the manufacture of detergents, soaps and paper), acetone (commonly used in pharmaceuticals), titanium dioxide (used in the cosmetic and food industries), among others.

Under this sub-sector, we can find another distinction – Petrochemicals - when looking to the origin of the raw material. Petrochemicals are also organic chemicals, but they are made from crude oil and natural gas. Examples include olefins, methanol, butadiene, benzene, ethylene glycol, polyethylene, etc. Used as raw materials in the manufacture of polymer products like plastic, detergent, adhesive, rubber, tires, food packaging, and elastic bands.

Specialty chemicals: Specialty chemicals are a range of compounds that are produced in smaller quantities, when comparing to basic chemicals, as they are high-value products that are sold based on functionality and following certain formulations that make them “special”. Under this sub-sector we can find a variety of classification according to the end-market, such as antibiotics, adhesives, pesticides, fertilizers, cleaners, inks, paints and coatings, fragrances, chemicals for the food & beverage industry (food additives and flavors), etc. In terms of commercial applications, producers within the specialty chemicals sub-sector cater to the needs of their customers on an individual level (production is tailor-made under certain specifications), and because of this these chemicals can be sold at very high prices.



Construction

Execution and financing challenges persist

Sector rating

S Sensitive risk for enterprises

Strengths & weaknesses



- Robust infrastructure investment pipelines and strong project backlogs provide multi-year revenue visibility.
- Strong demand from high-growth segments, including data centers, logistics, semiconductors and energy infrastructure.
- Structural demand driven by aging infrastructure, urbanization and population growth.
- Energy transition accelerating investment in renewable energy, transmission grids, storage and related infrastructure.
- Stabilizing construction material and input costs supporting margin recovery and project profitability.
- Increasing adoption of digital construction technologies and industrialized building methods improving productivity and execution.



- High interest rates and tighter financing conditions constraining activity in interest-sensitive segments, particularly residential and commercial construction.
- Persistent labor shortages and skills gaps continue hampering construction globally, while tighter immigration policies in many economies are also weighing on the sector.
- Low productivity and slow adoption of innovation limiting efficiency gains and margin expansion.
- Complex regulatory frameworks, permitting delays and compliance requirements increasing project execution risk.
- High project execution risk due to cost overruns, schedule delays and fixed-price contract exposure.
- Earnings volatility driven by cyclical demand and exposure to macroeconomic conditions.

Sector overview

What to watch?

- **Financing costs and interest rates:** The pace of monetary policy easing will be a key determinant of construction activity. Lower interest rates could support a recovery in residential and commercial construction, while prolonged restrictive financing conditions would continue to weigh on private investment.
- **Public policy and infrastructure spending:** The pace of implementation of major public investment programs – including the US Infrastructure Investment and Jobs Act (IIJA), Europe's NextGenerationEU funds and infrastructure initiatives across Asia and the Middle East – will shape sector growth and order pipelines.
- **Labor availability:** Persistent labor shortages, aging workforces and tighter immigration policies in several economies will remain key constraints on project execution, costs and delivery timelines.
- **Sustainability and decarbonization:** Tightening environmental regulations, stricter building standards and increasing demand for low-carbon materials and energy-efficient buildings will continue to reshape investment priorities and competitive positioning.
- **Input costs and supply chains:** Although material cost inflation has moderated, supply-chain disruptions, energy prices, tariffs and geopolitical tensions remain key risks for project costs and scheduling.
- **Data center and energy infrastructure investment:** Continued investment in AI-driven data centers, electricity grids, renewable energy and transmission infrastructure is expected to remain one of the sector's strongest growth drivers, partially offsetting weakness in more cyclical end markets.

The construction sector is a highly cyclical industry with significant exposure to macroeconomic conditions, government spending, financing costs and commodity prices. However, its end-market diversification – including infrastructure, residential, commercial, industrial and energy projects – provides varying degrees of resilience across market cycles. As it is highly competitive, the sector is characterized by low operating margins, execution-intensive projects and elevated working capital requirements, making project selection, cost control and cash conversion critical differentiators. While public infrastructure spending remains the main driver of long-term growth in developed markets, private construction activity is more sensitive to interest rates and business confidence. Geographic dynamics also differ markedly, with North America benefiting from large-scale infrastructure and AI-related investment (data centers); Europe supported by public infrastructure, renovation and energy-transition programs; emerging markets driven by urbanization and infrastructure deficits and China continuing to face structural weakness in real estate and construction activity.

The global construction sector has remained resilient throughout 2026, supported by infrastructure spending and sustained investment in strategic sectors, despite weaker private construction activity. Public infrastructure, energy-transition projects and digital infrastructure continue to underpin growth, while residential and commercial construction remain constrained by still elevated financing costs and cautious private investment. Infrastructure has consolidated its position as the sector's strongest segment, driven by government investment in transportation, electricity grids, water systems, renewable energy and defense. At the same time, AI-driven demand for data centers has emerged as one of the fastest-growing construction markets globally, creating significant opportunities for engineering and specialist contractors. By contrast, residential activity is recovering only gradually from a low base, while commercial real estate continues to be affected by higher financing costs and structural changes in office demand.

Regional dynamics remain uneven. North America continues to outperform, supported by large-scale public infrastructure programs and stronger private investment in energy and data centers. Europe is experiencing a gradual recovery as infrastructure spending, energy-transition investment and renovation activity somewhat offset subdued private building construction, although growth remains stronger in Eastern Europe than in Western markets. Emerging economies – particularly India and the Middle East – continue to benefit from rapid urbanization, infrastructure investment and favorable demographic trends. Conversely, China remains the weakest major market as the prolonged downturn in the property sector continues to weigh on construction activity despite targeted government support for infrastructure.

The sector's operating environment has improved compared with the inflationary pressures experienced in recent years. Construction material inflation has largely stabilized, easing pressure on project margins and improving bidding conditions. Nevertheless, labor shortages, skilled workforce constraints and permitting delays remain persistent challenges across many markets, limiting execution capacity and increasing project risk. Given the sector's traditionally low margins and project-based business model, disciplined contract selection, cost control and efficient project execution remain essential to sustaining profitability and cash generation.

Looking ahead to 2027, the global outlook remains constructive, although growth is expected to continue varying across end markets. Civil engineering is likely to remain the strongest-performing segment, supported by continued investment in energy infrastructure, electricity transmission, transportation, water infrastructure and defense projects. Data-center construction is expected to remain a major structural growth driver in some countries as hyperscale cloud providers and AI-related investment continue to expand globally. Residential construction should take more time to recover as financing conditions ease, although activity is expected to remain below previous cycle peaks in several markets, while commercial construction is likely to experience a more modest recovery.

Subsectors

Residential construction: This segment includes the construction of new homes and apartments, as well as the renovation and repair of existing ones.

Non-residential construction: The construction of commercial buildings (offices, retail), industrial buildings (factories, warehouses, data centers) and public buildings (schools, hospitals etc.).

Infrastructure construction: Construction of large-scale public projects such as highways, bridges, railways, airports and utilities.

Construction services: Services related to construction, such as architectural and engineering services, project management etc.



Electronics

The heavy price of AI

Sector rating

M Medium risk for enterprises

Strengths & weaknesses



- Moderate pricing power for premium brands (pass-through abilities when costs rise)
- High fleet renewal potential under broader AI adoption and usage from B2C/B2B
- Strong ecosystem of suppliers (rapid & qualitative execution, flexibility)
- Slow to mid capex intensity (depending on automation level into production line)
- Easily automated and transportable activities if market conditions change



- High exposure to chip shortage (higher costs = margin squeeze for medium to low-end products)
- Mild consumer demand amid slow technology upgrade cycle on telco hardware products
- Highly concentrated supply chain in Asia (exposure to export controls & targeted tariffs)
- Consumer confidence dependent (higher interest rates to sap demand for non-necessary durables)
- Labor-intensive business easily replicable (fragmented competition = thin margin for assemblers)

Sector overview

What to watch?

- Evolution of production cost line through memory chip shortages and potential impacts of broad-based margin squeeze on market concentration structure
- B2C demand for new AI-powered hardware in an inflationary environment
- B2B AI adoption and interest rate level impacts on IT hardware budget
- New growth channel explored by OEMs as top-line booster (leasing, paid-in services...)
- Offshoring and/or nearshoring investments amid stronger pressure to reduce China's footprint on the supply chain and disruption risks for global output.
- Integration of AI technology into manufacturing and forecasting processes to cut costs.



A large costs wave to tame. Underlying demand is saturated and now contracting under price pressure. Both core categories are set for their steepest drop in over a decade in 2026 – PC shipments down roughly 11% and smartphones down 14% – as rising prices push buyers to defer, lengthening PC lifetimes by 15–20%. The contraction is highly uneven: the entry level is collapsing (sub-USD500 PCs and sub-USD200 handsets losing ~20% of volume), while premium demand above USD800 is largely insulated. The mix is therefore shifting hard toward premium, where pricing power and ecosystem lock-in let vendors pass costs through, and toward the one growth pocket – foldables, up ~20% and the only segment where units and premium pricing rise together. The swing factor is B2C and B2B AI-hardware demand – an AI-PC and AI-smartphone refresh could reset upgrade cycles, but in an inflationary, higher-rate environment that catalyst is real yet delayed, its timing the single biggest variable for the topline.

The “RAMageddon” is threatening low-end hardware models as profitability erodes dramatically. The profitability outlook in 2026/2027 is dominated by one input: the heavy price of memory semiconductors. The AI data-center boom is siphoning DRAM, NAND and mobile memory capacity out of consumer devices, and the cost transfer is severe: memory is set to peak near 23% of PC bill-of-materials, up from 16% in 2025, with one major maker citing memory at ~35% of laptop material cost, up from 15–18% a quarter earlier, and notebook build costs potentially rising ~40%. This removes vendors’ ability to absorb costs, forcing device prices up ~17% for PCs and ~13% for smartphones.

The margin consequence bifurcates the field: Premium and scale players with pass-through pricing and supply leverage protect margins and gain share, while budget-focused assemblers face outright margin destruction. Contract manufacturers – already operating at ~2–4% margins – are most exposed, since higher component prices inflate revenue without lifting assembly fees. The structural danger is that a permanent step-up in the cost base (memory plus tariffs) converts a cyclical squeeze into a solvency and liquidity problem for weaker, thinly-capitalized players, accelerating consolidation toward those who can fund working capital through the shock.

Ecosystem strength challenged by changing market conditions. The sector’s persistent structural weakness is where it sits in the value chain: it captures little of the value it assembles. Profit is hyper-concentrated in a single premium ecosystem player, while component suppliers take the rents and the rest of the field fights over commoditized volume. This is a labor-intensive, easily-replicated activity with fragmented competition and thin margins – precisely the conditions under

which a cost shock triggers shake-out rather than shared pain. Expect intensifying market concentration as margin and liquidity stress force weaker brands and subscale assemblers out, and as scale, procurement leverage and pricing power become decisive. The competitive advantage accrues to those who own an ecosystem (recurring services, accessories, software) or command the manufacturing scale to negotiate component allocation – everyone else is a price-taker on both sides. One structural response worth watching: OEMs exploring new topline channels beyond the box – device leasing, device-as-a-service and paid-in software/services – to add recurring revenue and defend margins as unit economics deteriorate.

A supply-chain transformation to monitor: de-risking China strategy to gain traction. The physical supply base is both a strength and the sector’s sharpest structural risk. Its strength is a dense, flexible Asian supplier ecosystem capable of rapid, high-quality, high-volume execution, and activities that are relatively easy to automate and relocate when conditions change. The weakness is concentration: assembly was historically ~90% China-based, and finished devices are physically traded and directly tariff-exposed – a step-change

Subsectors

Electronic components can be loosely divided into **semiconductor** designers, **manufacturers** and companies specialized in assembly and **testing services**.

Semiconductors serve different purposes (computing, storage, power management, communication etc.) and are nowadays found in a large range of products used on a daily basis, such as cars, electronic devices, electric home appliances and video displays. More recently, the component has also been integrated into other “non-conventional” industries like agriculture, health care, transportation or utilities (grid network, waste management), creating a whole ecosystem based on data and connectivity features, known as the “internet of things” (IoT). Semiconductors are also a key component of artificial intelligence technology, which needs powerful calculation capacities for the training and inference of large language models (LLMs). Beyond chips, the electronic industry also includes manufacturers that produce everything from printed circuit boards to electronic displays through to resistors, capacitors and switches.

Energy

Fossil fuels resilient while renewables face a profitability reckoning

Sector rating

S Sensitive risk for enterprises

Strengths & weaknesses



- Traditional oil and gas companies continue to generate robust free cash flows at current price levels, supported by production discipline and entrenched market positions. Strong balance sheets provide resilience against price volatility.
- Natural gas is increasingly positioned as a duration transition fuel, with major producers (particularly in the US, Qatar and Australia) expanding LNG export infrastructure to serve growing demand in Asia and Europe.
- Solar and wind remain on long-run cost-reduction trajectories through scale and technology innovation, and represent the cheapest source of new electricity generation in most markets.
- AI and data-center expansion is creating structural new electricity demand that reinforces the long-term investment case for all forms of power generation, including both renewables and gas.



- Renewables profitability remains structurally challenged: rising capital costs, grid interconnection bottlenecks and merchant power price risk are compressing returns on new renewable projects in many markets.
- Intermittency combined with inadequate storage capacity and grid infrastructure is limiting the effective contribution of wind and solar to system reliability, requiring costly backup capacity.
- Oil and gas face long-term demand uncertainty as the energy transition gradually erodes fossil fuel consumption in transport and heating, creating strategic planning challenges for capital-intensive upstream investments with 20-30-year time horizons.
- High financing requirements for both segments (capital-intensive renewables projects and new LNG and oil infrastructure) create sensitivity to interest rate levels and investor risk appetite.

Sector overview

What to watch?

- **Renewable deployment rates:** The pace at which wind and solar capacity is added will determine how quickly the energy mix shifts. China is leading installations while other major economies are scaling up but at slower rates constrained by grid and permitting bottlenecks.
- **Grid infrastructure investment:** In most major markets, grid expansion and modernization is lagging renewable capacity additions, creating a binding constraint on the clean energy transition and sustaining demand for grid infrastructure companies.
- **Peak fossil fuel demand:** Oil demand in transport is expected to peak within this decade in most scenarios. The timing and pace of this transition will determine how aggressively oil and gas companies need to diversify or divest.
- **AI and data-center power demand:** The energy requirements of AI training and inference represent a new and rapidly growing source of electricity demand that was not anticipated in most energy forecasts even a few years ago.
- **Geopolitical risks:** Supply routes for LNG, oil and critical minerals remain exposed to geopolitical disruption. Energy security concerns are driving both renewable diversification and domestic fossil-fuel expansion in different markets, often simultaneously.

The global energy sector encompasses oil and gas extraction and processing, power generation (fossil, nuclear and renewable), electricity transmission and distribution and the growing segment of grid-scale storage and smart infrastructure. Global gross output for utilities is estimated at approximately USD6.5trn in 2025, rising to around USD7.2trn in 2026, with a 2026-2028 CAGR of approximately +3%. Extraction (oil, gas, coal and other mining) is estimated at approximately USD4.8trn in 2025, rising to around USD5.6trn in 2026, though this segment is more cyclical and price-driven, with output projected to ease back toward USD5.5trn by 2028 as commodity prices normalize. These two figures span different value-chain stages (extraction feeds into power generation as an input).

The sector is also characterized by a pronounced structural duality. Oil and gas companies have enjoyed healthy cash flows in recent years, with Brent crude oscillating in the USD70–90 per barrel range – elevated enough to sustain profitability while not triggering the political pressure that accompanied the 2022 price spike. These companies have maintained capital discipline, returning cash to shareholders rather than pouring it into new upstream capacity, a stance that could constrain supply in the medium term. By contrast, the renewables segment has faced tighter margins and investor scrutiny as capital costs rose with interest rates and power-purchase-agreement prices proved insufficient to cover financing costs on new projects. The result is a slower-than-anticipated pace of renewable deployment in some markets, even as China continues to install capacity at a pace that exceeds the rest of the world combined.

As a result, profitability metrics differ substantially across energy subsectors. Oil & Gas Production and Exploration shows the strongest margins in the traditional fossil-fuel space, with an EBITDA margin of approximately 43% and a net margin of approximately 15%, benefiting from operating leverage at current price levels. Integrate oil & gas companies run thinner margins (EBITDA margin approximately 22%, net margin approximately 8%), reflecting the lower-margin downstream refining and distribution activities blended into their results. Utility companies show high and stable

margins (EBITDA margin approximately 35%, net margin approximately 14%), consistent with regulated, capital-intensive businesses with predictable cash flows. Green & renewable energy stands out for a large gap between operating and net profitability: its EBITDA margin is the highest in the group at approximately 58%, but the net margin is negative (approximately -11%), reflecting heavy depreciation and interest expense on project debt and impairments – direct evidence of the financing-cost and capital-intensity pressure.

The long-term direction of the sector is not in question: electrification of transport, heating and industry will drive substantial growth in electricity demand, and renewables will capture a growing share of that demand as costs continue to fall. The question is the pace of transition and the role that natural gas plays as a bridge fuel. The US has emerged as the world's leading LNG exporter, providing European and Asian buyers with an alternative to Russian pipeline gas and creating a new global gas trade architecture. AI and data-center energy demand represents an incremental demand layer that was not anticipated in earlier energy transition models and is reinforcing investment in all forms of reliable power generation – gas, nuclear and batteries – alongside renewables.

Subsectors

Fossil fuels: This includes oil, gas, and coal operations. Firms can be involved in upstream or downstream processes.

Renewables: Firms in the production/installation of renewable energy/projects.

Power: Firms in electricity generation, whether through fossil fuels, nuclear, solar, wind, hydro or other forms of renewable energy.

Grids and storage: This includes firms managing and building infrastructure needed to distribute and store energy.



Household Equipment

Repositioning toward services amid a stalled housing cycle and tariff pressure

Sector rating

S Sensitive risk for enterprises

Strengths & weaknesses



- AI development to create new demand for smart IoT products with new applications
- High entry barrier as business is capital intensive and certification-heavy
- Sustainability rules create new regular revenue stream via aftermarket services pool
- Steady margin rate for high/mid-premium segment as quality still remains a strong purchasing argument
- Diversified geographic revenue helps mitigate demand shocks as cycles diverge



- Sluggish recovery of housing market in western economies
- Supply-chain vulnerability (highly concentrated in Asia) favour new entrants amid manufacturers
- Longer product shelf life under new sustainability regulation
- Limited pricing power as demand is very elastic and customers keep price-seeking attitude
- Escalation of input costs due to tariffs and shortage of semiconductors

Sector overview

What to watch?

- Consumer spending momentum amid new inflationary pressures and higher rates
- Impacts on sales of pass-through policy applied to offset higher energy/software prices
- Consumer interest in new AI-embedded home equipment as potential booster of renewal cycle
- Any recovery signal on residential housing market, especially in China where demand remains deeply deteriorated
- Impacts of new tariff announcements on production costs and sourcing policy
- Development of aftermarket service activity as additional source of revenue
- Widening margin gap within the industry based on customer premium perception

A broken demand trigger as replacement cycle is lengthening.

The sector's difficulty is not weak appetite but a disabled purchase mechanism. Big-ticket appliance demand follows housing turnover and US existing-home sales remained sluggish through spring 2026, with the anticipated rate-driven rebound failing to arrive; Western Europe is flatter still, compounding at barely over 2% annually, with replacement cycles expected to engage during 2026 from a low base. Demand is also unusually elastic, with price driving consumer choice in most markets while quality arguments hold only in specific premium segments. China is the swing variable and currently a negative one – a subsidy program that pulled 2025–2026 demand forward into 2024 has created overhang, with domestic sales at risk of a significant drop absent extended trade-in support. As a matter of fact, we see no volume recovery in 2026/2027 without a housing turn.

Tariffs are becoming a working-capital problem. This is the acute pressure of the period and it now operates on finished goods rather than inputs. An April 2026 proclamation revised

Section 232 so derivative articles substantially made of steel, aluminum or copper face 25% on full value – the taxable base shifting from raw metal to the full value of the finished product, with the duty applying to goods containing 15% or more steel. Because only around a quarter of appliances sold in the US are domestically produced on an industry-average basis, exposure is near-universal, and tariffs reach the steel, compressors and control boards inside units assembled domestically as well. Component inflation compounds it: the memory shortage running through 2026 raises the bill of materials on precisely the connected products the industry is betting on. Asian manufacturing concentration, long the sector's cost advantage, is now its principal vulnerability – and the mitigation is expensive. Dual sourcing, North American localization and buffer inventory all lengthen the cash conversion cycle while financing costs stay elevated, and they concentrate obsolescence risk in a category where regulation mandates decade-long parts support.

A widening profitability gap amid competitors: quality premium is still resilient. Margin outcomes are diverging sharply, and the split is the most investable feature of the sector. Premium and mid-premium hold up because quality, reliability and design remain genuine purchase arguments and support pricing, and manufacturers reported early-2026 growth concentrated specifically in premium products, subscriptions and services, and B2B, with selective pricing. The volume tier is a different business: Chinese brands continue taking major and small appliance share in key Western European markets with high-functionality products at competitive prices, and as US demand weakens under rising prices, those manufacturers are explicitly redirecting effort toward Europe and other markets to offset it – meaning European price competition intensifies precisely as European volumes stagnate. Pass-through capacity exists but is thin and reputationally costly; where it has been used, it has come at the expense of units. Dividend policy and covenant headroom will be the leading distress indicators, and we expect consolidation across the mid-market where neither scale nor premium perception provides shelter.

Sustainability regulation: overcoming that hurdle would create new opportunities. The European framework is genuinely dual-edged and the second edge is underappreciated. All member states must transpose the Right to Repair Directive by 31 July 2026, and the obligation applies to products sold before that date – a retroactive service liability few have fully provisioned. But compliance costs raise entry barriers for import-dependent brands and favor regional manufacturers with embedded processes, while spare-parts obligations and mandated firmware updates make total cost of ownership the decisive purchase factor – shifting competition away from headline price, exactly where low-cost entrants are strongest. Layered onto already-high capital intensity and certification requirements, this is the most credible non-tariff defense Europe possesses.

It also creates the revenue stream the title points to: an installed base with legally guaranteed parts demand, consumer behavior aligned rather than resistant and service revenue delivering margin resilience even without unit growth – high-margin, capital-light and counter-cyclical, since it grows when hardware sales fall.

AI and connected products: the hoped-for renewal catalyst, still unproven. The industry's strategic bet is that embedded intelligence restarts the replacement cycle, and adoption is real – smart features now appear in a large majority of new launches and dominate product roadmaps. But the evidence for a pricing premium is weaker than the narrative: satisfaction research associates smart and connected appliances with more reported issues and user confusion. The credible value in the short run is more operational rather than promotional – remote diagnostics, predictive maintenance and subscription plans that raise customer lifetime value and feed the aftermarket annuity above.

Subsectors

Household Equipment comprises different industries involved in the design and manufacturing of domestic equipment for households. While companies exhibit very different profiles between segments, they have in common a strong sensitivity to consumer spending and a reliance on Asia-Pacific, mostly China, for their manufacturing activities. Mature economies still make up the vast majority of demand.

- **Consumer electronics:** Audio and video equipment, computers, mobile phones etc. Product markets are now largely mature and driven by replacement sales. A handful of companies generally dominates their markets and focus on design, R&D, marketing etc. while outsourcing manufacturing to contract manufacturers. Asia-Pacific concentrates over 80% of global turnover. Mexico is the only significant manufacturer outside of the region.
- **Household appliances:** Small appliances (home care, personal care, cooking aids) and large appliances (refrigerators, ovens, dishwashers, washing machines). Much like for consumer electronics, product markets are largely mature and dominated by a few large global players and smaller niche, regional competitors. Asia-Pacific's share of global turnover stands at about 80%. Other manufacturing countries include Germany, Italy, Turkey and the US.
- **Furniture and furnishings:** A highly fragmented industry dominated by small- and medium-sized companies working closely with designers and retailers. While Asia-Pacific still catches a substantial share of revenue (almost half), North America (18%) and few western European countries like Germany and Italy (20%) have a significant presence in the industry.

IT Services

How to adapt to AI-driven redistribution of value ?

Sector rating

L Low risk for enterprises

Strengths & weaknesses



- Low capex-intensive business
- Further digitalization/automation of process drives new demand for software
- External expertise claimed due to facilitate new technology integration/interoperability
- High-margin business due to compressible development costs/expertise premium
- No tariff barrier on services



- Low entry barrier / high competition
- Risks of substitution effects/revenue dilution due to broader adoption of GenAI agents for coding
- Rising AI inference costs cause risks of cost arbitrage on IT budget allocation
- Increasing obsolescence risks / Shorter lifespan of products
- Deteriorating investor sentiment over the industry = capital outflow

Sector overview

What to watch?

- Greater connectivity of the global economy is expected to drive new strong demand for software solutions and advisory services.
- Under further AI expansion, software companies will be forced to revamp their business model and shift from Software as a Service (SaaS) to Service as a Software model.
- An increase of specific or “industrial-focused” applications working under proprietary ecosystems under fears of low data protection from frontier AI models.
- Rising demand for cybersecurity solutions as corporates have low defensive lines against rising cyber threats caused by increasing LLM reasoning capabilities.
- Market structure revamping with higher share for hyperscalers and the emergence of new players surfing on easy-to-scale solutions working on open-weight infrastructure
- Investors’ sentiment toward software industry and resulting liquidity/solvency impacts.

Solid demand hiding critical changes in commercial mix.

Global demand looks supportive: digitalization, interoperability mandates and the migration of AI pilots into production keep spend flowing, but headline growth is modest and bifurcated. Global IT consulting and services grew roughly +3.6% in 2025, with a similar pace expected into 2026 – a low-single-digit market, not a boom. Within software, the split is sharp: smaller subscription cohorts are re-accelerating (the sub-USD50mn revenue tier bounced back to ~18% growth in 2025, near 2023 levels) while large-caps continue to moderate. Amid other early weak signals, retention business has drifted down to a median near 101%, versus ~105% earlier in the cycle, signaling that expansion within the installed base is thinning. The critical mix shift is commercial: the industry is being pushed from seat-based SaaS toward outcome- and consumption-priced “service-as-software,” where the vendor is paid for work delivered rather than licenses sold – a leading strategy house already books roughly a quarter of fees on outcome-based contracts. This decouples revenue from headcount and seat counts alike, rewarding those who can quantify delivered value and penalizing those still selling access.

The “AI deflation” vector is revamping market competition.

The large delivery-led services majors have themselves flagged that AI-native execution will dilute future revenue: rising adoption is intensifying pricing pressure, triggering deal renegotiations and slowing execution as clients reassess spend. Where value historically accrued to billable hours, agentic coding and automated delivery compress the fee pool directly. Compounding this, competitive walls are falling: hyperscalers are absorbing more of the platform layer, open-weight infrastructure lets new entrants scale agile and differentiated capital-light tools and frontier-model providers are moving directly into the advisory and delivery market. The defensible ground narrows to sector depth, proprietary data, regulated-industry mandates and integration complexity that a generic model cannot yet own. Companies with low compressible digital development and high staffing ratio work are the most exposed. The competitive question for 2026/2027 is less about who has the best AI than who can convert AI from a margin threat into a pricing-power moat before the fee pool reprices.

Profitability premium erosion under scrutiny. Core software still boasts exceptional gross margins – a median near 80% on software revenue (~76% blended) – and scaled players are extracting real operating leverage, with the USD500mn–USD1bn revenue cohort lifting EBITDA margins from ~17% to ~29% year-on-year through expense discipline. Services margins remain healthy but pressured, holding around 22–23% at the operating level, with providers warning that cushion narrows as talent costs rise and AI investment continues. The new drag is inference: AI-native products carry structurally lower gross margins because compute and inference costs are genuine, recurring COGS. The winners of 2026/2027 will be those who pass inference costs through pricing and cap usage, and improve unit economics as they scale – turning compute from a margin leak into a moat. The risk case is cost arbitrage on the client side: as inference becomes a visible IT budget line, CIOs may reallocate away from third-party software and services toward in-house or model-native alternatives, squeezing the sector’s addressable spend even where its own margins hold.

AI is dramatically shortening product lifespan; premium is stored in security and sovereign solutions. GenAI compresses the build cycle, which cuts both ways: faster time-to-market for incumbents, but also faster obsolescence and lower switching costs, eroding the recurring-revenue stickiness the whole valuation model rests on. Two structural demand pockets stand out against this. First, cybersecurity, where the threat surface is expanding mechanically with model capability – AI-enabled attacks have risen sharply (on the order of +70% year-on-year by some breach-tracking measures) – and defensive spend is one of the few line items still growing while budgets consolidate elsewhere: enterprise security budgets rose ~5% into 2026, with AI-specific security now exceeding 11% of the total. Second, data-sovereignty and industrial-specific applications: distrust of frontier models’ data handling is pushing regulated and industrial

clients toward proprietary, on-premise or verticalized ecosystems – a demand stream that favors providers with domain depth and controlled deployment. Both pockets reward specialization over horizontal reach and are the likeliest sources of durable, defensible growth over the outlook window.

Investors need to be reconquered. Investor sentiment has deteriorated materially in 2026. Leading pure-play names fell on the order of 25–30% even as they reported solid results, a sell-off driven not by earnings but by a collapse in confidence in the business model itself. Under a “SaaS-Apocalypse” mood, public investors concluded they lacked clarity on how to price AI risk – the fear that frontier-model capabilities and falling entry barriers erode software’s growth, stickiness and pricing power. Valuations de-rated to distressed levels: a bellwether integrator shed ~40% of its value across 2025 and now trades below the broader IT-sector earnings multiple (roughly 17x), stripped of its long-standing quality premium. Such sentiment deterioration and flight of capital out of software industry matters because capital is the sector’s lifeblood for building out structure and funding future growth: a higher cost of equity, colder IPO and M&A windows and cautious sponsors hit the sub-scale, growth-funded tier hardest, where cheap capital was the model’s oxygen. Crucially, solvency is not the concern – sentiment is. Asset-light economics, high free-cash-flow conversion and predominantly net-cash balance sheets let profitable incumbents absorb a valuation reset without liquidity stress. Expect a “rich-get-richer” bifurcation: cash-generative leaders consolidating and self-funding their next phase, while capital-starved, weak-retention challengers face an existential funding squeeze.

Subsectors

The industry can be divided into five main subsegments - companies generally operate across many segments. While IT consulting and programming is a fragmented activity, the managed services, software and data processing segments are far more concentrated with regional and global players.

- **Consulting** is about helping organisations make the best possible use of digital technologies to operate more efficiently.
- **Programming** is about developing custom digital tools to help organisations reach their business objectives.
- **Managed services** is about outsourcing the management of the IT infrastructure to a third-party company.
- **Software** are complex, generic programmes that can be made available to a variety of corporate customers.
- **Data processing**, including cloud computing, is about collecting and treating large quantities of data for corporate customers.

Machinery and Equipment

Approaching a cyclical inflection point

Sector rating

M Medium risk for enterprises

Strengths & weaknesses



- High barriers to entry due to significant capital investment, engineering expertise, proprietary technology and extensive service networks.
- Robust long-term growth potential, given structural trends such as industrial automation, robotics, artificial intelligence (AI), electrification and digital manufacturing
- Pricing power through technological differentiation allows resilient margins.
- Diversified revenue streams reduces dependence on any single customer segment or economic cycle.
- Strategic role in industrial digitalization through connected equipment, industrial software, data analytics and AI-enabled solutions.
- Growing recurring revenue from after-sales services which enhance customer retention and support margin resilience.



- High cyclical exposure: Demand is closely tied to industrial activity, capital expenditure and business confidence.
- Complex global supply chains increase exposure to geopolitical risks, trade restrictions and component shortages.
- High capital intensity required to maintain competitiveness.
- Raw material price volatility, particularly in key industrial inputs, including steel, aluminum, copper and nickel.
- Long sales and delivery cycles can delay revenue generation and reduce operational flexibility.
- Stringent environmental, safety and cybersecurity requirements increase compliance costs and complexity.
- Rapid technological change requires continuous innovation, while legacy assets risk becoming obsolete.

Sector overview

What to watch?

- Global economic outlook: Macroeconomic conditions continue to weaken. Following modest growth of just +2.9% in 2023 and +2.8% in 2024, global GDP growth is projected to remain sluggish in 2025 and 2026. This prolonged slow recovery could constrain sector growth in the near term, particularly given its sensitivity to economic cycles.
- Evolving industrial policies: Major economies like the US, China, India, Germany and Brazil are ramping up industrial policies and subsidies. Governments are increasingly shaping industrial priorities and strategically supporting innovation and technology adoption, which could reshape competitive dynamics and investment flows within the sector.
- Business confidence & manufacturing activity: Key indicators such as business confidence and Purchasing Managers' Indexes (PMIs) serve as vital barometers for sector health. Over 2024 and the first half of 2025, these indicators have showed a relatively flat evolution, with no clear sign of improvement.
- Supply-chain normalization: The severe supply-chain disruptions of 2020-2022 have notoriously eased throughout 2023 and 2024, aided by a slowdown in global trade volumes. This relief has been particularly beneficial for machinery manufacturers, who depend heavily on a global network of parts suppliers.

- **Commodity price volatility:** Metal prices remain volatile. While steel and nickel prices have softened, aluminum and copper prices continue showing upticks. These fluctuations present ongoing margin risks for manufacturers reliant on these raw materials.
- **Disinflation and better financial conditions:** Inflationary pressures have eased, with global inflation expected to moderate. Thanks to this, financing conditions should continue easing throughout the year in Europe particularly. However, companies in the US should remain cautious as the trade war could increase prices in the country.
- **Accelerating AI adoption:** Leading firms are rapidly integrating AI and machine learning into production, driving efficiencies and enabling the development of advanced machinery. The ongoing wave of industrial automation presents substantial growth opportunities and productivity gains.
- **Sustainability and regulatory pressures:** Increasing global focus on environmental regulations and sustainable manufacturing practices is driving demand for greener machinery and energy-efficient equipment. Compliance costs and the pace of adopting sustainable technologies will be crucial factors to monitor.
- **Geopolitical tensions and trade policies:** Ongoing geopolitical uncertainties and evolving trade policies may disrupt supply chains and market access. Machinery producers need to stay agile in navigating higher tariffs, export controls and shifting alliances.

The global machinery & equipment sector is valued at approximately USD820bn in 2026. Asia-Pacific remains the largest regional market, supported by China and India's industrial expansion, while North America and Europe continue to lead in technological innovation, high-value equipment, and installed industrial capacity.

As of 2026, the sector is entering the early stages of a recovery following a prolonged period of cyclical weakness. Following two years of subdued order activity, the global machinery & equipment sector is showing early signs of recovery. During 2024 and 2025, new orders weakened as higher interest rates, softer industrial activity and geopolitical uncertainty delayed capital expenditure decisions. Manufacturers were able to maintain production by working through elevated backlogs accumulated during the post-pandemic recovery (2021–2022), leading to a gradual normalization of order books. As inventories rebalance and investment conditions improve, demand is expected to gradually recover in 2027, supported by infrastructure spending, automation, AI-related investment and industrial digitalization.

Indeed, throughout the first half of 2026, order intake has started to improve in some sub-sectors, given increasing investment in power infrastructure, data centers, industrial automation and reshoring initiatives. Although demand remains uneven across end markets, the sector appears to have reached a cyclical inflection point.

Production trends reflect a similar pattern. Following the strong post-pandemic rebound, global machinery output moderated significantly during 2024 and flattened in 2025 as customers delayed investment decisions and manufacturers reduced elevated inventories. Entering the second half of 2026, production is gradually recovering as capacity utilization improves and replacement demand strengthens. Construction machinery and heavy-duty trucks are expected to lead the recovery, benefiting from infrastructure spending, expanding power generation and data center investments, healthier freight markets and improving dealer inventories. By contrast, agricultural machinery is likely to remain the weakest major end market in the near term, with subdued farm economics and export uncertainty continuing to constrain equipment investment despite signs that the cycle is approaching its trough.

Regionally, North America continues to outperform most other markets, supported by infrastructure investment, manufacturing reshoring and robust demand for power generation and digital infrastructure. Europe should be timidly recovering after a prolonged period of weak industrial activity, helped by easing inflation, lower financing costs and improving business confidence, although activity remains below the post-pandemic highs. Asia-Pacific continues to benefit from long-term industrialization, automation and infrastructure investment, with China and India remaining key drivers of equipment demand.

Although geographically uneven, the global macroeconomic environment should also become increasingly supportive for the sector. Global GDP is projected to expand by +2.9% in 2027 (after a temporary slowdown in 2026), providing a more favorable backdrop for industrial investment and machinery demand. Regional dynamics remain mixed: The US economy is expected to remain resilient, growing by around +2.0–2.1% in 2026, while Europe faces the slowest recovery (+0.9% in 2026; +1.2% in 2027). China remains

Subsectors

The machinery & equipment sector includes the following sub-sectors: construction machinery, agricultural & farm machinery, industrial machinery and equipment, mining equipment and robotics.

Metals

Capital discipline sustains balance sheets as energy transition creates long-run demand

Sector rating

S Sensitive risk for enterprises

Strengths & weaknesses



- Long-run demand for critical metals – lithium, cobalt, nickel, copper, rare earths – is underpinned by structural growth in EV manufacturing, renewable energy infrastructure and semiconductor production, with demand for critical minerals projected to triple by 2030 under net-zero scenarios.
- Many major mining companies emerged from the 2021 commodity boom with strong balance sheets, having accumulated cash and reduced debt rather than pursuing aggressive expansion; this financial resilience provides a buffer against market volatility.
- Governments globally are prioritizing critical mineral security, creating policy tailwinds in the form of expedited permitting, strategic reserve purchases and direct investment support for domestic production.
- Base metal prices, though off their 2022 peaks, remain above long-run historical averages for many categories, sustaining industry profitability at current production levels.



- The sector's supply chains are highly globalized and therefore vulnerable to geopolitical shocks: trade disputes can rapidly translate into export restrictions on critical inputs, as demonstrated by China's curbs on rare earths and graphite exports.
- Escalating ESG and environmental regulatory requirements – covering carbon emissions, land use, water management and community relations – are increasing compliance costs and contributing to project delays, particularly for new mine development.
- The sector is inherently capital-intensive with long project lead times (over 10 years from discovery to production for new mines), making it difficult to respond quickly to demand signals and creating structural supply-demand mismatches.
- Commodity price volatility remains high: base metal and bulk material prices are closely tied to Chinese industrial demand, global growth cycles and financial investor positioning, all of which can shift rapidly.

Sector overview

What to watch?

- Critical mineral policy and resource nationalism: Governments are treating strategic minerals as national security assets, leading to new export controls, domestic content requirements and investment screening measures that are reshaping global supply chains.
- China's industrial demand trajectory: China consumes over two-thirds of the world's base metals and iron ore. Its construction and manufacturing activity – and the pace of its own domestic decarbonization – will continue to set global metal price trends.
- Financing conditions and capex discipline: After the 2021 boom, the sector has maintained conservative capital allocation. Any shift toward aggressive expansion would represent an early signal of supply growth that could eventually weigh on prices.
- Energy transition metal demand: The ramp-up of EV production, battery storage, wind turbine installation and grid expansion is creating accelerating demand for copper, lithium, nickel and cobalt that differs structurally from traditional industrial metal demand.
- Environmental regulation and permitting: Stricter environmental standards and community opposition are making it increasingly difficult and time-consuming to bring new mines into production in key jurisdictions, constraining supply response even when prices are supportive.

The global metals and mining sector supplies the essential raw materials – from iron ore and steel to copper, gold, lithium and rare earth elements – that underpin industrial development and the global energy transition. In 2025, gross output for the basic metals and metal products industry reached approximately USD9.6trn globally. Asia-Pacific, dominated by China, accounts for around 60% of the global market. Europe is a distant second at approximately 21%. This regional concentration reflects China's position as by far the largest producer and consumer across the metals spectrum, from steel and aluminum to rare earths. Gross output for basic metals and metal products is estimated at approximately USD10.4trn in 2026, with the 2026-2028 gross CAGR projected at approximately +7%.

After windfall profits during the 2021 commodity super cycle, the sector experienced a normalization in financial performance through 2023-2024. Prices for many base metals and bulk materials retreated from their peaks, while input costs (energy, reagents, labor) remained elevated. The aggregate EBITDA margin for the global metals and mining sector sat at approximately 15% in 2025, reflecting continued normalization from the elevated levels of the 2021 boom. Companies have responded with capital discipline: excess cash from the boom was largely returned to shareholders rather than committed to new capacity, keeping balance sheets strong but constraining future supply growth. This conservative posture is maintaining profitability at current price levels but may create a supply shortfall as energy transition demand for critical minerals accelerates.

The structural long-term demand story for the sector is compelling, particularly for the subset of metals critical to the energy transition. Copper, which is essential for electrical wiring in EVs, wind turbines and grid upgrades, is expected to face significant supply deficits as demand accelerates faster than new mine capacity can be developed. Lithium demand is projected to grow eight-fold by 2040 under net-zero scenarios. Rare earth elements are increasingly strategically contested, with China's dominance in processing creating a

geopolitical dimension that is driving significant investment in alternative supply chains in the US, Europe and Australia. For bulk materials – iron ore and steel – the picture is more mixed, with Chinese demand remaining the swing factor and the energy transition simultaneously creating both headwinds (reduced steel demand as fossil fuel infrastructure investment declines) and tailwinds (new steel demand for wind towers, EV infrastructure and buildings retrofit).

Subsectors

Steel production: The world's most widely used metal, critical for construction, automotive and industrial applications. The largest single segment of the metals sector by volume; increasingly subject to decarbonization pressure as steelmaking accounts for approximately 7% of global CO₂ emissions.

Base metal mining: Mining of non-ferrous metals including copper, aluminum, zinc, nickel and lead. The base metal mining market was valued at approximately USD550bn in 2024 and is projected to reach USD750bn by 2030, driven by energy transition demand.

Iron ore mining: Mining of iron ore for steelmaking. Demand is closely correlated with Chinese steel production and global construction activity.

Metal processing and manufacturing: Processing of raw metals into finished products and components, including aluminum rolling, copper wire drawing and precision metal parts. Closer to end markets than mining and more sensitive to manufacturing cycle fluctuations.

Precious metals mining: Mining of gold, silver and platinum group metals, primarily for jewelry, investment and industrial applications. Gold has traded near all-time highs as investors seek inflation hedges and safe-haven assets.



Paper

Stabilization underway

Sector rating

 Sensitive risk for enterprises

Strengths & weaknesses



- E-commerce growth continues to support demand for paper-based packaging, particularly corrugated boxes and other fiber-based solutions, driven by the expansion of online retail and logistics activity.
- Global population growth and rising living standards support long-term demand for essential paper products, especially household paper goods such as tissue products and hygiene-related papers.
- Growing consumer and regulatory pressure to reduce plastic waste is accelerating the adoption of recyclable and biodegradable paper-based packaging solutions, creating new growth opportunities for fiber-based alternatives.
- A well-established recycling ecosystem enhances the sector's circular economy profile, improving resource efficiency, reducing dependence on virgin fibers and lowering raw material costs.
- A diversified product portfolio across packaging, tissue, printing and specialty papers provides market resilience by reducing exposure to downturns in individual segments.



- Digitalization continues to structurally reduce demand for traditional graphic paper products, including printing, publishing and office papers.
- Environmental concerns related to forestry practices, emissions and resource consumption create reputational and regulatory risks for industry participants.
- The sector's high energy intensity makes profitability vulnerable to fluctuations in energy and chemical input costs, particularly in regions with higher operating expenses.
- Increasingly stringent environmental regulations and sustainability requirements require continuous capital investment in cleaner technologies, emissions reduction and process improvements.
- Dependence on sustainable fiber supply exposes companies to supply-chain risks, including disruptions caused by geopolitical tensions, climate change, forest management challenges and fluctuations in recycled fiber availability.

Sector overview

What to watch?

- Evolution of e-commerce: Online retail is expected to remain a key driver of demand for paper-based packaging, particularly corrugated boxes and containerboard. However, the pace of e-commerce growth, changing logistics models and packaging optimization efforts will influence future demand.
- Packaging regulation and plastic substitution: Governments – particularly in Europe, but increasingly in other regions – are introducing regulations aimed at reducing single-use plastics and promoting recyclable and fibre-based packaging. The pace and scope of these policies will shape product innovation, investment priorities and market growth.

- **Energy prices and competitiveness:** Although energy markets have stabilized since the 2022–2023 crisis, electricity and natural gas prices remain elevated in several regions, particularly Europe as an aftermath of the 2026 conflict in the Middle East. Future energy price trends and decarbonization policies will continue to affect production costs, investment decisions and the global competitiveness of manufacturers.
- **Demand for tissue and hygiene products:** Rising populations, urbanization and increasing hygiene awareness – particularly in emerging economies – are expected to support long-term growth in tissue and other household paper products. Demographic trends and public health policies will remain important demand drivers.
- **Digital transformation:** The continued shift toward digital media, electronic documentation and remote working is expected to further reduce demand for graphic papers. The speed of this transition will determine how quickly producers need to rebalance their product portfolios toward packaging and specialty papers.
- **Construction and industrial activity:** Trends in residential construction, renovation and broader industrial production – particularly in major markets such as the US, China and Europe – will influence demand for wood products.

The global pulp and paper industry remains an important component of the global economy, supplying essential materials across packaging, hygiene, industrial and communication applications. The sector is characterized by a diversified product portfolio, ranging from fiber-based packaging and tissue products to pulp, specialty papers and graphic papers. From a geographical perspective, the sector is concentrated across Asia-Pacific, North America, Northern Europe and Latin America, each with distinct competitive advantages. APAC, led by China, represents the largest production and consumption hub, supported by its extensive manufacturing base, strong packaging demand and large domestic market. North America, particularly the US and Canada, remains a key producer across pulp, packaging, tissue and wood products, benefiting from abundant forest resources and integrated industrial assets. Northern Europe, led by Sweden and Finland, maintains a strong position in sustainable forestry, market pulp and specialty paper production, although higher energy and wood costs have challenged competitiveness. Meanwhile, Latin America, especially Brazil and Chile, has become a global powerhouse in pulp production, supported by large-scale plantations,

modern mills, and some of the lowest production costs worldwide.

While the industry continues to face structural challenges, particularly from digitalization and changing consumption patterns, it is undergoing a significant transformation driven by sustainability trends, packaging substitution, recycling expansion and operational optimization.

Packaging remains the largest segment of the industry, benefiting from the continued growth of e-commerce, consumer goods demand and the substitution of plastic-based solutions with recyclable fiber alternatives. Tissue and hygiene products continue to demonstrate defensive characteristics, supported by population growth, urbanization and rising hygiene standards, particularly in emerging markets. Conversely, graphic papers continue to experience structural decline as digital communication and reduced office printing demand accelerate the shift away from traditional paper grades.

The industry outlook has improved compared with the challenging conditions observed during 2022–2024.

However, the recovery remains uneven and is primarily supported by supply-side actions rather than a strong acceleration in demand. Following a period of oversupply, weak pricing and inventory adjustments, producers have implemented capacity reductions, mill closures, cost-cutting programs, and operational efficiencies to restore market balance. As a result, profitability is expected to gradually improve in 2026–2017, although demand growth remains modest across most segments.

The pulp market is showing signs of recovery after a period of significant price pressure caused by excess capacity and weaker demand, particularly in China. Supply discipline, production curtailments and limited near-term capacity additions are expected to support a gradual improvement in pulp prices. Latin American producers remain structurally advantaged due to lower production costs and newer assets, while European producers continue to face higher wood and energy costs.

Packaging markets are expected to remain relatively resilient, although growth is likely to be moderate as the global economy sees weak growth. Industrial packaging demand is forecast to remain generally stable, supported by e-commerce trends, while consumer packaging continues to face pressure from weak consumer confidence and excess capacity in certain grades. The sector's long-term growth opportunity remains linked to the substitution of plastics and the increasing adoption of sustainable packaging solutions. The tissue segment continues to provide stability to the industry due to its essential nature and lower cyclicity.

Demand is expected to grow broadly in line with population trends in developed markets and at a faster pace in emerging economies as hygiene standards improve.

Nevertheless, profitability remains exposed to fluctuations in pulp, energy and transportation costs. In contrast, graphic paper (print and newspaper) remains and will continue to be the most challenged segment. The structural decline caused by digitalization continues to weigh on volumes, despite capacity rationalization and selective pricing improvements. Producers are increasingly converting graphic paper capacity toward more attractive segments, particularly packaging and specialty papers, to adapt their portfolios to changing market conditions.

Financial performance has improved from the downturn experienced in the previous years, but the sector remains below historical profitability levels.

The earnings recovery is expected to be gradual, supported by lower-cost structures, capacity discipline and improved pricing in selected segments rather than by strong market growth. The prolonged geopolitical uncertainty, including the ongoing conflict in the Middle East, represents an additional risk factor by increasing exposure to higher energy, freight, chemical and logistics costs. Under a prolonged escalation scenario, weaker global growth and renewed inflationary pressures could delay the sector's recovery. Overall, the global pulp and paper industry is transitioning from a period of contraction and restructuring toward a more stable operating environment. Long-term opportunities remain concentrated in sustainable packaging, tissue products, specialty papers and circular economy solutions. However, companies' ability to adapt through portfolio diversification, cost competitiveness, energy efficiency and sustainable innovation will remain critical in determining long-term competitiveness.

In terms of financial performance, the past two years were tough for the sector. Revenues fell by around -14% y/y on average in 2023 and timidly recovered by +4% y/y in 2024. The sector had a five-year historical compound annual growth rate of sales of +6%. This drop was driven by a contraction of both prices and volumes due to the weakening of the global economy. Indeed, paper (together with other commodities) lost a lot of pricing power last year amid increasing economic uncertainties. In parallel, the pulp & paper sector is energy- and raw-materials-intensive, notably dependent on chemicals and natural gas for transforming raw wood into pulp and then into other derived sub-products. Therefore, companies have seen margins squeeze in the past years. As a fact, operating margins moved from a five-year historical average of 8.8% to only 6.2% in 2024. The sector's margin deterioration was particularly exacerbated in Europe, where energy prices increased the most. Nevertheless,

operating conditions started to improve gradually since Q4 2024 and throughout 2025, indicating that the worst is already behind, even if geopolitical tensions persist. For 2025, we expect revenues to recover by around +4.3% y/y, supported by the fact that destocking in many end-markets has ended and the belief that consumer e-spending should gradually start to improve as inflation has receded.

Subsectors

Paper packaging: This includes containerboard, corrugated packaging, cartonboard, kraft paper and other fiber-based packaging products used across e-commerce, food and beverage, consumer goods and industrial applications. Despite softer conditions across most paper markets, packaging remains the industry's most resilient segment, supported by steady demand growth.

Graphic papers (printing, writing & newsprint): Comprises coated and uncoated printing and writing papers, newsprint and other graphic paper grades used for publishing, office and educational applications. Graphic papers continue to experience structural decline as digitalization reduces demand for printed media and office paper.

Pulp: Produces virgin pulp, the primary raw material used in paper, packaging, tissue and specialty paper manufacturing. The pulp market is capital-intensive and globally traded, with profitability closely linked to supply-demand dynamics and commodity price cycles.

Tissue & hygiene paper: Includes household and away-from-home tissue products such as toilet paper, paper towels, facial tissues and napkins. Tissue is the industry's most defensive segment, benefiting from stable, non-discretionary demand.

Forest products (wood & lumber/timber): Includes timberland management, lumber, engineered wood products, plywood, oriented strand board and other wood-based materials primarily used in residential construction, infrastructure and industrial manufacturing. This segment is highly cyclical, with demand closely linked to housing starts, renovation activity and broader construction markets.

Pharmaceuticals

Navigating innovation, pricing pressures and an evolving geopolitical landscape

Sector rating

L Low risk for enterprises

Strengths & weaknesses



- Global, diversified and resilient market, supported by structural non-cyclical demand for healthcare.
- High barriers to entry due to significant R&D investment, stringent regulatory requirements, intellectual property protection and specialized expertise limit.
- Strong profitability and cash generation, supporting continued innovation, acquisitions and shareholder returns.
- Favorable long-term demand drivers, including aging populations, increasing prevalence of chronic diseases and expanding healthcare access in emerging markets.
- Pricing power through innovation, partially offsetting inflationary and cost pressures.
- Innovation leadership strengthen long-term growth potential.



- High regulatory burden increases costs, extends development timelines and adds operational complexity.
- High R&D risk: Drug development requires substantial investment with long development cycles and high clinical failure rates.
- Patent dependency, increasing reliance on a strong and continuous innovation pipeline.
- Governments and healthcare systems are increasingly focused on controlling drug costs, limiting pricing flexibility and pressuring margins.
- Competition from generics and biosimilars.
- Supply-chain complexity increases exposure to geopolitical tensions, trade restrictions, and supply disruptions.
- Reputational and ESG risks.

Sector overview

What to watch?

- Aging populations and rising chronic diseases: Demographic trends remain one of the strongest long-term growth drivers for the pharmaceutical industry. A rising population (8.5bn people by 2030), together with increasing life expectancy and a higher prevalence of chronic conditions such as cardiovascular disease, diabetes, cancer and neurodegenerative disorders, is expected to sustain demand for innovative therapies over the coming decades.
- GLP-1 therapies reshaping the market: Anti-obesity and diabetes drugs continue to transform the industry. Beyond treating obesity and type 2 diabetes, ongoing clinical trials are exploring their potential in cardiovascular disease, chronic kidney disease and other indications, significantly expanding their addressable market and creating one of the fastest-growing therapeutic segments.
- Artificial Intelligence across the pharmaceutical value chain: AI is rapidly transforming drug discovery, clinical trial design, regulatory processes and commercial operations. By improving target identification, optimizing clinical trials and accelerating data analysis, AI has the potential to reduce development timelines, improve R&D productivity and lower costs.
- Patent cliffs and pipeline execution: A growing number of blockbuster drugs are approaching patent expiration over the next few years, exposing pharmaceutical companies to increased generic and biosimilar competition. Sustaining growth will depend on the successful commercialization of innovative products, strategic acquisitions and strong late-stage development pipelines.

- **Expansion of biologics and precision medicine:** Biologics, cell and gene therapies, RNA-based medicines and personalized treatments continue to reshape healthcare by targeting diseases with greater precision. At the same time, increasing biosimilar adoption will intensify competition while expanding patient access to advanced therapies.
- **Regulatory evolution and faster access to innovation:** Regulators continue to modernize approval pathways for breakthrough therapies, rare diseases and unmet medical needs. While regulatory requirements remain rigorous, initiatives aimed at accelerating reviews and incorporating real-world evidence could shorten time-to-market for innovative medicines.
- **Supply-chain resilience and manufacturing diversification:** Pharmaceutical companies are continuing to diversify manufacturing footprints and strengthen supply chains in response to geopolitical tensions, trade restrictions and lessons learned from recent disruptions. Securing critical raw materials and active pharmaceutical ingredients (APIs) has become an increasingly strategic priority.
- **Pricing and healthcare affordability:** Governments and payers are placing greater emphasis on controlling healthcare expenditure through pricing negotiations, reimbursement reforms and increased use of generics and biosimilars. Companies will need to balance innovation with affordability while demonstrating the clinical and economic value of new therapies.

The pharmaceutical industry remains one of the most resilient and innovation-driven sectors globally, supported by structural demand stemming from ageing populations, rising prevalence of chronic diseases, expanding healthcare access and continuous scientific advances. While the sector continues to be dominated by large multinational companies headquartered in the US and Europe, innovation is increasingly supported by biotechnology firms, strategic partnerships and targeted acquisitions, reinforcing a highly dynamic research ecosystem.

Following several years of exceptional innovation, the industry has entered a new growth phase driven less by pandemic-related products and increasingly by breakthrough therapies addressing large unmet medical needs. Metabolic diseases, oncology, immunology, rare diseases and precision medicine remain the main pillars of pharmaceutical innovation, while artificial intelligence is progressively improving productivity across the entire

value chain – from drug discovery and clinical trial design to manufacturing and commercialization. These advances are expected to improve R&D efficiency and support a stronger pipeline of high-value therapies over the medium term.

One of the industry's strongest growth engines continues to be obesity treatments. The rapid adoption of next-generation metabolic therapies has created one of the fastest-growing pharmaceutical markets in history, with global sales expected to multiply over the remainder of the decade as reimbursement expands, oral formulations become commercially available and patient access improves across developed markets. At the same time, continued investment in biologics, cell and gene therapies and RNA-based medicines is broadening treatment options for previously difficult-to-treat diseases, supporting long-term sector growth despite increasing biosimilar competition.

From a macroeconomic perspective, the sector is navigating a more complex operating environment. Geopolitical tensions and evolving trade policies are encouraging pharmaceutical companies to diversify manufacturing capacity and strengthen supply-chain resilience, particularly for active pharmaceutical ingredients and strategically important medicines. At the same time, discussions around tariffs, domestic manufacturing incentives and government procurement policies are prompting companies to reassess production footprints and capital expenditure plans, particularly in the US. Although the ultimate scope of these measures remains uncertain, they reinforce the ongoing trend toward greater regionalization of pharmaceutical manufacturing.

Drug pricing will remain one of the key issues shaping industry profitability. Governments and healthcare systems continue to seek greater affordability through price negotiations, reimbursement reforms and wider adoption of generics and biosimilars. Nevertheless, recent policy developments suggest that pricing pressure may prove less severe than initially anticipated, while broader reimbursement for innovative therapies is expected to support higher treatment volumes. Consequently, the industry's revenue outlook increasingly depends on expanding patient access and launching differentiated medicines rather than relying solely on price increases.

Patent expirations will continue to represent a structural challenge over the coming years, although the financial impact may be more gradual than previously expected. The increasing complexity of biologics, advanced formulations and drug-delivery technologies has made generic substitution more difficult and, in many cases, has effectively extended the commercial life of leading products. As a result, pipeline quality, regulatory execution and successful product launches are expected to become more important drivers of earnings than patent expirations alone.

Looking ahead, the sector's outlook for 2027 and beyond remains constructive. Demand fundamentals continue to strengthen, supported by favorable demographics, rising healthcare expenditure and sustained innovation. Artificial intelligence is expected to improve research productivity, while strategic acquisitions will likely remain an important mechanism for replenishing pipelines and accessing emerging technologies. Although geopolitical uncertainty, evolving regulation and pricing reforms will continue to generate volatility, the pharmaceutical industry appears well positioned to deliver resilient earnings growth over the medium term, underpinned by strong cash generation, high barriers to entry and one of the most attractive innovation pipelines across the global economy.

Subsectors

Drugs manufacturers:

- a. **Active Pharmaceutical Ingredients (API):** API is the part of any medication that produces the intended health effects. They are produced from raw materials with a specified strength and chemical concentration. Examples of APIs include: ibuprofen, loratadine, omeprazole and acetaminophen. All drugs are made up of two core components (APIs and excipients). The excipients are chemically inactive substances, such as lactose or mineral oil in the pill, which are used to help the medication remain stable and to control its absorption.

- b. **Patented drugs (also known as branded or original drugs):** Original drugs refers to drugs that have been approved for marketing after many tests and rigorous clinical trials (there are four phases before the post-market monitoring). This takes about 15 years of R&D and millions of dollars of investments. Only large multinational pharmaceutical firms are able to develop original drugs, which benefit from a patent period of 20 years. But once the patent expires, other manufacturers can start to produce generic versions of the drug.
- c. **Generic drugs:** Drugs that are not branded but that are very similar to a branded drug in terms of dosage, administration, safety and performance. Generic drugs tend to be cheaper and therefore more accessible, since their manufacturers did not have to invest in discovering/creating a new formula but only replicate an existing one.
- d. **Biotechnology:** This is the merging of biology and technology, referring to the branch of applied science that uses living organisms and molecular biology to produce healthcare-related products. Today, approximately 17% of total drug revenue is derived from biopharmaceuticals, which are mostly used in oncology, metabolic disorders and infectious diseases. The term biopharma describes companies that use both biotechnology and chemicals in their R&D.

Contract Research and Manufacturing Services

(CRAMS): The field encompasses those services in the pharmaceutical and biotechnology industries that require extensive R&D and large-scale manufacturing facilities. It is a clinical term used for referring to outsourcing and it is one of the fastest-growing segments in the sector today.

Drug marketing: This refers to the marketing of drugs and medical devices by private and public organizations to doctors, clinicians and consumers as drugs/treatments need to adopt particular marketing strategies to be sold effectively.



Retail

Monetizing data and shopper attention amid heightening pressure on consumption

Sector rating

 Sensitive risk for enterprises

Strengths & weaknesses



- High savings rate in Europe as consumption buffer
- State support for capping energy prices and protecting household purchasing power
- Stronger digital footprint on retail sales (revenue diversification + logistics savings)
- Gradual infusion of AI tools to boost revenue and optimize costs
- Increasing data collection improving product mix, shortening inventory turnover and strengthening retention



- Harsh competition from large marketplaces
- Supply-chain vulnerability under new tariff barriers
- Higher import cost amid higher energy prices and production bottlenecks on Asian supply chains
- New inflationary pressure and higher interest rates dampening consumer sentiment
- Weaker brand awareness (notably from younger generations)

Sector overview

What to watch?

- Consumer savings/purchasing attitude toward new inflationary pressure
- Inventory risk management along geopolitical tensions (consumer electronics first in line of impact from Middle East tensions within the retail segment)
- Evolution of trade tariffs and local rules on sourcing conditions/requirements
- Inclusion of gen-AI agents and tools to increase retail traffic and digital referencing, improving forecasts and optimizing inventory costs
- Growth development of second-hand market and positioning on traditional retailers in that segment
- Development of new customized services along customer journey to improve loyalty and brand awareness
- Customer preference for services over durable goods amid deteriorating geopolitical/political climate and purchasing power squeeze

A value-seeking consumer, spending sideways. The defining feature of 2026/2027 is not weak demand but demand that has changed shape. US retail sales are running above their pre-pandemic decade average, suggesting a stronger-than-normal year supported by income growth, employment stability and first-half fiscal relief. Yet growth is concentrated in higher-income households, leaving the revenue base exposed to any reversal in equity-driven wealth effects while lower-income cohorts trade down. Europe is slower but structurally sound, with wholesale and retail trade among the stronger-growing value-added sectors as the recovery broadens from services back into goods. However, in Europe households still save well above pre-pandemic norms (14% of disposable income vs. 12.5% before Covid-19). Such a high savings rate is a latent buffer but not a present strength as it is deferred consumption that has repeatedly failed to convert so it will not release on better sentiment alone. Energy-price intervention protects the essentials basket, not the discretionary categories where margin actually lives. Add

the drift from durable goods toward services and experiences and the result is nominal resilience masking gross-profit erosion: around four-fifths of consumers globally report trading down into private label, resale and off-price.

Trade fragmentation and the new inventory doctrine. Merchandise economics were already fragile well ahead of tariffs as grocery and general merchandise retail historically run at low-single-digit margins. They compressed further near breakeven levels under tariff-inflated landed costs, wage floors and persistent discounting. Against this new background, most supply-chain leaders have shifted sourcing toward tariff-neutral countries and a large majority of them are building buffer inventory, with onshoring and supplier diversification now mainstream. This is rational but expensive in three ways at once: 1) it lengthens the cash conversion cycle while financing costs stay elevated, 2) it concentrates markdown and obsolescence risk where gross margin is thinnest (ex: consumer electronics retail due to long lead times, concentrated sourcing and rapid ageing) and 3) it demands capital and vendor reach options mid-sized operators do not always have. Tightening customs treatment of low-value parcels, traceability requirements and European circularity rules raise compliance costs while removing sourcing flexibility. As a result, liquidity, not demand, is the binding constraint for the weaker half of the sector, and trade friction now functions as a share-transfer mechanism toward large balance sheets. Watch inventory days, markdown cadence and supplier terms to track solvency and liquidity risks on retailers, but also their suppliers.

Customer customized services and data monetization as a new high growth potential profit pool. The structural answer to thin merchandise margins is monetizing traffic rather than goods. Retail media is now a top-tier advertising channel with categorically different economics: advertising margins can exceed 50% against typical retail product margins of 2–5%, on revenue that is largely incremental because it monetizes existing traffic rather than cannibalizing product sales. Executives now treat these networks as crucial to both revenue and profitability, with expansion into non-endemic advertising underway. It is also capital-light, lifting ROIC and cash conversion without proportional investment – which is precisely what a low-margin, high-volume model needs. The same data asset underwrites the loyalty agenda: personalized services along the customer journey are the defensible response to brand versatility among younger cohorts, but profits become really tangible only where data scale already exists.

AI moving from pilot to operating system. Regular AI use is now near-universal among retailers, with a majority experimenting with agents, and the value is landing in working capital before revenue – better forecasting, fewer stockouts and markdowns, faster inventory turns, which

directly offsets the cash cost of the buffer-stock doctrine above. The strategic edge is agentic commerce: retailers expect AI agents to collapse discovery, decision and checkout into a single interaction, which may weaken brand loyalty and puts a premium on clean, machine-readable product and pricing data. Directionally, this is simultaneously a traffic opportunity for the digitally disciplined and an erosion of the browsing step where brand preference is formed.

Circularity as a margin and relevance play. Recommerce is compounding at high-single to low-double-digit rates, several times faster than traditional retail, explicitly driven by inflation pressure and weak sentiment, with Europe growing fastest on the back of circular-economy regulation. For incumbents, branded buy-back and resale keeps customers inside the ecosystem instead of ceding them to third-party marketplaces, earns margin on inventory already paid for, and pre-empts European repair and reuse mandates. The constraint is operational – sourcing consistency, authentication and reverse logistics are harder than forward retail – so treat it as a loyalty and relevance investment that turns margin-accretive at scale, not an immediate profit line.

Subsectors

Fast-moving consumer goods (food, personal care, house care, etc.): Traditionally the most resilient segment of the industry with little volatility in consumer spending and high industry concentration. The main challenge for retailers is to adapt their store mix to address changing consumer preferences.

Furniture, electronics, appliances, hobby and leisure: Segments with generally higher profit margins but greater volatility as they sell discretionary consumer goods. Fierce competition from e-commerce specialists. Uncertain transition from a brick-and-mortar to click-and-mortar business model.

Apparel and accessories: Much like other discretionary spending, apparel and accessories see reduced consumer spending when the economy decelerates.

Beauty and cosmetics: Very dynamic sales globally pushed by the retail expansion of luxury companies.

Department stores: Department stores face very strong competition from online stores. The segment is cutting capacities in North America and is starting to adapt in Europe, but still growing in other regions of the world.

E-commerce specialists: Buoyant top line growth but still elusive profitability for the vast majority of players.

Telecom

Space is the new limit or growth channel?

Sector rating

M Medium risk for enterprises

Strengths & weaknesses



- High entry barrier / infra difficult to replicate
- Mass-market business (=large and limitless B2C and B2B audience)
- Essential-utility services (critical for connecting people/activities each other)
- Long product shelf-life (recurring cash stream = better revenue predictability)
- Strong exposure to AI development
- (high real-data demand)



- Highly capital-intensive (heavy debt business)
- Strongly regulated (national authorities deliver spectrum licenses and set up price framework)
- Negative working capital (= slow monetization of large investments)
- Vulnerability of infra to climate events/ geopolitical tensions/social unrest
- Emerging competition from hyperscalers on satellite internet services

Sector overview

What to watch?

- Further consolidation of the sector through M&A, takeover bids, public auctions, JVs.
- Major advancements into 6G development/integration for B2C/B2B purpose and impacts on capex/free cash flow trendline.
- Increasing demand for real-time data driven by broader AI adoption (inv. slower construction pace for datacenters as key risk for the topline).
- Physical infra casualties caused by geopolitical conflicts/ climate events
- Regulatory framework on personal/industrial data usage and traffic (tighter rules for hyperscalers could mean more business for telecom operators)
- Revenue dilution risks from early development of LEO satellite-based broadband internet solutions



Will the AI boost be tangible in the telecom space?

Underlying demand is inelastic but barely growing: connectivity is a mature, saturated utility, and industry service revenue is expanding only ~1–1.5% while EBITDA rises ~5% on efficiency and cost discipline rather than volume. The genuine growth vector is the AI build-out, which is reshaping traffic and reviving enterprise/wholesale demand – operators can build and price for AI-era workloads through data-center interconnect, high-capacity backhaul and subsea capacity, and undersea-cable investment is booming specifically to serve the AI build. This is the sector's best organic story over the near future (12-24 months), but it is derivative: topline upside depends on the pace of hyperscaler data-center construction, so any slowdown in that capex wave feeds straight back into telecom wholesale revenue. The mix shift favors B2B, wholesale and infrastructure services over commoditized consumer connectivity – rewarding operators positioned as digital-infrastructure enablers rather than pure retail carriers.

Time for consolidation to fix fragmentation costs. After a decade of blocking in-market deals on consumer-price grounds, European authorities have pivoted toward scale: The Draghi framework reframed fragmentation as a competitiveness problem, and regulators are now described as more open to large-scale mergers that previously faced structural prohibition. The structural rationale is stark: The average European mobile operator serves ~4.5mn subscribers versus ~95mn in the US and hundreds of millions in India and China, leaving the region chronically sub-scale to fund 5G and fiber-based high speed connectivity solutions. Expect intensifying in-market M&A, takeover bids and JVs alongside continued carve-outs of towers, fiber altnets, subsea units and data centers. If consolidation restores pricing discipline, it is the single biggest lever for reversing the sector's revenue stagnation and margin drift; execution and integration risk are the offsets.

Goldilocks capex-relief era might soon end: 6G development under scrutiny. The heavy investment cycle has peaked: European capex intensity has fallen from a 5G-era high near 25% of revenue (2021) toward the mid-teens, after operators reached ~87% household 5G and ~70% FTTH coverage by end-2024. Falling capex is driving deleveraging – aggregate European net debt is easing toward ~2.5x EBITDA from a 2021–22 peak above 3x – though the sector remains structurally levered, with some North American majors still at ~3.5–3.9x, enforcing capital discipline and asset disposals. Solvency is therefore improving but not resolved; liquidity is underpinned by rich, dependable cash generation, as EBITDA margins hold above 35%. But the slow monetization problem persists – large upfront network and spectrum outlays convert to cash only over long horizons – and carriers see a looming overhang with 6G development, which is threatening to restart the capex cycle just as balance sheets recover, with no profitability guarantees nor concrete cashflow timeline on this investment case yet.

Geopolitical and regulatory clouds add to the pile of constraints. Two non-structural catalysts round out the outlook. First, physical vulnerability is now a board-level risk: around 200 subsea cables are cut or disrupted annually – mostly accidental – but geopolitically-linked incidents have clustered in the Baltic, around Taiwan and in the Red Sea through 2024–2025, straining infrastructure that carries up to ~99% of intercontinental data. Encouragingly, networks proved reroutable – recent cuts caused higher latency, not outage – but resilience, redundancy and security are becoming a structural opex and capex line, compounded by climate exposure. Second, the regulatory framework cuts both ways: spectrum licensing and price rules remain a structural constraint, and data-usage/traffic regulation and sovereignty requirements are tightening. Yet the same debate carries upside – the “fair contribution” argument, that hyperscalers generating the bulk of network traffic should help fund it, could translate into a new revenue stream if it advances. Regulation is simultaneously the sector's cost ceiling and, potentially, its next monetization avenue.

Space is becoming the new competitive frontier. Considering both constraints listed above likely to physically impact telecom infrastructure, the satellite dimension is where the limit or channel is genuinely undecided. On the threat side, LEO broadband is scaling fast and pricing aggressively: The dominant constellation has roughly 9–10mn subscribers (out of a total of around 12mn) across ~155 countries with near-monopoly consumer status, and head-to-head economics point to further price erosion as a hyperscaler-backed challengers enter. The direct revenue-dilution risk concentrates in rural, remote, maritime and aviation segments – precisely the coverage-gap and high-ARPU niches operators struggle to serve economically. But the same technology is increasingly a channel, not just a rival: Direct-to-cell partnerships let terrestrial operators extend coverage without building it, and carriers are signing satellite deals at scale – one alliance grants a satellite operator access to over 150mn potential mobile customers. Some operators partner with the incumbent constellation, others back alternative direct-to-device ventures to avoid dependence.

Subsectors

Landline and mobile telecommunications. The biggest players operate in both segments, but it is not the case in emerging economies.

Consumer and business telecommunications. Some niche players focus on the specific needs of corporates.

Cable companies.

Satellite telecommunications including New Space.

Mobile Virtual Network Operators (MVNO) are companies focusing on marketing mobile services while renting network capacity to traditional operators.

Textiles

Navigating rising costs and volatile consumer demand

Sector rating

 Sensitive risk for enterprises

Strengths & weaknesses



- Strong brand awareness as margin protector (image/representation > quality)
- Low capital intensity & agile business (easily reconfigured/relocated in case of disruption)
- Direct shipping business transiting from multichannel to omnichannel model
- Rising popularity of second-hand market increases product shelf-life and ROI
- Growing demand from B2B (technical fabrics) offsetting volatility in B2C segment



- Production costs sensitive to energy prices (synthetic fabrics = high chemical footprint)
- High reliance on China (directly or indirectly via high input footprint on external production)
- Rapid product obsolescence amid regular customer taste change (overproduction costs)
- Low entry barrier (low technology footprint) – high competition dragging down prices
- Rising compliance costs to absorb in Europe (recycling & local sourcing ration requirement)

Sector overview

What to watch?

- Raw material & production cost volatility amid new tensions in Middle East
- Consumer spending in non-essential durable goods as interest rates are rising again
- Long-term effects of tariffs on margins and production relocation outside Asia
- Growing demand from B2B segment, notably defense industry
- Integration of AI technology for automizing process and customizing customer journey
- Adaption of manufacturers/distributors to higher sustainability criteria in Europe
- Erosion of brand awareness due to product quality deterioration and persisting inflationary effects

Living in a more expensive world: margin and working capital deterioration. Raw materials account for roughly 70–85% of operating expenses across spinning and fabric production, so input moves land almost directly on gross margins. That burden has grown over the past two decades: as chemical-intensive synthetics have taken a larger share of global fabric output, so has exposure to oil prices. Meanwhile, more frequent extreme climate episodes – heatwaves and flooding – have degraded yields of textile commodities such as cotton, contributing to a lasting increase in production costs. Renewed Middle East tensions have pushed energy prices higher again in 2026, compounding the effect. Manufacturers cannot pass this through, at least not in full: fixed long-term contracts contain no mark-up provisions, and distributors resist meaningful price increases given demand elasticity outside luxury. The sector therefore absorbs input inflation rather than transmitting it – the defining margin mechanic of the window, and one that no commercial lever can correct.

Tariffs reshuffle the supply chain but not the geographic footprint: Asia keeps its edge. Tightening trade conditions add a layer of uncertainty for distributors and have revived the debate over relocation and sourcing policy. The timing is what makes this acute: apparel is committed six to nine months ahead, so orders must be priced against duty rates that may not exist when the decision is made. Diversification helps less than it appears – roughly a fifth to a third of Southeast Asian export value originates in China, with much of the fabric, investment and factory ownership Chinese, and flagged inputs triggering trans-shipment penalties.

The exposure was relocated, not removed, and the upstream layer is far harder to rebuild than cut-and-sew. Despite US tariffs, little production ultimately left the region: Vietnam replaced China as the largest apparel and textile supplier to the US in 2025 as established producers demonstrated genuine agility in reallocating asset-light capacity, preserving their competitive edge through an attractive expertise-to-cost trade-off. Nearshoring into duty-free, low-cost locations near Western markets remains idiosyncratic rather than a global trend – a complementary strategy buying distribution speed and predictability rather than decisive long-run cost savings.

Highly vulnerable to deferred consumption as inflationary pressure returns. Clothing is among the most postponable lines in the household budget, and weak appetite amid sluggish growth, persistent inflation and renewed rate pressure defines the window on both sides of the Atlantic. Brand equity is the principal margin protector, but it depreciates under exactly these conditions: inflation pushes consumers to test whether the premium is earned,

cost pressure tempts brands to thin specification behind unchanged prices and resale makes the durability trade legible by publicly pricing residual value. Beneath sits structural overproduction – output driven by revenue targets and capacity utilization rather than end demand, then cleared through discounting at minimal margin. With demand vulnerability compounding the margin squeeze, inventory agility becomes the decisive capability, since buffer stock held against tariff volatility adds carrying cost and markdown risk at elevated financing rates. This is where the only effective offset sits: AI-driven forecasting, real-time defect detection and on-demand small-batch production improve inventory turnover, capture demand shifts through live data and allow timely production adjustment. Because surplus stock and markdown are the sector's largest structural margin leak, precision here converts directly into realized gross margin and a shorter cash cycle – margin recovery in this window comes from inventory discipline, not price.

Solvency risk remains under close scrutiny. Low capital intensity is both the agility asset and the competitive curse: minimal entry barriers mean chronic fragmentation and no supply discipline when demand softens. The financial consequences are already visible – several hundred South Asian factories ceased operations over roughly two years, split between insufficient orders and financial strain, while European retail and consumer distress reached its highest level since the financial crisis in Q2 2026, with profitability the primary fault line. Solvency risk is therefore bilateral: brands face supply discontinuity, vendors face cancellation. Early adopters of inventory technology hold a clear advantage here, while laggards face profit decline and liquidity constraints converging into genuine insolvency risk. European regulation currently deepens the strain, having layered on successive compliance requirements covering traceability, recycled content and sourcing origin. Yet the same rules build the barrier: what reads as a cost today should convert into competitive advantage, consolidating positions in large consumer markets while providing a legal shield against competitors that have not met sovereignty and circularity standards.

Fast fashion erodes while technical fabrics and resale sustain momentum. The high-volume, low-price model is losing ground on both flanks – regulatory cost falls hardest on it, while value-seeking consumers increasingly satisfy the same demand through secondhand channels. Technical and industrial categories are forecast to outgrow fashion, with demand rising for antibacterial, fire-resistant and water-repellent fabrics across defense, healthcare, automotive and construction, alongside smart textiles integrating sensors

and conductive fibers. European defense procurement is the standout near-term driver: budget-backed, politically insulated and largely price-inelastic. For European producers it is also the most credible answer to Asian cost competition, because the barrier is technical qualification rather than labor cost. In parallel, tightening circularity requirements and persistent price-seeking behavior are expanding the secondhand market, which is expected to approach USD400bn globally by 2030 (vs. USD290bn estimated in 2026), growing at roughly twice the pace of the traditional retail channel.

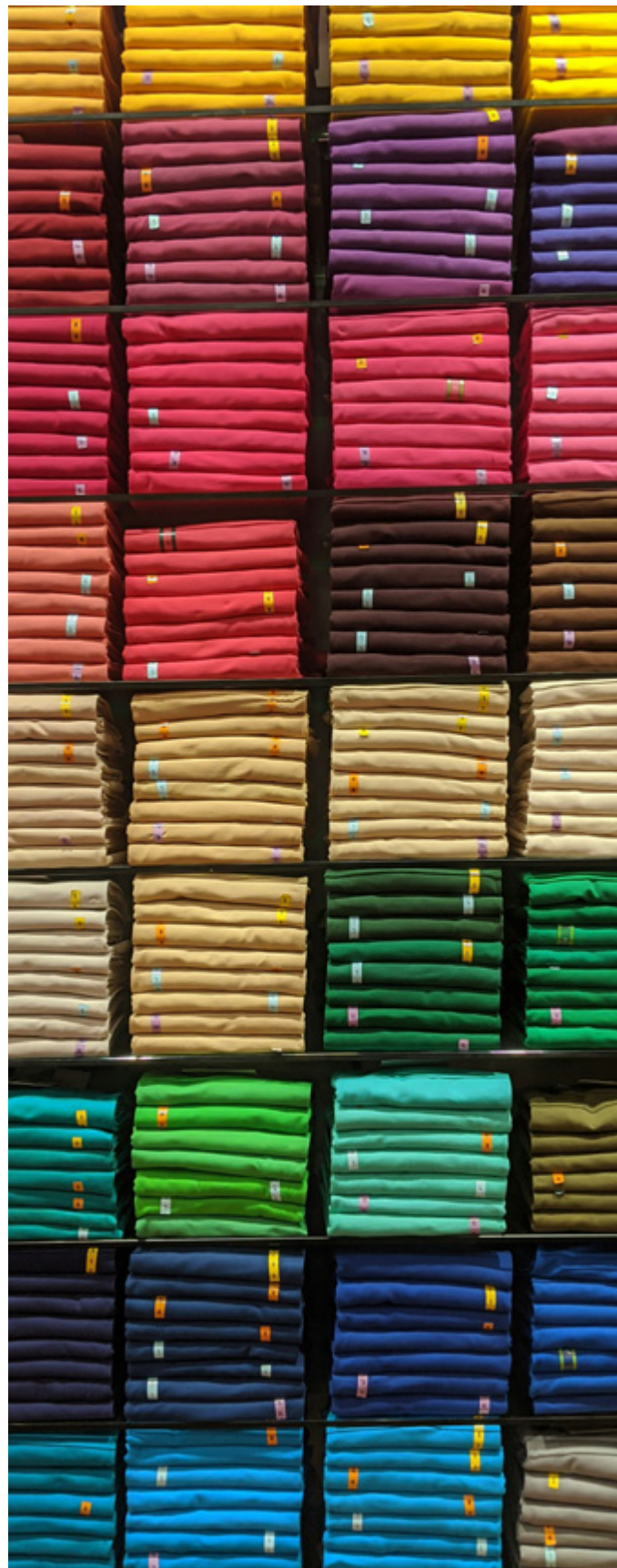
Subsectors

Textiles: about 55% of industry turnover. Textile manufacturers mostly serve the needs of the clothing and home improvement industries, and to a lesser extent other industries (automotive, etc.)

Apparel: about 30% of industry turnover. Apparel manufacturers are mostly contractors to which large fashion retailers outsource the actual manufacturing of their clothes and accessories.

Leather and shoes: about 15% of industry turnover. Leather goods and shoes generally have distribution channels that are distinct from apparel.

Asia Pacific concentrates 80% of the industry's turnover, with China's share itself standing almost 65%, the remainder being split between Cambodia, India, Indonesia, Bangladesh and Vietnam. Excluding Asia, Turkey (3%) and Brazil (1%) also have sizeable textile industries exporting to the European and US markets, respectively. Some countries producing high-end or technologically advanced fabric have kept a significant manufacturing base (Italy, France, Germany, South Korea and the US in particular).



Transport Equipment

Facing headwinds: Economic and geopolitical forces reshaping the industry's dynamics

Sector rating

 Sensitive risk for enterprises

Strengths & weaknesses

- 
- Strong pricing power, with limited number of companies capable of designing, certifying and manufacturing
 - High barriers to entry.
 - Robust long-term demand outlook, supported by fleet renewal, rising defence expenditure, infrastructure investment and the transition towards lower-emission transport.
 - Long order backlogs.
 - Stable customer relationships.
 - Long production cycles that facilitate production planning, capacity utilization and financial visibility.
 - Significant aftermarket and maintenance revenues, generating recurring, high-margin cash flows over the product lifecycle.
 - Continuous technological innovations.
 - Improving supply-chain resilience.

- 
- High capital intensity, requiring substantial and continuous R&D investment.
 - Elevated working capital requirements, driven by lengthy production cycles, large inventories and milestone-based customer payments.
 - Generally high financial leverage, particularly during periods of major investment programs or production ramp-ups.
 - Exposure to raw material and commodity price volatility.
 - Stringent regulatory, certification and safety requirements, increasing development costs, extending time-to-market and exposing manufacturers to costly delays.
 - Long development cycles and program execution risk, with significant financial consequences from production delays, cost overruns or technical issues.
 - Cyclical exposure to global economic conditions, especially in commercial aerospace, freight transportation and heavy-duty trucks.
 - Dependence on complex global supply chains.
 - Labor shortages and skills constraints.
 - Geopolitical and trade risks, which can affect supply chains, market access and procurement decisions.

What to watch?

- **Defense spending becomes a structural growth driver:** Rising geopolitical tensions continue to support strong demand for military aircraft, naval vessels and combat vehicles. Multi-year procurement programs are improving revenue visibility for defense-oriented OEMs, although rapidly expanding production capacity remains a key execution challenge.
- **Production ramp-ups and supply-chain execution:** Supply chains have largely normalized following the pandemic, but commercial aerospace continues to face bottlenecks in engines and critical components. The industry's focus has shifted from generating demand to increasing production rates while maintaining quality and controlling costs.
- **Decarbonization drives long-term investment:** Stricter environmental regulations continue to accelerate investment in cleaner technologies, including sustainable fuels, electrification and hydrogen propulsion. While disruptive technologies remain a long-term opportunity, manufacturers are currently prioritizing incremental efficiency improvements and lower-emission solutions.
- **Commodity and energy price volatility:** Although commodity prices have stabilized compared with recent peaks, volatility in metals, critical minerals and energy continues to pressure manufacturing costs. Profitability remains sensitive, particularly under long-term fixed-price contracts.
- **Labor shortages and industrial capacity:** Demand for skilled engineers and technicians continues to outpace supply, limiting production ramp-ups across several segments. Persistent wage inflation and talent shortages remain key operational challenges.
- **Industrial policy and trade tensions:** Governments are increasingly promoting domestic manufacturing through subsidies, local-content requirements and trade measures. While these policies strengthen supply-chain resilience, they also increase costs and add complexity for globally integrated manufacturers.
- **Strong order backlogs:** Record order books across aerospace, rail and naval markets provide several years of production visibility and support long-term investment. However, converting these backlogs into revenue depends on successful program execution and supplier performance.
- **Digitalization and automation:** Manufacturers are increasingly leveraging AI, digital twins and advanced automation to improve engineering, optimize production and reduce lifecycle costs. Digital capabilities are becoming an increasingly important competitive differentiator.

- **The expanding space economy:** Growth in commercial launch services, satellite constellations and lunar exploration continues to create new opportunities for aerospace manufacturers. Although still relatively small, the space market remains an attractive long-term source of innovation and technological development

Overall challenges influencing market dynamics: The transport equipment sector continues to experience contrasting dynamics in 2026, with strong long-term demand supported by defense spending, fleet renewal and infrastructure investment, but constrained by execution challenges and macroeconomic uncertainty. While many manufacturers benefit from historically high order backlogs, the conversion of these orders into revenues remains dependent on supply-chain reliability, production capacity and cost control. At the same time, higher trade barriers, industrial policy shifts and geopolitical tensions are reshaping global manufacturing strategies. Increased localization requirements and tariff uncertainty may delay investment decisions in some end markets, while rising labor, energy and raw material costs continue to pressure margins, particularly for manufacturers operating under fixed-price contracts.

Aviation outlook: The aviation sector remains supported by robust underlying demand, driving record-high backlogs, but continues to face significant production constraints. Aircraft manufacturers continue to face challenges in ramping up output due to shortages of critical components, limited supplier capacity and delays across the aerospace supply chain, particularly in engines, aerostructures and specialized materials. As a result, aircraft deliveries remain below manufacturers' previous targets. The industry is also undergoing a major technological transition driven by decarbonization objectives. Investments in sustainable aviation fuels (SAF), lightweight materials, more efficient engines and longer-term solutions such as electric and hydrogen propulsion are accelerating, although large-scale adoption of disruptive technologies remains a long-term prospect. Going forward, the key challenge for aircraft manufacturers will be balancing record demand with operational execution: increasing production rates while maintaining strict safety standards, managing supplier constraints and avoiding further program delays.

Shipbuilders outlook: The shipbuilding industry is undergoing a significant strategic transformation driven by geopolitics, decarbonization and changing trade patterns. While China remains the dominant global shipbuilding hub due to its scale and cost competitiveness, growing geopolitical tensions and efforts to reduce supply-chain dependence are encouraging operators to diversify

sourcing towards South Korea, Japan and other emerging shipbuilding markets. Environmental regulations are also reshaping demand, with shipowners investing in new vessels capable of meeting stricter emissions requirements. This is supporting demand for LNG-powered vessels, alternative fuel technologies and more energy-efficient designs. However, the transition requires substantial investment and increases technological complexity for shipbuilders. Despite healthy order activity in several segments, profitability remains sensitive to raw material costs, labor availability and competitive pressure. The industry is therefore entering a period of structural realignment, where geopolitical considerations are becoming increasingly important alongside traditional cost competitiveness.

Rolling stock manufacturers outlook: The global rail equipment market benefits from strong structural tailwinds, supported by urbanization, infrastructure investment, decarbonization efforts and the shift towards lower-emission transport. China is by far the largest rail market, driven by extensive high-speed rail expansion and urban metro development, while Europe and Japan remain global technology leaders in high-speed rail, signaling and advanced rolling stock. India, the Middle East and Southeast Asia represent the fastest-growing demand markets, supported by major infrastructure investment programs and urban mobility needs. As of today, the sector faces execution challenges, including production capacity constraints, supply chain pressures, labor shortages and lengthy certification processes, which can delay project delivery and weigh on margins. Profitability remains pressured by inflationary cost increases and competitive bidding environments, while rising competition from Chinese manufacturers in international tenders represents a growing challenge for established European and Japanese players. At the same time, digitalization, automation and higher-value aftermarket services provide opportunities to improve long-term profitability.

Commercial vehicles outlook: Commercial vehicle manufacturers face a more challenging environment due to weaker economic growth, softer freight demand and uncertainty surrounding the transition towards lower-emission technologies. After strong post-pandemic demand, several major markets, particularly Europe, have experienced declining truck and van registrations as high financing costs, weaker industrial activity and fleet replacement delays weigh on demand. At the same time, manufacturers are facing significant investment requirements to comply with stricter emissions regulations and accelerate the transition towards electric and alternative-fuel vehicles. The heavy-duty segment remains particularly challenging, given infrastructure limitations, high battery costs and uncertainty

regarding the optimal long-term technology pathway. The sub-sector in Europe is also exposed to increasing competitive pressure, particularly from Chinese manufacturers that are expanding internationally with cost-competitive electric commercial vehicles. Going forward, the main challenge for OEMs will be balancing profitability with the need to invest heavily in electrification, digitalization and autonomous driving technologies.

Subsectors

Aircraft manufacturers: Companies involved in the design, engineering and assembly of any kind of vehicle that is manufactured to fly in the air. This includes planes (commercial and cargo planes, private jets, military jets and propeller planes) and helicopters (civil and military). The US and France are the largest producers of aircraft in the world.

Shipyards: Companies that build and repair any type of water transport vehicle, such as yachts, cruise ships, container and dry bulk vessels, military vessels, oil and chemicals tankers, ferries, ice-breakers, etc. By revenue, this market is vastly dominated by South Korean, Chinese and Japanese companies, with European shipyards following after the Asian ones.

Rolling-stock manufacturers: Companies involved in the entire process of designing, manufacturing, assembling and testing rolling stock. Wagons/trains can be used for both passenger and cargo transport and can be high-speed or not. This market is led by China and Europe.

Trucks OEMs: Manufacturers of trucks or camions, which are normally used for cargo transportation or for carrying other vehicles or dry bulk commodities. Trucks vary in size, power and configuration. Today, most of them are still powered by diesel fuel, although electric trucks have slowly been introduced to the market.



Transportation

Building resilience in an era of disruption and transformation

Sector rating

S Sensitive risk for enterprises

Strengths & weaknesses



- Essential economic infrastructure: Transport is a critical enabler of trade, industrial activity, tourism, and labor mobility, making it indispensable to economic development.
- High barriers to entry: Significant capital requirements, regulation and infrastructure needs protect incumbents and limit new competition.
- Resilient long-term demand: Demand is mostly supported by structural trends such as globalization, urbanization, population growth and e-commerce, despite cyclical fluctuations.
- Market concentration: Several transportation segments exhibit monopolistic or oligopolistic characteristics, supporting relatively strong pricing power and stable competitive positions.
- Cost efficiency and economies of scale: Maritime shipping and rail remain among the most efficient transport modes for moving large volumes over long distances.
- Public-sector support: Strategic transportation infrastructure often benefits from government funding, subsidies and favorable policy frameworks.
- Digital transformation: AI, automation and data analytics are improving operational efficiency, asset utilization and customer service across the sector.



- Capital-intensive business model: High investment and maintenance requirements result in substantial fixed costs and long asset replacement cycles.
- Financial and commodity exposure: High leverage and sensitivity to fuel and energy prices can significantly affect profitability and cash flow.
- Cyclical demand: Freight volumes and passenger traffic are closely linked to economic activity, trade flows and consumer confidence.
- Decarbonization pressures: Stricter environmental regulations and the transition to low-emission technologies require substantial ongoing investment.
- Labor constraints: Persistent shortages of skilled workers across several transport modes continue to increase operating costs and create operational challenges.
- Geopolitical and operational risks: Trade disputes, conflicts, supply-chain disruptions and cybersecurity threats can materially affect operations and profitability.
- Infrastructure dependence: Performance depends on the quality, capacity and public investment in transport infrastructure, which may constrain growth and efficiency.

Sector overview

What to watch?

- Geopolitical fragmentation and the reshaping of global trade flows: Rising geopolitical tensions, protectionism and supply-chain vulnerabilities are fundamentally reshaping transportation networks. Companies are increasingly prioritizing resilience over pure cost optimization, driving supply-chain diversification, nearshoring and the development of alternative trade

corridors. Maritime shipping remains particularly exposed due to dependence on strategic chokepoints such as the Suez Canal, the Strait of Hormuz and the Panama Canal, while aviation continues to face disruptions from restricted airspace and geopolitical tensions. These trends are likely to result in longer routes, higher logistics costs and increased investment in more flexible and resilient transportation networks.

- **Decarbonization and the transition toward low-carbon transportation:** Transportation remains one of the largest contributors to global greenhouse gas emissions, making it a central target of regulatory and investor pressure. Stricter emissions standards, carbon-pricing mechanisms and sustainability requirements are accelerating fleet renewal and the adoption of alternative technologies. However, decarbonization remains particularly challenging for aviation and maritime shipping due to technological limitations, long asset lifecycles and the limited availability of competitive low-carbon fuels such as sustainable aviation fuel (SAF) and alternative maritime fuels. Companies able to secure access to cleaner technologies and fuels may gain a significant competitive advantage.
- **Energy transition and long-term fuel uncertainty:** Transportation is entering a period of significant energy transformation, with uncertainty surrounding the future fuel mix across different modes. While EVs are expanding rapidly in passenger and short-haul applications, heavy-duty road transport, aviation and maritime shipping face greater technological challenges. Continued volatility in oil prices, combined with increasing demand for electricity and alternative fuels, will influence operating costs, investment decisions and competitive positioning across the sector.
- **AI, automation, and the transformation of transportation models:** Rapid advances in AI, automation and digital technologies are reshaping how transportation assets are operated and managed. Predictive maintenance, autonomous vehicles, intelligent logistics platforms and real-time optimization are improving efficiency and reducing costs. However, the uneven adoption of these technologies may create a widening gap between technologically advanced operators and traditional players. Cybersecurity risks will also increase as transportation systems become increasingly connected and data-dependent.
- **Labor availability and the evolution of transportation workforce requirements:** Persistent shortages of skilled workers remain a structural challenge across trucking, aviation, maritime and logistics operations. An aging workforce, demanding working conditions and rising wage pressures are increasing operating costs and limiting capacity growth. At the same time, automation and digitalization are changing workforce requirements, increasing demand for employees with technical, analytical and digital capabilities while reducing reliance on certain traditional roles.
- **Infrastructure constraints and investment gap:** Aging infrastructure, congestion and insufficient public

investment may become increasingly significant constraints on transportation growth. Ports, airports, roads and rail networks require substantial modernization to accommodate growing demand, improve resilience and support decarbonization. The ability of governments and private operators to finance these investments will influence future sector competitiveness.

Airlines: The airline industry has largely completed its post-pandemic recovery, with passenger demand returning to a more normalized growth trajectory. But after reaching record levels in 2025, global traffic has softened in 2026 amid weaker economic growth and heightened geopolitical uncertainty. Industry-wide revenue passenger kilometers (RPK) declined by -1.7% y/y in June (after a -2.2% decline recorded in May), while the passenger load factor (PLF) remained resilient at 84.2%, reflecting disciplined capacity management despite softer demand. Air cargo has followed a similar trend, with demand remaining above pre-pandemic levels but expanding at a more moderate pace.

The industry's main challenge in 2026 has been the escalation of geopolitical tensions in the Middle East.

Airspace closures and security concerns have disrupted one of the world's most important aviation hubs, forcing airlines to reroute flights between Europe and Asia, increasing flight times, fuel burn and operating costs while weighing on regional tourism. Middle Eastern carriers have been the most affected, with passenger traffic remaining around 14% below last year's levels despite a gradual recovery since the peak of the disruptions. Although global capacity is expected to resume modest growth during the last quarter of 2026, airlines are likely to remain highly exposed to further geopolitical developments.

Profitability is also being squeezed by record jet-fuel prices, which have become the industry's most important margin headwind. Unlike crude oil, kerosene prices have surged due to elevated refining margins and disruptions to Middle Eastern fuel supply chains, with fuel accounting for roughly 30% of airlines' operating costs. The impact varies across regions: most US airlines remain largely unhedged against fuel prices but have partly offset higher costs through strong travel demand associated with the FIFA World Cup, while European carriers entered the year with stronger fuel hedges but remain more exposed to disruptions in Middle Eastern jet-fuel supplies and longer flight routings around restricted airspace. Combined with higher labor, maintenance and airport costs, airlines are expected to operate in a structurally higher-cost environment than before the pandemic.

Looking ahead, we expect industry revenues and passenger demand to continue growing at a modest pace through the remainder of 2026 and into 2027, broadly in line with global economic activity. Profitability should gradually improve as aircraft deliveries recover and geopolitical disruptions ease, although margins are likely to remain below historical peaks given persistently high operating costs, the ongoing transition toward sustainable aviation fuels and continued uncertainty surrounding global fuel markets.

Maritime: Maritime shipping has transitioned from a relatively predictable backbone of global trade into a structurally more volatile and risk-exposed industry. Geopolitical tensions, trade fragmentation, climate-related disruptions and increasing regulation are reshaping global shipping routes and raising operating complexity. The Red Sea crisis remains the clearest example: continued security risks around the Bab el-Mandeb Strait have forced many carriers to reroute vessels around the Cape of Good Hope, extending voyages by approximately 35–45%, increasing fuel consumption, insurance costs and fleet requirements. More recently, tensions around the Strait of Hormuz have reinforced concerns about the vulnerability of strategic maritime chokepoints, particularly given its importance for global oil and LNG flows.

Freight rates have normalized significantly from the exceptional levels observed during the 2021–2022 supply chain crisis, when container prices reached peaks of around USD15,000 per FEU on certain routes. However, volatility remains structurally higher than before the pandemic due to recurring disruptions, shifting trade patterns (the US tariffs war in 2025 lifted rates up) and uncertainty around global supply chains. In addition, the large wave of vessel orders placed during the post-pandemic boom is now increasing available capacity, creating a risk of overcapacity.

At the same time, the industry is entering a long-term investment cycle driven by fleet renewal and decarbonization needs. Stricter environmental regulations, carbon pricing mechanisms and the need to replace an aging global fleet are accelerating demand for new vessels and alternative fuels. While this creates opportunities for operators with modern, efficient fleets, it also represents a significant financial challenge given the high cost of new ships and uncertainty around future fuel technologies.

Looking ahead to 2027, maritime transportation is expected to remain essential for global trade but operate under a “new normal” characterized by higher volatility, greater capital intensity and increased geopolitical exposure.

Profitability is likely to remain under pressure as fleet capacity expands and bunker fuel costs stay elevated due to continued uncertainty around Middle Eastern energy flows. Higher fuel expenses, longer sailing routes caused by geopolitical disruptions and increasing decarbonization requirements will continue to weigh on margins, particularly for operators with older and less efficient fleets. However, companies with strong balance sheets, modern vessels, diversified networks and early positioning in low-carbon technologies should be better positioned to outperform in an increasingly complex operating environment.

Rail: Rail transport continues to strengthen its strategic position as governments increasingly prioritize low-carbon and energy-efficient mobility. Across Europe, public investment remains focused on expanding high-speed rail, modernizing existing networks and improving cross-border connectivity through projects such as the Trans-European Transport Network (TEN-T). At the same time, the gradual liberalization of passenger rail markets is increasing competition, encouraging service innovation and improving operational efficiency, particularly on high-demand intercity routes.

Compared with other transport modes, rail has been relatively insulated from the sharp increase in fuel prices during 2026. The widespread electrification of European rail networks has reduced direct exposure to oil markets, making rail an increasingly attractive alternative for both passengers and freight as airlines and road operators face higher fuel costs. At the same time, rail continues to benefit from governments’ decarbonization strategies, with subsidies and public funding supporting network expansion, fleet modernization and electrification. Looking ahead, we expect rail to continue gaining market share on short- and medium-distance corridors, supported by environmental policies, sustained public investment and growing demand for sustainable mobility. The main challenges remain infrastructure capacity constraints, aging networks in several countries and the need to accelerate digitalization and signaling upgrades. Overall, rail is likely to remain one of the transportation sector’s most resilient segments through 2027.

Road: Road transportation continues to benefit from sustained government investment in infrastructure, particularly in developed markets where modern road networks are viewed as strategic assets for strengthening economic competitiveness and supply-chain resilience. Major initiatives such as the EU’s TEN-T programme and the US Infrastructure Investment and Jobs Act are expected to support freight activity and passenger mobility through

2027, while inadequate infrastructure remains a structural constraint across many emerging economies.

The sector's main challenge in 2026 has been the sharp increase in diesel prices following the escalation of the conflict in the Middle East. As most road transport operators have limited fuel-hedging capabilities, higher fuel costs have translated rapidly into margin pressure, with only partial recovery through fuel surcharges in competitive freight markets. At the same time, governments continue to accelerate fleet electrification through subsidies and charging infrastructure investments, although high vehicle costs and insufficient charging networks remain key barriers for heavy-duty transport. Looking ahead, we expect the sector to deliver modest growth through 2027, supported by infrastructure spending and resilient freight demand. However, profitability will remain closely linked to fuel-price volatility and the pace of the transition toward low-emission transport.

Subsectors

The transportation sector encompasses all kind of companies providing the means for transporting people and goods from one geographical place to another.

Air transport: Companies that use aircraft (owned or leased fleet) as a means of transportation, regardless of the distance (short or long-haul).

- a. Traditional airlines.
- b. Low-cost airlines: They offer the same transport facility of traditional airlines but with a reduced offer of services that enables lower costs, and therefore lower air-ticket prices.

Maritime transport: All kind of transportation services through boats, including:

- a. Cruise ships: large passenger ships used mainly for vacationing purposes.
- b. Vessels: container ships, oil tankers, chemical tankers, gas and LNG tankers, dry bulk carriers, car carriers (ro-ro ships).
- c. Ferries: mainly for short trips across rivers, harbors and channels or between islands.

Rail/train transport: Another way for moving people and goods over short and long distances (both underground and over the surface). Train systems run on metal rails, which allows the rolling stock to benefit from lesser frictional resistance and therefore to attach more load in terms of wagons or carriages. Besides being the means of transport that emits the least CO₂, it is also the one that is less affected by weather turbulence.

Road transport: This segment includes companies that offer the movement of people and goods through trucks, buses, coaches and taxi-cabs, both in urban perimeters and on highways.



Sector risk methodology

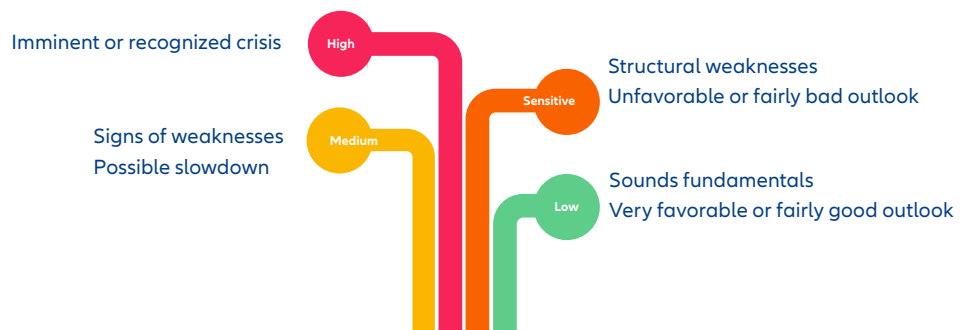
The Sector Risk Rating by Allianz Trade Economic Research assesses the risk of non-payment by companies in 17 sectors across 70 countries around the world. It is measured on a four-level scale from Low to High.

Sector risk assessments are based upon the forward-looking evaluation of four key determinants – demand, profitability, liquidity and business environment – using Allianz Trade internal data and expert judgments, as well as hard data from secondary sources.

Our grading system uses a unique methodology which combines data and expert judgments to assess the risk of nonpayment at a sector level across the top 70 countries of the world.

Sector Risk Rating

4 levels of risk



4 levels of risk based on 4 key components

The Sector Risk Rating is based on the evaluation of four components that are analyzed globally for each sector

Demand: Outlook for companies' turnovers based on the organic growth, fundamentals and price competition of the sector

Profitability: Outlook for companies' margins and profits depending on the evolution of prices in raw materials/ commodities, on labor costs and fluctuations in supply and capacity

Liquidity: Outlook for companies' cash positions and financing risks, based on access to financing and payment performance, and

Business environment: Any technological innovations, new government subsidies and changes in legal framework that can alter business models and companies' strategies.

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